NEW ISSUE
BOOK-ENTRY-ONLY

RATINGS: S&P Global Ratings "AAA"
Fitch Ratings "AA+"
(See "MISCELLANEOUS—Ratings")

In the opinion of Butler Snow LLP, Bond Counsel, under existing laws, regulations, rulings, and judicial decisions and assuming the accuracy of certain representations and continuous compliance with certain covenants described herein, interest on the Bonds (defined below) is excludable from gross income under federal income tax laws pursuant to Section 103 of the Internal Revenue Code of 1986, as amended to the date of delivery of the Bonds, (the "Tax Code"), interest on the Bonds is not a specific preference item for purposes of the federal alternative minimum tax, however, such interest is taken into account in determining the annual adjusted financial statement income of applicable corporations (as defined in Section 59(k) of the Tax Code) for the purpose of computing the alternative minimum tax imposed on corporations, and interest on the Bonds is excludable from Colorado taxable income and Colorado alternative minimum taxable income under Colorado income tax laws in effect on the date of delivery of the Bonds. See "TAX MATTERS" herein.

WESTMINSTER
COLORADO

$186,900,000
CITY OF WESTMINSTER, COLORADO
WATER AND WASTEWATER UTILITY ENTERPRISE
WATER AND WASTEWATER REVENUE BONDS
SERIES 2024

Dated: Date of Delivery **Due: December 1, as shown below**

The Bonds are issued in fully registered form in denominations of $5,000 or integral multiples thereof. Interest on the Bonds, at the rates set forth below, is payable semi-annually on June 1 and December 1 each year, commencing on December 1, 2024. Capitalized terms used on this cover page are defined in the Introduction to this Official Statement. DTC will act as securities depository for the Bonds and payments of principal of and interest on the Bonds will be made by the Paying Agent, initially U.S. Bank Trust Company, National Association, Denver, Colorado, directly to DTC, which will remit such payments to Participants for subsequent distribution to Beneficial Owners of the Bonds.

MATURITY SCHEDULE
(CUSIP © 960686 [1])

Maturity Date (December 1)	Principal Amount	Interest Rate	Yield	CUSIP ©, [1]	Maturity Date (December 1)	Principal Amount	Interest Rate	Yield	CUSIP ©, [1]
2025	$2,815,000	5.00%	2.49%	DK6	2037	$5,050,000	5.00%	2.98% [2]	DX8
2026	2,955,000	5.00	2.40	DL4	2038	5,305,000	5.00	3.00 [2]	DY6
2027	3,100,000	5.00	2.39	DM2	2039	5,570,000	5.00	3.08 [2]	DZ3
2028	3,255,000	5.00	2.40	DN0	2040	5,850,000	5.00	3.17 [2]	EA7
2029	3,420,000	5.00	2.41	DP5	2041	6,140,000	5.00	3.29 [2]	EB5
2030	3,590,000	5.00	2.49	DQ3	2042	6,450,000	5.00	3.36 [2]	EC3
2031	3,770,000	5.00	2.58	DR1	2043	6,770,000	5.00	3.42 [2]	ED1
2032	3,960,000	5.00	2.67	DS9	2044	7,110,000	5.00	3.48 [2]	EE9
2033	4,155,000	5.00	2.73	DT7	2045	7,465,000	5.00	3.53 [2]	EF6
2034	4,365,000	5.00	2.77	DU4	2046	7,835,000	5.00	3.59 [2]	EG4
2035	4,580,000	5.00	2.85 [2]	DV2	2047	8,230,000	5.00	3.66 [2]	EH2
2036	4,810,000	5.00	2.93 [2]	DW0					

$17,715,000 5.00% Term Bond maturing December 1, 2049 Yield: 3.69% [2] CUSIP: 960686 EK5 [1]
$52,635,000 5.00% Term Bond maturing December 1, 2054 Yield: 3.79% [2] CUSIP: 960686 EQ2 [1]

The net proceeds from the sale of the Bonds will be used to finance: (i) the construction of the City's New Drinking Water Facility Project; (ii) the payment of the issuance costs of the Bonds; and, to the extent additional proceeds are available, (iii) the payment of capital costs related to land, facilities, and rights constructed, installed, purchased, and otherwise acquired for the System.

The Bonds are special and limited revenue obligations of the Enterprise payable solely out of and secured by an irrevocable pledge of and lien (but not necessarily an exclusive lien) upon the Pledged Revenues. The Bonds do not constitute a debt or indebtedness of the Enterprise or the City within the meaning of any constitutional, Charter or statutory provision or limitation. The Bonds are not payable in whole or in part from the proceeds of general property taxes or any other funds of the City or the Enterprise, except the Pledged Revenues, and the full faith and credit of the City is not pledged for payment of the principal of or interest on the Bonds.

The Bonds are subject to redemption prior to maturity as described herein.

This cover page contains certain information for quick reference only. It is *not* a summary of this issue. Investors must read this entire Official Statement to obtain information essential to the making of an informed investment decision and should consider carefully the information contained in the section entitled "RISK FACTORS."

The Bonds are offered when, as, and if issued, and accepted by the Underwriters named below, subject to the approval of legality and certain other matters by Butler Snow LLP, Denver, Colorado, as Bond Counsel. Hilltop Securities Inc., Denver, Colorado is acting as Municipal Advisor to the City in connection with the issuance of the Bonds. Certain matters will be passed upon by Kutak Rock LLP, Denver, Colorado, as Special Counsel to the City for purposes of assisting the City with the preparation of this Official Statement. It is expected that the Bonds will be available for delivery through the facilities of DTC, on or about September 25, 2024.

PIPER | SANDLER **BNY Mellon Capital Markets, LLC**

This Official Statement is dated September 10, 2024.

© Copyright 2024 CUSIP Global Services. CUSIP is a registered trademark of the American Bankers Association. CUSIP Global Services is managed on behalf of the American Bankers Association by FactSet Research Systems Inc.

[1] The City takes no responsibility for the accuracy of CUSIP numbers, which are included solely for the convenience of owners of the Bonds.

[2] Priced to yield at the earliest call date on which the Bonds may be optionally redeemed at par on December 1, 2034.

CITY OF WESTMINSTER, COLORADO

City Council

Nancy McNally, Mayor
Sarah Nurmela, Mayor Pro Tem
Claire Carmelia
David DeMott
Obi Ezeadi
Amber Hott
Kristine Ireland

City Officials

Jody Andrews, Acting City Manager
Barbara Opie, Deputy City Manager
Larry Dorr, Deputy City Manager/Chief Financial Officer and Finance Director
Robert Byerhof, CFA, Treasury Manager
David Frankel, Esq., City Attorney
Abby Fitch, City Clerk

Paying Agent

U.S. Bank Trust Company, National Association
Denver, Colorado

Underwriters

Piper Sandler & Co.
Denver, Colorado

BNY Mellon Capital Markets, LLC
New York, New York

Municipal Advisor

Hilltop Securities Inc.
Denver, Colorado

Bond Counsel

Butler Snow LLP
Denver, Colorado

Special Counsel

Kutak Rock LLP
Denver, Colorado

No dealer, salesman, or other person has been authorized to give any information or to make any representation, other than the information contained in this Official Statement, in connection with the offering of the Bonds, and, if given or made, such information or representation must not be relied upon as having been authorized by the City or the Underwriters. The information in this Official Statement is subject to change without notice, and neither the delivery of this Official Statement nor any sale hereunder will, under any circumstances, create any implication that there has been no change in the affairs of the City or the Underwriters since the date hereof. This Official Statement does not constitute an offer or solicitation in any jurisdiction in which such offer or solicitation is not authorized, or in which any person making such offer or solicitation is not qualified to do so, or to any person to whom it is unlawful to make such offer or solicitation. The Underwriters have reviewed the information in this Official Statement in accordance with, and as part of, their responsibility to investors under the federal securities laws as applied to the facts and circumstances of this transaction, but the Underwriters do not guarantee the accuracy or completeness of such information.

TABLE OF CONTENTS

INTRODUCTION 1
THE BONDS 5
- Prior Redemption 5
- Application of Bond Proceeds 6
- Security for the Bonds 7
- Debt Service Coverage 10
- Debt Service Requirements 11

RISK FACTORS 12
- Limited Obligations 12
- Issuance of Parity Bonds 12
- Enforceability of Owners' Remedies Upon Default 12
- Factors that May Cause Insufficiency of Expected Revenues 13
- Environmental Regulations 13
- Future Changes in Laws 14

THE SYSTEM 14
- The Enterprise 14
- Generally 14
- System Management 14
- Water Facilities 16
- Sanitation Facilities 20
- System Capital Improvements and Long-Term Planning 21
- Customer Information 25
- System Financial Information 25
- Outstanding Financial Obligations 32

LEGAL MATTERS 32
- Sovereign Immunity 32
- Pending and Threatened Litigation Involving the City 33
- Legal Representation 33

TAX MATTERS 34
MISCELLANEOUS 35
- Ratings 35
- Registration of Bonds 36
- Undertaking to Provide Ongoing Disclosure 36
- Interest of Certain Persons Named in this Official Statement 36
- Underwriting 36
- Municipal Advisor 37
- Independent Auditors 37
- Additional Information 37
- Official Statement Certification 37

APPENDIX A Selected Definitions and Summary of Ordinance Provisions
APPENDIX B Audited General Purpose Financial Statements of the City as of and for the Year Ended December 31, 2023
APPENDIX C Form of Continuing Disclosure Certificate
APPENDIX D The City
APPENDIX E City Financial Information and Debt Structure
APPENDIX F Economic and Demographic Information
APPENDIX G Book-Entry-Only System
APPENDIX H Form of Bond Counsel Opinion

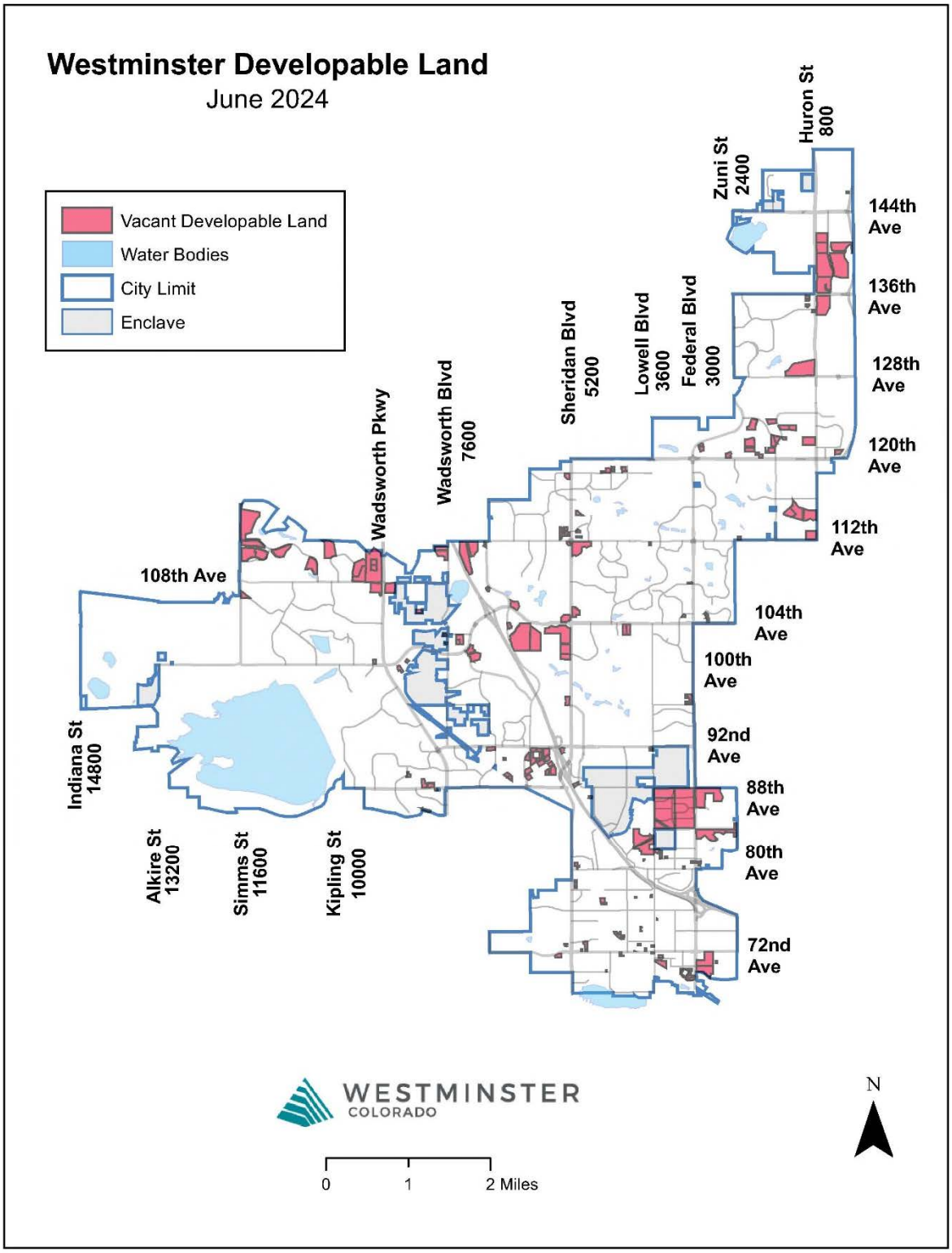
Neither the Securities and Exchange Commission nor any securities regulatory authority of any state has approved or disapproved the Bonds or this Official Statement. Any representation to the contrary is unlawful.

INDEX OF TABLES

I Debt Service Coverage* 10
II Bond Debt Service Requirements* 11
III Estimated Water Accounts by Classification* 25
IV Estimated Wastewater Accounts by Classification* 25
V Tap Fee Revenues* 27
VI Utility Enterprise Fund Comparative Statement of Revenues, Expenses and Changes in Net Position* 30
VII Water and Wastewater Utility Fund Budget Summary* 31
VIII WeOutstanding Revenue Obligations of the Water and Wastewater Utility Fund* 32

NOTE: Tables marked with an (*) indicate Annual Financial Information to be updated pursuant to SEC Rule 15c2-12, as amended. See Appendix C—Form of Continuing Disclosure Certificate. The information to be updated may be reported in any format chosen by the City; it is not required that the format reflected in this Official Statement be used in future years. Further, the Water and Wastewater Utility Fund Budget Summary table referred to above is to be updated using current year budget information found in the audited financial statements. Accordingly, no separate budget documents are required to be filed.

CITY MAP


Westminster Developable Land
June 2024
Vacant Developable Land
Water Bodies
City Limit
Enclave
Huron St 800
Zuni St 2400
144th Ave
136th Ave
128th Ave
120th Ave
112th Ave
104th Ave
100th Ave
92nd Ave
88th Ave
80th Ave
72nd Ave
Federal Blvd 3000
Lowell Blvd 3600
Sheridan Blvd 5200
Wadsworth Blvd 7600
Wadsworth Pkwy
108th Ave
Indiana St 14800
Alkire St 13200
Simms St 11600
Kipling St 10000
WESTMINSTER
COLORADO
0
1
2 Miles
N

NEW DRINKING WATER FACILITY PROJECT SITE MAP

INTRODUCTION

This Official Statement is furnished to prospective purchasers of $186,900,000 Water and Wastewater Revenue Bonds, Series 2024 (the "Bonds"), issued by the City of Westminster, Colorado (the "City" or "Westminster") Water and Wastewater Utility Enterprise (the "Enterprise"). The offering of the Bonds is made only by way of this Official Statement, which supersedes any other information or materials used in connection with the offer or sale of the Bonds. This Official Statement speaks only as of its date, and the information contained herein is subject to change.

The following introductory material is only a brief description of, and is qualified by, the more complete information contained throughout this Official Statement. A full review should be made of the entire Official Statement and the documents summarized or described herein. For definitions of capitalized terms used and not otherwise defined in this section and elsewhere in this Official Statement see "APPENDIX A."

Issuer ..... Westminster is a home rule municipality that encompasses approximately 34 square miles and has an estimated population of 114,875. The City is located approximately two miles from the northwestern boundary of the City and County of Denver, Colorado. See "APPENDIX D—The City" and the preceding "CITY MAP."

The Enterprise..... The City's Enterprise, created by Ordinance No. 2264, Series of 1994, as amended by Ordinance No. 3758, Series of 2014 (the "Enterprise Ordinance"), consists of the City's Water Facilities (as defined in Appendix A hereto), Wastewater Facilities (as defined in Appendix A hereto), and Stormwater Facilities. The Wastewater Facilities are also referred to in City documentation as "sewer" facilities and the terms "wastewater" and "sewer", in connection with system descriptions, are used interchangeably herein. The Enterprise is authorized to issue its own revenue bonds and to enter into contracts relating to the Water Facilities and Wastewater Facilities of the City owned and operated by the City as a single utility system (the "System"). The Enterprise, which also includes the City's stormwater utility, was established to constitute an "enterprise" within the meaning of Article X, Section 20 of the Colorado Constitution ("TABOR"). The financial activity of the Enterprise and net income pledged to the payment of the Bonds (as described herein) are accounted for as a proprietary fund of the City titled "Water and Wastewater Utility Fund." However, net income pledged to the payment of the Bonds does not include the financial activity of the City's stormwater revenue utility. See "THE SYSTEM—The Enterprise."

Security ..... The Bonds are special and limited revenue obligations of the Enterprise payable solely out of and secured by an irrevocable pledge of and lien (but not necessarily an exclusive lien) on certain net revenues (the "Pledged Revenues"), which consist of all Income remaining after the deduction of Operation and Maintenance Expenses.

Income generally includes (i) all income from rates, fees, tolls, and charges and tap fees, or any combination thereof, but not special assessments, for the services furnished by or the use of the System; and

(ii) income or other gain from the investment of Pledged Revenues and of the proceeds of any security secured by a lien on the Pledged Revenues.

Operation and Maintenance Expenses generally include reasonable and necessary current expenses of the City, paid or accrued, of operating, maintaining and repairing the System as may be determined by the City. See "THE BONDS—Security for the Bonds" and "THE SYSTEM." Income and Operation and Maintenance Expenses are more specifically defined in APPENDIX A hereto.

The Bonds are secured by an irrevocable pledge of and lien (but not necessarily an exclusive lien) upon the Pledged Revenues derived from the System, all as more particularly set forth herein and in the ordinance of the Enterprise providing for the issuance of the Bonds (the "Bond Ordinance"). The Bonds do not constitute a debt or indebtedness of the Enterprise or the City within the meaning of any applicable constitutional, Charter or statutory provision or limitation. The Bonds are not payable in whole or in part from the proceeds of general property taxes or any other funds of the City or the Enterprise except the Pledged Revenues, and the full faith and credit of the City is not pledged for payment of the principal of or interest on the Bonds. See "THE BONDS—Security for the Bonds."

The Bonds are being issued on a parity with the City's (i) Water and Wastewater Utility Enterprise, Water and Wastewater Revenue Bonds, Series 2016 (the "2016 Bonds"), (ii) Water and Wastewater Utility Enterprise, Water and Wastewater Revenue Bonds, Series 2019 (the "2019 Bonds"), (iii) Water And Wastewater Utility Enterprise, Water and Wastewater Revenue Refunding Bonds, Series 2020 (the "2020 Bonds"), and (iv) a 2020 loan made to the City by the Colorado Water Resources and Power Development Authority (the "CWRPDA") and evidenced by a governmental agency bond (the "2020 CWRPDA Loan" and, together with the 2016 Bonds, the 2019 Bonds, and the 2020 Bonds, the "Outstanding Parity Obligations").

Additionally, the CWRPDA has made a loan to the City, evidenced by the City's Subordinate Water and Wastewater Revenue Bond, Series 2005 (the "2005 Bond"), that is secured by a pledge and/or lien on the Pledged Revenues which is subordinate to the lien thereof of the Bonds (the "Subordinate Securities"). See "THE SYSTEM—Outstanding Financial Obligations" and "THE BONDS—Debt Service Coverage."

The City and the Enterprise are prohibited from issuing securities in the future with a lien on the Pledged Revenues that is senior or superior to that of the Bonds and the Outstanding Parity Obligations. The Bond Ordinance provides conditions for the issuance of one or more series of additional bonds, notes, interim securities or other obligations (a) having a lien on the Pledged Revenues which is on a parity with, but not senior or superior to, the lien of the Bonds and the Outstanding Parity Obligations ("Parity Bonds"); and (b) having a lien on the Pledged Revenues which is subordinate or junior to the lien of the Bonds ("Subordinate Securities"). See APPENDIX A under the caption "SUMMARY ORDINANCE

PROVISIONS—Priorities; Liens; Issuance of Parity Bonds—*Issuance of Parity Bonds*" for a description of the conditions for the issuance of Parity Bonds and Subordinate Securities.

Purpose ..... The net proceeds from the sale of the Bonds will be used to finance: (i) the construction of the City's New Drinking Water Facility Project; (ii) the payment of the issuance costs of the Bonds; and, to the extent additional proceeds are available, (iii) the payment of capital costs related to land, facilities, and rights constructed, installed, purchased, and otherwise acquired for the System. See "THE BONDS—Application of Bond Proceeds."

Payment Provisions..... The Bonds mature and bear interest at the rates (computed on the basis of a 360-day year of twelve 30-day months) as set forth on the cover page hereof. Interest on the Bonds is payable semiannually on June 1 and December 1 each year, commencing on December 1, 2024. Payments to Beneficial Owners will be made as described in "APPENDIX G—Book-Entry-Only System."

Record Date ..... The Regular Record Date for the Bonds has been established as the fifteenth day of the calendar month next preceding an interest payment date for the Bonds. See "APPENDIX A."

Book-Entry-Only Registration ..... The Bonds will be issued in fully registered form and will be registered initially in the name of "Cede & Co." as nominee for The Depository Trust Company, New York, New York ("DTC"), a securities depository. Beneficial ownership interests in the Bonds may initially be acquired in denominations of $5,000 in principal amount or integral multiples of $5,000 in excess thereof through brokers and dealers who are, or who act through, participants in the DTC system (the "Participants"). Such beneficial ownership interests will be recorded on the records of the Participants. Persons for whom Participants acquire interests in the Bonds (the "Beneficial Owners") will not receive certificates evidencing their interests in the Bonds so long as DTC or a successor securities depository acts as the securities depository with respect to the Bonds. So long as DTC or its nominee is the registered owner of the Bonds, payments of principal and interest on the Bonds, as well as notices and other communications made by or on behalf of the City pursuant to the Bond Ordinance will be made to DTC or its nominee only. Disbursement of such payments, notices, and other communications by DTC to Participants, and by Participants to the Beneficial Owners, is the responsibility of DTC and the Participants pursuant to rules and procedures established by such entities. See "APPENDIX G—Book-Entry-Only System" for a discussion of the operating procedures of the DTC system with respect to payments, registration, transfers, notices, and other matters. Except as otherwise provided herein, the term "Owner" shall refer to the registered owner of any Bond, as shown by the registration books maintained by U.S. Bank Trust Company, National Association, as Bond Registrar (the "Registrar").

Exchange and Transfer ..... While the Bonds remain in book-entry-only form, transfer of ownership by Beneficial Owners may be made as described under the caption "APPENDIX G—Book-Entry-Only System." In the event that DTC ceases to act as securities depository for the Bonds, the Bond Ordinance provides for the transfer of Bonds by the Registrar pursuant to specified terms and provisions.

Prior Redemption..... The Bonds are subject to redemption prior to maturity as described under "THE BONDS—Prior Redemption."

Registration and Denominations..... The Bonds will be issued in denominations of $5,000 or any integral multiple thereof.

Tax Status ..... In the opinion of Butler Snow LLP, Bond Counsel, under existing laws, regulations, rulings, and judicial decisions and assuming the accuracy of certain representations and continuous compliance with certain covenants described herein, interest on the Bonds is excludable from gross income under federal income tax laws pursuant to Section 103 of the Internal Revenue Code of 1986, as amended to the date of delivery of the Bonds, (the "Tax Code"), interest on the Bonds is not a specific preference item for purposes of the federal alternative minimum tax, however, such interest is taken into account in determining the annual adjusted financial statement income of applicable corporations (as defined in Section 59(k) of the Tax Code) for the purpose of computing the alternative minimum tax imposed on corporations, and interest on the Bonds is excludable from Colorado taxable income and Colorado alternative minimum taxable income under Colorado income tax laws in effect on the date of delivery of the Bonds. See "TAX MATTERS" herein.

Authority for Issuance..... The Bonds are issued in accordance with the Constitution of the State of Colorado; the City's Charter; the Supplemental Act; the Enterprise Ordinance; Title 37, Article 45.1, C.R.S.; and all other laws of the State of Colorado thereunto enabling, and pursuant to the Bond Ordinance adopted by the Westminster City Council (the "City Council"), acting as the governing body of the Enterprise.

Delivery Information..... The Bonds are offered when, as, and if executed and delivered, and accepted by the underwriters named on the cover hereof (the "Underwriters"), subject to prior sale and the approving legal opinion of Bond Counsel. It is expected that the Bonds will be available for delivery on or about September 25, 2024, against payment therefor.

Financial Statements..... Appended hereto are the audited general purpose financial statements of the City as of and for the year ended December 31, 2023, being the most recent audited financial statements available.

ALL OF THE SUMMARIES OF THE STATUTES, ORDINANCES, RESOLUTIONS, OPINIONS, CONTRACTS, AND AGREEMENTS DESCRIBED IN THIS OFFICIAL STATEMENT ARE SUBJECT TO THE ACTUAL PROVISIONS OF SUCH DOCUMENTS. The summaries do not purport to be complete statements of such provisions and reference is made to such documents, copies of which are either publicly available or available upon request and the payment of a reasonable copying, mailing, and handling charge from: the Westminster City Clerk's Office, 4800 West 92nd Avenue, Westminster, CO 80031, telephone: (303) 658-2161; Piper Sandler & Co., 1144 15th Street, Suite 2050, Denver, CO 80202, telephone: (303) 405-0845 or; BNY Mellon Capital Markets, LLC, 240 Greenwich Street, 3rd Floor, New York, New York, telephone: (212) 815-8282.

THE BONDS

Prior Redemption

Optional Redemption. The Bonds maturing on and before December 1, 2034 are not subject to redemption prior to their respective maturity dates. The Bonds maturing on and after December 1, 2035 are subject to redemption prior to maturity at the option of the City, in whole or in part from any maturity and interest rate, in any order of maturity, by lot within a maturity and interest rate, in such manner as the Enterprise may determine (giving proportionate weight to Bonds in denominations larger than $5,000) on December 1, 2034, or any date thereafter, at a price equal to the principal amount so redeemed plus accrued interest to the redemption date without a redemption premium.

Mandatory Sinking Fund Redemption. The Bonds maturing on December 1, 2049 are subject to mandatory sinking fund redemption by lot on December 1 of the years and in the principal amounts specified below, at a redemption price equal to the principal amount thereof (with no redemption premium), plus accrued interest to the redemption date:

Redemption Date	Principal Amount
2048	$8,640,000
2049 [1]	9,075,000

[1] Final maturity; not a sinking fund redemption payment.

The Bonds maturing on December 1, 2054 are also subject to mandatory sinking fund redemption by lot on December 1 of the years and in the principal amounts specified below, at a redemption price equal to the principal amount thereof (with no redemption premium), plus accrued interest to the redemption date:

Redemption Date	Principal Amount
2050	$ 9,525,000
2051	10,000,000
2052	10,500,000
2053	11,030,000
2054 [1]	11,580,000

[1] Final maturity; not a sinking fund redemption payment.

Redemption Procedures for the Bonds. Notice of any redemption of Bonds, which may be a conditional notice, will be given by the Paying Agent in the name of the City by sending a copy of such notice by electronic means to DTC or by first class, postage prepaid mail, not less than 30 days prior to the redemption date, to the Owner of each Bond being redeemed. Such notice should specify the number or numbers of the Bonds so to be redeemed (if redemption shall be in part) and the redemption date. If any Bond has been duly called for redemption and if, on or before the redemption date, there will have been deposited with the Paying Agent in accordance with the Bond Ordinance funds sufficient to pay the redemption price of such Bond on the redemption date, then such Bond will become due and payable at such redemption date, and from and after such date interest will cease to accrue thereon. Failure to deliver any redemption notice or any defect in any redemption notice will not affect the validity of the proceeding for the redemption of Bonds with respect to which such failure or defect did not occur. Any Bond redeemed prior to its maturity by prior redemption or otherwise shall not be reissued and will be cancelled.

Notice of Redemption. In the event any of the of the Bonds or portions thereof are called for redemption as described above, notice thereof identifying the Bonds or portions thereof to be redeemed is to be given by the Registrar by mailing a copy of the redemption notice by first class mail (postage prepaid) or by electronic means, not less than 30 days prior to the date fixed for redemption, to the Owner of each Bond to be redeemed in whole or in part at the address shown on the registration books maintained by or on behalf of the City by the Registrar. The redemption of the Bonds may be contingent or subject to such conditions as may be specified in the notice. Failure to give such notice by mailing to any Owner, or any defect therein, will not affect the validity of any proceeding for the redemption of other Bonds as to which no such failure or defect exists. All Bonds so called for redemption will cease to bear interest after the specified redemption date, provided funds for their redemption are on deposit at the place of payment at that time.

Application of Bond Proceeds

The Project. The City is committed to providing affordable, high-quality water services. The City's Semper and Northwest water treatment facilities currently supply more than nine billion gallons of clean and safe drinking water annually through over 500 miles of pipes to the City's residents and businesses. In 2015, the City began planning the construction of a new drinking water treatment facility, and associated raw and finished water pipelines, referred to as the New Drinking Water Facility Project (the "Project"). The City Council approved the construction of the Project after evaluating community concerns, reviewing many significant cost savings measures and discussing various options to provide clean, safe, and affordable water. The Project is a cost-effective, affordable solution with the flexibility to: replace and expand, if needed, aging infrastructure; respond to future State and Federal clean water regulations; and build additional treatment processes to respond to potential future wildfire contamination, significantly decrease concentrations of certain harmful chemicals, and possibly address future emerging contaminants. Initial planning efforts for the Project focused on rightsizing an initial conceptual 30 Million Gallon per Day ("MGD") treatment facility and associated pipelines, which had an inflation-adjusted cost of over $300 million. Once the facility was rightsized to 14.7 MGD, City Staff was able to reduce the Project's costs by over $100 million. The 14.7 MGD facility will work in concert with the existing Northwest Water Treatment Facility and Semper Water Treatment Facility to meet the City's water demands. Additional expansions of the 14.7 MGD facility are currently planned to occur in one or more phases over the next 20 years.

Preliminary cost estimates for constructing the 14.7 MGD facility are approximately $210 million, which includes approximately $20 million for ozonation treatment. In addition to the 14.7 MGD facility, raw and finished water pipelines are estimated to cost another $50 million. The total estimated cost of the Project is $260 million, of which approximately $50 million is currently expected to be paid with legally available City funds. The final cost for the Project may range from up to 10% less to 20% more (which is

currently anticipated to be covered with additional cash reserves, if needed) than this preliminary estimate, based on the 60% level of design plans under review. As design progresses, the estimate will become more certain and will be adjusted to market conditions and prevailing construction valuation. The 60% level design plans are currently under review and the City will receive the final updated cost estimate in the fourth quarter of 2024. The final design and Guaranteed Maximum Price contract are scheduled for the second quarter of 2025, with construction to begin shortly thereafter.

A portion of the Bond proceeds will be used to pay the costs of issuing the Bonds. In the event of savings related to currently anticipated Project costs or material delays associated with the Project, Bond proceeds may be applied to capital costs related to land, facilities, and rights constructed, installed, purchased, and otherwise acquired for the System.

Application of Bond Proceeds. The source and uses of the proceeds of the Bonds is as follows:

SOURCES:	
Bond Proceeds	$186,900,000.00
Original Issue Premium	23,787,070.45
Total	$210,687,070.45
USES:	
Deposit into Project Fund	$210,000,000.00
Bond Issuance Costs and Underwriting Discount [1]	687,070.45
Total	$210,687,070.45

[1] See "Miscellaneous—Underwriting."

Security for the Bonds

Special Revenue Obligations. All of the Debt Service Requirements of the Bonds are payable solely out of the Pledged Revenues. The Owners of the Bonds may not look to the General Fund or any other revenue or fund of the City for the payment of the Debt Service Requirements thereof, except the special funds pledged therefor. The Bonds do not constitute a debt or indebtedness of the Enterprise or the City within the meaning of any constitutional, Charter or statutory provision or limitation, and the Bonds are not considered or held to be general obligations of the City but constitute special and limited obligations of the Enterprise. The Bonds are not payable in whole or in part from the proceeds of general property taxes or any other funds of the City or the Enterprise except the Pledged Revenues, and the full faith and credit of the City is not pledged for payment of the Bonds.

Definition of Pledged Revenues. The Bond Ordinance defines the Pledged Revenues as all Income remaining after the deduction of Operation and Maintenance Expenses of the System. Income generally includes (i) income from rates, fees, tolls, and charges and tap fees, or any combination thereof, but not special assessments, for the services furnished by, or the direct or indirect connection with, or the use of the System; and (ii) all income or other gain from the investment of Pledged Revenues and of the proceeds of other securities payable from and secured by a lien on the Pledged Revenues ("Securities") (except income or other gain from any investment of moneys held in an escrow or similar fund for the defeasance of Securities) to the extent not required to be rebated to the federal government. Operation and Maintenance Expenses generally include reasonable and necessary current expenses of the City, paid or accrued, of operating, maintaining and repairing the System as may be determined by the City. See "THE BONDS—Security for the Bonds" and "THE SYSTEM." Income and Operation and Maintenance Expenses are more specifically defined in APPENDIX A hereto.

Additional Bonds. The Bond Ordinance provides conditions for the issuance of one or more series of additional bonds, warrants, notes, leases or any other evidence of the advancement of money to the Enterprise or the City (a) having a lien on the Pledged Revenues which is on a parity with, but not senior or superior to, the lien of the Bonds and the Outstanding Parity Obligations ("Parity Bonds") or (b) having a lien on the Pledged Revenues which is subordinate or junior to the lien of the Bonds ("Subordinate Securities"). Superior securities may not be issued pursuant to the terms of the Bond Ordinance. Such historic coverage test generally requires Pledged Revenues for the last complete Fiscal Year prior to the issuance of the proposed Parity Bonds, as certified by the Treasurer, to be in an amount equal to at least 1.2 times the Combined Maximum Annual Debt Service Requirements of the Bonds then Outstanding, any Parity Bonds then Outstanding and the Parity Bonds proposed to be issued. At such time as the 2016 Bonds, the 2019 Bonds, and the 2020 Bonds are no longer Outstanding, additional Parity Obligations may be issued so long as the Pledged Revenues derived in any consecutive 12 month period within the 18 months immediately preceding the date of issuance of the additional Parity Obligations is not less than 1.2 times the Combined Maximum Annual Debt Service Requirements of any Outstanding Parity Bonds and the Parity Bonds proposed to be issued, and 1.0 times the debt service requirements of any Subordinate Securities then due and owing, and the preceding test will no longer apply. The test does permit, among other things, the calculation of the Pledged Revenues to be adjusted to reflect recent rate increases which have not been in effect throughout the calculation period. The test for Parity Bonds under the Bond Ordinance is set forth in APPENDIX A under the caption "SUMMARY OF ORDINANCE PROVISIONS—Priorities; Liens; Issuance of Parity Bonds—*Issuance of Parity Bonds*."

For so long as the 2020 CWRPDA Loan remains outstanding, the City is also required to meet the coverage test provided by the loan agreement for that obligation (the "2020 Loan Agreement") prior to issuing additional Parity Bonds. The 2020 Loan Agreement requires the City to certify to CWRPDA that Pledged Revenues (identified in the 2020 Loan Agreement as "Net Revenues") for any 12 consecutive months out of the 18 months preceding the month in which the proposed additional obligations are to be issued is at least equal to the sum of (a) 1.1 times the maximum annual debt service of (i) the 2020 CWRPDA Loan and all Parity Bonds then outstanding, and (ii) such proposed obligations to be issued, and (b) 1.0 times the maximum annual debt service of all outstanding Subordinate Securities.

Rate Maintenance Covenant. The City covenants in the Bond Ordinance to prescribe, revise, and collect water and sewer rates, fees, tolls, and charges and tap fees or any combination thereof, to produce Income sufficient, together with any other moneys legally available therefor and deposited in the Water and Wastewater Utility Fund, to make the payments and accumulations required by the Bond Ordinance and to produce Pledged Revenues each Fiscal Year sufficient to, among other things, repay the Bonds. The Bond Ordinance rate covenant requires coverage of 1.1 times for the Bonds, the Outstanding Parity Obligations, and any additional Outstanding Parity Bonds and coverage of 1.0 times for the Subordinate Securities; however, the documents authorizing substantially all of the Subordinate Securities contain a rate covenant requirement of 1.1 times coverage for said bonds. Additionally, the Bond Ordinance rate covenant requires coverage of any amounts required to meet then existing deficiencies pertaining to any fund relating to the Pledged Revenues or any Securities payable therefrom. See APPENDIX A under the caption "SUMMARY OF ORDINANCE PROVISIONS—Covenants" for a complete restatement of the rate maintenance covenant.

Water and Wastewater Utility Fund and Establishment of Accounts. The financial activities of the Enterprise, and the reporting and recording of the Pledged Revenues, are accounted for in a proprietary fund of the City titled the "Water and Wastewater Utility Fund." The Bond Ordinance establishes and identifies various accounts and subaccounts within the Water and Wastewater Utility Fund through the following defined terms: the Operation and Maintenance Fund, the Principal and Interest Fund, the Reserve Fund, and the Rebate Fund. Deposits or credits to the various accounts and subaccounts are made on a priority basis set forth below under the caption "*—Flow of Funds*."

Operation and Maintenance Fund. The accounts and subaccounts defined in the Bond Ordinance as the Operation and Maintenance Fund are used for the recording and reporting of Operation and Maintenance Expenses of the System.

Principal and Interest Fund. The accounts and subaccounts defined in the Bond Ordinance as the Principal and Interest Fund are used for the recording and reporting of the Debt Service Requirements on the Bonds, the Outstanding Parity Obligations and any future Parity Bonds. Pursuant to the Bond Ordinance, monthly deposits of Pledged Revenues are to be made to the Principal and Interest Fund, after making any deposits required for the Refunded Bonds, the Outstanding Parity Obligations pursuant to the ordinances authorizing the issuance of the Bonds and the Outstanding Parity Obligations, and concurrently with any amounts required by an ordinance authorizing the issuance of Parity Bonds, (i) in equal monthly installments the amounts necessary, together with any moneys from time to time available therefor from whatever source, to pay the next maturing installment of interest on the Bonds then Outstanding; and (ii) in equal monthly installments the amounts necessary, together with any other moneys from time to time available therefor from whatever source, to pay the next installment of principal of the Bonds coming due at maturity.

Reserve Fund. The City does not anticipate the creation of a reserve fund with respect to the Bonds.

Rebate Fund. The Rebate Fund is established for the purpose of accounting for required arbitrage rebate moneys, if any, due to the federal government under sections 103 and 148(f)(2) of the Tax Code. All amounts in the Rebate Fund are held free and clear of any lien created by the Bond Ordinance and, to the extent such amounts are required to be paid over to the federal governments, are no longer Pledged Revenues.

Flow of Funds. The City is to deposit to the Water and Wastewater Utility Fund all Income immediately upon receipt. As a first charge on the Water and Wastewater Utility Fund, the City is to pay the Operation and Maintenance Expenses of the System as they become due and payable. Thereafter City is to apply the Pledged Revenues in the following order of priority:

FIRST, to the credit of the Principal and Interest Fund for the Bonds and any Parity Bonds in the manner set forth above under "Principal and Interest Fund;"

SECOND, to the credit of any Reserve Fund established in connection with Parity Bonds;

THIRD, to the credit of the Rebate Fund, the amounts described above under "Rebate Fund;"

FOURTH, to the payment of any termination payment due and owing under any interest rate exchange agreement or swap entered into by the Enterprise;

FIFTH, to the payment of the Debt Service Requirements of Subordinate Securities, including any reasonable reserves established therefor; and

SIXTH, after the payments and accumulations set forth in FIRST through FIFTH above, any remaining Pledged Revenues may be used for any lawful purpose.

Additional Covenants. The City makes certain covenants relating to, but not limited to, the efficient operation and maintenance of the System, restrictions on the disposal of property comprising the System, keeping accounts and records relating to the funds referred to in the Bond Ordinance, and tax

covenants, pursuant to the Bond Ordinance. See APPENDIX A under the caption "SUMMARY OF ORDINANCE PROVISIONS—Covenants" for a description of such covenants.

Ordinance Irrepealable. The Bond Ordinance provides that after any of the Bonds are issued, such ordinance shall remain irrepealable, but amendable, until the Bonds and the interest accruing thereon shall have been fully paid, cancelled or discharged.

Debt Service Coverage

The following table sets forth coverage factors which would have been provided by the Pledged Revenues for the past five years for the (i) Maximum Annual Debt Service coverage for the Bonds, the Outstanding Parity Obligations and the Subordinate Securities (such factor representing the coverage provided for the Combined Maximum Annual Debt Service Requirements on the Bonds, the Outstanding Parity Obligations and the Subordinate Securities ($21,334,808)) and (ii) Maximum Annual Debt Service coverage for the Bonds and the Outstanding Parity Obligations (such factor representing the coverage provided for the Combined Maximum Annual Debt Service Requirements on the Bonds and the Outstanding Parity Obligations ($20,914,316)). The maximum annual coverage factor is used in the determination of the City's ability to issue Parity Bonds. See "—Security for the Bonds" above. The debt service requirements for the Bonds are set forth in "—Debt Service Requirements" hereafter.

TABLE I
Debt Service Coverage [1, 2]

	2019	2020	2021	2022	2023
Charges for Services	$ 67,548,532	$ 77,561,514	$ 73,855,471	$ 74,423,847	$ 71,512,856
Less Stormwater Revenues [1]	(4,357,258)	(4,401,705)	(4,129,057)	(3,991,267)	(4,597,549)
Tap Fees	15,297,974	12,897,943	7,659,362	2,789,173	3,377,089
Other Revenue	4,582,785	4,430,285	35,689	(3,537,874)	9,512,410
Total Revenue	83,072,33	90,488,037	77,421,465	69,683,879	79,804,806
Operation and Maintenance Expenses	(38,798,805)	(39,937,104)	(39,079,319)	(38,813,940)	(42,023,460)
Less Stormwater Expenses [1]	1,199,132	1,499,351	1,787,055	2,359,877	2,222,436
Total Expenses	(37,599,673)	(38,437,753)	(37,292,264)	(36,454,063)	(39,801,024)
Pledged Revenues	$ 45,472,360	$ 52,050,283	$ 40,129,201	$ 33,229,816	$ 40,003,782
Maximum Annual Debt Service for the Bonds, the Outstanding Parity Obligations, and the Subordinate Securities [2]	$21,334,808	$21,334,808	$21,334,808	$21,334,808	$21,334,808
Maximum Annual Coverage Factor for the Outstanding Parity Obligations, and the Subordinate Securities [2]	2.13x	2.44x	1.88x	1.56x	1.88x
Maximum Annual Debt Service for the Bonds and Outstanding Parity Obligations [3]	$20,914,316	$20,914,316	$20,914,316	$20,914,316	$20,914,316
Maximum Annual Coverage Factor for the Bonds and Outstanding Parity Obligations [3]	2.17x	2.49x	1.92x	1.59x	1.91x

[1] Related Stormwater revenues and expenses are excluded from coverage test calculation.
[2] Calculations based on the outstanding Parity Obligations and Subordinate Securities, which consist of the 2016 Bonds, the 2019 Bonds, the 2020 Bonds, the 2020 CWRPDA Loan, and the 2005 Bond.
[3] Calculations based on the Outstanding Parity Obligations, which include the 2016 Bonds, the 2019 Bonds, the 2020 Bonds, and the 2020 CWRPDA Loan.
Source: City of Westminster Finance Department and the Underwriters

Debt Service Requirements

Set forth in the following table is the debt service requirements for the Bonds, the Outstanding Parity Obligations, and the Subordinate Securities. See the cover page of this Official Statement for the actual interest rates for each maturity of the Bonds. See also "THE SYSTEM—System Capital Improvements and Long-Term Planning—*Anticipated CIP Funding*" for a description of currently anticipated future bond issuances.

TABLE II
Bond Debt Service Requirements [1]

	The Bonds		2020					
Year	**Principal**	**Interest**	**CWRPDA Loan**	**Series 2020 Bonds**	**Series 2019 Bonds**	**Series 2016 Bonds**	**2005 Bond**	**Annual Total**
2024	--	$ 1,713,250	$ 1,365,634	$ 2,420,900	$ 1,488,850	$ 3,374,700	$1,032,555	$ 11,395,889
2025	$ 2,815,000	9,345,000	1,364,308	2,422,750	1,488,850	3,373,900	525,000	21,334,808
2026	2,955,000	9,204,250	1,364,480	2,417,250	1,488,850	3,375,100	--	20,804,930
2027	3,100,000	9,056,500	1,365,136	2,417,500	1,488,850	3,378,100	--	20,806,086
2028	3,255,000	8,901,500	1,365,570	2,413,000	1,488,850	3,376,350	--	20,800,270
2029	3,420,000	8,738,750	1,366,625	2,408,750	1,488,850	3,374,350	--	20,797,325
2030	3,590,000	8,567,750	1,365,523	2,404,500	1,528,850	3,376,850	--	20,833,473
2031	3,770,000	8,388,250	1,365,194	--	4,011,850	3,378,350	--	20,913,644
2032	3,960,000	8,199,750	1,364,747	--	4,015,600	3,373,600	--	20,913,697
2033	4,155,000	8,001,750	1,364,235	--	4,007,850	3,377,600	--	20,906,435
2034	4,365,000	7,794,000	1,365,272	--	4,013,850	3,374,600	--	20,912,722
2035	4,580,000	7,575,750	1,364,554	--	4,012,600	3,374,600	--	20,907,504
2036	4,810,000	7,346,750	1,363,571	--	4,014,800	3,374,800	--	20,909,921
2037	5,050,000	7,106,250	1,362,924	--	7,387,000	--	--	20,906,174
2038	5,305,000	6,853,750	1,364,562	--	7,389,200	--	--	20,912,512
2039	5,570,000	6,588,500	1,365,566	--	7,390,250	--	--	20,914,316
2040	5,850,000	6,310,000	682,572	--	--	--	--	12,842,572
2041	6,140,000	6,017,500	--	--	--	--	--	12,157,500
2042	6,450,000	5,710,500	--	--	--	--	--	12,160,500
2043	6,770,000	5,388,000	--	--	--	--	--	12,158,000
2044	7,110,000	5,049,500	--	--	--	--	--	12,159,500
2045	7,465,000	4,694,000	--	--	--	--	--	12,159,000
2046	7,835,000	4,320,750	--	--	--	--	--	12,155,750
2047	8,230,000	3,929,000	--	--	--	--	--	12,159,000
2048	8,640,000	3,517,500	--	--	--	--	--	12,157,500
2049	9,075,000	3,085,500	--	--	--	--	--	12,160,500
2050	9,525,000	2,631,750	--	--	--	--	--	12,156,750
2051	10,000,000	2,155,500	--	--	--	--	--	12,155,500
2052	10,500,000	1,655,500	--	--	--	--	--	12,155,500
2053	11,030,000	1,130,500	--	--	--	--	--	12,160,500
2054	11,580,000	579,000	--	--	--	--	--	12,159,000
Total	$186,900,000	$179,556,250	$22,520,473	$16,904,650	$56,704,950	$43,882,900	$1,557,555	$508,026,778

[1] Assumes no redemptions, other than mandatory sinking fund redemption payments. Figures have been rounded. See "THE SYSTEM—Outstanding Financial Obligations" and TABLE I.
Source: The Underwriters

RISK FACTORS

THE PURCHASE OF THE BONDS IS SUBJECT TO CERTAIN RISKS. EACH PROSPECTIVE INVESTOR IN THE BONDS IS ENCOURAGED TO READ THIS OFFICIAL STATEMENT IN ITS ENTIRETY. PARTICULAR ATTENTION SHOULD BE GIVEN TO THE FACTORS DESCRIBED BELOW WHICH, AMONG OTHERS, COULD AFFECT THE PAYMENT OF THE PRINCIPAL OF AND INTEREST ON THE BONDS, AND COULD ALSO AFFECT THE MARKET PRICE OF THE BONDS TO AN EXTENT THAT CANNOT BE DETERMINED.

Limited Obligations

The Bonds do not constitute a lien upon any real or personal property of the City. Rather, the Bonds constitute an irrevocable pledge of a lien (but not necessarily an exclusive lien) upon the Pledged Revenues, which are at all times senior and superior to the lien thereon of the Subordinate Securities. The payment of the principal of and interest on the Bonds is dependent on the City's receipt of Income from the System. Owners may not look to any general or other revenues of the City, including without limitation the proceeds of ad valorem taxes, for the payment of the principal of and interest on the Bonds, and the Bonds do not constitute a general obligation of the City.

Issuance of Parity Bonds

The City has the right to issue additional bonds payable from the Pledged Revenues and secured by a lien on the Pledged Revenues on a parity with, but not superior to, the lien of the Bonds; however, specific conditions and requirements which are set forth in an additional bonds test in the Bond Ordinance must be met by the City prior to the issuance of such Parity Bonds. For so long as the 2020 CWRPDA Loan remains outstanding, the City is also required to meet the coverage test provided by the 2020 Loan Agreement prior to issuing additional Parity Bonds. See "THE BONDS—Security for the Bonds—*Additional Bonds*" and APPENDIX A under the caption "SUMMARY OF ORDINANCE PROVISIONS—Priorities; Liens; Issuance of Parity Bonds—*Issuance of Parity Bonds*." Debt service on the Bonds, the Outstanding Parity Obligations, and any future Parity Bonds will be payable from the Pledged Revenues on a pro-rata basis. Accordingly, to the extent that future obligations are issued on a parity with the lien of the Bonds, the security for the Bonds may be diluted. See "THE SYSTEM—System Capital Improvements and Long-Term Planning—*Anticipated CIP Funding*" for a discussion of currently anticipated future bond issuances. The City currently anticipates (but cannot guarantee) that future Pledged Revenues will be sufficient to meet the issuance requirements for any future Parity Bonds.

Enforceability of Owners' Remedies Upon Default

In the event of a default in the payment of principal of or interest on the Bonds, there is no provision for acceleration of maturity of the principal of the Bonds. Consequently, remedies available to registered owners and Beneficial Owners of the Bonds may have to be enforced from year to year. Moreover, there is no bond trustee or similar person or entity to monitor or enforce the provisions of the Bond Ordinance on behalf of the registered owners and Beneficial Owners of the Bonds, and therefore such registered owners and Beneficial Owners of the Bonds should be prepared to enforce such provisions themselves if the need to do so ever arises. A description of what constitutes an Event of Default under the Bond Ordinance and the remedies therefor can be found in APPENDIX A under the captions "SUMMARY OF ORDINANCE PROVISIONS—Default Provisions and Remedies of Owners."

The remedies available to the owners of the Bonds upon a default are in many respects dependent upon judicial action, which is often subject to discretion and delay under existing constitutional law, statutory law and judicial decisions, including specifically the federal Bankruptcy Code. The legal opinions

to be delivered concurrently with delivery of the Bonds will be qualified as to enforceability of the various legal instruments by limitations imposed by bankruptcy, reorganization and insolvency or other similar laws affecting the rights of creditors generally, now or hereafter in effect; as to usual principles of equity which may limit the specific enforcement under State law of certain remedies; as to the exercise by the United States of America of the powers delegated to it by the federal Constitution; and as to the reasonable and necessary exercise, in certain exceptional situations, of the police power inherent in the sovereignty of the State and its governmental bodies in the interest of serving an important public purpose.

Factors that May Cause Insufficiency of Expected Revenues

The generation of Pledged Revenues is dependent upon several factors outside the City's control, such as the economy, collection of fees, continued growth (or lack thereof) and changes in law. It is impossible to predict whether current economic conditions will continue, better or worsen, or to predict how future conditions will affect the operation of the System or the Enterprise's finances in general. The following factors, among others, may impact the generation of Pledged Revenues in the future.

General. Payment of the Bonds is dependent upon the generation of sufficient Pledged Revenues of the System. If the System becomes inoperable due to damage, destruction, environmental or governmental restriction or for any other reason, if the System should lack raw water or lack treatable water due to contamination, lack of adequate supply to serve existing customers due to drought or for any other reason, if the System has inadequate storage or transmission facilities, if the City is unable to increase rates and charges for any reason or if the Enterprise incurs unanticipated expenses or reduced revenues due to power rate increases or for any other reason, the City may be unable to generate adequate revenues from the System to pay debt service on the Bonds. No assurance can be made that the generation of Pledged Revenues from the System will be sufficient to pay debt service on the Bonds, even in observation of the rate maintenance covenant provided in the Bond Ordinance. See "THE BONDS—Security for the Bonds—*Rate Maintenance Covenant*."

Environmental Considerations. The amount of available water depends on many factors, including water quality, economics, delivery system restrictions, aquifer depletion, and maintenance of adequate carry-over storage for droughts. As with all other water providers, the City's water supply is subject to environmental conditions resulting from the semi-arid climate of the State, and the water supply is impacted by drought from time to time. Drought conditions may have an impact on the System's ground water supply, which could potentially cause a materially adverse impact on water sales. Customer behavior may also impact water sales. Regardless of current conditions, customers may continue to use less water each year in response to previous droughts, water restrictions, indoor conservation/efficiency and increased water rates.

Fluctuations in Water Revenues. Fluctuations in water revenues can be exacerbated by the fixed nature of the System's costs as the fixed cost of providing water does not vary considerably when the amount of water delivered to customers varies. The inconsistency between a fixed cost structure and a variable revenue structure causes annual budgeting and financial instability and uncertainty. It is not possible to predict what impacts, if any, such inconsistency might have on future System revenues.

Environmental Regulations

The operation of the System, including the administration of its sources of supply, is subject to substantial environmental protection regulation under local, State and federal law. Due to the ever-changing environmental regulatory environment, there can be no assurance that new laws and regulations or new interpretations of existing laws and regulations will not frustrate or delay otherwise feasible projects or result in increased capital and operating expenses for the System.

Future Changes in Laws

In addition to the various federal, state and local laws that apply to the operation of, and liability relating to, the operation of water and sewer systems (see "—Environmental Regulations" above), various Colorado and federal laws and regulations also apply to the obligations created by the issuance of the Bonds. There can be no assurance that there will not be changes in interpretation of, or additions to, the applicable laws and regulations which would have a material adverse effect, directly or indirectly, on the operation of the System or the Enterprise, or on the general affairs of the City.

THE SYSTEM

The Enterprise

The Enterprise was established in 1994 by City ordinance, as later amended in 2014. The City Council serves as the governing body of the Enterprise, and the officers of the City Council and of the City serve as officers and the governing body of the Enterprise. Powers of the Enterprise include, but are not limited to, the power to issue revenue bonds in the manner in which City revenue bonds may be issued without voter approval in advance and to pledge any revenues of the System to the payment of such revenue bonds. The City is to continue to own the assets of the System, acquire and convey properties constituting part of the System, employ and discharge the officers, managers and employees of the System, keep books and records relating to the System, invest and manage funds, budget and appropriate revenues and expenditures relating to the System, fix, adjust and collect water and sewer rates, fees, tolls and charges and tap fees, and prescribe rules and regulations relating to the System. See "APPENDIX D—THE CITY—Constitutional Amendment Limiting Taxes and Spending" for a discussion of the TABOR amendment.

The performance of the obligations of the Enterprise under the Bond Ordinance is not subject to the limitations of TABOR so long as the Enterprise continues to qualify as an "enterprise" under TABOR. According to Bond Counsel, if the System is disqualified as an enterprise under TABOR, (i) the City may continue to impose and increase fees, rates, and charges of the System without voter approval but subject, however, to the refund requirements of TABOR; (ii) all Pledged Revenues used to pay debt service on the Bonds will be excluded from the refund requirements of TABOR; and (iii) if the City is required to reduce spending in order to comply with its fiscal year spending limit under TABOR, the City will first be required to reduce spending for purposes for which it does not have an obligation under law or by contract prior to reducing spending required to comply with the other covenants contained in the Bond Ordinance.

Generally

The System's long-term direction has been determined over the years by a focus on the key mission components of the System: water resources and treatment; sewer facilities and treatment; reclaimed water facilities and treatment; long-term planning for capital and operating needs; rate setting and financing methods; and overall financial management of the System. The System serves approximately 33,634 water and 32,060 sewer customers (as of the end of 2023). The City's Public Works and Utilities Department staff administers the System and is currently staffed with approximately 211 full time equivalent employees per the adopted 2024 budget.

System Management

The management of the System is established by the Public Works and Utilities Department, with guidance from the City Manager's Office and review and approval by the City Council. As part of a 2023 restructuring, management within the Public Works and Utilities Department was reorganized. The most significant change involved moving the City Engineer and associated engineering staff in Community

Development to the Public Works and Utilities Department. The reimagined City Engineer role took ownership of all construction projects within the City, whether horizontal or vertical, regardless of function or funding source (i.e., water utility, sewer utility, stormwater utility, general facility, general transportation infrastructure, etc.).

The engineering teams from Public Works and Utilities and Community Development were combined within one division in Public Works and Utilities with new opportunities to engage in a wider set of projects. Additionally, capital projects staff from Facilities Management and pavement management staff from Streets Operations were moved under the new Assistant City Engineer-Civil/Citywide section within the new consolidated City Engineering Division in Public Works and Utilities. The Water Resources and the Water Quality teams, as well as GIS and asset management from Community Development and Public Works and Utilities were moved under the City Engineering Division as well.

The City Engineer, along with the Operations Manager and Utilities Manager, report to the Public Works and Utilities Director. A brief description of their responsibilities and short biography are outlined below.

Public Works and Utilities Director. The Public Works and Utilities Director is responsible for organizing and directing the City of Westminster's Public Works and Utilities Department that consists of an administrative section and three divisions: Operations; Utilities; and City Engineering. Work involves improving quality of life in Westminster through sound management of water, sewer, reclaimed water, and storm utilities; streets and transportation networks; City facilities; and the City's fleet. The Public Works and Utilities Director will accomplish department directives through the direct and indirect supervision of all personnel assigned to the department.

Paul Knippel joined the City of Westminster in November 2023 following a 14-year engagement as the Director of Public Works and Engineering for the City of Frisco, Texas. Mr. Knippel has 35 years' experience in design, construction, and operation of public infrastructure, including 24 years as a municipal public works administrator. Mr. Knippel is a Registered Professional Engineer in the State of Texas and holds a Bachelor of Science in Civil Engineering from Texas A&M University and a Master of Public Administration from the University of Texas at Arlington.

Public Works and Utilities Operations Manager. The Public Works and Utilities Operations Manager is responsible for the overall management of the operation of Street Operations, Fleet, and Facilities. The manager reports to the Director of Public Works and Utilities. The City is currently in the process of hiring a new Public Works and Utilities Operations Manager.

Utilities Manager. The Utilities Manager is responsible for the overall management of the operation and maintenance of the City's sewer collection and water distribution system, as well as the operation and maintenance of two water treatment facilities, a sewer treatment facility and a reclaimed water treatments facility. Under the direction of the Public Works and Utilities Director, the Utilities Operation Manager is responsible for budget development and tracking, short and long-range capital improvement project planning and ensuring the City is compliant with local, state and federal water, sewer and reclaimed water treatment regulations. Work also involves planning, controlling, supervising and evaluating the daily operations for the Division.

Andrea Song has over 26 years of experience in the water industry in both engineering and operations. This experience is a combined 15 years of public utility operations leadership, and 11 years consulting engineering experience. Ms. Song is a nationally recognized leader in optimization practices for the water sector. Hired in December 2021, she leads a staff of 110 water, sewer, and utility billing professionals in the Utilities Division of the Public Works and Utilities Department at the City. Ms. Song

holds a Bachelor of Science degree from Virginia Tech in Chemical Engineering and a Master of Science in Environmental Engineering from Johns Hopkins University. Ms. Song is a registered professional engineer, Class A Certified Water Treatment Operator, and Class 1 Distribution Operator in the State of Colorado. Ms. Song also is a Project Management Professional (PMP), and she is currently serving as Director of the American Water Works Association.

City Engineer. The City Engineer is responsible for supervising public works, utilities and citywide civil engineering and technical staff and activities and is responsible for long and short-term capital and infrastructure planning, location, design, and construction of the City's water, sewer, reclaimed water, stormwater, transportation, and facility assets, including in some cases operation and maintenance of certain of these assets.

The City Engineer supervises three workgroups:

- Utilities Engineering, under the direction of an Assistant City Engineer, which includes utilities infrastructure engineering, water resources, and water quality labs;
- Citywide Civil Engineering, under the direction of an Assistant City Engineer, which includes transportation engineering, street infrastructure teams, and facilities capital project management; and
- GIS which is responsible for citywide database analyses, mapping services, and asset management teams.

John Burke worked for a small consulting firm for 10 years prior to joining the City in 2004. As a project manager, John has invested 20 years with the City completing over $150 million dollars of infrastructure projects for the City, including Westminster Station and Downtown Westminster. With the reorganization of the Public Works and Utilities Department, John was hired as the new City Engineer in December of 2023 and leads a staff of 62 professionals responsible for delivering $400 million dollars of infrastructure projects in the next 3 years. Mr. Burke holds a Bachelor of Science degree from Colorado State University and is a registered professional engineer in the State of Colorado.

Water Facilities

***Water Supply and Planning*.** The City values a resilient, high-quality water supply, and plans and applies resources accordingly. Planning for future water supply to meet anticipated demand is a continuous process that combines technical, scientific information and policy direction.

All of the City's drinking water supply is conveyed through Standley Lake, and the majority of that water originates from the mountain snowpack in the Clear Creek watershed. The City shares storage in Standley Lake with the cities of Thornton, Northglenn, and the Farmers Reservoir and Irrigation Company ("FRICO"). The City owns water rights to use Standley Lake to store water from Clear Creek, Coal Creek, and the Fraser River. The City also has secured water rights to exchange lower-quality water released from downstream reservoirs for additional high-quality water diverted to Standley Lake. The City's water rights portfolio alone is valued at over one billion dollars at today's market rates.

The City has taken a protective and proactive approach to ensuring an adequate water supply will be available to support the City into the future. The results of this work comprise the City's Water Supply Plan ("WSP"). The WSP lays out a strategy to provide a dependable supply of high-quality water to the City, Federal Heights, and various unincorporated areas in Adams and Jefferson Counties at the planned build-out of the system. City staff uses a sophisticated, proprietary computer model that incorporates build-

out water demand estimates based on the City's most current Comprehensive Land Use Plan, data from complex court decrees, paleohydrology identified through tree ring records, and historic water call records among other items. This data is evaluated through a probabilistic approach that is used to determine long-term water supply and demand. This model is also used to evaluate various climate change models to ensure the City is prepared for changes in water supply as a result of changes in temperature and precipitation.

Through this updated probabilistic modeling process, it has been identified that the 1950s drought of record utilized by many Denver-area utilities is only an "average" worst drought, meaning that there is a significant likelihood of more serious droughts than what is seen in documented streamflow records over the last 80 years. Fortunately, the City's water supply system is planned to dependably meet the current and future needs of its customers during hydrologic conditions similar to those of Clear Creek's paleo record, going back more than 450 years.

The City continually coordinates updates to the WSP and the Comprehensive Land Use Plan to ensure long-range land use planning is appropriately supported by the WSP. The City roughly estimates City build-out around the year 2040. Continued water supply development is required to ensure support for development in currently undeveloped land, revitalization of existing developments, and for continued resiliency of the water supply system. The City also closely evaluates water savings from anticipated passive indoor and outdoor conservation and actively evaluates other mechanisms to maximize available water supplies.

The current WSP ensures adequate water to provide for growth through the year 2040 at the current rate of the City's growth. According to City officials, there is currently a sufficient water supply for existing needs, and there are clearly defined long-range master plans that identify how the City will ultimately meet future needs.

Along with water supply system capital improvement projects, the City's water supply is ensured by continuing diligence in protecting the City's water rights in court. The City holds senior water rights in Colorado's Water Division 1, and City staff monitor water activity and proposed decrees to protect these rights. The City will also continue to opportunistically file for junior rights and exchanges that increase the firm yield of the City's water supply. Water supply for the City's post-buildout population will depend upon a number of variables including density, plumbing fixture and irrigation technology, and types of commercial and industrial use that are present at that time. Because the City is a leader in the integration of water supply and land use planning, these variables are constantly monitored and adjustments to the WSP are made as needed.

Through the implementation of the current WSP and managing future development with purposeful water allocation, the City will continue to be a well-planned, sustainable water utility sufficient to enhance the City and provide vital flows during severe droughts.

The following table sets forth historical water demand for the past five calendar years. Water data is based on the total produced water at the water treatment plants and the reclaimed water treatment plant.

Annual Water Demand

	Potable Water		Reclaimed Water and Raw Water Interconnect		Overall Total Water Demand	
Year	**Gallons**	**Acre Feet**	**Gallons**	**Acre Feet**	**Gallons**	**Acre Feet**
2019	5,588,570,000	17,151	561,390,562	1,723	6,149,960,562	18,874
2020	6,166,723,000	18,925	700,490,810	2,150	6,867,213,810	21,075
2021	5,734,300,000	17,598	621,083,969	1,906	6,355,383,969	19,504
2022	5,970,110,000	18,322	665,590,577	2,043	6,635,700,577	20,364
2023	5,349,590,000	16,417	446,129,641	1,369	5,795,719,641	17,786

The following table sets forth historical sewer influent for the past five calendar years. Sewer data is based on total measured influent at the Big Dry Creek Sewer Treatment Facility ("BDC") and at the City's discharge point to Metro Water Recovery.

Sewer Treatment BDC Influent and Metro Water Recovery

	BDC Influent		Metro Water Recovery		Overall Total Sewer Treatment	
Year	**Gallons**	**Acre Feet**	**Gallons**	**Acre Feet**	**Gallons**	**Acre Feet**
2019	2,389,710,000	7,334	1,008,930,000	3,096	3,398,640,000	10,430
2020	2,382,170,000	7,311	903,300,000	2,722	3,285,470,000	10,083
2021	2,405,780,000	7,383	954,840,000	2,930	3,360,620,000	10,313
2022	2,277,180,000	6,988	863,611,000	2,650	3,140,791,000	9,639
2023	2,363,330,000	7,253	935,630,000	2,871	3,298,960,000	10,124

Raw Water Storage. The City currently has three main storage vessels for raw water, namely Standley Lake, Jim Baker Reservoir, and the West Gravel Lakes. Standley Lake stores all raw water used for treatment and distribution throughout the City. Jim Baker Reservoir and the West Gravel Lakes are used to pay returns and operate water exchanges. A future storage vessel for operating exchanges and paying returns is planned near the town of Wattenberg adjacent to the South Platte River. The City owns approximately 22,500 acre-feet of storage in Standley Lake. The rest of the 43,000 acre-foot lake is owned by the cities of Thornton and Northglenn, and FRICO, who, together with the City form the Standley Lake Operating Committee ("SLOC").

Water Quality. Several measures are in place to protect Standley Lake from negative water quality impacts. These include the Woman Creek Reservoir, which captures all runoff from the Rocky Flats National Wildlife Refuge (formerly the Rocky Flats Environmental Technology Site or "RFETS") and prevents it from entering Standley Lake; the Kinnear Ditch Pipeline which passes Coal Creek water around the RFETS to Standley Lake; the Church Ditch Water Quality Project which captures stormwater runoff and diverts it around Standley Lake; and wetlands which treat overland flow before it enters Standley Lake.

On top of these measures, recreation activities at Standley Lake are limited and regulated to protect the water quality.

For many years the City has acted to protect the water quality in Clear Creek and Standley Lake. This has been accomplished through water quality rulemakings before the Water Quality Control Commission through actively engaging and collaborating with a variety of partners in the Clear Creek Basin. The City operates a robust, real-time water quality monitoring program in Clear Creek and in Standley Lake which it operates with partner cities and organizations. The City is leading a Source Water Protection Plan that evaluates salts in the watershed and is incorporating input and cooperation from other municipalities, counties, the State, and other organizations. The City is also participating in a joint watershed protection planning effort to identify wildfire mitigation projects in the Clear Creek Basin which is of paramount importance to the City's water supply.

The City has a responsibility on behalf of the public to deliver safe and clean water from Colorado's high mountains to each drinking water tap. Recognizing this responsibility, the City has consistently worked to establish programs for the protection of the water quality in Standley Lake.

The EPA is working to implement new regulations to establish nationwide drinking water quality standards. On April 10, 2024, the EPA announced the finalized National Primary Drinking Water Regulation, establishing legally enforceable levels called Maximum Contaminant Levels ("MCLs") for certain Per-and Polyfluoroalkyl Substances ("PFAS") in drinking water. The new rules prevent companies from starting or resuming the manufacture or processing of numerous PFAS without a complete EPA review and risk determination. The EPA also finalized health-based, non-enforceable Maximum Contaminant Level Goals ("MCLGs") for certain PFAS. Under the new regulations, public water systems must monitor for certain PFAS and have three years (by 2027) to complete initial monitoring, with ongoing compliance monitoring required thereafter. Water systems must also provide the public with information on the levels of PFAS in their drinking water beginning in 2027 and have until 2029 to implement solutions that reduce PFAS, if monitoring shows that drinking water levels exceed the MCLs. The City analyzed its finished water quarterly in the first half of 2024 for 29 PFAS compounds, as regulatorily required, and no PFAS compounds were detected in the raw and treated samples. With no detection of PFAS compounds, technology to treat PFAS is not currently needed and does not exist at the System. Although the City does not currently have reason to suspect the occurrence of problematic levels of PFAS in its drinking water, the System will be subject to, and will need to comply with, the new regulations.

Water Treatment Plants. The City's raw water supply is treated prior to distribution at one of the two existing treatment plants owned and operated by the City. These two plants currently supply a combined treated water capacity of 59 million gallons per day ("MGD"). In 2023, the maximum daily production was 30 MGD and the average daily flow was 15 MGD. Upon completion of the Project, the new water treatment plant is expected to increase the System's combined treated water capacity to 73.7 MGD, with additional planned expansions of the newest plant continuing to increase capacity in the future. See "THE BONDS—Application of Bond Proceeds—*The Project*." The Northwest Water Treatment Facility, a membrane filtration plant, was constructed in 2002 and is a 15 MGD facility. The Semper Water Treatment Plant, a dual media filtration plant, was constructed in 1970, with subsequent expansions bringing the plant's total capacity to 44 MGD. The three plants will serve the System until such time as the Semper Water Treatment Plant is decommissioned. The decommissioning of the Semper Water Treatment Plant is not currently expected to happen for at least 20 years, until such time as the new water treatment plant is built out to full capacity.

Treated Water Storage and Distribution Facilities. Ten treated water storage facilities are operated by the City with a total capacity of 31.5 million gallons ("MG"). The water system is divided into 14 pressure zones, and water pressure is maintained by 10 pumping stations and by gravity flow. The

present service area is served by a transmission and distribution system consisting of approximately 544 miles of water mains ranging in size from 1" to 60" in diameter. Approximately 24% of the water distribution lines are constructed of cast/ductile iron, 24% is asbestos-cement ("A/C") pipe, 42% is polyvinyl chloride ("PVC") and 10% is considered "other." No significant problems with leakage have been detected; the System's billed ratio is within the American Water Works Association norms. The weighted age of the distribution pipe is approximately 27 years.

Sanitation Facilities

General. The City's sewer collection facilities capture sewer flows from the user and convey sewage to the treatment facilities. Collection infrastructure is comprised of gravity sewer, force main sewer, seven lift stations, four sewer diversion stations, and three primary sewer siphons. The City's sewer collection system is segregated into two separate sewer sub-basins, Big Dry Creek basin and Little Dry Creek basin. Sanitary flows from the Big Dry Creek sub-basin are collected and discharged to the City's Big Dry Creek Sewer Treatment Facility, while sanitary flows from the Little Dry Creek sub-basin are collected and discharged through a metering station into the Metro Water Recovery transmission system that flows to Metro Water Recovery's Central Sewer Treatment Plant. Approximately 75% of the City's sewer customers are served by the City's sewer facilities and 25% of the City's sewer customers receive sewer service from Metro Water Recovery under a contract with the City.

Collection. Sewer infrastructure is separated into two categories, sewer collection and sewer treatment. The collection system includes gravity sewer piping, force main sewer piping, sewer lift stations and control structures, and sanitary sewer devices. There are currently seven lift stations in operation within the City. There are four concrete diversion structures that can be utilized to control flow to downstream pipe sections and three sewer siphons that convey sewer across Big Dry Creek at three different locations.

The collection system consists of approximately 433 miles of sewer lines constructed of PVC pipe, vitrified clay pipe, concrete, ductile iron, cast iron, and high-density polyethylene pipe ("HDPE"). The seven lift stations are needed to serve approximately 5% of the service area with collection of sewer in the remainder of the service area accomplished by gravity flow. In 2013, the City started maintaining the sewer collection system in-house. This maintenance program consists of jet cleaning and television inspection of 1/3 of the collection system annually. The City monitors four permitted industries to comply with federal pretreatment regulations. Three of these industries discharge pretreated sewer to the City collection system and one is a zero-discharge industry. No other accounts of the City are considered potential pretreatment customers. The City maintains separate sewer collection and storm sewer systems.

Treatment. Big Dry Creek is a biological sewer treatment plant with biological nutrient removal for phosphorous and nitrogen and uses ultraviolet light for disinfection. The plant has a design capacity for 9.8 MGD. In 2023, the maximum daily flow was 12.75 MG and the average daily flow was 6.45 MG.

The sewer treatment plant serves customers located in the Big Dry Creek Basin portion of the City's service area. Sewer effluent is discharged into Big Dry Creek or into the Reclaimed Water System during the summer reuse period. Because the sewer facilities discharge effluent into Big Dry Creek and the Reclaimed Water System, a discharge permit is required under provisions of the Federal Clean Water Act and the Colorado Water Quality Control Act. This permit regulates the amount of pollutants in the effluent. The Enterprise's current discharge permit from the State of Colorado's Department of Public Health and Environment ("CDPHE") went into effect on January 1st, 2020. The City continues to remain in compliance with all material terms of the discharge permit, with three exceptions in 2023 for one ammonia exceedance, one total inorganic nitrogen exceedance (related to the construction of new process equipment), and one flow exceedance due to extreme rainfall.

Sewer treatment is provided to customers in the Little Dry Creek area of the City's service area by Metro Water Recovery pursuant to a perpetual service contract executed January 1, 1964. The City pays a flat rate, as determined by the contract, to Metro Water Recovery, and bills each customer individually according to the City's current rate schedule. Enterprise officials state that sufficient capacity is available in the existing interceptor lines and treatment plant to serve the development projected in the area served by Metro Water Recovery. The dividing line for which the plant will provide the sewer service is approximately 92nd Avenue. See "CITY MAP." The City anticipates growth in the area served by Metro Water Recovery in future years now that the Regional Transit District's B Line has been completed. This commuter rail line is located in the southern part of the City and will provide direct service from Denver's Union Station to the City. Tap fees for this area are collected by the Enterprise and the portion that is due to Metro Water Recovery is remitted to them.

Reclaimed Water Treatment Facility and Distribution System. In 2000, the City completed the construction of the Reclaimed Water Treatment Facility, located adjacent to the City's sewer treatment facility. This facility further filters and disinfects the treated sewer from the Big Dry Creek Sewer Treatment Facility before delivering it for use as a landscape irrigation source to golf courses, parks, right of ways, commercial properties, and residential common areas within the City. The Reclaimed Water Distribution System consists of 26 miles of piping that serves approximately 137 customers. Customers are charged 80% of the equivalent potable water rate, and fees for new reclaimed taps are similarly 20% less than the potable equivalent. The Reclaimed Water Treatment Facility runs seasonally, mid-March through mid-November.

The Reclaimed Water Treatment Facility was expanded in 2012 to increase the treatment capacity to 10 MGD. On average, the system supplies 1,500 AF of water a year, approximately 5% of the City's current water demand. As a significant component of the City's water supply, the reclaimed system helps fully utilize reusable water rights, demonstrating the City's dedication to environmental and economic stewardship. The reclaimed water program and its water quality comply with all the applicable standards established by the CDPHE.

Biosolids Disposal Facility. In 1996, the City acquired approximately 2,700 acres of farmland near Strasburg, Colorado that is utilized as the Natural Resource Farm for biosolids reuse. The City purchased an additional 300 acres in 2001. In 2019, the City purchased an additional approximately 1,200 acres in Arapahoe County which is permitted for biosolids application. This purchase further diversified City-owned lands available for biosolids application to provide more flexibility and reliability for the application of biosolids for beneficial use. These facilities operate in conjunction with the Big Dry Creek Facility. Biosolids generated from the sewer process are collected and transported to the site for soil conditioning. The City utilizes three tractor trucks, three trailers, a front-end loader, a John Deere tractor, and a "slinger" trailer to apply biosolids.

System Capital Improvements and Long-Term Planning

Long-Term Capital Planning. A critical element of the City's Public Works and Utilities Department is to plan, prioritize, and implement Capital Improvement Projects ("CIPs") to responsibly engineer the City's $4 billion utility assets for a strong economy and vibrant community health. Included in this scope is proactively repairing or replacing existing infrastructure to protect public health and safety now and in the future, maintaining responsible and defensible budgets, and supporting a financially sustainable enterprise. To meet these goals, the City implements an extensive long-term planning process and maintains an asset data base to assess risk and criticality to prioritize CIPs. Long term planning for the assets is linked to planning for water and sewer rates and tap fees which are set to equitably recover System costs, fund capital projects and fund the System's reserve accounts per City policy.

Utility CIPs must be anticipated, planned, and budgeted over scheduled periods of time that are realistic and sustainable relative to tap fee sales, water and sewer rate revenue generation, and other revenue sources. For the past fourteen years, staff has conducted long-term planning to accomplish this goal. A large database of system assets is used to identify a comprehensive repair and replacement program required to maintain current levels of water and sewer service to City customers. Information is also compiled for improvements that anticipate City needs for future development, redevelopment, and regulatory-driven improvements to protect public health and safety now and in the future. Overall, this information represents the foundation for long-term capital planning of recommended highest priority projects. CIPs identified as part of this effort are then prioritized using a systematic approach based on the International Infrastructure Maintenance Manual. The approach incorporates system and asset replacement costs, industry-standard useful life, risk and anticipated criticality of the asset, the City's comprehensive operations and maintenance programs, and other critical information. By pursuing a proactive program to assess the needs and priorities of the utility system, and focusing funding on the highest priorities, the cost of operating and maintaining the utility system can be minimized by avoiding costly system failures, emergency response, and interruption of service.

The City's infrastructure database information is updated on 2-year intervals with the latest update completed in 2024. This information sets forth water, sewer and reuse system valuations to assist the City in the analysis and evaluation of current user charges, fees, rates and related financial purposes. The City maintains a financial model for financial planning purposes. This model has assisted staff with planning for both short- and long-term needs, including the System's operating requirements, cash flows, infrastructure needs (the repair, replacement, improvement or expansion of the System's infrastructure) and the System's rate stabilization and capital project reserves. The use of this model also assists staff with financing projections, rate setting and the establishment of tap fees.

Reserve Policies. In 2006, City Council adopted reserve policies as a means to ensure long-term financial sustainability of the System. The implementation of these policies has led to a defined and adequately funded Rate Stabilization Reserve and Capital Project Reserve as described below:

Rate Stabilization Reserve: This fund is used to mitigate revenue shortfalls due to weather related issues such as extreme rain during a season, drought conditions, or other variables that might affect water or sewer sales. The target balance is calculated as 25% of water rate revenues and 10% of sewer revenues (based on budgeted annual revenues). During years of better-than-average water sales, revenue surpluses are deposited into this account. Once the reserve balance reaches 140% of the targeted amount, funds are allocated to the Capital Project Reserve. If the reserve balance dips below 70% of the targeted amount, rate increases would be needed to provide sufficient revenues to reach the minimum target balance. The Rate Stabilization Reserve was $15,355,401 as of December 31, 2023.

Capital Project Reserve: This fund was created to fund authorized capital improvement projects as part of the regular budget process, and may be used to fund emergency repairs to utility facilities as authorized by City Council. The minimum balance is $3.0 million for the Water fund and $2.0 million for the Sewer Fund. The maximum balance is calculated as 40% of the five-year adopted annual Capital Improvement Program ("CIP") expenditures. If the Capital Project Reserve balance falls below the minimum, rate increases and/or reducing the CIP shall be required. If the balance exceeds the maximum, funding of the Capital Project Reserve will be reduced until the Capital Project Reserve falls below the maximum, which may include rate reductions. The Capital Project Reserve was $76,746,616 as of December 31, 2023.

Rates and Tap Fee Policy. The City's policy is to review and revise water and sewer rates and tap fees to ensure that costs are recovered equitably. Rates are reviewed and recommendations for annual increases are made to City Council on an annual basis. It is considered to be a best practice in the utilities

industry to review, and when necessary, rebalance the rate and fees charged to ensure they are fair and equitable.

In April 2017, City Council authorized a contract with Raftelis Financial Consultants ("RFC") to perform a Cost of Service study to thoroughly evaluate aspects of the Utility including the existing water and sewer rates and fees, water use by customer type, and the value of the water and sewer utilities. The City is planning to do a similar Cost of Service study in 2025.

City Council adopts the rate increases during the annual budget cycle in the summer and fall with the following net revenue increases currently expected. Upon adoption by City Council, rates take effect on January 1st of each year.

	2025	**2026**
Net Water Revenue Increase	4.5%	4.5%
Net Sewer Revenue Increase	6.0	6.0

Rates are established to meet short-term cash flow needs for debt service, operations and maintenance, as well as for compliance with regulatory requirements. They are also established to meet long-term requirements for infrastructure repair and replacement, debt service, and the funding of reserves per City policy.

The City's policy regarding tap fees has been to recover growth related capital costs for water resources and infrastructure costs. Per City Code, tap fees automatically increase with the Engineering News Record inflationary index for construction costs; this policy has been in place since 2019. Periodically the utility conducts a thorough cost study to determine the most accurate water resources and infrastructure cost components and adjusts the tap fee accordingly. This was also addressed in the 2017 Cost of Service study and tap fees were subsequently adjusted as well. See "—System Financial Information" below, for information regarding current rates and tap fees.

Capital Improvements. Repair and replacement projects are necessary for maintaining the integrity of the System's infrastructure. Improvement and expansion projects are also needed to address growth as the City moves toward build-out. To address these needs, a five-year CIP is developed in conjunction with the annual budget process and updated every year to ensure that the appropriate projects are undertaken. Master Plans have been compiled for all aspects of the System to ensure that the infrastructure is routinely maintained in excellent condition. These plans are regularly updated to assist with prioritizing infrastructure repairs, replacements and improvements.

Anticipated CIP Funding. The Enterprise currently plans to pay for the System capital improvements identified in the CIP through a combination of Bond proceeds, legally available City funds, and the proceeds of future bond issuances. The additional bond issuances are currently anticipated to occur in 2026, in 2027, and in 2029, subject to the then-current needs of the System and the satisfaction of the applicable additional bonds tests. See "THE BONDS—Security for the Bonds—*Additional Bonds*."

The following table summarizes the anticipated funding for the Proposed System Improvements for fiscal years 2024 and 2025, as adopted by the City Council on October 23, 2023. See also "THE BONDS—Application of Bond Proceeds" for a description of the use of Bond proceeds.

2024/2025 Utility Fund Bond Proceeds Spending Plan

	Total 2024 Anticipated Project Cost	Anticipated Bond Proceeds	City Funds [2]
Water Projects			
New Drinking Water Facility Project [1]	$260,000,000	$210,000,000	$50,000,000

[1] See "THE BONDS—Application of Bond Proceeds."
[2] Represents legally available City funds that are currently expected to be used to pay for the construction of two new main pipe lines that are necessary in connection with the construction of the Project.

2025-2029 Capital Improvements Plan. The Enterprise anticipates financing other capital improvements over the next five years with a combination of cash and debt financing as part of the annual budget preparation. Historically, it has been a policy of management to use tap fees as the primary source of capital improvement funding. This policy has allowed the Enterprise to expand and improve the System mostly on a pay-as-you-go basis rather than using additional bonded debt issues. In the future, as the City approaches build-out (roughly anticipated to be around 2040), tap fee revenue will decline as development in the City slows. Staff anticipates that at that time, rate revenues will be the primary funding source for both operations and capital improvements. The following table presents information on projected expenditures for water and sewer projects within the Utility Fund included in the Enterprise's amended Capital Improvements Program for years 2025 through 2029. These projects may be funded through a combination of cash and debt financing, including a portion of the proceeds of the Bonds (the next update to the Capital Improvement Program will cover fiscal years 2026-2030).

2025-2029 Utility Capital Improvement Plan [1]

	2025	2026	2027	2028	2029
Ongoing Sewer	$ 3,800,000	$ 19,700,000	$ 11,500,000	$11,600,000	$11,900,000
Ongoing Water	3,800,000	19,300,000	22,400,000	45,400,000	53,200,000
New Drinking Water Facility	84,400,000	96,500,000	68,900,000	10,200,000	--
Total	92,000,000	135,500,000	102,800,000	67,200,000	65,100,000
Potential Debt Issuance [2]	--	$20,000,000	$110,000,000	--	$20,000,000

[1] Excludes Stormwater Projects.
[2] Supports five-year defined capital projects plan. Specific projects would be identified at time of debt issuance.
Source: City of Westminster Finance Department

Customer Information

The City classifies its water and sewer customers as residential, commercial/industrial and out-of-city. A breakdown of the accounts served as of December 31, 2023, as compared to the year ended December 31, 2022, is set forth below.

TABLE III
Estimated Water Accounts by Classification

	2022		2023	
Classification	**Number of Accounts**	**Percent of Total Accounts**	**Number of Accounts**	**Percent of Total Accounts**
Residential	30,004	89.4%	30,037	89.3%
Commercial/Industrial	1,506	4.5	1,545	4.6
Out-of-City	2,050	6.1	2,052	6.1
Total	33,560	100.0%	33,634	100.0%

Source: City of Westminster Finance Department

TABLE IV
Estimated Wastewater Accounts by Classification

	2022		2023	
Classification	**Number of Accounts**	**Percent of Total Accounts**	**Number of Accounts**	**Percent of Total Accounts**
Residential	29,001	90.5%	29,013	90.5%
Commercial/Industrial	1,013	3.2	1,021	3.2
Out-of-City	2,025	6.3	2,026	6.3
Total	32,039	100.0%	32,060	100.0%

Source: City of Westminster Finance Department

The ten largest customers of the System, in aggregate, accounted for approximately 12% of actual total service charge revenues during 2023. Of such percentage, Federal Heights, a city of approximately 12,000 located due east of the City, having a perpetual wholesale contract for potable water with the City accounted for approximately 4% of total service sales and Westminster accounted for 3% of the total service sales.

System Financial Information

See "—System Capital Improvements and Long-Term Planning—*Rates and Tap Fee Policy*" above for a discussion of the City's policy with respect to establishing tap fees and usage fees.

Water and Sewer Rate Schedule. All water, sewer and reclaimed water customers connected to the Utility pay rates. Except for fire hydrant use for municipal purposes and water used by the water department, all water delivered from the City's water distribution system is metered, including water used by the City or departments thereof. Sewer rates are based upon the quantity and quality of sewage collected. The minimum monthly rate for residential, including multiple unit dwellings, and public users is based on a 2,000 gallon/month minimum. This is considered to be the "readiness to serve" charge, and ensures that each customer pays an appropriate amount to keep the sewer system ready to provide service at all times.

Staff considers this to be similar to the fixed monthly water fee. If the average monthly water consumption per user billed during the months of January through March is more than 2,000 gallons, then the monthly sewer use is multiplied by the per 1,000 gallon rate. Reclaimed water is used solely for irrigation purposes, and the rate is set at 80% of potable water rates to provide an incentive for customers to connect to the City's reclaimed system. The average annual utility bill for the City in 2023 was $966.

A new occupant of a residential unit is charged an initial sewer charge of $32.24 until water usage has been established. Residential users who appeal the initial sewer charge rate may have the rate adjusted to the actual usage for the first four months of occupancy.

The minimum monthly sewer charge for commercial users may be appealed to the Utility Billing Division for user charges resulting from the average monthly water billed during the period of January through March and may be adjusted if the water billed during the months of July through September 30 is less than the water billed during the months of January through March. Commercial users may install a separate meter to measure outside water use for which no sewer charge will be assessed. The City Council may adjust the period of time to be used to calculate the user charges when in its opinion climate conditions and water consumption patterns warrant such an adjustment.

Water and Sewer Tap Fees. Tap fees are one-time fees that developers are charged to connect to the City's water and sewer systems. They are based on the current value and size of the utility system and the value of the City's water rights portfolio. The structure of each tap fee is composed of components that together reflect the equitable portion of the utility system impacted by new customers. As new customers connect to the system, they pay for the portion of the developed system they will use. In this way, current customers benefit from lower water and sewer rates and increased reliability, while new customers pay their equitable share. Current customers do not pay tap fees.

Utility staff members calculate all non-single family residential tap fees individually to ensure that the City not only recovers the costs of providing access to the water and sewer systems, but to also ensure that customers are paying the appropriate tap fee for their building and its associated uses.

Tap fee payments are required at the time that the building permit is issued. The obligation to pay the fees for both water and sewer connections, until collected, constitutes a lien against the property. Tap fees represent the customer's investment in the existing capacity of the System and expansion. The following table sets forth the tap fees collected by the City since 2019.

TABLE V
Tap Fee Revenues

Year	Water	Sewer	Total
2019	$10,578,705	$4,719,269	$15,297,974
2020	9,522,017	3,375,927	12,897,944
2021	6,036,911	1,622,451	7,659,362
2022	2,246,213	542,960	2,789,173
2023	2,177,609	1,199,480	3,377,089
2024 [1]	644,843	162,821	807,664

[1] Unaudited tap fee revenue received through June 30, 2024.
Source: City of Westminster Finance Department

RFC performed a review of the infrastructure components of the City's water and sewer tap fees as a part of their 2017 work for the City, provided recommendations, and City Council adopted these recommendations in 2017.

Water Tap Fees. A water tap fee consists of the following individual fees: a water resources fee, being the share of the cost to provide adequate raw water supply to be utilized by the tap; a treated water infrastructure fee, being the share of the utility system related to treating and distributing water to be utilized by the tap; the meter connection fee; and, when applicable, a fire connection fee. To keep tap fees current in years when detailed reviews are not performed, the water tap fee and its individual components as described in the City Code are automatically increased in accordance with the annual construction cost index for construction costs as of December of each year, as reported in the construction economics section of the Engineering News-Record as published weekly by BNP Media. Staff determined that this index is a more accurate representation of an inflator for construction-related work and materials.

The water resources component is calculated in terms of Service Commitments ("SC"). One SC is equal to 140,000 gallons of annual water use. The infrastructure component is calculated based on a count of water fixtures in the building and the resulting meter size, which is the best determination of projected peak demand on the infrastructure system.

The base water tap fee for each component is set forth in the following table.

Water Tap Fee Component	2024 Fee
Water Resources Fee (per SC)	$16,779
Treated Water Investment Fee	20,967-419,340
Meter Connection Fee [1]	345-610
Fire Connection Fee	239

[1] Based on the meter size.

As a part of the 2018 review of the City's rates and fees, City Council adopted a scalable approach to calculating residential water tap fees for single family and multi-family products. This new calculation is based on the number of bathrooms ("ba") for single family detached home tap fees, and the number of rooms available as bedrooms ("br") for single family detached and multi-family development. The scalable calculation also incorporates the yard size and irrigation requirements to the tap fee amount.

Water Tap Fee Components Residential

Type	Water Resources	Treated Water Infrastructure	Meter Connection Charge	Fire Protection Charge
Single Family Detached ≤ 3 ba	$6,592	$11,648	$577	$239
Single Family Detached ≥ 4 ba	7,910	13,978	577	239
Townhome/Attached	2,637/br	4,659/br	577/unit	239
Multifamily	2,637/br	3,495/br	Per Meter Size	239
Irrigation for Single Family	2.63/ft			

Irrigation Water Tap Fees. Separate irrigation taps and meters are required for all properties except single-family homes. The irrigation tap fee consists of the meter connection fee, plus a fee based on the irrigated area and type of landscaping according to the following table.

Landscape Hydrozone	2024 Fee / ft2 (potable)	2024 Fee / ft2 (reclaim)
High (≥ 10 gal/ft2 Annual Use)	$3.95	$3.16
Medium (4-10 gal/ft2 Annual Use)	2.20	1.76
Low (≤ gal/ft2 Annual Use)	0.66	0.53

Sewer Tap Fees. The City's sewer is treated by either the City-owned and operated Big Dry Creek Sewer Treatment Facility or Metro Water Recovery, depending on location. Metro Water Recovery treats sewer generated by customers south of West 92nd Avenue. The Big Dry Creek Sewer Treatment Facility treats sewer generated by customers north of 92nd Avenue. All new customers must pay a tap fee to connect to one of these two facilities. The City currently applies the Metro Water Recovery sewer treatment fee to the City's overall sewer tap fee to keep development costs consistent.

The sewer tap fee is based on two components: the sewer transport fee; and sewer treatment fee. Sewer tap fees for both residential and non-residential new customers are based on a single-family residential equivalent ("SFRE") methodology. A 5/8" water tap represents one SFRE and larger tap sizes are scaled up in pricing depending on their proportional impact on the infrastructure system. The base sewer tap fee for each SFRE is set forth in the following table.

Sewer Tap Fee Components	2024 Fee
Sewer Transport Fee [1]	$5,230-$224,890
Sewer Treatment Fee	11,040-474,720

[1] Based on meter size.

Similar to water, residential sewer tap fees are scaled based on bathroom or bedroom count, according to the following table.

Sewer Tap Fee Components Residential

Type	Sewer Transport	Sewer Treatment
Single Family Detached ≤ 3 ba	$1,774	$5,520
Single Family Detached ≥ 4 ba	2,131	5,520
Townhome	710/br	5,520/unit
Multifamily	710/br	Per Meter Size

Total Water and Sewer Tap Fee. Example tap fees for a variety of residential products are set forth in the following table.

Type of Residential Product	Category	2023 Combined Water/Sewer Tap Fee
Single Family Detached Home [1]	4 bathrooms or less	$ 26,350
Single Family Detached Home [1]	Over 4 bathrooms	30,355
Single Family Attached Home [1]	2 bedrooms	22,348
Multi Family Development [2]	100 units/140 bedrooms:	
	1 bedroom: 70	
	2 bedrooms: 20	
	3 bedrooms: 10	1,068,839
Multi Family Development [2]	24 units/32 bedrooms:	
	1 bedroom: 16	
	2 bedrooms: 8	280,223
Multi Family Development [2]	100 units/250 bedrooms:	
	2 bedrooms: 50	
	3 bedrooms: 50	1,821,371

[1] Does not include costs to irrigate landscaping. Add $2.63/square foot of landscaped area to total tap fee.
[2] Irrigation tap fee for multi-family developments is calculated and sold separately.

Billing and Collection. Service charges for the System are billed on a monthly basis. If a bill is not paid within 45 days of the date of the bill, water service is subject to disconnection. Service is restored when all past due charges have been paid; however, customers may be granted payment arrangements under qualified conditions. In addition, the City has the authority to certify delinquent charges to the appropriate county treasurer, which charges constitute a perpetual lien on and against the delinquent property until paid.

[Remainder of Page Intentionally Left Blank]

Historical and Budgeted System Financial Information. The City utilizes the enterprise fund concept for System accounting, an accounting concept appropriate for governmental entities with revenue generating operations. The City has established a Utility Fund to provide for the treatment and distribution of water and the collection, transmission and treatment of sewage within the City. All activities necessary to provide such services are accounted for in this fund, including but not limited to, administration, operations, maintenance, financing and related debt service. Set forth below is a five-year comparative statement of the Utility Enterprise Fund revenues and expenses.

TABLE VI
Utility Enterprise Fund
Comparative Statement of Revenues, Expenses and Changes in Net Position

	2019	2020	2021	2022	2023
Operating Revenues:					
Charges for Services [1]	$ 67,548,532	$ 77,561,514	$ 73,855,471	$ 74,423,847	$ 71,512,856
Miscellaneous Revenue	559,769	764,991	756,089	689,464	1,918,489
Total Operating Revenues	68,108,301	78,326,505	74,611,560	75,113,311	73,431,345
Operating Expenses:					
Personnel Services	20,014,177	18,073,489	17,789,877	17,376,075	19,745,344
Contractual Services	15,403,372	18,306,604	17,777,481	17,255,835	17,492,075
Commodities	2,052,898	2,208,813	2,325,105	2,658,954	3,004,249
Capital Expense	1,328,359	1,348,199	1,186,856	1,518,221	1,514,492
Insurance and Other Expenses	--	--	--	--	--
Amortization Expense	--	--	--	4,855	267,300
Depreciation Expense	14,643,983	15,636,619	16,145,768	16,285,119	17,051,163
Total Operating Expenses	53,442,789	55,573,724	55,225,087	55,099,059	59,074,623
Operating Income (Loss)	14,665,512	22,752,781	19,386,473	20,014,252	14,356,722
Non-operating Revenues (Expenses):					
Investment Earnings	3,613,657	3,469,619	(720,401)	(4,227,339)	7,593,921
Interest Expense	(3,231,836)	(3,598,348)	(3,324,592)	(3,235,618)	(3,021,357)
Right to Use Lese Interest Revenue	--	--	--	--	3,147
Right to Use Lease Revenue	--	--	--	--	17,815
Lease Interest Expense	--	--	--	(288)	--
Grants	--	88,455	4,950	--	9,000
Gain/(Loss) on Disposition of Capital Assets	86,305	55,100	(3,417)	218,750	--
Other	409,360	195,675	--	--	--
Insurance Recoveries	28,046	19,702	11,608	20,851	4,468
Debt Issuance Costs	--	(328,967)	--	--	--
Total Non-Operating Revenues (Expenses)	905,532	(98,764)	(4,031,852)	(7,223,644)	4,606,994
Income Before Contributions and Transfers	15,571,044	22,654,017	15,354,621	12,790,608	18,963,716
Capital Contributions [2]	16,965,001	13,602,623	8,646,909	19,315,944	5,833,934
Transfers In	--	350,000	-	5,000,000	5,000,000
Transfers Out	(785,000)	(366,000)	(202,999)	(1,637,461)	(1,141,996)
Change in Net Position	31,751,045	36,240,640	23,798,531	35,469,091	28,655,654
Net Position – Beginning	522,732,650	554,483,695	590,724,335	614,522,866	649,991,957
Net Position – Ending	$554,483,695	$590,724,335	$614,522,866	$649,991,957	$678,647,611

[1] Stormwater fees are not included within Pledged Revenues securing the payment of the Bonds. See "TABLE I."
[2] Represents tap fees and contributions-in-kind.
Source: City of Westminster 2019-2023 ACFR

The following table sets forth a summary and comparison of the of the 2023 and 2024 Water and Wastewater Utility Fund budgets, and the 2024 year-to-date unaudited figures for the Utility Fund. Historically the City has adopted a biennial (two-year) budget. Since 2021, the City has adopted a one-year budget. While this allows for added flexibility in a post-COVID environment, it also maintains a consistent, annual engagement on the City's financial status with the community, City Council, and Staff. Additionally, this annual process provides greater financial transparency. Council adopted the 2024 budget in October 2023.

TABLE VII
Water and Wastewater Utility Fund Budget Summary

	2023 Budget (as adopted)	2024 Budget (as adopted) [1]	2024 Year to date actuals (unaudited) [2]
Operating and Non-Operating Revenues:			
Licenses & Permits	$ 107,000	$ 101,750	$ 51,684
Interest Income	577,000	1,454,000	968,344
Water Miscellaneous	603,173	606,697	327,166
Water Sales	47,417,081	49,550,848	17,030,707
Water Tap Fees	5,000,000	5,000,000	644,843
Water Charges for Services-Other	636,874	640,525	400,363
Wastewater Miscellaneous	9,576	500,000	5,175
Wastewater Sales	22,043,266	23,990,000	11,864,821
Wastewater Tap Fees	2,000,000	2,000,000	162,821
Wastewater Charges for Services-Other	12,078	12,030	6,176
Stormwater Miscellaneous [3]	456,611	456,611	456,611
Stormwater Fees [3]	4,434,081	4,229,728	2,110,221
Carryover	--	--	--
Interfund Transfers	6,599,727	6,510,719	3,255,359
Bond Proceeds Water [4]	--	210,746,788	210,746,788
Bond Proceeds Wastewater	--	28,000,000	--
Total	89,896,467	333,799,696	248,031,079
Uses:			
Water Portion of General Fund Expenses	4,778,134	6,383,456	3,191,728
Water Department Expenses	31,896,772	32,120,958	13,029,252
Wastewater Portion of General Fund Expenses	3,629,948	3,140,431	1,570,215
Wastewater Department Expenses	15,714,972	16,152,997	6,548,482
Stormwater Portion of General Fund Expenses [3]	262,463	509,525	254,762
Stormwater Department Expenses [3]	2,109,627	1,820,441	637,660
Capital Improvements [4, 5]	160,970,682	353,473,134	9,719,435
Total	$219,362,598	$413,600,942	$ 34,951,534

[1] The 2024 Budget is to be amended to include Bond proceeds.
[2] Unaudited year to date figures through June 30, 2024.
[3] Stormwater revenues are not included in Pledged Revenue.
[4] Includes the Bond Proceeds and the Project to be financed with Bond Proceeds. See "THE BONDS—Use of Bond Proceeds."
[5] Capital Improvements budgets for 2023 and 2024 adjusted for prior year continuing appropriations.
Source: City of Westminster Finance Department

Outstanding Financial Obligations

The City provides for the operation of certain of its services, such as water and sewer, as enterprises which are not subject to the provisions of Article X, Section 20, see "APPENDIX D—THE CITY—Constitutional Amendment Limiting Taxes and Spending." The following table sets forth the Enterprise's outstanding revenue obligations upon issuance of the Bonds. See "APPENDIX E—CITY FINANCIAL INFORMATION AND DEBT STRUCTURE—Revenue Obligations" for additional revenue obligations of the City.

TABLE VIII
Outstanding Revenue Obligations of the Water and Wastewater Utility Fund [1]

Issue	Outstanding Principal	Principal Totals
Parity Obligations		
Water and Wastewater Revenue Bonds, Series 2016	$ 32,650,000	
Water and Wastewater Revenue Bonds, Series 2019	38,025,000	
Water and Wastewater Revenue Refunding Bonds, Series 2020	14,010,000	
2020 CWRPDA Loan	19,778,314	
The Bonds	186,900,000	
Subtotal Parity Obligations		291,363,314
Subordinate Securities		
Subordinate Water and Wastewater Revenue Bonds, Series 2005	1,547,500	
Subtotal Subordinate Securities		1,547,500
Total		$292,910,814

[1] Upon issuance of the Bonds.
Source: City of Westminster Finance Department

LEGAL MATTERS

Sovereign Immunity

The Colorado Governmental Immunity Act, Title 24, Article 10, C.R.S. (the "Governmental Immunity Act"), provides that, with certain specified exceptions, sovereign immunity acts as a bar to any action against a public entity, such as the City, for injuries which lie in tort or could lie in tort.

The Governmental Immunity Act provides that sovereign immunity is waived by a public entity for injuries occurring as a result of certain specified actions or conditions, including the operation of a non-emergency motor vehicle owned or leased by the public entity; the operation of any public hospital, correctional facility or jail; a dangerous condition of any public building; certain dangerous conditions of a public highway, road or street; and the operation and maintenance of any public water facility, gas facility, sanitation facility, electrical facility, power facility or swimming facility by such public entity.

In such instances the public entity may be liable for injuries arising from an act or omission of the public entity, or an act or omission of its public employees, which are not willful and wanton, and which occur during the performance of their duties and within the scope of their employment.

The maximum amounts that may be recovered under the Governmental Immunity Act, whether from one or more public entities and public employees, are as follows: (a) for any injury to one person in any single occurrence, the sum of $387,000 for claims accruing on or after January 1, 2018 and before January 1, 2022 or the sum of $424,000 for claims accruing on or after January 1, 2022 and after January 2026; and (b) for an injury to two or more persons in any single occurrence, the sum of $1,093,000 for claims accruing on or after January 1, 2018, and before January 1, 2022 (except in such instance, no single person may recover in excess of $387,000) or the sum of $1,195,000 for claims accruing on or after January 1, 2022 and before January 1, 2026 (except in such instance, no single person may recover in excess of $424,000). These amounts increase every four years pursuant to a formula based on the Denver-Boulder-Greeley Consumer Price Index, with the first such increase occurring on January 1, 2018. The governing board of a public entity may increase any maximum amount that may be recovered from the public entity for certain types of injuries. However, a public entity may not be held liable either directly or by indemnification for punitive or exemplary damages unless the applicable entity voluntarily pays such damages in accordance with State law.

Suits against both the City and a public employee do not increase such maximum amounts which may be recovered. The City may not be held liable either directly or by indemnification for punitive or exemplary damages. In the event that the City is required to levy an ad valorem property tax to discharge a settlement or judgment, such tax may not exceed a total of 10 mills per annum for all outstanding settlements or judgments.

The City may be subject to civil liability and damages including punitive or exemplary damages and it may not be able to claim sovereign immunity for actions founded upon various federal laws, or other actions filed in federal court. Examples of such civil liability include suits filed pursuant to 42 U.S.C. Section 1983 alleging the deprivation of federal constitutional or statutory rights of an individual. In addition, the City may be enjoined from engaging in anti-competitive practices which violate the antitrust laws. However, the Governmental Immunity Act provides that it applies to any State court having jurisdiction over any claim brought pursuant to any federal law, if such action lies in tort or could lie in tort.

Pending and Threatened Litigation Involving the City

The City Attorney states that as of the date hereof, to the best of his knowledge, belief, and information, no litigation of any nature is now pending or threatened against the City which, if determined adversely to the City, would be expected to have a material adverse effect upon the City's ability to comply with its obligations under the Bond Ordinance.

Legal Representation

Legal matters incidental to the authorization, issuance and delivery of the Bonds, and with respect to the treatment of interest thereon for purposes of federal and State of Colorado income taxation, are subject to the approval of validity by Butler Snow LLP, as Bond Counsel. In addition, Kutak Rock LLP has been retained to advise the City concerning, and has assisted the City in the preparation of, this Official Statement. Certain legal matters will be passed upon for the City by David Frankel, Esq., as City Attorney.

The obligations of the City under the Bond Ordinance are subject to the application of equitable principles, to the reasonable exercise in the future by the State of Colorado and its governmental bodies of the police power inherent in the sovereignty of the State of Colorado, and to exercise by the United States of America of the powers delegated to it by the federal Constitution including without limitation, bankruptcy powers.

The legal opinions to be delivered concurrently with the delivery of the Bonds express the professional judgment of the attorneys rendering the opinions as to legal issues expressly addressed therein. By rendering a legal opinion, the opinion giver does not become an insurer or guarantor of the result indicated by that expression of professional judgment, or of the transaction on which the opinion is rendered, or of the future performance of parties to the transaction. Nor does the rendering of an opinion guarantee the outcome of any legal dispute that may arise out of the transaction.

TAX MATTERS

General Matters. In the opinion of Butler Snow LLP, Bond Counsel, under existing laws, regulations, rulings, and judicial decisions, interest on the Bonds is excludable from gross income under federal income tax laws pursuant to Section 103 of the Internal Revenue Code of 1986, as amended to the date of delivery of the Bonds, (the "Tax Code"), interest on the Bonds is not a specific preference item for purposes of the federal alternative minimum tax, however, such interest is taken into account in determining the annual adjusted financial statement income of applicable corporations (as defined in Section 59(k) of the Tax Code) for the purpose of computing the alternative minimum tax imposed on corporations, and interest on the Bonds is excludable from Colorado taxable income and Colorado alternative minimum taxable income under Colorado income tax laws in effect on the date of delivery of the Bonds. The opinion described above assumes the accuracy of certain representations and compliance by the Enterprise with covenants designed to satisfy the requirements of the Code that must be met subsequent to the issuance of the Bonds. Failure to comply with such requirements could cause interest on the Bonds to be included in gross income for federal income tax purposes retroactive to the date of issuance of the Bonds. The City has covenanted to comply with such requirements. Bond Counsel has expressed no opinion regarding other federal tax consequences arising with respect to the Bonds.

The accrual or receipt of interest on the Bonds may otherwise affect the federal income tax liability of the owners of the Bonds. The extent of these other tax consequences will depend on such owners' particular tax status and other items of income or deduction. Bond Counsel has expressed no opinion regarding any such consequences. Purchasers of the Bonds, particularly purchasers that are corporations (including S corporations and foreign corporations operating branches in the United States of America), property or casualty insurance companies, banks, thrifts or other financial institutions, certain recipients of social security or railroad retirement benefits, taxpayers entitled to claim the earned income credit, taxpayers entitled to claim the refundable credit in Section 36B of the Code for coverage under a qualified health plan or taxpayers who may be deemed to have incurred or continued indebtedness to purchase or carry tax-exempt obligations, should consult their tax advisors as to the tax consequences of purchasing or owning the Bonds.

Bond Counsel is also of the opinion that, under existing State of Colorado statutes, interest on the Bonds is exempt from Colorado income tax. Bond Counsel has expressed no opinion regarding other tax consequences arising with respect to the Bonds under the laws of the State of Colorado or any other state or jurisdiction.

Original Issue Premium. The Bonds that have an original yield below their respective interest rates, as shown on the inside cover of this Official Statement (collectively, the "Premium Bonds"), are being sold at a premium. An amount equal to the excess of the issue price of a Premium Bond over its stated redemption price at maturity constitutes premium on such Premium Bond. A purchaser of a Premium Bond must amortize any premium over such Premium Bond's term using constant yield principles, based on the purchaser's yield to maturity (or, in the case of Premium Bonds callable prior to their maturity, generally by amortizing the premium to the call date, based on the purchaser's yield to the call date and giving effect to any call premium). As premium is amortized, the amount of the amortization offsets a corresponding amount of interest for the period, and the purchaser's basis in such Premium Bond is reduced by a

corresponding amount resulting in an increase in the gain (or decrease in the loss) to be recognized for federal income tax purposes upon a sale or disposition of such Premium Bond prior to its maturity. Even though the purchaser's basis may be reduced, no federal income tax deduction is allowed. Purchasers of the Premium Bonds should consult their tax advisors with respect to the determination and treatment of premium for federal income tax purposes and with respect to the state and local tax consequences of owning a Premium Bond.

Backup Withholding. As a result of the enactment of the Tax Increase Prevention and Reconciliation Act of 2005, interest on federally tax-exempt obligations such as the Bonds is subject to information reporting in a manner similar to interest paid on taxable obligations. Backup withholding may be imposed on payments to any owner of the Bonds that fail to provide certain required information including an accurate taxpayer identification number to any person required to collect such information pursuant to Section 6049 of the Code. The reporting requirement does not in and of itself affect or alter the excludability of interest on the Bonds from gross income for federal income tax purposes or any other federal tax consequence of purchasing, holding or selling federally tax-exempt obligations.

Changes in Federal and State Tax Law. From time to time, there are legislative proposals in the Congress and in the states that, if enacted, could alter or amend the federal and state tax matters referred to under this heading "TAX MATTERS" or adversely affect the market value of the Bonds. It cannot be predicted whether or in what form any such proposal might be enacted or whether if enacted it would apply to bonds issued prior to enactment. In addition, regulatory actions are from time to time announced or proposed and litigation is threatened or commenced which, if implemented or concluded in a particular manner, could adversely affect the market value of the Bonds. It cannot be predicted whether any such regulatory action will be implemented, how any particular litigation or judicial action will be resolved, or whether the Bonds or the market value thereof would be impacted thereby. Purchasers of the Bonds should consult their tax advisors regarding any pending or proposed legislation, regulatory initiatives or litigation. The opinions expressed by Bond Counsel are based on existing legislation and regulations as interpreted by relevant judicial and regulatory authorities as of the date of issuance and delivery of the Bonds, and Bond Counsel has expressed no opinion as of any date subsequent thereto or with respect to any pending legislation, regulatory initiatives or litigation.

Prospective purchasers of the Bonds are advised to consult their own tax advisors prior to any purchase of the Bonds as to the impact of the Code upon their acquisition, holding or disposition of the Bonds.

MISCELLANEOUS

Ratings

S&P Global Ratings ("S&P") has assigned a rating to the Bonds of "AAA" and Fitch Ratings ("Fitch") has assigned a rating to the Bonds of "AA+", both of which are reflective of the capacity of the City to fulfill its payment obligations under the Bond Ordinance. Such ratings reflect only the view of each rating agency. Any explanations of the significance of the ratings should be obtained from S&P at 55 Water Street, New York, New York 10041 or Fitch at One State Street Plaza, New York, New York, 10041.

Generally, a rating agency bases its rating on the information and materials furnished to it and on investigations, studies and assumptions of its own. There is no assurance such ratings will continue for any given period of time or that such ratings will not be revised downward or withdrawn entirely by the applicable rating agency if in the judgment of such rating agency circumstances so warrant. Any downward revision or withdrawal of such ratings may have an adverse effect on the market price of the Bonds.

Registration of Bonds

Registration or qualification of the offer and sale of the Bonds (as distinguished from registration of the ownership of the Bonds) is not required under the federal Securities Act of 1933, as amended, the Colorado Securities Act, as amended, pursuant to an exemption from registration provided in said act. THE CITY ASSUMES NO RESPONSIBILITY FOR QUALIFICATION OR REGISTRATION OF THE BONDS FOR SALE UNDER THE SECURITIES LAWS OF ANY JURISDICTION IN WHICH THE BONDS MAY BE SOLD, ASSIGNED, PLEDGED, HYPOTHECATED OR OTHERWISE TRANSFERRED.

Undertaking to Provide Ongoing Disclosure

Pursuant to the requirements of the Securities and Exchange Commission Rule 15c2-12 (17 CFR Part 240, § 240.15c2-12) (the "Rule"), the City has covenanted, for the benefit of the holders of the Bonds, to annually provide its audited financial statements (each, an "Audit"), certain annual operating and financial data ("Annual Financial Information"), and notices of certain events (should they occur) after the Bonds are issued, in accordance with the terms of a Continuing Disclosure Certificate. The form of the City's Continuing Disclosure Certificate in connection with the issuance of the Bonds is attached as APPENDIX C to this Official Statement. The City's Audits, Annual Financial Information, and any event notices are to be filed on the website of the Electronic Municipal Market Access system ("EMMA") of the Municipal Securities Rulemaking Board within the deadlines provided in the Continuing Disclosure Certificate.

During the past five years, the City has been subject to reporting requirements under previously executed continuing disclosure certificates, including a certificate in connection with the issuance of the 2020 Bonds (the "Previous Undertaking"). The City failed to timely file the Audit for its fiscal year ending December 31, 2019, as required by the Previous Undertaking. The 2019 Audit was uploaded to EMMA, along with the required notice of failure to file, on July 26, 2024. The required Annual Financial Information for fiscal year ending December 31, 2019 was timely filed on EMMA on September 24, 2020. The City takes no position as to the materiality of this omission.

The City has implemented procedures to assist it with the timely submittal of future filings for compliance with City continuing disclosure certificates. A failure by the City to comply with the requirements of the Rule will not constitute an Event of Default under the Bond Ordinance (although Bond owners will have any available remedy at law or in equity). Nevertheless, such a failure must be reported in accordance with the Rule and must be considered by any broker, dealer or municipal securities dealer before recommending the purchase or sale of the Bonds in the secondary market. Consequently, such a failure may adversely affect the transferability and liquidity of the Bonds and their market price.

Interest of Certain Persons Named in this Official Statement

The legal fees to be paid to Butler Snow LLP and to Kutak Rock LLP are contingent upon the sale and delivery of the Bonds.

Underwriting

The Bonds are being sold by the City at an underwriting discount of $332,682 to the Underwriters pursuant to a purchase contract. See "THE BONDS—Application of Bond Proceeds." Expenses associated with the issuance of the Bonds are being paid by the City from proceeds of the issue. The right of the Underwriters to receive compensation in connection with this issue is contingent upon the actual sale and delivery of the Bonds. The Underwriters have initially offered the Bonds to the public at the prices or yields set forth on the cover page of this Official Statement. Such prices or yields, as the case may be, may

subsequently change without any requirement of prior notice. The Underwriters reserve the right to join with dealers and other investment banking firms in offering the Bonds to the public.

Piper Sandler & Co., one of the Underwriters of the Bonds, has entered into a distribution agreement ("Distribution Agreement") with Charles Schwab & Co., Inc. ("CS&Co") for the retail distribution of certain securities offerings at the original issue prices. Pursuant to the Distribution Agreement, CS&Co. will purchase Bonds from Piper Sandler at the original issue price less a negotiated portion of the selling concession applicable to any Bonds that CS&Co. sells.

Municipal Advisor

Hilltop Securities Inc., Denver, Colorado (the "Municipal Advisor"), has served as Municipal Advisor to the City with respect to the sale of the Bonds. As the City's Municipal Advisor, the Municipal Advisor has assisted in the preparation of this Official Statement and in other matters relating to the planning, structuring, rating and issuance of the Bonds. In this role, the Municipal Advisor has not undertaken either to make an independent verification of or to assume responsibility for the accuracy or completeness of the information contained in the Official Statement and the appendices hereto.

Independent Auditors

The basic financial statements of the City as of and for the year ended December 31, 2023 included in this Official Statement have been audited by Independent Auditors, Forvis, LLP, Denver, Colorado, as stated in their report appearing therein. Such financial statements and auditor's opinion have been included without prior review or consent of the auditor.

Additional Information

Copies of statutes, ordinances, resolutions, opinions, contracts, agreements, financial and statistical data, and other related reports and documents described in this Official Statement are either publicly available or available upon request and the payment of a reasonable copying, mailing, and handling charge from the sources noted in Introduction.

Official Statement Certification

The preparation of this Official Statement and its distribution have been authorized by the City Council. This Official Statement is hereby duly approved by the City Council as of the date on the cover page hereof. This Official Statement is not to be construed as an agreement or contract between the City and the purchasers or holders of any Bond.

CITY OF WESTMINSTER, COLORADO

By /s/ Nancy McNally
Mayor

[THIS PAGE INTENTIONALLY LEFT BLANK]

APPENDIX A

SELECTED DEFINITIONS AND SUMMARY OF ORDINANCE PROVISIONS

The selected definitions and summary of ordinance provisions described below contemplate the issuance of the Bonds.

DEFINITIONS

Acquisition Fund: the Water and Wastewater Utilities Enterprise, Water and Wastewater Revenue Bonds, Series 2024 Bonds Acquisition Fund.

Beneficial Owners: those Persons having beneficial ownership interests the Bonds and registered in the name of the Securities Depository or a nominee therefor.

Bond Purchase Agreement: the Bond Purchase Agreement concerning the purchase of the Bonds, between the Enterprise and the Purchaser.

Bonds: the City's Water and Wastewater Utility Enterprise, Water and Wastewater Revenue Bonds, Series 2024.

Business Day: a day on which banks located in Denver, Colorado, and the cities in which are located the Principal Operations Office of each of the Paying Agent and the Registrar are not required or authorized to be closed and on which the New York Stock Exchange is not closed.

Capital Improvements: the acquisition of land, water rights, easements, facilities, and equipment (other than ordinary repairs and replacements), and those property improvements or any combination of property improvements that will constitute enlargements, extensions or betterments to the System and will be incorporated into the System.

Charter: the home rule Charter of the City as amended, to the date of delivery of the Bonds.

City: the City of Westminster, Colorado.

Combined Maximum Annual Debt Service Requirements: the largest sum of principal and interest due in any Fiscal Year on all issues of Securities for which the computation is being made for the period beginning with the Fiscal Year in which such computation is made and ending with the Fiscal Year in which any such Security last becomes due.

Commercial Bank: a state or national bank or trust company in good standing located in or incorporated under the laws of any state of the United States of America which is subject to examination by federal or state authorities, which is a member of the Federal Deposit Insurance Corporation and of the Federal Reserve System and which has capital and surplus of $75,000,000.

Continuing Disclosure Certificate: the undertaking executed by officers of the Enterprise simultaneous with the delivery of the Bonds that enables the Purchaser to comply with the Rule.

Council: the City Council of the City, acting as the governing body of the Enterprise.

C.R.S.: the Colorado Revised Statutes, as amended to the date of delivery of the Bonds.

Debt Service Requirements: the principal of, interest on, and any premium due in connection with the Bonds, the Parity Securities, or the Subordinate Securities, as the context so requires, heretofore or hereafter issued, if any, or such part of such Securities as may be designated.

Enterprise: the City of Westminster, Colorado, Water and Wastewater Utility Enterprise, which consists of the City's Water Facilities, Wastewater Facilities, and Stormwater Facilities.

Enterprise Ordinance: Ordinance No. 2264, Series of 1994, of the City, as amended by Ordinance No. 3758, Series of 2014, authorizing the Enterprise to have and exercise certain powers in furtherance of its purposes.

Event of Default: one of the events described below under the heading titled "Default Provisions and Remedies of Bond Owners—*Events of Default*."

Federal Securities: bills, certificates of indebtedness, notes, or bonds which are direct obligations of the United States of America or are obligations the principal and interest of which are unconditionally guaranteed by the United States of America.

Fiscal Year: the twelve (12) months commencing on the first day of January of any calendar year and ending on the last day of December of such calendar year or such other twelve-month period as may from time to time be designated by the Council as the Fiscal Year of the Enterprise.

Income: all income from (i) rates, fees, tolls, and charges and tap fees, or any combination thereof, but not special assessments, for the services furnished by, or the direct or indirect connection with, or the use of, or any commodity from the System, including, without limiting the generality of the foregoing, minimum charges, charges for the availability of service, disconnection fees, reconnection fees, and reasonable penalties for any delinquencies, and (ii) all income or other gain, if any, from any investment of Pledged Revenues and of the proceeds of Securities (except income or other gain from any investment of moneys held in an escrow fund for the defeasance of Securities or any other similar fund) to the extent not required to be rebated to the federal government; but excluding any moneys received as grants, appropriations or gifts from the Federal Government, the State, or other sources, the use of which is limited by the grantor or donor to the construction of Capital Improvements, except to the extent any such moneys shall be received as payments for the use of the System, services rendered thereby, the availability of any such service, or the disposal of any commodities therefrom.

Independent Auditor: any certified public accountant, or any firm of such accountants, duly licensed to practice and practicing as such under the laws of the State, appointed and paid by the Enterprise or the City, who (a) is, in fact, independent and not under the domination of the City or the Enterprise, (b) does not have any substantial interest, direct or indirect, in any of the affairs of the Enterprise or the City, and (c) is not connected with the Enterprise or the City as a member, officer or employee, but who may be regularly retained to make annual or similar audits of any books or records of the Enterprise or the City.

Manager: the City Manager of the City, acting as the Manager of the Enterprise.

Operation and Maintenance Expenses: such reasonable and necessary current expenses of the City, paid or accrued, of operating, maintaining and repairing the System as may be determined by the City, including, except as limited by contract or otherwise limited by law, without limiting the generality of the foregoing:

(1) engineering, auditing, legal and other overhead expenses directly related and reasonably allocable to the administration, operation and maintenance of the System;

(2) fidelity bond and insurance premiums appertaining to public officials or the System;

(3) the reasonable charges of any paying agent, registrar, or depository appertaining to any Outstanding Securities;

(4) annual payments to pension, retirement, health and hospitalization funds appertaining to the System;

(5) any taxes, assessments, franchise fees or other charges or payments in lieu of the foregoing;

(6) ordinary and current rentals of equipment or other property;

(7) contractual services, professional services, salaries, administrative expenses, and costs of labor appertaining to the System, the cost of water purchased for delivery through the System, and the cost of materials and supplies used for current operation of the System;

(8) the costs incurred in the billing and collection of all or any part of the Pledged Revenues;

(9) any costs of utility services furnished to the System by the City or otherwise.

Operation and Maintenance Expenses does not include:

(1) any allowance for depreciation;

(2) any costs of reconstruction, improvement, extension, or betterment;

(3) any accumulation of reserves for capital replacements;

(4) any reserves for operation, maintenance, or repair of the System;

(5) any allowance for the redemption of any Securities or the payment of any interest thereon;

(6) any liabilities incurred in the acquisition of any Water Facilities or Wastewater Facilities;

(7) any other ground of legal liability not based on contract.

Operation and Maintenance Fund: the expense accounts within the Water and Wastewater Utility Fund used by the City for the payment of Operation and Maintenance Expenses described in the Ordinance.

Ordinance: the Ordinance of the Enterprise authorizing the issuance of the Bonds and subject to the parameters set forth in the Ordinance and confirmed in the Sale Certificate.

Outstanding: as of any particular date, all Bonds, the Parity Bonds or any other Securities that have been authorized, executed and delivered except the following:

(1) any Bond, Parity Bonds, or other such Security cancelled by the Enterprise, by the Paying Agent or otherwise on behalf of the Enterprise on or before such date, except any Bond described in the last paragraph of the section below entitled "Defeasance;"

(2) any Bond, the Parity Bonds, or other such Security held by or on behalf of the Enterprise or the City;

(3) any Bond, Parity Bond or other such Security for the payment or the redemption of which moneys or Federal Securities sufficient (including the known minimum yield available for such purpose from Federal Securities in which such amount wholly or in part may be initially invested) to pay all of the Debt Service Requirements of such Bond, Parity Bond or other such Security to the maturity date or specified Redemption Date thereof shall have theretofore been deposited in escrow or in trust with a Trust Bank for that purpose; and

(4) any lost, destroyed, or wrongfully taken Bond, Parity Bond, or other such Security in lieu of or in substitution for which another Bond, Parity Bond or other Security shall have been executed and delivered.

Owner: the holder of any bearer instrument or registered owner of any registered instrument.

Parity Bonds: the 2016 Bonds, the 2019 Bonds, the 2020 Bonds, the 2020 CWRPDA Loan, and any Securities hereafter issued payable from and having an irrevocable lien upon the Pledged Revenues equally or on a parity with the Bonds.

Participants: underwriters, securities brokers or dealers, banks, trust companies, closing corporations or other Persons for which or whom the Securities Depository holds the Bonds.

Paying Agent: U.S. Bank Trust Company, National Association, Denver, Colorado, or its successors.

Paying Agent Agreement: the Paying Agent and Registrar Agreement between the Enterprise and the Paying Agent executed and delivered concurrently with the Bonds.

Permitted Investments: any obligations permitted by the ordinances of the City, the Charter, and, to the extent applicable, the laws of the State.

Person: any individual, firm, partnership, corporation, company, association, joint stock association or body politic or any trustee, receiver, assignee or similar representative thereof.

Pledged Revenues: all Income remaining after the deduction of Operation and Maintenance Expenses.

Preliminary Official Statement: the Preliminary Official Statement prepared in connection with the sale and issuance of the Bonds issued pursuant to the Ordinance.

President: the Mayor of the City, acting as the President of the Enterprise.

Principal and Interest Fund: the special account within the Water and Wastewater Utility Fund designated by the City as the "Water and Wastewater Utilities Enterprise, Water and Wastewater Revenue Bonds, Series 2024 Debt Service Account," and other similar accounts hereafter established for Parity Bonds created and referred to in the Ordinance.

Principal Operations Office: the principal operations office of the Registrar and Paying Agent as designated in writing to the Enterprise from time to time.

Project: the land, facilities and rights constructed, installed, purchased and otherwise acquired for the System, the cost of which is to be defrayed with a portion of the proceeds of the Bonds and which constitutes Capital Improvements.

Purchaser: the underwriter or underwriters as so named in the Sale Certificate.

Rebate Fund: the special account or accounts within the Water and Wastewater Utility Fund designated as the "City of Westminster, Colorado, Water and Wastewater Utility Enterprise, Water and Wastewater Revenue Bonds, Series 2024, Rebate Fund" created and referred to in the Ordinance.

Redemption Date: the date fixed for the redemption prior to maturity of any Securities in any notice of prior redemption given by or on behalf of the Enterprise.

Registrar: U.S. Bank Trust Company, National Association, Denver, Colorado, or its successors, for the Bonds.

Regular Record Date: the fifteenth day of the calendar month next preceding an interest payment date for the Bonds, whether or not a Business Day.

Reserve Fund: if required, the special accounts within the Water and Wastewater Utility Fund designated by the City as the "Water and Wastewater Utility Enterprise, Water and Wastewater Revenue Bonds, Series 2024, Reserve Account," created and referred to in the Ordinance.

Reserve Fund Requirement: if a Reserve Fund is required, the amount set forth in the Sale Certificate with respect to the issuance of the Bonds.

Rule: Rule 15c2-12 promulgated by the SEC under the Securities Exchange Act of 1934, as amended (17 CFR Part 240, § 240.15c2-12).

Sale Certificate: the sale certificate of the City relating to the Bonds issued pursuant to the Supplemental Public Securities Act and described in the Ordinance.

SEC: the U.S. Securities and Exchange Commission.

Security or Securities: any bond, warrant, note, loan agreement, multiple fiscal year financial obligation or evidence of borrowing payable from and secured by a lien on the Pledged Revenues.

Securities Depository: The Depository Trust Company, a limited purpose trust company organized under the laws of the State of New York, with respect to the Bonds.

Special Record Date: the date fixed by the Paying Agent for the determination of ownership of Bonds for the purpose of paying interest not paid when due or interest accruing after maturity.

State: the State of Colorado.

Stormwater Facilities: Any one or more of the various devices used in the collection, treatment, or disposition of storm, flood or surface drainage waters, including all manmade structures or natural watercourses for the conveyance of runoff, such as: detention areas, berms, swales, improved watercourses, channels, bridges, gulches, wetland areas, streams, gullies, flumes, culverts, gutters, pumping stations, pipes, ditches, siphons, catch basins and street facilities; all inlets; collection, drainage, or disposal lines; intercepting sewers; disposal plants; settling basins; outfall sewers; all pumping, power and other equipment and appurtenances; all extension, improvements, remodeling, additions, and alterations thereof; and any and all rights or interests in such stormwater facilities. ***Revenues from the Stormwater Facilities are not pledged to the payment of the Bonds***.

Subordinate Securities: Securities previously or hereafter issued having a lien on the Pledged Revenues subordinate or junior to the lien thereon of the Bonds. Currently, the Enterprise has outstanding its Subordinate Water and Wastewater Revenue Bonds, Series 2005. The Subordinate Securities are currently evidenced by a loan agreement with the Colorado Water Resources and Power Development Authority.

Supplemental Act: the Supplemental Public Securities Act, constituting Title 11, Article 57, Part 2, C.R.S.

Surety Bond: any surety bond, insurance policy, letter of credit or similar instrument or agreement guaranteeing certain payments into the Reserve Fund as provided therein and subject to the limitations set forth therein.

System: the Water Facilities and the Wastewater Facilities of the City owned and operated by the City as a single utility system.

Tax Code: the Internal Revenue Code of 1986, as amended to the date of delivery of the Bonds, and any regulations promulgated thereunder.

Tax Compliance Certificate: the Tax Compliance and No Arbitrage Certificate executed by the Enterprise in connection with the initial issuance and delivery of the Bonds.

Term Bonds: Bonds that are payable on or before their specified maturity dates from sinking fund payments established for that purpose and calculated to retire such Bonds on or before their specified maturity dates.

2016 Bonds: the City of Westminster, Colorado, Water and Wastewater Utility Enterprise, Water and Wastewater Revenue Bonds, Series 2016.

2019 Bonds: the City of Westminster, Colorado, Water and Wastewater Utility Enterprise, Water and Wastewater Revenue Bonds, Series 2019.

2020 CWRPDA Loan: The loan from the CWRPDA pursuant to the terms of a Loan Agreement, which loan is evidenced by a governmental agency bond, dated as of May 1, 2020, and which payments coming due under the loan are on a parity with the 2016 Bonds, the 2019 Bonds, the 2020 Bonds and the Bonds.

2020 Bonds: the City of Westminster, Colorado, Water and Wastewater Utility Enterprise, Water and Wastewater Revenue Refunding Bonds, Series 2020.

Treasurer: the Chief Financial Officer of the City, or his or her successor in functions, if any, acting as treasurer for the Enterprise.

Trust Bank: a Commercial Bank which is authorized to exercise and is exercising trust powers.

Wastewater Facilities: any one or more of the various devices used in the collection, treatment, or disposition of sewage and industrial wastes of a liquid nature, including, without limitation, all inlets; collection, drainage, or disposal lines; intercepting sewers; wastewater disposal plants; outfall sewers; sewage lagoons; all pumping, power, and other equipment and appurtenances; all extensions, improvements, remodeling, additions and alterations thereof; any and all rights or interests for such wastewater facilities; and all other necessary, incidental, or appurtenant properties, facilities, equipment, and costs relating to the foregoing.

Water and Wastewater Utility Fund: the self-balancing group of accounts heretofore created by the City as an enterprise fund to record all financial activity of the Enterprise referred to in the Ordinance.

Water Facilities: water rights, raw water and any one or more works and improvements used in and as a part of the collection, treatment, or distribution of water for the beneficial uses and purposes for which the water has been or may be appropriated, including, but not limited to, uses for domestic, municipal, irrigation, power, and industrial purposes and including construction, operation, and maintenance of a system of raw and clear water and distribution storage reservoirs, deep and shallow wells, pumping, ventilating, and gauging stations, inlets, tunnels, flumes, conduits, canals, collection, transmission, and distribution lines, infiltration galleries, hydrants, meters, filtration and treatment plants and works, power plants, all pumping, power, and other equipment and appurtenances, all extensions, improvements, remodeling, additions, and alterations thereof, and any and all rights or interests in such works and improvements, and all other necessary, incidental, or appurtenant properties, facilities, equipment and costs relating to the foregoing.

SUMMARY OF ORDINANCE PROVISIONS

In addition to the summaries contained in the Official Statement, the following constitutes summaries of certain portions of the Ordinance. The following summaries do not purport to be complete and reference is hereby made to the full text of the Ordinance for a complete description thereof. Capitalized terms used in the following summary shall have the meanings as set forth in the Official Statement and under the preceding heading "Definitions."

Completion of Project

When the Project is completed in accordance with the relevant plans and specifications and all amounts due therefor, including all proper incidental expenses and all administrative costs of the Project, are paid, or for which full provision is made, the Treasurer, to the extent permitted by the Tax Compliance Certificate, shall cause all surplus moneys remaining in the Acquisition Fund, if any, except for any moneys designated in the certificate to be retained to pay any unpaid accrued costs or continent obligations, to be transferred as follows: to the Rebate Fund so as to enable the Enterprise to comply with the requirements of the Tax Compliance Certificate, (b) to the Reserve Fund to such extent as shall not cause the amount in the Reserve Fund to exceed the Reserve Fund Requirement and (c) to the Principal and Interest Fund to the extent of any remaining balance of such moneys to be applied against the next principal payment or payments coming due on the Bonds. Nothing herein prevents the transfer from the Acquisition Fund to the Principal and Interest Fund, at any time prior to the termination of the Acquisition Fund, of any moneys which the Treasurer by certificate determines will not be necessary for the Project and will not be designated to be transferred to the Rebate Fund.

General Administration of Funds

Places and Times of Deposits. Except as otherwise provided in the Ordinance, each of the special funds or accounts described in the Ordinance shall be maintained as a book account and kept separate from all other accounts as a trust account solely for the purposes in the Ordinance designated therefor. The moneys accounted for in such special book accounts may be in one or more bank accounts in one or more Commercial Banks. Each such bank account shall be continuously secured to the fullest extent required or permitted by the laws of the State for the securing of public funds and shall be irrevocable and not withdrawable by anyone for any purpose other than the respective designated purposes. Each periodic payment shall be credited to the proper book account not later than the date therefor in the Ordinance designated, except that when any such date shall not be a Business Day, then such payment shall be made on or before the next preceding Business Day. Moneys shall be deposited with the Paying Agent for the Bonds pursuant to the terms of the Paying Agent Agreement at such times and in such amounts as is sufficient to pay the Debt Service Requirements then becoming due on the Outstanding Bonds.

Investment of Funds. Any moneys in the Acquisition Fund, Income Fund, Bond Fund, Reserve Fund, and Rebate Fund and not needed for immediate use shall be invested or reinvested by the Treasurer in Permitted Investments. Any of such funds may be held by the Enterprise or may be deposited and held by the Paying Agent at the direction of the Enterprise. All such investments shall (a) either be subject to redemption at any time at a fixed value by the holder thereof at the option of such holder, or (b) mature not later than the estimated date or respective dates on which the proceeds are to be expended as estimated by the Treasurer at the time of such investment or reinvestment; provided that (1) Permitted Investments credited to the Reserve Fund shall not mature later than ten years from the date of such investment or reinvestment and (2) collateral securities of any Permitted Investments may have a maturity of more than five years from the date of purchase thereof. For the purpose of any such investment or reinvestment, Permitted Investments shall be deemed to mature at the earliest date on which the obligor is, on demand, obligated to pay a fixed sum in discharge of the whole of such obligations.

No Liability for Losses Incurred in Performing Terms of Ordinance. Neither the Enterprise nor the City nor any officer thereof shall be liable or responsible for any loss resulting from any investment or reinvestment made in accordance with the Ordinance.

Character of Funds. Except as provided in the Ordinance, the moneys in any fund in the Ordinance authorized shall consist of lawful money of the United States of America or Permitted Investments or both such money and Permitted Investments. Moneys deposited in a demand or time deposit account in a Commercial Bank or other depository, appropriately secured according to the ordinances of the City and, to the extent applicable, the laws of the State, shall be deemed lawful money of the United States of America.

Accelerated Payments Optional. Nothing contained in the Ordinance prevents the accumulation in any fund designated in the Ordinance of any monetary requirements at a faster rate than the rate or minimum rate, as the case may be, provided therefor, but no payment shall be so accelerated if such acceleration shall cause a default in the payment of any obligation of the Enterprise pertaining to the Income.

Priorities; Liens; Issuance of Parity Bonds

Liens on Pledged Revenues; Equality of Bonds, Parity Bonds: The Pledged Revenues shall be and are by the Ordinance irrevocably pledged and set aside to pay the Debt Service Requirements of the Bonds.

The Bonds constitute an irrevocable lien (but not necessarily an exclusive lien) upon the Pledged Revenues that is on a parity with the 2016 Bonds, the 2019 Bonds and the 2020 CWRPDA Loan and at all times senior and superior to the lien thereon of the Subordinate Securities pursuant to the terms of the Ordinance.

The Bonds, the 2016 Bonds, the 2019 Bonds, the 2020 Bonds, the 2020 CWRPDA Loan, and any Parity Bonds authorized to be issued and from time to time Outstanding are equitably and ratably secured by a lien on the Pledged Revenues and shall not be entitled to any priority one over the other in the application of the Pledged Revenues regardless of the time or times of the issuance thereof, it being the intention of the Enterprise that there shall be no priority among the Bonds, the 2016 Bonds, the 2019 Bonds, the 2020 Bonds, the 2020 CWRPDA Loan, and Parity Bonds, regardless of the fact that they may be actually issued and delivered at different times.

Issuance of Parity Bonds: Nothing in the Ordinance, subject to the limitations stated in the paragraph below under the subheading titled "*—Superior Securities Prohibited*," prevents the issuance by the Enterprise or the City of Parity Bonds; but before any such Parity Bonds are authorized or actually issued, the following conditions shall be satisfied:

(1) Absence of default. At the time of the adoption of the supplemental ordinance or other instrument authorizing the issuance of the Parity Bonds as provided in the paragraph below under the subheading titled "*—Superior Securities Prohibited*," the Enterprise shall not be in default in making any payments required by Section 5 of the Ordinance and there shall not have occurred and be continuing any Event of Default.(2) Historic Revenues Tests. Except as hereinafter provided in the case of Parity Bonds issued for the purpose of refunding all or any part of the Bonds, the 2016 Bonds, the 2019 Bonds, the 2020 Bonds, the 2020 CWRPDA Loan, and other Parity Bonds then Outstanding, the Pledged Revenues for the last complete Fiscal Year prior to the issuance of the proposed Parity Bonds, as certified by the Treasurer, must have been equal to at least the sum of one hundred twenty percent (120%) of the Combined Maximum Annual Debt Service Requirements of the 2016 Bonds, the 2019 Bonds, the 2020 Bonds, the 2020 CWRPDA Loan, the Bonds then Outstanding, any Parity Bonds then Outstanding, and the Parity Bonds proposed to be issued. If any adjustment in water or wastewater rates, fees, tolls or charges or tap fees, or any combination thereof, is approved by the City Council during such Fiscal Year, the Treasurer shall adjust the calculation of the Pledged Revenues to reflect the amount thereof that would have been received if such adjustment had been in effect throughout such Fiscal Year.

At such time as the 2016 Bonds, the 2019 Bonds, and the 2020 Bonds are no longer Outstanding, additional Parity Obligations may be issued so long as the Pledged Revenues derived in any consecutive 12 month period within the 18 months immediately preceding the date of issuance of the additional Parity Obligations shall not be less than 120% of the Combined Maximum Annual Debt Service Requirements of any Outstanding Parity Bonds, and the Parity Bonds proposed to be issued and 100% of any Subordinate Securities then due and owing, if any, except as otherwise expressly provided, and the preceding test shall no longer apply.

For purposes of this paragraph and the preceding paragraph, when computing the Combined Maximum Annual Debt Service Requirements for any issue of Parity Bonds or Subordinate Securities bearing interest at a variable, adjustable, convertible or other similar rate which is not fixed for the entire term thereof, it shall be assumed that any such Parity Bonds or Subordinate Securities Outstanding at the time of the computation will bear interest during any period at the highest of (a) the actual rate on the date of calculation, or if the Parity Bonds or Subordinate Securities are not yet outstanding, the initial rate (if established and binding), (b) if the Parity Bonds or Subordinate Securities have been outstanding for at least twelve (12) months, the average rate over the twelve (12) months immediately preceding the date of calculation, and (c) (i) if interest on the Parity Bonds or Subordinate Securities is excludable from gross income under the applicable provisions of the Tax Code, the most recently published Bond Buyer 25 Bond Revenue Index (or comparable index if no longer published) plus fifty (50) basis points, or (ii) if interest is not so excludable, the interest rate on direct Federal Securities with comparable maturities plus fifty (50) basis points. It shall further be assumed that any such Parity Bonds or Subordinate Securities which may be tendered prior to maturity for purchase at the option of the Owner thereof will mature on their stated maturity dates or mandatory Redemption Dates. The Enterprise or the City shall be permitted to treat any fixed rate payable on an interest rate exchange agreement or "swap" contract as the interest rate on any such issue of Parity Bonds or Subordinate

Securities if the counterparty to such agreement or contract has unconditionally agreed to pay all interest due on such Parity Bonds or Subordinate Securities. In the case of Parity Bonds issued for the purpose of refunding all or any part of the Bonds or other Parity Bonds then Outstanding, compliance with this paragraph shall not be required so long as the Debt Service Requirements payable on all Bonds and other Parity Bonds Outstanding after the issuance of such proposed Parity Bonds on each interest payment date does not exceed the Debt Service Requirements payable on all Bonds and other Parity Bonds Outstanding prior to the issuance of such proposed Parity Bonds on such interest payment dates.

Certification of Historic Revenues: Where certifications of historic revenues are required by the Ordinance, the specified and required written certifications of the Treasurer that revenues are sufficient to pay the required amounts shall be conclusively presumed to be accurate in determining the right of the Enterprise to authorize, issue, sell and deliver Parity Bonds.

Subordinate Securities Permitted: Nothing in the Ordinance, except the limitations stated in the paragraph below under the subheading titled "*—Superior Securities Prohibited*," prevents the Enterprise or the City from issuing Subordinate Securities for any lawful purpose.

Superior Securities Prohibited: Neither the Enterprise nor the City shall issue any bonds with a lien on the Pledged Revenues which is senior or superior to the lien on the Bonds.

Supplemental Ordinances: Parity Bonds or Subordinate Securities shall be issued only after authorization thereof by ordinance, supplemental ordinance or other instrument in substantially the same form as the Ordinance, stating the purpose or purposes of the issuance of such additional Securities, directing the application of the proceeds thereof to such purpose or purposes, directing the execution thereof, and fixing and determining the date, series designation, principal amount, maturity or maturities, maximum rate or rates of interest, and prior redemption privileges with respect thereto, and providing for payments to and from the Water and Wastewater Utility Fund in accordance with the Ordinance. All additional Securities shall bear such date, shall be payable as to principal and interest on such dates and shall be subject to redemption prior to maturity on such terms and conditions, as may be provided, and shall bear interest at such rate or rates as may be fixed by ordinance, instrument or other document.

Covenants

The Enterprise hereby particularly covenants and agrees with the Owners of the Bonds from time to time, and makes provisions which shall be a part of the contract with such Owners, which covenants and provisions shall be kept by the Enterprise or the City continuously until all of the Bonds have been fully paid and discharged:

Rate Maintenance: The City shall prescribe, revise, and collect water and wastewater rates, fees, tolls, and charges and tap fees or any combination thereof, which shall produce Income sufficient, together with any other moneys legally available therefor and deposited in the Water and Wastewater Utility Fund, to make the payments and accumulations required by the Ordinance and which shall produce Pledged Revenues in each Fiscal Year sufficient, together with all other moneys legally available therefor and deposited in the Water and Wastewater Utility Fund after payment of Operation and Maintenance Expenses, to pay an amount at least equal to one hundred ten percent (110%) of the actual Debt Service Requirements due in such Fiscal Year for the Outstanding 2016 Bonds, the Outstanding 2019 Bonds, the Outstanding 2020 Bonds, the 2020 CWRPDA Loan, the Outstanding Bonds and any Outstanding Parity Bonds, 100% of the Debt Service Requirements of the Subordinate Securities, plus any amounts required to meet then

existing deficiencies pertaining to any fund relating to the Pledged Revenues or any Securities payable therefrom, including, without limitation, any reserve funds. For purposes of this paragraph, when computing the actual Debt Service Requirements for any issue of Parity Bonds or Subordinate Securities bearing interest at a variable, adjustable, convertible or other similar rate which is not fixed for the entire term thereof, it shall be assumed that any such Parity Bonds or Subordinate Securities Outstanding at the time of the computation will bear interest during any period at the actual rate applicable during said period. It shall further be assumed that any such Parity Bonds or Subordinate Securities which may be tendered prior to maturity for purchase at the option of the Owner thereof will mature on their stated maturity dates or mandatory Redemption Dates. The Enterprise shall be permitted to treat any fixed rate payable on an interest rate exchange agreement or "swap" contract as the interest rate on any such issue of Parity Bonds or Subordinate Securities if the counterparty to such agreement or contract has unconditionally agreed to pay all interest due on such Parity Bonds.

In the event that such rates, fees, tolls, and charges and tap fees at any time should not be sufficient to make all of the payments and accumulations required by the Ordinance, the City shall increase its rates, fees, tolls, and charges and tap fees to such extent as to insure the payments and accumulations required by the provisions of the Ordinance.

Collection of Charges: The City shall cause all water and wastewater rates, fees, tolls, and charges and tap fees to be billed promptly and collected as soon as reasonable, shall prescribe and enforce rules and regulations or impose contractual obligations for the payment thereof, to the end that the Pledged Revenues shall be adequate to meet the requirements of the Ordinance and any other ordinance or instrument supplemental thereto. The rates, fees, tolls, and charges and tap fees due shall be collected in any lawful manner.

Competent Management: The City shall employ experienced and competent management personnel for each component of the System. If the Enterprise shall fail to pay the Debt Service Requirements of the Bonds promptly as the same become due, or if the Enterprise or the City shall fail to keep any of the covenants contained in the Ordinance, and if such default shall continue for a period of sixty (60) days, or if the Pledged Revenues in any Fiscal Year, together with other legally available moneys deposited in the Water and Wastewater Utility Fund, shall fail to equal at least the amount of the Debt Service Requirements of the Outstanding Bonds and other Outstanding Securities due in the same Fiscal Year, the City shall retain a firm of competent management Persons skilled in the operation of water and wastewater facilities to assist in the management of the System so long as such default continues or the said revenues, proceeds and income are less than the amount hereinabove designated.

Performance of Duties: The City, acting by and through its officers, or otherwise, shall faithfully and punctually perform, or cause to be performed, all duties with respect to the Income and the System required by the Constitution and laws of the State and the ordinances, resolutions and contracts of the Enterprise or the City, including, without limitation, the proper segregation of the proceeds of the Bonds and the Income and their application from time to time to the respective funds provided therefor.

Costs of Bonds and of Performance: Except as otherwise specifically provided in the Ordinance, all costs and expenses incurred in connection with the issuance of the Bonds, payment of the Debt Service Requirements thereof or the performance of or compliance with any covenant or agreement contained in the Ordinance shall be paid exclusively (but only from the appropriate special fund in the manner authorized in the Ordinance) from the proceeds of the Bonds, from the

Pledged Revenues, or from other legally available moneys, and in no event shall any of such costs or expenses be required to be paid out of or charged to the general fund of the City.

Contractual Obligations: The Enterprise shall perform all contractual obligations undertaken by it under the Bond Purchase Agreement, and the Enterprise or the City shall perform all contractual obligations undertaken by it under any other agreements relating to the Bonds, the Income, the Project, or the System.

Further Assurances: At any and all times the Enterprise or the City shall, so far as it may be authorized by law, pass, make, do, execute, acknowledge, deliver, and file or record all and every such further instruments, acts, deeds, conveyances, assignments, transfers, other documents, and assurances as may be necessary or desirable for the better assuring, conveying, granting, assigning and confirming all and singular the rights, the Pledged Revenues and other funds pledged by the Ordinance, or intended so to be, or which the Enterprise or the City may hereafter become bound to pledge, or as may be reasonable and required to carry out the purposes of the Ordinance. The Enterprise, acting by and through its officers, or otherwise, shall at all times, to the extent permitted by law, defend, preserve and protect the pledge of the Pledged Revenues and other funds pledged under the Ordinance and all the rights of every Owner of any of the Bonds against all claims and demands of all Persons whomsoever.

Conditions Precedent: Upon the date of issuance of the Bonds, all conditions, acts and things required by the Constitution or laws of the United States of America, the Constitution or laws of the State, the Charter, the Supplemental Act, Title 37, Article 45.1, the Enterprise Ordinance, and the Ordinance to exist, to have happened, and to have been performed precedent to or in the issuance of the Bonds shall exist, have happened and have been performed, and the Bonds, together with all other obligations of the Enterprise or the City, shall not contravene any debt or other limitation prescribed by the Constitution or laws of the United States of America or the Constitution or laws of the State, the Charter or the Enterprise Ordinance.

Efficient Operation and Maintenance: The City shall at all times operate the System properly and in a sound and economical manner. The City shall maintain, preserve and keep the System properly or cause the same so to be maintained, preserved, and kept, with the appurtenances and every part and parcel thereof in good repair, working order and condition, and shall from time to time make or cause to be made all necessary and proper repairs, replacements and renewals so that at all times the maintenance of the System may be properly and advantageously conducted. All salaries, fees, wages and other compensation paid by the City in connection with the repair, maintenance and operation of the System shall be fair and reasonable.

Records and Accounts: The City shall keep proper books of record and account showing complete and correct entries of all transactions relating to the funds referred to in the Ordinance.

Rules, Regulations and Other Details: The City, acting by and through its officers, shall establish and enforce reasonable rules and regulations governing the construction, operation, care, repair, maintenance, management, control, use, commodities, and services of the System. The City shall observe and perform all of the terms and conditions contained in the Ordinance and shall comply with all valid acts, rules, regulations, orders and directives of any legislative, executive, administrative or judicial body applicable to the System or the City.

Payment of Governmental Charges: The Enterprise shall pay or cause to be paid all taxes and assessments or other municipal or governmental charges, if any, lawfully levied or assessed upon or in respect of the System or upon any part thereof or upon any portion of the Income, when

the same shall become due, and shall duly observe and comply with all valid requirements of any municipal or governmental authority relative to the System, or any part thereof, except for any period during which the same are being contested in good faith by proper legal proceedings. The Enterprise shall not create or suffer to be created any lien or charge upon the System, or any part thereof, or upon the Income, except the pledge and lien created by the Ordinance for the payment of the Debt Service Requirements due in connection with the Bonds and except as otherwise permitted in the Ordinance. The Enterprise shall pay or cause to be discharged or shall make adequate provision to satisfy and to discharge, within ninety (90) days after the same shall become payable, all lawful claims and demands for labor, materials, supplies or other objects which, if unpaid, might by law become a lien upon the System, or any part thereof, or the Income, but nothing in the Ordinance requires the Enterprise to pay or to cause to be discharged or to make provision for any such tax, assessment, lien or charge, so long as the validity thereof is contested in good faith and by appropriate legal proceedings.

Protection of Security: The Enterprise and the City and their officers, agents and employees shall not take any action in such manner or to such extent as might prejudice the security for the payment of the Debt Service Requirements of the Bonds according to the terms thereof. No contract shall be entered into nor any other action taken by which the rights of any Owner of any Bonds might be prejudicially and materially impaired or diminished.

Accumulation of Interest Claims: In order to prevent any accumulation of claims for interest after maturity, the Enterprise shall not directly or indirectly extend or assent to the extension of the time for the payment of any claim for interest on any of the Bonds; and the Enterprise shall not directly or indirectly be a party to or approve any arrangements for any such extension or for the purpose of keeping alive any of such claims for interest. If the time for the payment of any such installment of interest is extended in contravention of the foregoing provisions, such installment or installments of interest after such extension or arrangement shall not be entitled in case of default under the Ordinance to the benefit or the security of the Ordinance, except upon the prior payment in full of the principal of all of the Bonds.

Prompt Payment of Bonds: The Enterprise shall promptly pay the Debt Service Requirements of every Bond on the dates and in the manner specified in the Ordinance and in the Bonds according to the true intent and meaning of the Ordinance.

Use of Funds: The funds described in the Ordinance shall be used solely and only, and the moneys deposited in such funds are by the Ordinance pledged, for the purposes described in the Ordinance, subject to terms under the caption "Defeasance."

Additional Securities: Neither the Enterprise nor the City shall hereafter issue any Securities, other than the Bonds, without compliance with the requirements with respect to the issuance of Parity Bonds set forth in the Ordinance to the extent applicable.

Other Liens: Other than the 2016 Bonds, the 2019 Bonds, the 2020 Bonds, the 2020 CWRPDA Loan and the Subordinate Securities issued by the Enterprise in 2005, there are no liens or encumbrances of any nature whatsoever on or against the System, or any part thereof, or on or against the Pledged Revenues.

Disposal of System Prohibited: Subject to the provisions contained in the subheading "—*Disposal of Property*" below, except for the use of the System and the sale of commodities or services pertaining thereto in the normal course of business, neither all nor a substantial part of the System shall be sold, mortgaged, pledged, encumbered, alienated or otherwise disposed of, until

all of the Bonds have been paid in full, as to all Debt Service Requirements thereof, or unless provision has been made therefor, or until the Bonds have otherwise been redeemed, including, without limitation, the termination of the pledge in the Ordinance as authorized. Subject to the provisions contained in "*—Disposal of Property*" below, the City shall not dispose of its title to the System or to any useful part thereof, including any property necessary to the operation and use of the System and the lands and interests in lands comprising the System.

Fidelity Bonds or Insurance: Each official or other person having custody of any Pledged Revenues or responsible for their handling shall be fully bonded or insured at all times, which bond or insurance shall be conditioned upon the proper application of said moneys. Nothing in the Ordinance shall be construed to prohibit the City from providing any insurance required under the Ordinance by an actuarially sound self-insurance plan or program.

Tax Covenant: The Enterprise and the City covenant for the benefit of the registered owners of the Bonds that it will not take any action or omit to take any action with respect to the Bonds, the proceeds of the Bonds, any other funds of the Enterprise or the facilities financed or refinanced with the proceeds of such Bonds if such action or omission (i) would cause the interest on the Bonds to lose its excludability from gross income for federal income tax purposes under Section 103 of the Tax Code, in effect on the date of delivery of the Bonds, (ii) would cause interest on the Bonds to become a specific preference item for purposes of federal alternative minimum tax under the Tax Code, except as such interest is taken into account in determining the annual adjusted financial statement income of applicable corporations (as defined in Section 59(k) of the Tax Code) for the purpose of computing the alternative minimum tax imposed on corporations, or (iii) would cause interest on the Bonds to lose its exclusion from Colorado taxable income or Colorado alternative minimum taxable income under present Colorado law. The foregoing covenant shall remain in full force and effect notwithstanding the payment in full or defeasance of the Bonds until the date on which all obligations of the Enterprise and the City in fulfilling the above covenant under the Tax Code and Colorado law have been met.

Disposal of Property: No part of the System shall be sold, leased, mortgaged, pledged, encumbered or otherwise disposed of or otherwise alienated, until all of the Bonds have been paid in full, or unless provision has been made therefor, or until the Bonds have otherwise been redeemed; provided, however, that the City may sell, exchange, lease or dispose of at any time and from time to time any property or facilities constituting part of the System and not needed or useful in the construction, reconstruction or operation thereof as determined by the City in its reasonable discretion but any proceeds of any such sale or exchange received and not used to replace such property so sold or exchanged and any proceeds of any such lease received shall be deposited in the Water and Wastewater Utility Fund as Income.

Loss From Condemnation: If any part of the System is taken by the exercise of a power of eminent domain, the amount of any award received by the City as a result of such taking shall be expended upon the improvement of the System or shall be applied to the redemption of the Outstanding Bonds and any other Outstanding Securities in accordance with the provisions of the Ordinance and of any other ordinance authorizing the issuance of any such Securities at maturity or upon prior redemption if the authorizing ordinances authorize the prior redemption of such Securities.

Inspection of Records and System: Any Owner of any of the Bonds, any duly authorized agent or agents of such Owner, and the Purchaser shall have the right at all reasonable times to inspect all records, accounts and data relating thereto, concerning the Bonds, the System or the

Income, to make copies of such records, accounts and data at their own expense, and to inspect the System and properties comprising the same.

Audits Required: The City, annually following the close of each Fiscal Year, shall order an audit for the Fiscal Year of the books and accounts pertaining to the Enterprise to be made forthwith by an Independent Auditor and order an audit report for each fund pertaining to the Income.

Insurance and Reconstruction: The City shall at all times maintain with responsible insurers all such insurance reasonably required and obtainable within limits and at costs deemed reasonable by the City as is customarily maintained with respect to water and wastewater facilities of like character against loss of or damage to the System and against public and other liability to the extent at least reasonably necessary to protect the interest of the City and of each Owner of Bonds, except as otherwise provided in the Ordinance. If any useful part of the System shall be damaged or destroyed, the City shall, as expeditiously as possible, commence and diligently proceed with the repair or replacement of the damaged or destroyed property so as to restore the same to use. The proceeds of any insurance appertaining to the System shall be payable to the City and (except for proceeds of use and occupancy insurance) shall be applied to the necessary costs involved in such repair and replacement, and to the extent not so applied shall (together with the proceeds of any such use and occupancy insurance) be deposited in the Water and Wastewater Utility Fund as Income. If the costs of such repair and replacement of the damaged or destroyed property exceed the proceeds of such property insurance available for payment of the same, moneys in the Water and Wastewater Utility Fund shall be used to the extent necessary for such purpose. Nothing in the Ordinance shall be construed to prohibit the City from providing any insurance required under the Ordinance by an actuarially sound self-insurance plan or program.

Continuing Disclosure: The City shall comply with the provisions of the Continuing Disclosure Certificate. Any failure by the City to perform in accordance with this paragraph shall not constitute an Event of Default under the Ordinance, and the rights and remedies provided by the Ordinance upon the occurrence of an Event of Default shall not apply to any such failure. Neither the Registrar nor the Paying Agent shall have any power or duty to enforce this paragraph. No Owner of a Bond shall be entitled to damages for the City's non-compliance with its obligations under this paragraph; however, the Owners of the Bonds may enforce specific performance of the obligations contained in this paragraph by any judicial proceeding available.

Defeasance

If, when the Bonds shall be paid in accordance with their terms (or payment of the Bonds has been provided for in the manner set forth in the following paragraph), then the Ordinance and all rights granted under the Ordinance shall thereupon cease, terminate and become void and be discharged and satisfied.

Payment of any Outstanding Bond shall prior to the maturity or redemption date thereof be deemed to have been provided for within the meaning and with the effect expressed under the above heading if (a) in case said Bond is to be redeemed on any date prior to its maturity, the City shall have given to the Paying Agent in form satisfactory to it irrevocable instructions to give on a date in accordance with the provisions of the Ordinance notice of redemption of such Bond on said redemption date, such notice to be given in accordance with the provisions of the Ordinance, (b) there shall have been deposited with the Paying Agent or a commercial bank exercising trust powers either moneys in an amount which shall be sufficient, or Federal Securities which shall not contain provisions permitting the redemption thereof at the option of the issuer, the principal of and the interest on which when due, and without any reinvestment thereof, will provide moneys which, together with the moneys, if any, deposited with or held by the Paying

Agent or other commercial bank exercising trust powers at the same time, shall be sufficient to pay when due the Debt Service Requirements due and to become due on said Bond on and prior to the redemption date or maturity date thereof, as the case may be, and (c) in the event said Bond is not by its terms subject to redemption within the next sixty days, the City shall have given the Paying Agent in form satisfactory to it irrevocable instructions to give, as soon as practicable in the same manner as the notice of redemption is given pursuant to the Ordinance, a notice to the Owner of such Bond that the deposit required by (b) above has been made with the Paying Agent or other a commercial bank exercising trust powers and that payment of said Bond has been provided for in accordance with the provisions under the above heading and stating such maturity or redemption date upon which moneys are to be available for the payment of the Debt Service Requirements of said Bond. Neither such securities nor moneys deposited with the Paying Agent or other commercial bank exercising trust powers pursuant to the provisions under the above heading or principal or interest payments on any such Federal Securities shall be withdrawn or used for any purpose other than, and shall be held in trust for, the payment of the Debt Service Requirements of said Bond; provided any cash received from such principal or interest payments on such Federal Securities deposited with the Paying Agent or other Trust Bank, if not then needed for such purpose, shall, to the extent practicable, be reinvested in securities of the type described in (b) of this paragraph maturing at times and in amounts sufficient to pay when due the Bond Requirements to become due on said Bond on or prior to such redemption date or maturity date thereof, as the case may be. At such time as payment of a Bond has been provided for as aforesaid, such Bond shall no longer be secured by or entitled to the benefits of the Ordinance, except for the purpose of any payment from such moneys or securities deposited with the Paying Agent or other Trust Bank.

The release of the obligations of the City under the provisions under the above heading shall be without prejudice to the right of the Paying Agent to be paid reasonable compensation for all services rendered by it under the Ordinance and all its reasonable expenses, charges and other disbursements incurred on or about the administration of and performance of its powers and duties under the Ordinance.

Upon compliance with the foregoing provisions under the above heading with respect to all Bonds then Outstanding, the Ordinance may be discharged in accordance with the provisions under the above heading but the liability of the City in respect of the Bonds shall continue; provided that the Owners thereof shall thereafter be entitled to payment only out of the moneys or Federal Securities deposited with the Paying Agent or other commercial bank exercising trust powers as provided in the provisions under the above heading.

Default Provisions and Remedies of Bond Owners

Events of Default: Each of the following events is declared by the Ordinance to be and to constitute an Event of Default by the Enterprise:

Nonpayment of principal or premium. Payment of the principal of any of the Bonds is not made when the same becomes due and payable;

Nonpayment of interest. Payment of any interest on any of the Bonds is not made when the same becomes due and payable;

Incapacity to perform. The Enterprise or the City for any reason becomes incapable of fulfilling its obligations under the Ordinance;

Nonperformance of duties. The Enterprise or the City shall have failed to carry out and to perform (or in good faith to begin the performance of) all acts and things lawfully required to be carried out or to be performed by it under any contract relating to the Income

or to the System, including, without limitation, the Ordinance, and such failure shall continue for sixty (60) days after receipt of notice from the Owners of twenty five percent (25%) in aggregate principal amount of the Bonds then Outstanding; provided that if such failure cannot be cured within such sixty (60) days and if during that period corrective action has commenced to remedy such failure and subsequently is diligently pursued by the Enterprise or the City to the completion of such performance, an Event of Default shall not be deemed to have occurred;

Failure to reconstruct. The City discontinues or unreasonably delays or fails to carry out with reasonable dispatch the reconstruction or replacement of any revenue producing part of the System which is condemned, destroyed or damaged and is not promptly repaired or replaced (whether such failure to repair the same is due to impracticality of such repair or replacement, or is due to a lack of moneys therefor, or for other reason);

Appointment of receiver. An order or decree is entered by a court of competent jurisdiction, with the consent or acquiescence of the City, appointing a receiver or receivers for the System or for the Income and any other moneys subject to the lien to secure the payment of the Bonds, or if any order or decree, having been entered without the consent or acquiescence of the City, is not vacated or discharged or stayed on appeal within sixty (60) days after entry;

Default of any provision. The Enterprise or the City makes any default in the due and punctual performance of any other of the representations, covenants, conditions, agreements and other provisions contained in the Bonds or in the Ordinance on its part to be performed, other than those delineated in the section captioned "Covenants—*Continuing Disclosure*," and if such default continues for sixty (60) days after written notice, specifying such default and requiring the same to be remedied, is given to the Enterprise or the City by the Owners of twenty five percent (25%) in aggregate principal amount of the Bonds then Outstanding; provided that if such default cannot be cured within such sixty (60) days and if during that period corrective action has commenced to remedy such default and subsequently is diligently pursued to the completion of such performance, an Event of Default shall not be deemed to have occurred; and

Payment default on parity bonds. The Enterprise fails to pay when due any Debt Service Requirements of any Parity Bonds.

Remedies for Defaults: The Owner or Owners of not less than twenty five percent (25%) in aggregate principal amount of the Bonds then Outstanding, including, without limitation, a trustee or trustees therefor, may proceed against the Enterprise or the City and their agents, officers and employees to protect and to enforce the rights of any Owner of such Bonds under the Ordinance by mandatory injunction or by other suit, action, or special proceedings in equity or at law, in any court of competent jurisdiction, either for the appointment of a receiver or an operating trustee or for the specific performance of any covenant or agreement contained in the Ordinance or for any proper legal or equitable remedy as such Owner or Owners may deem most effectual to protect and to enforce the rights aforesaid, or thereby to enjoin any act or thing which may be unlawful or in violation of any right of any Owner of any such Bond, or to require the Enterprise to act as if it were the trustee of an expressed trust, or any combination of such remedies, or as otherwise may be authorized by any statute or other provision of law. All such proceedings at law or in equity shall be instituted, had and maintained for the equal benefit of all Owners of the Bonds or any Parity Bonds then Outstanding. Any receiver or operating trustee appointed in any proceedings to protect

the rights of such Owners under the Ordinance may collect, receive and apply all Income arising after the appointment of such receiver or operating trustee in the same manner as the City itself might do. The consent to any such appointment is expressly granted by the City. Notwithstanding the foregoing or any other applicable provision of law, no Event of Default shall result in acceleration of any obligation of the Enterprise represented by the Bonds.

Rights and Privileges Cumulative: The failure of any Owner of any Outstanding Bond to proceed in any manner provided in the Ordinance shall not relieve the Enterprise or the City or any of its officers, agents or employees of any liability for failure to perform to carry out any duty, obligation or other commitment. Each right or privilege of any such Owner or trustee therefor is in addition and is cumulative to any other right or privilege, and the exercise of any right or privilege by or on behalf of any Owner shall not be deemed a waiver of any other right or privilege thereof. Each Owner of any Bond shall be entitled to all of the privileges, rights and remedies provided or permitted in the Ordinance and as otherwise provided or permitted by law or in equity or by statute, except as provided in the Ordinance, and subject to the applicable provisions concerning the Income and the proceeds of the Bonds. Nothing in the Ordinance affects or impairs the right of any Owner of any Bond to enforce the payment of the Debt Service Requirements due in connection with this Bond or the obligation of the Enterprise to pay the Debt Service Requirements of each Bond to the Owner thereof at the time and the place expressed in such Bond.

Duties Upon Default: Upon the happening of any of the Events of Default as provided in the caption titled "Default Provisions and Remedies of Bond Owners-Events of Default," the Enterprise or the City, in addition, will do and perform all proper acts on behalf of and for the Owners of the Outstanding Bonds to protect and to preserve the security created for the payment of their Bonds and to insure the payment of the Debt Service Requirements of the Bonds promptly as the same become due. If the Enterprise or the City fails or refuses to proceed as in this paragraph provided, the Owner or Owners of not less than twenty five percent (25%) in aggregate principal amount of the Bonds then Outstanding, after demand in writing, may proceed to protect and to enforce the rights of the Owners of the Bonds as hereinabove provided; and to that end any such Owners of Outstanding Bonds shall be subrogated to all rights of the Enterprise or the City under any agreement or contract involving the Pledged Revenues entered into prior to the effective date of the Ordinance or thereafter while any of the Bonds are Outstanding. Nothing in the Ordinance requires the Enterprise or the City to proceed as provided in the Ordinance if it determines in good faith and without any abuse of its discretion that if it so proceeds it is more likely than not to incur a net loss rather than a net gain or such action is likely to affect materially and prejudicially the Owners of the Outstanding Bonds and any Outstanding Parity Bonds.

Evidence of Bond Owners: Any request, consent or other instrument which the Ordinance may require or may permit to be signed and to be executed by the Owner of any Bonds may be in one instrument or more than one instrument of similar tenor and shall be signed or may be executed by each Owner in person or by his attorney appointed in writing. Proof of the execution of any such instrument or of any instrument appointing any such attorney, or the ownership by any Person of the Bonds, shall be sufficient for any purpose of the Ordinance (except as otherwise expressly provided in the Ordinance) if made in the following manner:

Proof of execution. The fact and the date of the execution by any Owner of any Bonds or his, her or its attorney of such instrument may be proved by the certificate, which need not be acknowledged or verified, of any officer of a bank or trust company satisfactory to the Secretary of the Enterprise or of any notary public or other officer authorized to take acknowledgments of deeds to be recorded in the state in which he or she purports to act, that the individual signing such request or other instrument acknowledged to him the

execution, duly sworn to before such notary public or other officer; the authority of the individual or individuals executing any such instrument on behalf of a corporate Owner of any Bonds may be established without further proof if such instrument is signed by an individual purporting to be the president or vice president of such corporation with the corporate seal affixed and attested by an individual purporting to be its secretary or an assistant secretary; and the authority of any Person or Persons executing any such instrument in any fiduciary or representative capacity may be established without further proof if such instrument is signed by a Person or Persons purporting to act in such fiduciary or representative capacity; and

Proof of ownership. The amount of Bonds owned by any Person executing any instrument as an Owner of Bonds, and the numbers, date and other identification thereof, together with the date of his, her or its ownership of the Bonds, shall be determined from the registration books of the Enterprise. The amount of other Bonds, if applicable, owned by any Person executing any instrument as an owner of such Bonds, and the numbers, date and other identification thereof, together with the date of his, her or its ownership, if in bearer form, may be proved by a certificate which need not be acknowledged or verified, in form satisfactory to the Secretary of the Enterprise, executed by a member of a financial firm or by an officer of a bank or trust company, insurance company or financial corporation or other depository satisfactory to the Secretary of the Enterprise, or by any notary public or other officer authorized to take acknowledgments of deeds to be recorded in the state in which he or she purports to act, showing at the date therein mentioned that such Person exhibited to such member, officer, notary public or other officer so authorized to take acknowledgments of deeds or had on deposit with such depository the Bonds described in such certificate or, if in registered form shall be determined from the related registration books; but the Secretary of the Enterprise may nevertheless in his or her discretion require further or other proof in cases where he or she deems the same advisable.

Warranty Upon Issuance of Bonds: Any of the Bonds as provided in the Ordinance, when duly executed and registered for the purposes provided for in the Ordinance, shall constitute a warranty by and on behalf of the Enterprise for the benefit of each and every future Owner of any of the Bonds that the Bonds have been issued for a valuable consideration in full conformity with law.

Immunities of Purchaser: The Purchaser and any associate thereof are under no obligation to any Owner of the Bonds for any action that they may not take or in respect of anything that they may or may not do by reason of any information contained in any reports or other documents received by them under the provisions of the Ordinance. The immunities and exemption from liability of the Purchaser and any associate thereof under the Ordinance extend to their officers, directors, successors, assigns, employees and agents.

Amendment of Ordinance

Amendment of Ordinance Not Requiring Consent of Bond Owners: The Enterprise may, without the consent of, or (except as otherwise provided in the Ordinance) notice to, the Owners of the Bonds, adopt such ordinances supplemental to the Ordinance (which amendments shall thereafter form a part of the Ordinance) for any one or more or all of the following purposes: (1) to cure or correct any formal defect, ambiguity or inconsistent provision contained in the Ordinance; (2) to appoint successors to the Paying Agent and Registrar as provided in in the Ordinance; (3) to designate a trustee for the Owners of the Bonds, to transfer custody and control of the Income to such trustee, and to provide for the rights and obligations of such trustee; (4) to add to the covenants

and agreements of the Enterprise or the City or the limitations and restrictions on the Enterprise or the City set forth in the Ordinance; (5) to pledge additional revenues, properties or collateral to the payment of the Bonds; (6) to cause the Ordinance to comply with the Trust Indenture Act of 1939, as amended from time to time; (7) to preserve or protect the excludability from gross income for federal income tax purposes of the interest allocable to the Bonds; or (8) to effect any such other changes to the Ordinance which do not in the opinion of nationally recognized bond counsel materially adversely affect the interests of the Owners of the Bonds.

Amendment of Ordinance Requiring Consent of Bond Owners: Exclusive of the amendatory ordinances covered by the caption "Amendment of Ordinance-Amendment of Ordinance Not Requiring Consent of Bond Owners" hereof, the Ordinance may be amended or modified by ordinances or other instruments duly adopted by the Enterprise, without receipt by it of any additional consideration, but with the written consent of the Owners of a majority in aggregate principal amount of the Bonds Outstanding at the time of the adoption of such amendatory ordinance, provided that no such amendatory ordinance shall permit: (1) a change in the maturity or in the terms of redemption of the principal of the Outstanding Bond or any installment of interest thereon; or (2) a reduction in the principal amount of the Bond or the rate of interest thereon without the consent of the Owner of such Bond; or (3) the creation of a lien upon or a pledge of revenues ranking prior to the lien or to the pledge created by the Ordinance; or (4) a reduction of the principal amount or percentages of the Bonds, or any modification otherwise affecting the description of such Bonds, otherwise changing the consent of the Owners of such Bonds, which may be required in the Ordinance for any amendment to the Ordinance; or (5) the establishment of priorities as among Bonds issued and Outstanding under the provisions of the Ordinance or as among Bonds and other Parity Bonds; or (6) any modifications otherwise materially and prejudicially affecting the rights or privileges of the Owners of less than all of the Bonds then Outstanding.

Whenever the Enterprise proposes to supplement or amend the Ordinance under the provisions of this paragraph and the preceding paragraph, it shall give notice of the proposed supplement or amendment by mailing such notice to the Purchaser or to any successor thereof known to the Secretary of the Enterprise, to all Owners of Bonds at the addresses appearing on the registration books of the Enterprise. Such notice shall briefly set forth the nature of the proposed amendment and shall state that a copy of the proposed amendatory ordinance or other instrument is on file in the office of the Secretary of the Enterprise for public inspection.

Time for and Consent to Amendment: Whenever at any time within one (1) year from the date of the completion of the notice required to be given by the preceding subsection there shall be filed in the office of the Secretary of the Enterprise an instrument or instruments executed by the Owners of at least a majority in aggregate principal amount of the Bonds then Outstanding, which instrument or instruments shall refer to the proposed amendatory ordinance or other instrument described in such notice and shall specifically consent to and approve the adoption of such ordinance or other instrument, thereupon, but not otherwise, the Council may adopt such amendatory ordinance or instrument and such ordinance or instrument shall become effective. If the Owners of at least a majority in aggregate principal amount of the Bonds then Outstanding, at the time of the adoption of such amendatory ordinance or instrument, or the predecessors in title of such Owners, shall have consented to and approved the adoption thereof as provided in the Ordinance, no Owner of any Bond whether or not such Owner shall have consented to or shall have revoked any consent as provided in the Ordinance shall have any right or interest to object to the adoption of such amendatory ordinance or other instrument or to object to any of the terms or provisions therein contained or to the operation thereof or to enjoin or restrain the Enterprise from taking any action pursuant to the provisions thereof. Any consent given by the Owner of a Bond

pursuant to the provisions thereof shall be irrevocable for a period of six (6) months from the date of the completion of the notice above provided for and shall be conclusive and binding upon all future Owners of the same Bond during such period. Such consent may be revoked at any time after six (6) months from the completion of such notice, by the Owner who gave such consent or by a successor in title, by filing notice of such revocation with the Secretary of the Enterprise, but such revocation shall not be effective if the Owners of at least a majority in aggregate principal amount of the Bonds Outstanding as provided in the Ordinance, prior to the attempted revocation, shall have consented to and approved the amendatory instrument referred to in such revocation.

Unanimous Consent: Notwithstanding anything in the foregoing provisions contained, the terms and the provisions of the Ordinance, or of any ordinance or instrument amendatory thereof, and the rights and the obligations of the Enterprise and the City and of the Owners of the Bonds may be modified or amended in any respect (except as would adversely affect the rights of the Owners of any Parity Bonds) upon the adoption by the Enterprise and upon the filing with the Secretary of the Enterprise of an instrument to that effect and with the consent of the Owners of all the then Outstanding Bonds, such consent to be given in the manner provided under the heading above "Amendment of Ordinance-Time for and Consent to Amendment;" and no notice to Owners of Bonds shall be required as provided under the heading above "Amendment of Ordinance-Amendment of Ordinance Requiring Consent of Bond Owners," nor shall the time of consent be limited except as may be provided in such consent.

Exclusion of Bonds: At the time of any consent or of other action taken under the Ordinance the Registrar shall furnish to the Secretary of the Enterprise a certificate, upon which the Secretary of the Enterprise may rely, describing all Bonds to be excluded for the purpose of consent or of other action or of any calculation of Outstanding Bonds provided for under the Ordinance, and, with respect to such excluded Bonds, the Enterprise shall not be entitled or required with respect to such Bonds to give or obtain any consent or to take any other action provided for under the Ordinance.

Notation on Bonds: Any of the Bonds delivered after the effective date of any action taken as provided under the heading above "Amendment of Ordinance-Amendment of Ordinance Requiring Consent of Bond Owners," or Bonds Outstanding at the effective date of such action, may bear a notation thereon by endorsement or otherwise in form approved by the Council as to such action; and if any such Bonds so executed and delivered after such date does not bear such notation, then upon demand of the Owner of any Bond Outstanding at such effective date and upon presentation of his, her or its Bond for such purpose at the principal office of the Enterprise, suitable notation shall be made on such Bond by the Secretary of the Enterprise as to any such action. If the Council so determines, new Bonds so modified as in the opinion of the Council to conform to such action shall be prepared, executed and delivered; and upon demand of the Owner of any Bond then Outstanding, shall be exchanged without cost to such Owner for Bonds then Outstanding upon surrender of such Outstanding Bonds.

Proof of Instruments and Bonds: The fact and date of execution of any instrument under the provisions under the heading "Amendment of Ordinance," the amount and number of the Bonds owned by any Person executing such instrument, and the date of his registering the same may be proved as provided under the heading above "Default Provisions and Remedies of Bond Owners—*Evidence of Bond Owners*."

[THIS PAGE INTENTIONALLY LEFT BLANK]

APPENDIX B

AUDITED GENERAL PURPOSE FINANCIAL STATEMENTS OF THE CITY AS OF AND FOR THE YEAR ENDED DECEMBER 31, 2023

[THIS PAGE INTENTIONALLY LEFT BLANK]

Forvis Mazars, LLP
1801 California Street, Suite 2900
Denver, CO 80202
P 303.861.4545 | F 303.832.5705
forvismazars.us

forvis mazars

Independent Auditor's Report

Honorable Mayor and Members of City Council
City of Westminster, Colorado
Westminster, Colorado

Report on the Audit of the Financial Statements

Opinions

We have audited the financial statements of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City of Westminster (the City), as of and for the year ended December 31, 2023, and the related notes to the financial statements, which collectively comprise the City's basic financial statements as listed in the table of contents.

In our opinion, the accompanying financial statements referred to above present fairly, in all material respects, the respective financial position of the governmental activities, the business-type activities, each major fund, and the aggregate remaining fund information of the City, as of December 31, 2023, and the respective changes in financial position and, where applicable, cash flows thereof for the year then ended in accordance with accounting principles generally accepted in the United States of America.

Basis for Opinions

We conducted our audit in accordance with auditing standards generally accepted in the United States of America (GAAS) and the standards applicable to financial audits contained in *Government Auditing Standards*, issued by the Comptroller General of the United States (*Government Auditing Standards*). Our responsibilities under those standards are further described in the "Auditor's Responsibilities for the Audit of the Financial Statements" section of our report. We are required to be independent of the City and to meet our other ethical responsibilities, in accordance with the relevant ethical requirements relating to our audit. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinions.

Emphasis of Matter

As described in Note 3U to the financial statements, in 2023, the City adopted Governmental Accounting Standards Board Statement No. 96, *Subscription-Based Information Technology Arrangements.* Our opinions are not modified with respect to this matter.

Responsibilities of Management for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with accounting principles generally accepted in the United States of America, and for the design, implementation, and maintenance of internal control relevant to the preparation and fair presentation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is required to evaluate whether there are conditions or events, considered in the aggregate, that raise substantial doubt about the City's ability to continue as a going concern for 12 months beyond the financial statement date, including any currently known information that may raise substantial doubt shortly thereafter.

Auditor's Responsibilities for the Audit of the Financial Statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinions. Reasonable assurance is a high level of assurance but is not absolute assurance and therefore is not a guarantee that an audit conducted in accordance with GAAS and *Government Auditing Standards* will always detect a material misstatement when it exists. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control. Misstatements are considered material if there is a substantial likelihood that, individually or in the aggregate, they would influence the judgment made by a reasonable user based on the financial statements.

In performing an audit in accordance with GAAS and *Government Auditing Standards*, we:

- Exercise professional judgment and maintain professional skepticism throughout the audit.

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, and design and perform audit procedures responsive to those risks. Such procedures include examining, on a test basis, evidence regarding the amounts and disclosures in the financial statements.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the City's internal control. Accordingly, no such opinion is expressed.

- Evaluate the appropriateness of accounting policies used and the reasonableness of significant accounting estimates made by management, as well as evaluate the overall presentation of the financial statements.

- Conclude whether, in our judgment, there are conditions or events, considered in the aggregate, that raise substantial doubt about the City's ability to continue as a going concern for a reasonable period of time.

We are required to communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit, significant audit findings, and certain internal control-related matters that we identified during the audit.

Required Supplementary Information

Accounting principles generally accepted in the United States of America require that the management's discussion and analysis, budgetary comparison, pension, and other postemployment benefit information be presented to supplement the basic financial statements. Such information is the responsibility of management and, although not a part of the basic financial statements, is required by the Governmental Accounting Standards Board, who considers it to be an essential part of financial reporting for placing the basic financial statements in an appropriate operational, economic, or historical context. We have applied certain limited procedures to the required supplementary information in accordance with GAAS, which consisted of inquiries of management about the methods of preparing the information and comparing the information for consistency with management's responses to our inquiries, the basic financial statements, and other knowledge we obtained during our audit of the basic financial statements. We do not express an opinion or provide any assurance on the information because the limited procedures do not provide us with sufficient evidence to express an opinion or provide any assurance.

Supplementary Information

Our audit was conducted for the purpose of forming opinions on the financial statements that collectively comprise the City's basic financial statements. The combining and individual fund financial statements and schedules, the local highway finance report, and the schedule of expenditures of federal awards required by Title 2 U.S. *Code of Federal Regulations* Part 200, *Uniform Administrative Requirements, Cost Principles, and Audit Requirements for Federal Awards*, are presented for purposes of additional analysis and are not a required part of the basic financial statements. Such information is the responsibility of management and was derived from and relates directly to the underlying accounting and other records used to prepare the basic financial statements. The information has been subjected to the auditing procedures applied in the audit of the basic financial statements and certain additional procedures, including comparing and reconciling such information directly to the underlying accounting and other records used to prepare the basic financial statements or to the basic financial statements themselves, and other additional procedures in accordance with GAAS. In our opinion, the combining and individual fund financial statements and schedules, the local highway finance report, and the schedule of expenditures of federal awards is fairly stated, in all material respects, in relation to the basic financial statements as a whole.

Other Information

Management is responsible for the other information included in the annual comprehensive financial report. The other information comprises the introductory and statistical sections but does not include the basic financial statements and our auditor's report thereon. Our opinions on the basic financial statements do not cover the other information, and we do not express an opinion or any form of assurance thereon.

In connection with our audit of the basic financial statements, our responsibility is to read the other information and consider whether a material inconsistency exists between the other information and the basic financial statements, or the other information otherwise appears to be materially misstated. If, based on the work performed, we conclude that an uncorrected material misstatement of the other information exists, we are required to describe it in our report.

Other Reporting Required by *Government Auditing Standards*

In accordance with *Government Auditing Standards*, we have also issued our report dated June 28, 2024, on our consideration of the City's internal control over financial reporting and on our tests of its compliance with certain provisions of laws, regulations, contracts and grant agreements, and other matters. The purpose of that report is solely to describe the scope of our testing of internal control over financial reporting and compliance and the results of that testing, and not to provide an opinion on the effectiveness of City's internal control over financial reporting or on compliance. That report is an integral part of an audit performed in accordance with *Government Auditing Standards* in considering City's internal control over financial reporting and compliance.

Forvis Mazars, LLP

Denver, Colorado
June 28, 2024

This Page Intentionally Blank

Management Discussion & Analysis

City of Westminster, Colorado

Management's Discussion and Analysis (Unaudited)

This discussion and analysis of Westminster's financial statements for the year ended December 31, 2023 provides a narrative overview of the City's financial activities. The City adopted Governmental Accounting Standards Board Statement No. 96, *Subscription-based Information Technology Arrangements,* (GASB 96), in 2023. The comparative information for 2022 was not restated for the adoption of GASB 96. Please consider the information here in conjunction with the transmittal letter at the beginning of this Annual Comprehensive Financial Report and the financial statements and notes to the financial statements, which begin on page 19.

THE CITY

The City of Westminster is a charter city, organized under the laws of the State of Colorado, governed by a Council-Manager form of government. City Council is comprised of seven members: a Mayor elected at large and six Councillors, also elected at large. The Council appoints the City Manager, the City Attorney, and the Municipal Court Presiding Judge; all other staff are appointed or hired by the City Manager. The City Manager promotes the City's SPIRIT values of service, pride, integrity, responsibility, innovation and teamwork throughout the organization. The City Manager directs nine departments, including Community Development, Economic Development, Finance, Fire, Human Resources, Information Technology, Parks, Recreation and Libraries, Police, and Public Works and Utilities.

Centrally located between Denver and Boulder, Colorado, the City of Westminster is known for its exceptional quality of life, and for its innovative local government services. With a population of approximately 115,117, the City is over 95% built out, with just over 4.5% of its remaining area to be developed. The City is a full service city, providing police, fire and emergency medical services, 63 developed parks and 10 undeveloped parks, over 3,800 acres of natural open space, two libraries, two golf courses, seven recreation centers, water and wastewater treatment, street construction and maintenance, and a variety of other services.

The primary sources of revenues for cities in Colorado are sales and use taxes, comprising approximately 52.8% of the City's governmental activities revenues. Property taxes comprise approximately 3.1% of the City's governmental activities revenues. Property tax increment contributes an additional 8.2%. The primary sources of revenues for the City's business-type activities are fees and charges.

FINANCIAL HIGHLIGHTS

General Fund sales and use tax revenue was up $5.2 million, or 4.4% compared to 2022. The increase is attributed to an increase in e-commerce sales, inflation and other economic factors.

The City reported $6.2 million in revenue from various federal, state and local granting agencies for an array of funding purposes including housing and urban development, public health and human services, public safety, emergency and disaster management, transportation, water conservation, literacy, golf and recreation programming, and community support.

The City issued Certificates of Participation totaling $37.0 million with a net premium to fund the replacement of the Municipal Court. Debt financings with outstanding balances totaling $0.6 million were paid off during the year including the 2010 Certificates of Participation refunding, 2016 Fire Pumper note, and Rehfeld note that financed the purchase of water shares.

Capital contributions received by the Utility Fund totaled $5.8 million from fees for tapping into the water and wastewater system, developer installations of distribution and transmission lines, and city and county constructed system infrastructure. This is a $13.5 million, or 69.8%, decrease in contributions compared to 2022 due mostly to $15.8 million in capital contributions for the repair and replacement of a large sewer pipe located throughout the northern portion of Westminster that year.

The City reported a $3.9 million extraordinary loss in the Statement of Activities due to an impairment of a school building it acquired through a reverter clause in a deed that transferred land from the City to the Jefferson County School District in 1979 for the Sheridan Green Elementary School. When the District closed the school in 2023, the land and building became the property of the City. The building was written down at once given its scheduled demolition in 2024 and the land will be redeveloped as an expansion to the adjacent Stratford Park.

The Community Reach Center (CRC), a nonprofit behavioral and mental health services organization, is collaborating with the City to construct and own space on the campus of the City's new Municipal Court. The CRC deposited $4.5 million with the City that is being held in trust for their benefit as a commitment to the project. The City established a custodial fiduciary fund for reporting the CRC's assets. The CRC's new location will provide the Westminster community and Municipal Court patrons convenient access to CRC services.

The City adopted Governmental Accounting Standards Board Statement No. 96, *Subscription-based Information Technology Arrangements*, (GASB 96), which requires recognition of certain subscription assets and liabilities previously classified as operating subscriptions. GASB 96 accounting standards are based on the principle that subscription-based information technology arrangements are financings of right to use assets. Of the nearly 280 agreements that made up the total population of possible GASB 96 subscriptions, just twenty-one qualified to be accounted for per the new standard. Information on the City's GASB 96 software-based subscription arrangements can be found throughout the Financial Section of this report.

A total of $83.4 million was expended in relation to the City's Capital Improvement Program (CIP) in 2023. Governmental activities CIP spending totaled $23.4 million, down $0.3 million or 1.3% from the prior year. Business-type activities CIP spending totaled $60.0 million, up $32.6 million or 119.0% from 2022.

The assets and deferred outflows of resources of the City exceed its liabilities and deferred inflows of resources at the close of 2023 by $1,311.3 million ($589.3 million in governmental activities and $722.0 million in business-type activities). Of the governmental activities net position total, $182.7 million, or 31.0%, is unrestricted and may be used to meet the City's ongoing obligations to the public and creditors. Similarly, $177.4 million, or 24.6%, of business-type activities net position is unrestricted.

Total net position of the City, increased $50.1 million, or 4.0%, compared to 2022. The net position of the City's governmental activities increased $21.7 million, which represents an increase of 3.8% compared to 2022. The net position of the City's business-type activities increased $28.4 million, an increase of 4.1% over 2022.

Total revenues, excluding transfers, increased $34.9 million, or 11.3%, compared to 2022. Governmental activities revenues increased $21.6 million, or 9.4%, to $251.8 million, while revenues of business-type activities increased $13.3 million, or 16.9%, to $92.2 million compared to 2022.

The total expenses of all the City's programs increased $39.5 million, or 15.8%, compared to 2022. The cost of governmental activities program expenses increased $34.6 million, or 18.7%, to $219.9 million, while business-type activities expenses increased $4.9 million, or 7.5%, to $70.1 million from 2022.

As of December 31, 2023, the City's governmental funds reported a combined ending fund balance of $252.2 million. Approximately 52.7%, or $132.9 million, is committed, assigned or unassigned fund balance and, therefore, available for spending at the City's discretion within the purposes specified for the City's funds.

The General Fund reported a fund balance of $58.4 million as of December 31, 2023, of which $49.8 million was assigned or unassigned.

OVERVIEW OF THE FINANCIAL STATEMENTS

The Statement of Net Position and the Statement of Activities

The Statement of Net Position and the Statement of Activities report information about the City as a whole and about its activities.

The **Statement of Net Position** presents information on all of the City's assets, deferred outflows of resources, liabilities, deferred inflows of resources and net position. Over time, increases or decreases in the City's net position are one indicator of whether its financial health is improving or deteriorating. Other non-financial factors, such as changes in the composition or quality of the City's sales tax base, the condition of the City's roads, etc., are also important to evaluate when assessing the overall health of the City.

The **Statement of Activities** presents information showing how the City's net position changed during the most recent fiscal year. All changes in net position are reported as soon as the underlying event giving rise to the change occurs regardless of the timing of the related cash flows.

In the Statement of Net Position and Statement of Activities, the City is divided into two kinds of activities:

- Governmental activities - Most of the City's basic services are reported here - police, fire, public works, parks, recreation and libraries and general administration. Funding for most of these activities comes from sales and use taxes, property taxes, charges for municipal court and parks, recreation and libraries services, franchise and emergency medical service fees, license and permitting activities, as well as state and federal grant and contributions.

- Business-type activities - The City charges a fee to customers to cover all or most of the cost of certain services it provides. The City's water and sewer system, golf courses and parking management operation are reported here.

FUND FINANCIAL STATEMENTS

A fund is a grouping of related accounts used to maintain control over resources that have been segregated for specific activities or objectives. The City uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements. All of the funds of the City can be divided into two categories: governmental funds and proprietary funds.

Governmental funds are used to account for essentially the same functions reported as *governmental activities* in the City-wide financial statements. However, unlike the City-wide financial statements, governmental fund financial statements focus on *near-term inflows and outflows of spendable resources,* as well as on the constraints on the use of fund balances at the end of the fiscal year. Information about limitations on financial resources is useful in evaluating the City's short-term financing requirements.

Because the focus of governmental funds is narrower than that of the City-wide financial statements, it may be useful to compare the information presented for governmental funds with similar information presented for governmental activities in the City-wide statements. Readers may then better understand the long-term impact of the City's short-term financing decisions. Both the governmental funds balance sheet and the governmental funds statement of revenues, expenditures, and changes in fund balances provide a reconciliation to facilitate a comparison between governmental funds and governmental activities.

The City maintains 18 individual governmental funds. Information is presented separately in the governmental funds balance sheet and in the governmental funds statement of revenues, expenditures, and changes in fund balances for the General Fund, the General Capital Improvement Fund and the Westminster Economic Development Authority (WEDA), the City's urban renewal authority. These funds are reported as major funds for the City. Financial information for the other 15 funds are combined into a single, aggregated presentation. Individual fund data for each of these nonmajor governmental funds is provided in the form of combining statements and individual fund statements in the supplementary information of this report.

Proprietary funds are generally used to account for services for which the City charges customers - either outside customers or internal customers. Proprietary funds provide the same type of information as shown in the government-wide financial statements, only in more detail. The City maintains the following two types of proprietary funds:

- **Enterprise funds** are used to report the same functions presented as business-type activities in the government-wide financial statements. The City uses enterprise funds to account for the Utility Enterprise, Golf Course Enterprise and Parking Management Fund. The Utility Fund is considered a major fund of the City, while the Golf Course and Parking Management Funds are nonmajor.

- **Internal Service funds** are used by the City to account for the costs of acquiring capital replacement equipment, maintenance and repair of fleet equipment, and City-wide insurance programs. Because these services predominantly benefit governmental rather than business-type functions, the assets and liabilities of the internal service funds have been included within governmental activities in the government-wide financial statements. Internal service funds are combined into a single, aggregated presentation in the proprietary fund financial statements. Individual fund data for the internal service funds is provided in the form of combining statements in the supplementary information of this report.

Fiduciary funds are used to account for assets held on behalf of outside parties, including other governments. Fiduciary funds are not reflected in the government-wide financial statements because the resources of those funds are not available to support the City's own programs. The accounting used for fiduciary funds is much like that used for proprietary funds.

- **Custodial funds** account for activities and accumulation of resources held in a fiduciary capacity other than pension, investment, or private-purpose trust funds. The City has one custodial fiduciary fund.

Notes to the financial statements provide additional information that is essential to a full understanding of the data provided in the City-wide and fund financial statements. The notes to the financial statements can be found after the basic financial statements of this report.

Required Supplementary Information includes budgetary comparison schedules for the General Fund and Westminster Economic Development Authority as well as schedules that provide information on the Other Post Employment Benefits (OPEB) liability for the City's retiree health care program and information related to the City's firefighter and police pension plans.

GOVERNMENT-WIDE FINANCIAL ANALYSIS

Analysis of Net Position

As noted earlier, net position may serve over time as a useful indicator of the City's financial position. The analysis below focuses on the net position and changes in net position of the City's governmental and business-type activities.

Table 1 presents an analysis of the City's net position as of December 31. The City's assets and deferred outflows of resources exceeded its liabilities and deferred inflows of resources by $1,311.3 million at December 31, 2023. Governmental activities make up $589.3 million (44.9%) of the net position, with business-type activities making up the remaining $722.0 million (55.1%). Total net position increased by $50.1 million (4.0%) in 2023. The increase is comprised of the following:

Total assets increased $63.1 million, or 4.0%, to $1,648.2 million. This included an increase in current and other assets of $5.6 million and an increase in capital assets of $57.5 million. The increase in current and other assets is primarily due to increases in cash and investments of $22.1 million and receivables of $5.4 million offset by a decrease in net pension assets of $22.0 million.

The increase in cash and investments is due to unspent proceeds of $37.0 million from the Series 2023 Certificates of Participation offset by expenses in excess of revenues of $4.6 million. While revenue was up $34.9 million, mostly due to an increase in investment earnings of $26.2 million as a result of year over year fluctuations in the interest rate environment, expenses increased by $39.5 million, primarily due to an increase in personnel services. The City was successful in filling positions in 2023 and returning to full staffing post Covid-19 pandemic and as a result, salaries and benefits increased. Additionally, the conversion to a new general leave policy and pay out of employee leave balances to align with new annual limits contributed to the increase as well. The increase in receivables is due to governmental activities taxes and other accounts that will be collected in future periods. The decrease in net pension assets reflects actuarial adjustments to the City's Fire and Police Pension Association of Colorado (FPPA) pension plans including actuarial differences between expected and actual experience, changes in assumptions, and updates to the City's proportionate share of collective plan balances.

The increase in capital assets reflects $96.0 million in capital asset additions offset by $44.6 million in depreciation expense and $0.1 million in capital asset disposals net of depreciation. $89.6 million previously classified as Construction in Progress was placed in service and reclassified to non-depreciable and depreciable asset classes. Capital asset additions increased most significantly due to Business-type activities, improvements other than buildings ($64.7 million) that included the Northridge Storage Tanks ($17.5 million), Big Dry Creek Stabilization ($7.6 million), Big Dry Creek Interceptor Sewer ($29.1 million) and Sheridan Waterline ($6.1 million) projects. Contributions of capital assets to Governmental Activities included a $3.9 million donation from the Colorado Department of Transportation for a portion of the Sheridan Boulevard Underpass, $1.7 million for a condominium space acquired from the Hyland Hills Parks & Recreation District as part of an intergovernmental agreement with the district to share in the conveyance of various properties and realignment of property boundaries, and $4.3 million for the Sheridan Green Elementary School building, land and improvements.

Deferred outflows of resources increased $9.6 million due to FPPA defined benefit pensions. Deferred inflows of resources decreased $10.5 million due similarly to FPPA defined benefit pensions. Fluctuations due to FPPA defined benefit pensions result from changes in actuarial plan assumptions, difference between expected and actual plan experience, differences between projected and actual investment earnings on pension plan investments, changes in the City's proportion in the plan and employer contributions made subsequent to the actuarial measurement date of December 31, 2022. Information about the FPPA retirement plans can be found in the Notes to the Financial Statements beginning on page 68.

Total liabilities increased $33.1 million to $328.0 million. This is primarily due to an increase of $10.2 million in current and other liabilities and an increase of $22.9 million in long-term liabilities. Current and other liabilities increased $7.9 million for governmental activities due to accounts payable and accrued liabilities, and increased $2.3 million for business-type activities due to accounts payable and accrued liabilities as well. The increase in long term liabilities is due to the 2023 Series Certificates of Participation financing issue offset by ongoing debt service payments on outstanding bonds, certificates of participation, loans,

notes as well as amortization of discounts and premiums. Other long term liabilities include obligations relating to compensated absences, post-employment benefits for the City's retiree health care program, leases, subscriptions, arbitrage and pollution remediation.

Table 1: Net Position as of December 31 (in Millions)

	Governmental Activities		Business-type Activities		Total Primary Government	
	2023	2002	2023	2022	2023	2022
Current and other assets	$ 350.3	$ 323.8	$ 186.4	$ 207.3	$ 536.7	$ 531.1
Capital assets	435.3	421.9	676.2	632.1	1,111.5	1,054.0
Total assets	785.6	745.7	862.6	839.4	1,648.2	1,585.1
Deferred outflow of resources	26.3	16.7	0.5	0.5	26.8	17.2
Current and other liabilities	29.5	21.6	12.1	9.8	41.6	31.4
Long-term liabilities	157.8	127.3	128.6	136.2	286.4	263.5
Total liabilities	187.3	148.9	140.7	146.0	328.0	294.9
Deferred inflow of resources	35.3	45.9	0.4	0.3	35.7	46.2
Net Position:						
Net investment in capital assets	338.4	319.4	542.3	517.9	880.7	837.3
Restricted	68.2	88.9	2.3	2.2	70.5	91.1
Unrestricted	182.7	159.3	177.4	173.5	360.1	332.8
Total net position	$ 589.3	$ 567.6	$ 722.0	$ 693.6	$ 1,311.3	$ 1,261.2

By far the largest portion of the City's net position reflects its investment of $1,111.5 million in capital assets (for example, land, buildings, machinery and equipment, utility plants, parks, and right to use lease and subscription assets). Net investment in capital assets is reported less any related debt used to acquire these assets that is still outstanding. The City uses capital assets to provide services to the public; consequently, they are not available for future spending. Although the City's investment in capital assets is reported net of related debt, it should be noted that the resources needed to repay this debt must be provided from other sources, since the assets themselves cannot be used to liquidate these liabilities. Net investment in capital assets was $880.7 million as of December 31, 2023, or 67.2% of total net position.

An additional portion of the City's net position, $70.5 million, or 5.4%, represents resources that are subject to restrictions as to how they may be used. The remaining balance of unrestricted net position, $360.1 million, or 27.5% may be used to meet the City's on-going obligations to the public and creditors. It is important to note that the $177.4 million in unrestricted net position of the City's business-type activities may not be used to fund governmental activities.

Analysis of Changes in Net Position

As can be seen from Table 2, the City's net position increased $50.1 million during 2023. This increase is explained in the governmental and business-type activities discussion below.

Governmental Activities

Net position of governmental activities increased by $21.7 million during 2023. This was $1.1 million less than the increase of $22.8 million in 2022.

Governmental activities revenues increased $21.6 million from 2022. The change is attributed primarily to increases in revenues from charges for services ($6.0 million), capital grants and contributions ($5.9 million), sales tax ($3.4 million), use tax ($2.2 million), property tax increment ($2.0 million), and investment earnings ($14.3 million). These increases were offset by a decrease in operating grants and contributions ($13.3 million). To a lessor extent, increases in accommodations tax ($0.3 million), intergovernmental ($0.5 million), other taxes ($0.1 million), and gain on sale of assets ($0.3 million), offset by a decrease in property tax ($0.1 million), also contributed to the overall increase from 2022.

The increase in charges for services was mostly the result of emergency medical service fee revenue due to increasing call volume as well as new oil and gas well royalties. The increase in capital grants and contributions was primarily due the transfer in ownership of the Sheridan Green Elementary School property from the Jefferson County School District, condominium space from Hyland Hills Parks & Recreation District, and portions of the Sheridan Boulevard Underpass from the State of Colorado. The increase in investment earnings was due to the string of interest rate hikes by the Federal Reserve in an effort to reign in inflation. The increase in sales and use taxes was due generally to a strong economy, elevated inflation and other economic conditions. The decrease in operating grants and contributions was due to $14.5 million in one-time federal American Rescue Act funding received in 2022.

As can be seen in Table 2, General Government, which includes expenditures for the City Council and five departments (City Manager's Office, City Attorney's Office, Human Resources Finance, and Information Technology) accounted for 28.6% of governmental expenses, Public Safety accounted for 31.7%, Public Works accounted for 10.4%, Community Development accounted for 9.0%, Economic Development accounted for 1.1%, Culture and Recreation accounted for 17.8%, Interest and Fiscal Charges accounted for 1.3% and Issuance Costs accounted for 0.2%.

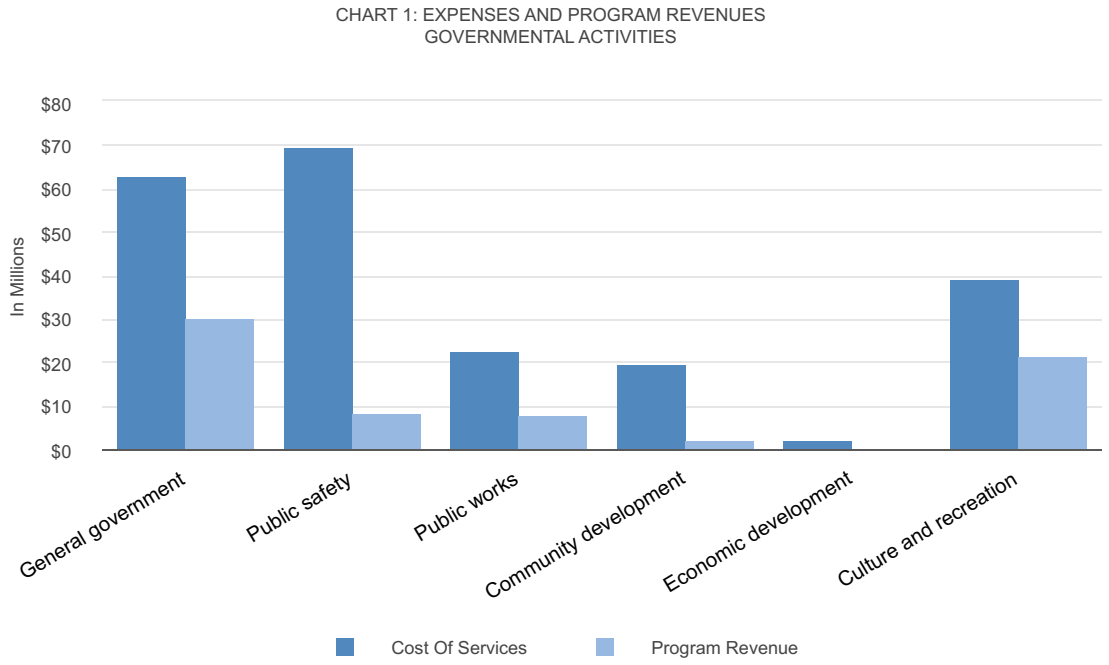
Governmental activities expense increased $34.6 million (18.7%) from 2022. The change is attributable to increased expenses in General Government ($16.2 million), Public Safety ($5.5 million), Public Works ($4.5 million), Community Development ($1.2 million), Economic Development ($0.1 million), Culture and Recreation ($6.1 million), Interest and Fiscal Charges ($0.7 million) and Issuance Costs ($0.3 million).

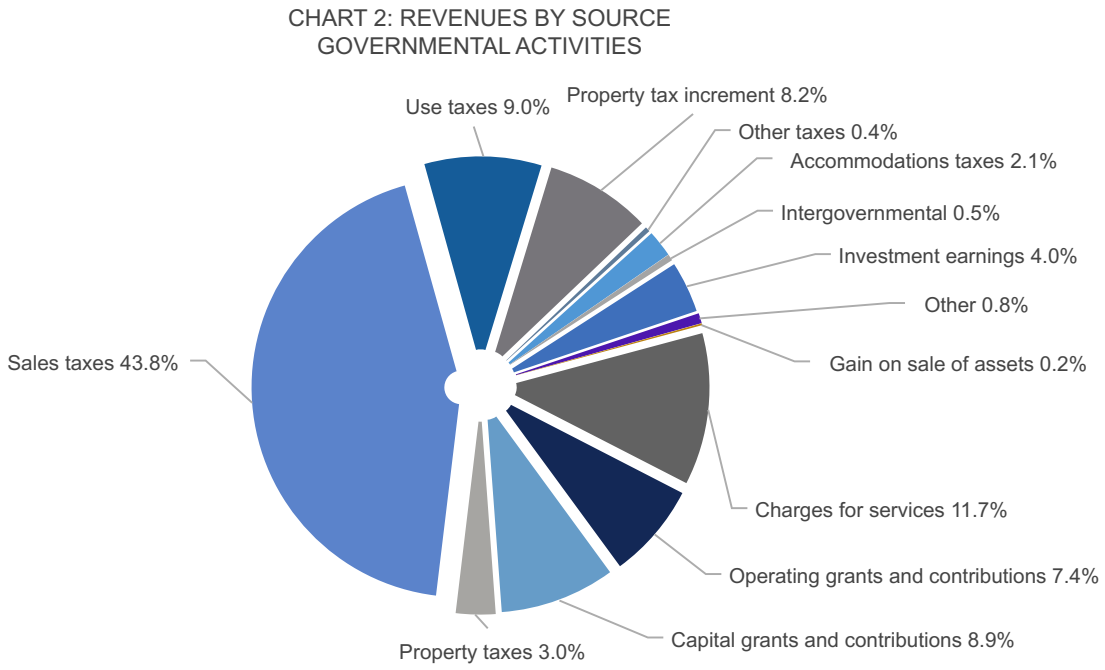
The increase in General Government is due primarily to a new software subscription for the GenTax sales tax system that was implemented in 2022, payment of general leave balances to employees due to the general leave policy conversion, internal services activity and changes to FPPA pension assets, liabilities and associated deferrals. Other program expenses increased, primarily Public Safety, Public Works, and Culture and Recreation, due mostly to personnel and contractual services. Interest and fiscal charges increased due to the addition of 2023 Series Certificates of Participation accrued interest offset by adjustments to accrued interest on other debt and amortization of premiums, discounts and loss on refunding balances.

Table 2: Changes in Net Position (in Millions)

	Governmental Activities		Business-type Activities		Total Primary Government	
	2023	2022	2023	2022	2023	2022
Revenues						
Program revenues						
Charges for services	$ 29.5	$ 23.5	$ 77.6	$ 78.7	$ 107.1	$ 102.2
Operating grants and contributions	18.6	31.9	—	—	18.6	31.9
Capital grants and contributions	22.4	16.5	4.9	3.4	27.3	19.9
General revenues						
Property taxes	7.7	7.8	—	—	7.7	7.8
Sales taxes	110.2	106.8	—	—	110.2	106.8
Use taxes	22.8	20.6	—	—	22.8	20.6
Property tax increment	20.6	18.6	—	—	20.6	18.6
Other taxes	1.0	0.9	—	—	1.0	0.9
Accommodations tax	5.3	5.0	—	—	5.3	5.0
Intergovernmental	1.3	0.8	—	—	1.3	0.8
Investment earnings	10.0	(4.3)	7.7	(4.2)	17.7	(8.5)
Other	2.0	2.0	2.0	0.8	4.0	2.8
Gain on sale of assets	0.4	0.1	—	0.2	0.4	0.3
Total revenues	251.8	230.2	92.2	78.9	344.0	309.1
Program expenses						
General government	62.8	46.6	—	—	62.8	46.6
Public safety	69.7	64.2	—	—	69.7	64.2
Public works	22.8	18.3	—	—	22.8	18.3
Community development	19.7	18.5	—	—	19.7	18.5
Economic development	2.4	2.3	—	—	2.4	2.3
Culture and recreation	39.2	33.1	—	—	39.2	33.1
Utility	—	—	62.9	58.5	62.9	58.5
Golf	—	—	5.8	5.4	5.8	5.4
Parking Management	—	—	1.4	1.3	1.4	1.3
Interest and fiscal charges	2.8	2.1	—	—	2.8	2.1
Issuance costs	0.4	0.1	—	—	0.4	0.1
Unallocated depreciation	0.1	0.1	—	—	0.1	0.1
Total expenses	219.9	185.3	70.1	65.2	290.0	250.5
Excess before transfers and extraordinary item	31.9	44.9	22.1	13.7	54.0	58.6
Transfers	(6.3)	(22.1)	6.3	22.1	—	—
Extraordinary item	(3.9)	—	—	—	(3.9)	—
Change in net position	21.7	22.8	28.4	35.8	50.1	58.6
Net position - beginning	567.6	544.8	693.6	657.8	1,261.2	1,202.6
Net position - ending	$ 589.3	$ 567.6	$ 722.0	$ 693.6	$ 1,311.3	$ 1,261.2

Charts 1 illustrates the City's governmental expenses and revenues by function and Chart 2 illustrates its general revenues by source. General revenues such as sales and use taxes, property and other taxes shown in Chart 2 are used to support program activities city-wide. For governmental activities overall, without regard to program, Sales taxes (43.8%) and use taxes (9.0%) are the largest single source, followed by charges for services (11.7%), capital grants and contributions (8.9%), property tax increment (8.2%), operating grants and contributions (7.4%), investment earnings (4.0%), property taxes (3.0%), accommodations taxes (2.1%), other revenue (0.8%), intergovernmental (0.5%), business fees and other taxes (0.4%), and gain on sale of assets (0.2%).





Business-type Activities

Net position in business-type activities increased $28.4 million in 2023. This is $7.4 million, or 20.7%, less than the $35.8 million increase in 2022.

As can be seen from Charts 3 and 4, the City's Utility Enterprise accounts for the majority of its business-type activities, representing 89.7% of total business-type expenses. Charges for Services provides the largest share of revenues (84.2%), followed by Investment Earnings (8.3%), Capital Grants and Contributions (5.3%), and Other Revenue (2.2%).

Total business-type revenues increased $13.3 million, or 16.9%, compared to 2022. This increase was due to increases of $11.9, or 283.3% in Investment Earnings, $1.5 million, or 44.1%, in Capital Grants and Contributions, and $1.2 million, or 150.0% in Other Revenue. These increases were offset by decreases of $1.1 million, or 1.4%, in Charges for Services and $0.2 million, or 100.0%, in Gain on Sale of Assets.

Capital Grants and Contributions fluctuate from year to year based on developer tap fees and water lines for connecting to the utility system. In 2023, the increase in Capital Grants and Contributions was due to commercial tap fees, developer lines, and storm drainage and flood control improvements, and the increase in Other Revenue was due to reimbursements. The increase in Investment Earnings was due to fluctuations in the interest rate environment. Charges for Services was down due to water sales; in 2022, the weather was abnormally hot, driving water consumption and revenues up that year.

Operating expenses of business-type activities increased $4.9 million, or 7.5%, compared to 2022 due primarily to increases in personnel and contractual services, commodities, and capital asset depreciation.

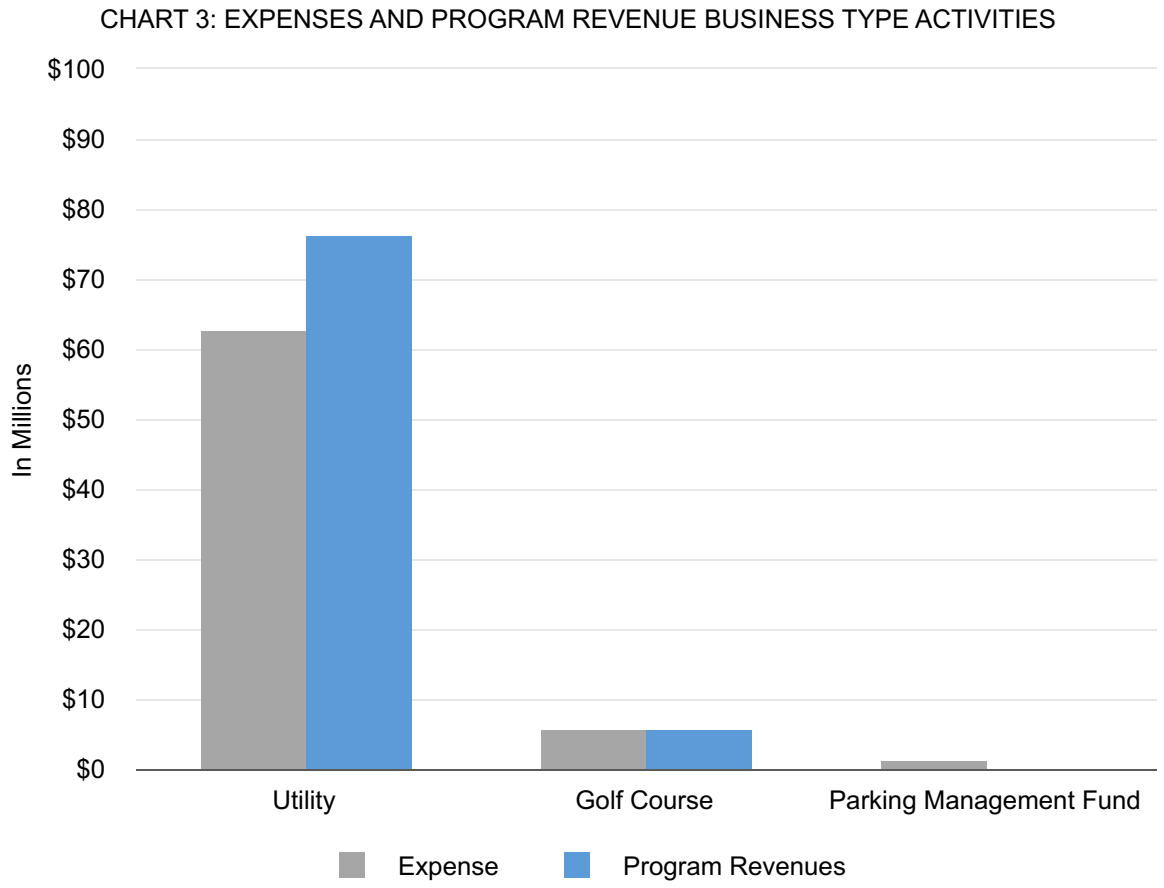
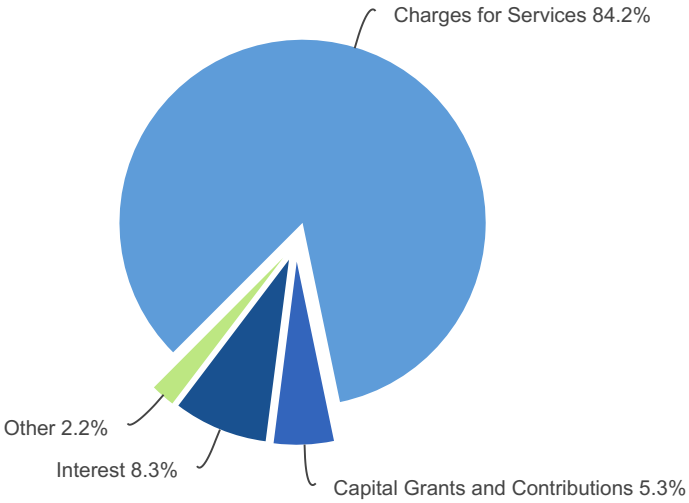


CHART 4: REVENUES BY SOURCE
BUSINESS-TYPE ACTIVITIES



THE CITY'S FUNDS (ANALYSIS OF SPECIFIC FUNDS)

As explained earlier, the City of Westminster uses fund accounting to ensure and demonstrate compliance with finance-related legal requirements.

Governmental Funds- The focus of the City's *governmental funds* is to provide information on short-term inflows, outflows, and constraints on financial resources. This information is necessary to assess the City's financing requirements. Types of governmental funds reported by the City include the General Fund, Special Revenue Funds, Debt Service Fund and Capital Projects Funds.

At December 31, 2023, the City's governmental funds reported a combined ending fund balance of $252.2 million, an increase of $37.6 million, or 17.5%, compared to 2022. Based on the level of constraint imposed on the use of financial resources, fund balance is reported as either nonspendable; restricted; or as committed, assigned or unassigned.

- Nonspendable fund balance remained at $1.1 million due to prepaids and inventories.
- Fund balance restricted for capital additions and improvements increased 83.5%, or $32.3 million, to $70.9 due to the 2023 Certificates of Participation proceeds.
- Fund balance restricted for contractual obligations decreased $1.4 million or 68.4% to $0.6 million due to requisite spending.
- Fund balance restricted for debt service increased $5.5, or 21.6%, to $30.8 million primarily due to pledged incremental sales and property tax revenues of the WEDA and investment earnings on the unspent proceeds of the 2022 POST Note.
- Fund balance restricted for community development remained unchanged at $0.2 million and reflects the Community Development Block Grant Fund property held for resale.
- Fund balance restricted for emergencies as required by the Colorado State Taxpayer's Bill of Rights increased $0.2 million, or 15.3% to $6.9 million.
- Fund balance restricted for open space conservation and improvements increased $1.9 million or 28.6% due to open space sales and use tax.
- Fund balance restricted for Public Safety due to activities in the Investigation Recovery Fund was consistent with 2022 at . $0.4 million.
- Committed fund balance for capital additions and improvements increased $2.5 million to $59.3 for capital projects.
- Committed fund balance for urban renewal decreased $0.8 million from $5.9 million, or 13.3%, due to fluctuations in Downtown Westminster revenues for capital projects.
- Assigned fund balance for Community Development increased $0.8 million or 80.4% to $1.7 million due to the Westminster Housing Authority and Parks Open Space & Trails Special Revenue Fund constraints.
- Assigned fund balance for Debt Service remained relatively even.
- Assigned fund balance increased for emergencies by $1.6 million to $12.1 million to maintain the General Fund reserve at a level consistent with City policy.
- Assigned fund balance increased for urban renewal by $1.0 million to $16.8 million due to property tax revenue that is set aside for specific purposes.
- Unassigned fund balance decreased $5.8 million, or 13.4%, to $37.7 million compared to 2022. Unassigned fund balance is available for spending at the City's discretion within the purposes specified for the City's funds.

General Fund

The General Fund is the primary operating fund of the City. Total fund balance decreased in the General Fund by $5.6 million, or 8.7%, compared to 2022. This is a $4.2 million change to the $1.4 million decrease in fund balance at the end of 2022.

Compared to 2022, General Fund operating revenues decreased 16.8% to $186.1 due to a decline in intergovernmental revenue as a result of American Rescue Plan Act funding received in 2022. Operating expenditures increased $18.7 million, or 11.8%, mostly due to General Government, Public Safety, Public Works and Culture and Recreation activities; other financing sources (uses) increased $14.9 million mostly due to a decrease in transfers to other funds of $14.7 including a $13.8 million decrease to the General Capital Improvement Fund for capital projects.

At the end of 2023, the unassigned fund balance of the General Fund was $37.8 million, while total fund balance was $58.4 million. The unassigned fund balance represents 19.3% of General Fund expenditures and transfers out.

The City's goal is to maintain a general reserve equal to 10% of General Fund operating expenditures and a stabilization reserve of between 5% and 10% of General Fund sales and use tax revenues. At December 31, 2023, the General Fund reserve balance totaled $19.0 million, or 10.7% of General Fund operating expenditures in addition to the General Fund Stabilization Reserve of $6.7 million, or 5.4% of General Fund sales and use tax revenues.

The original expenditure budget in the General Fund including transfers out was $188.9 million; the final budget increased by $11.4 million to $200.3 million due mostly to supplemental appropriations of carryover, reimbursements, recoveries and grants to fund the general leave buy back program, self insurance property and liability claims, Public Safety and Parks Recreation and Libraries activities, and transfers to other funds. Actual General Fund expenditures and transfers to other funds totaled $195.2 million.

Charts 5 and 6 illustrate the Budget and Actual Revenue and Expenditures less transfers for the General Fund.

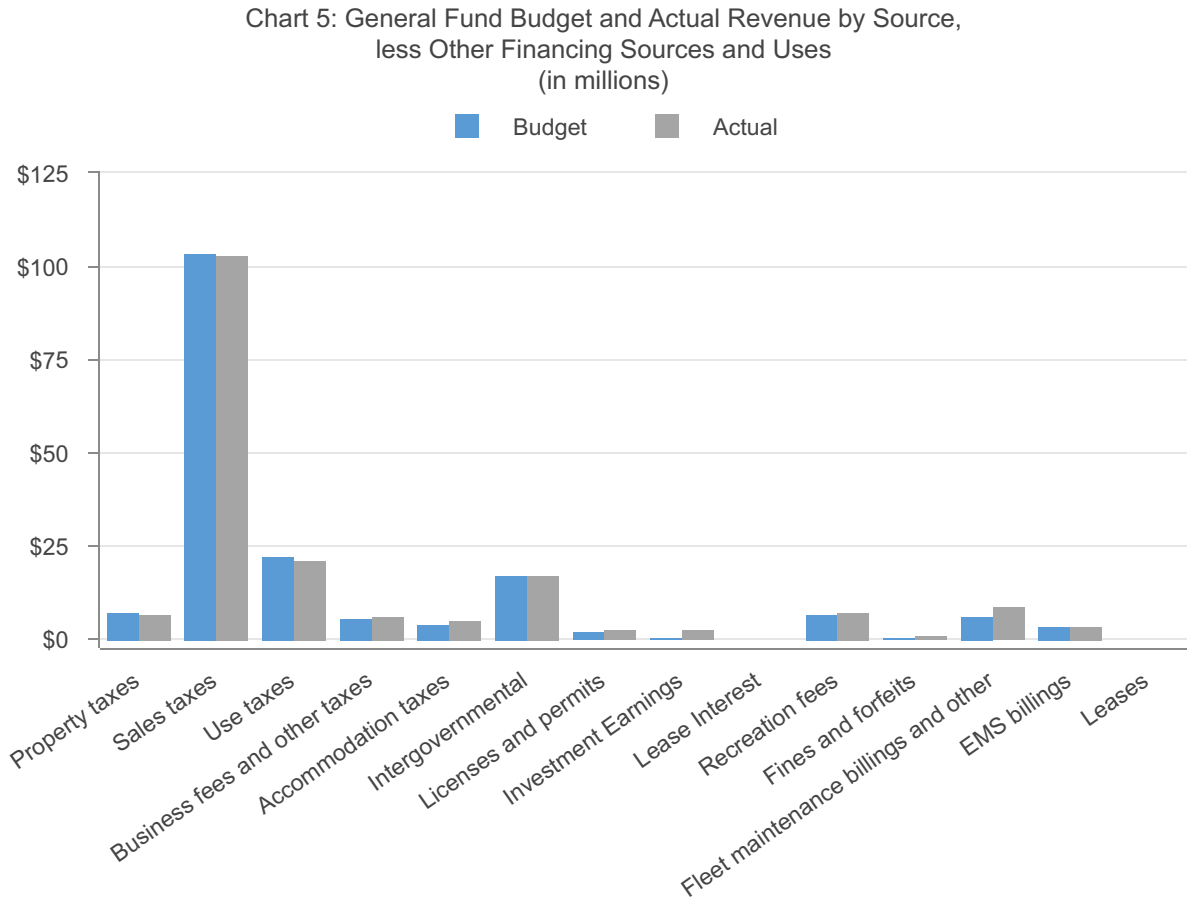
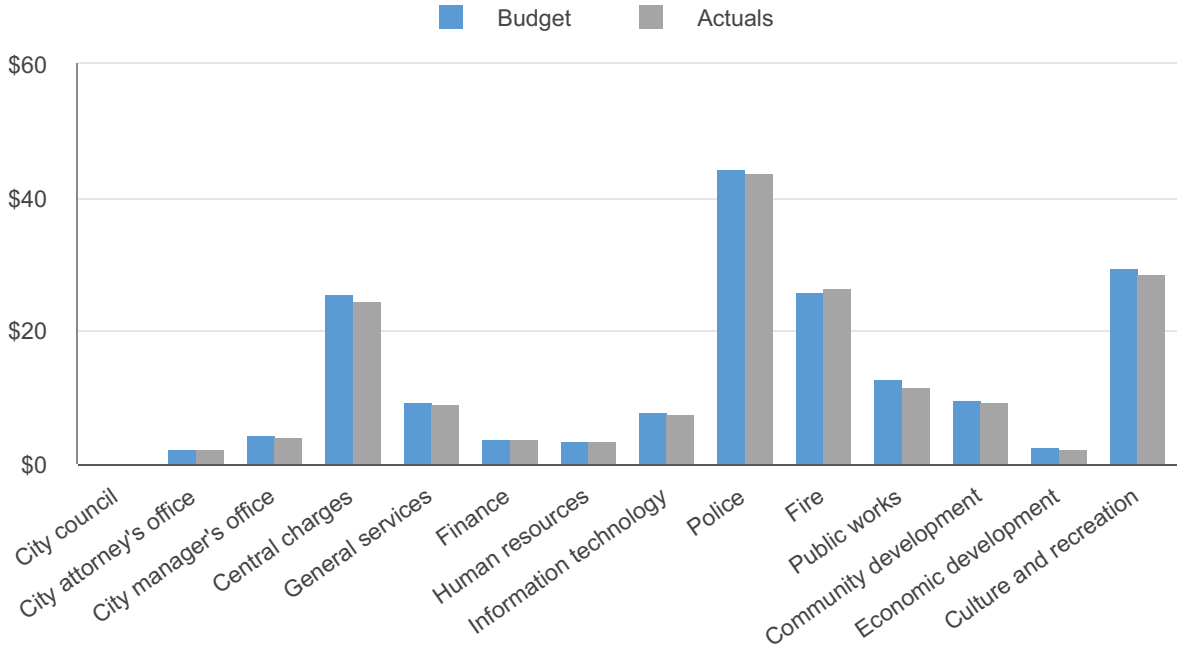
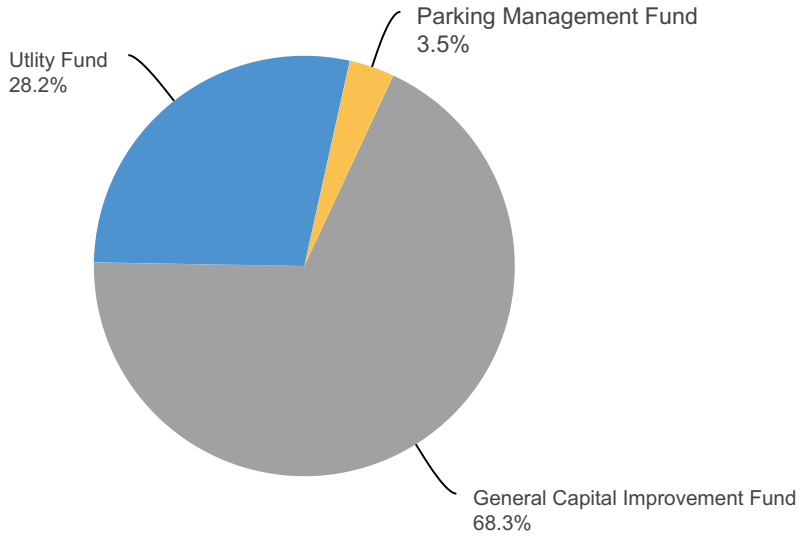


Chart 6: General Fund Budget and Actual Expenditures by Department, less Debt Service and Other Financing Sources and Uses (in millions)



Sales and use tax revenues are the primary funding source for the City's governmental funds. In 2023, $126.3 million of sales and use tax revenue was budgeted in the General Fund for operations and transfers to other funds, an increase of 12.8%, or $14.3 million, compared to 2022. Chart 7 illustrates the transfer of sales and use tax revenue to other funds including $12.1 million to the General Capital Improvement Fund for capital construction projects, $5.0 million to the Utility Fund to support the Water Utility and $0.6 million to the Parking Management Fund to support the strategies and operations of the City's parking program. After transfers to other funds, sales and use tax revenues budgeted for operating the City totaled $108.6 million. The City reported actual sales and use tax revenues of $124.4 million, which was under budget by $1.9 million, or 1.5%.

Chart 7: GENERAL FUND TRANSFERS OF SALES AND USE TAXES (in millions)



General Capital Improvement Fund

The General Capital Improvement Fund is used to account the acquisition and construction of major capital facilities and improvements of the City, except those financed by the Enterprise Funds. At December 31, 2023, the fund had a fund balance of $104.3 million.

The General Capital Improvement Fund revenues include intergovernmental funding, contributions, investment earnings, and transfers from other funds. The fund's revenues increased by $3.2 million due to increases in intergovernmental of $0.7 million and investment earnings of $5.6 million offset by a decrease in contributions of $3.1 million.

The increase in investment earnings was due to year over year fluctuations in the interest rate environment. The decrease in contributions was due to prior year cost recoveries and Colorado Department of Transportation funding for the Sheridan Multimodal Transportation Improvement capital project.

Expenditures totaling $25.3 million were $4.2 million less than 2022 due to decreases in economic assistance payments provided to developers and capital project spending.

Other financing sources and uses increased $23.2 million due to the Series 2023 Certificates of Participation proceeds of $37.0 million for the Municipal Court construction project offset by transfers from other funds totaling $16.2 million. Net transfers decreased $13.7 million compared to 2022 due to a $13.8 million decrease in transfers from the General Fund for capital projects and $1.0 million decrease in transfers from the WEDA. The General Fund transfer ($12.1 million) was for capital projects and the WEDA transfer ($3.6 million) was for reimbursement of advances for the Downtown Westminster Roadway and the North Huron Interceptor capital projects.

Westminster Economic Development Authority

The WEDA is the City's urban renewal authority. The fund balance increased $5.0 million compared to the $3.8 million increase in 2022 primarily due to a $3.8 million increase in revenue, a $1.9 million increase in expenditures, and a $0.7 million decrease in other financing sources and uses. As of December 31, 2023, the fund balance was $51.8 million.

Revenues increased compared to 2022 due to increases of $2.0 million in property tax increment, $0.2 million in Other Revenue due to inventory adjustments in land held for resale and economic development profit sharing for condominiums sold by a developer, and $1.6 million in investment earnings due to year over year fluctuations in the interest rate environment.

Expenditures increased over the prior year by $1.9 million due to increases in capital project spending of $3.4 million and General Government expenditures of $1.1 million due to resale inventory adjustments and economic assistance payments provided to developers, offset by a decrease of $2.7 million in debt service as a result of the Series 2012 WEDA Tax Increment Loan (South Sheridan Project) maturity in 2022.

Other financing sources and uses decreased $0.7 million compared to 2022, primarily due to a decrease in transfers from other funds offset by a reduction in transfers to the General Capital Improvement Fund to reimburse the City for the North Huron Interceptor project as it neared completion in 2023.

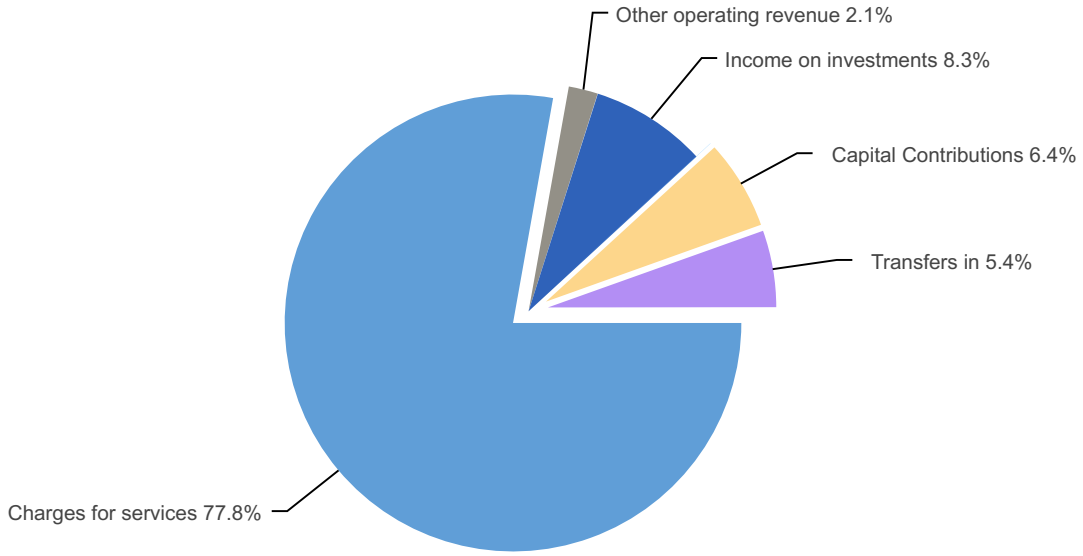
Pro**prietary Funds-** As already discussed, the City's proprietary fund statements provide the same type of information found in the government-wide financial statements, but in more detail.

The Utility Fund, which accounts for the City's water, wastewater and storm drainage activities, ended 2023 with a net position equal to $678.6 million, an increase of $28.7 million, or 4.41%, compared to 2022. The increase is due primarily to operating income of $14.4 million, capital contributions of $5.8 million and transfers from other funds of $5.0 million. Of the total 2023 Utility Fund Net Position, $176.2 million, or 26.0%, is unrestricted.

Operating revenues decreased $1.7 million, or 2.2% compared to 2022. Fluctuations in operating revenue are mostly due to the effect of climatic variations on water consumption and changes in billing rates. Chart 8 illustrates both operating and non-operating revenues by source.

Utility Fund operating expenses increased $4.0 million, or 7.2%, compared to 2022. The primary reason is due to increases in personnel and contractual services, commodities, and depreciation expense.

Chart 8: UTILITY FUND REVENUES BY SOURCE



CAPITAL ASSET AND DEBT ADMINISTRATION

Capital Asset Administration

As can be seen from Table 3, the City's investment in capital assets for its governmental and business-type activities as of December 31, 2023, amounts to $1,111.5 million (net of accumulated depreciation/amortization). This investment in capital assets includes land, buildings and utility plants, improvements, parks, infrastructure, water rights, machinery and equipment, right to use intangible assets, joint venture assets and construction work in progress. The total increase in the City's investment in capital assets was $57.9 million, or 5.5%. Net capital assets of governmental activities increased $13.7 million, or 3.2%, and business-type activities increased $44.2 million, or 7.0%.

Table 3: Capital Assets at Year-end

(Net of Accumulated Depreciation/Amortization, in Millions)

	Governmental Activities		Business-type Activities		Totals	
	2023	2022	2023	2022	2023	2022
Land and property rights	$ 166.6	$ 162.1	$ 132.5	$ 132.5	$ 299.1	$ 294.6
Construction in progress	14.5	13.4	51.1	58.4	65.6	71.8
Buildings and plants	26.6	25.8	121.4	127.5	148.0	153.3
Improvements other than buildings	14.2	14.8	356.0	301.7	370.2	316.5
Parks	17.5	19.7	8.2	5.7	25.7	25.4
Ice Center	3.3	3.5	—	—	3.3	3.5
Infrastructure	164.5	161.5	—	—	164.5	161.5
Machinery and equipment	22.7	20.8	6.3	6.2	29.0	27.0
Right to use intangible assets	5.4	—	0.7	—	6.1	—
Totals	$ 435.3	$ 421.6	$ 676.2	$ 632.0	$ 1,111.5	$ 1,053.6

Major capital asset spending during 2023 included the following:

Governmental activities

$3.1 million Facility improvements
$2.0 million Parks projects
$0.7 million Irrigation projects
$0.6 million General parks, open space and trails maintenance projects
$0.5 million Open space projects
$3.0 million Streets maintenance
$3.0 million Sheridan Boulevard underpass
$1.9 million Benton Street roadway construction, Downtown Westminster
$1.6 million West 100th Avenue multimodal improvements
$1.1 million Arterial roadway improvements
$1.0 million Holly Park infrastructure reconstruction

Business-type activities

$16.5 million Northridge water tanks replacement
$5.4 million Big Dry Creek stormwater stabilization
$2.4 million Big Dry Creek interceptor sewer improvements
$2.1 million Sheridan Boulevard water main replacement
$1.8 million Big Dry Creek anoxic treatment system
$26.5 million drinking water facility project

Additional information on the City's capital assets can be found in Note 2E beginning on page 52.

Debt Administration

At December 31, 2023 the City's bond ratings carry investment grade ratings as follows:

Bond Issue	Standard & Poors	Fitch Ratings
Sales Tax Revenue - POST	AA-/AA Insured	Not rated
Utility Enterprise	AAA	AA+
Certificates of Participation	AA Insured	Not rated

This chart shows the lowest underlying/insured investment grade rating of any single debt issue in a particular bond issue category from each rating agency that the City directly solicits.

The State of Colorado limits the amount of general obligation debt that cities can issue to 3.0% of the actual value of all taxable property within the City's corporate limits (CRS 31-15-302). The City's outstanding general obligation debt is significantly below this $684.7 million state-imposed limit. See page 165 for the City's legal debt margin information.

Table 4 illustrates the City's total indebtedness:

Table 4: Outstanding Debt, at Year-end (in Millions)

	Governmental Activities		Business-type Activities		Totals	
	2023	2022	2023	2022	2023	2022
Revenue Bonds (backed by specific tax and fee revenues)	$ 11.8	$ 13.0	$ 84.7	$ 88.3	$ 96.5	$ 101.3
Tax Increment Revenue Bonds	10.3	13.1	—	—	10.3	13.1
Tax Increment Loans from Direct Placements	22.7	26.0	—	—	22.7	26.0
Notes from Direct Borrowings and Direct Placements	16.3	17.6	22.1	24.4	38.4	42.0
Certificates of Participation	71.1	39.9	6.2	7.1	77.3	47.0
Total	$ 132.2	$ 109.6	$ 113.0	$ 119.8	$ 245.2	$ 229.4

Further information on the City's debt can be found in Note 2H on pages 56-59.

PLANS AND BUDGET FOR 2024

The City Council utilized City's Strategic Plan Priorities to reinforce the long-term planning of City operations and capital programs:

Guiding Principles

Collaboration and Partnership: Enhance and sustain our relationships with neighboring governments and community-based partners, leveraging our collective resources for maximum impact and benefit to Westminster.

Stewardship and Thrift: Responsibly manage all of the resources entrusted to our care to meet the needs of today without sacrificing the ability to meet the needs of the future.

Transparency and Accountability: Engage in two-way dialogue with the people of Westminster, clearly communicate our intentions and decisions and take responsibility for all that we do, thereby earning the trust and confidence of the community.

Diversity, Equity and Inclusion: Achieve equitable processes for the people of Westminster by providing opportunity for all voices to be heard and drawing upon community diversity in decision making.

Innovate and Initiate: Foster a culture of continuous improvement and approach opportunities and challenges with drive, inventive thinking and resourcefulness, resulting in a resilient and sustainable future for our city.

Prevention and Proactivity: Solve problems at their source and focus the city’s policies, practices and investments on prevention and community education and addressing root causes, leading to a better quality of life and greater prosperity for all in our community.

The City Council adopted the 2024 budget on October 23, 2023. Highlights of the 2024 budget include the following:

- The 2024 General Fund operating expenditures are budgeted at $210.4 million (including contingency).
- In 2024, the contingency amount is $0.5 million in the General Fund.
- The 2024 General Reserve is projected to be $19.6 million and the General Fund Stabilization Reserve is projected to be $7.0 million by the end of the year.
- The Utility Capital Project Reserve Fund is projected to be $72.6 million and the Utility Rate Stabilization Reserve is projected to be $15.9 million.
- The total number of full-time equivalent (FTE) staffing authorized in 2024 is 1,115.5 FTE, a net increase of 6.0 FTE, or 0.5%.

In order to ensure reliable infrastructure and equipment throughout the City that accommodates continued growth, a proactive Capital Improvement Program (CIP) is included as a key component of the 2024 budget. The 2024 CIP will be funded by Governmental and Business-type Activities with “pay-as-you-go” funding, revenue bonds, certificates of participation, and notes. For 2024, new capital project appropriations total $110.2 million, $38.5 million for Governmental Activities and $71.7 million for Business-type Activities.

2024 Adopted Capital Improvement Program Budget (in millions)

Fund	Governmental-type Activities	Business-type Activities	Total
General Capital Improvement	$ 26.2	$ —	$ 26.2
Parks, Open Space and Trails	6.5	—	6.5
General Capital Outlay Replacement	4.6	—	4.6
Conservation Trust	1.2	—	1.2
Utility	—	71.1	71.1
Golf	—	0.6	0.6
TOTAL	$ 38.5	$ 71.7	$ 110.2

CONTACTING THE CITY'S FINANCIAL MANAGEMENT

This financial report is designed to provide our citizens, taxpayers, customers, investors, and creditors with a general overview of the City's finances and to show the City's accountability for the money it receives. If you have questions about this report or need additional financial information, please contact Larry Dorr, Deputy City Manager, CFO & Finance Director as follows:

City of Westminster, 4800 West 92nd Avenue, Westminster, CO 80031
303-658-2663
ldorr@cityofwestminster.us

This Page Intentionally Blank

Basic Financial Statements

CITY OF WESTMINSTER, COLORADO
STATEMENT OF NET POSITION
DECEMBER 31, 2023

	Governmental Activities	Business-type Activities	Total
ASSETS			
Cash and cash equivalents	$ 29,782,797	$ 28,635,112	$ 58,417,909
Cash and cash equivalents with fiscal agent	211,803	—	211,803
Investments	146,446,762	139,960,029	286,406,791
Receivables, net:			
Taxes	44,746,081	—	44,746,081
Accounts	6,131,508	6,961,844	13,093,352
Notes	9,030,953	—	9,030,953
Grants	4,103,190	—	4,103,190
Leases	1,905,342	64,635	1,969,977
Investment earnings	719,181	685,706	1,404,887
Internal balances	(36,143)	36,143	—
Inventories	964,539	3,199,020	4,163,559
Property held for resale	11,952,472	—	11,952,472
Bond insurance and other prepaid items	3,344,068	9,324	3,353,392
Restricted assets:			
Cash and cash equivalents	349,329	121,976	471,305
Cash and cash equivalents with fiscal agent	39,009,262	2,898,714	41,907,976
Investments	1,717,713	2,163,449	3,881,162
Investments with fiscal agent	47,773,852	—	47,773,852
Other assets	—	1,657,684	1,657,684
Investment in joint venture	880,883	—	880,883
Net pension asset	1,295,088	—	1,295,088
Capital assets:			
Non-depreciable assets	181,051,351	183,638,281	364,689,632
Depreciable assets, net	254,233,734	492,612,076	746,845,810
Total assets	785,613,765	862,643,993	1,648,257,758
DEFERRED OUTFLOWS OF RESOURCES	26,269,851	483,087	26,752,938
LIABILITIES			
Accounts payable and other	20,950,978	10,918,421	31,869,399
Accrued liabilities	4,870,609	755,232	5,625,841
Unearned revenue	46,182	94,368	140,550
Accrued interest	1,006,568	361,335	1,367,903
Estimated claims	2,630,190	—	2,630,190
Noncurrent liabilities:			
Due within one year	14,073,958	6,793,045	20,867,003
Due in more than one year	143,725,658	121,851,412	265,577,070
Total liabilities	187,304,143	140,773,813	328,077,956
DEFERRED INFLOWS OF RESOURCES	35,301,908	376,113	35,678,021
NET POSITION			
Net investment in capital assets	338,360,008	542,284,255	880,644,263
Restricted for:			
Emergencies	6,933,093	—	6,933,093
Capital projects	15,045,678	—	15,045,678
Community development	227,579	—	227,579
Improvements and open space conservation	13,644,600	—	13,644,600
Debt service	30,702,862	2,285,425	32,988,287
Pension	1,295,088	—	1,295,088
Other purposes	402,703	—	402,703
Unrestricted	182,665,954	177,407,474	360,073,428
Total net position	$ 589,277,565	$ 721,977,154	$ 1,311,254,719

The accompanying notes are an integral part of the financial statements

CITY OF WESTMINSTER, COLORADO
STATEMENT OF ACTIVITIES
FOR THE YEAR ENDED DECEMBER 31, 2023

		Program Revenues		
	Expenses	Charges for Services	Operating Grants and Contributions	Capital Grants and Contributions
Function/Program Activities				
Governmental activities:				
General government	$ 62,803,310	$ 12,101,287	$ 13,510,114	$ 4,692,541
Public safety	69,748,701	5,473,682	3,186,093	10,275
Public works	22,755,248	4,182,748	—	3,884,881
Community development	19,741,864	155,126	1,359,795	724,764
Economic development	2,444,511	—	—	—
Culture and recreation	39,201,957	7,613,004	563,719	13,079,546
Interest and fiscal charges	2,783,941	—	—	—
Issuance costs	371,548	—	—	—
Unallocated depreciation (excludes direct depreciation of various programs)	79,789	—	—	—
Total governmental activities	219,930,869	29,525,847	18,619,721	22,392,007
Business-type activities:				
Utility	62,882,182	71,530,671	—	4,885,936
Golf	5,829,332	5,775,992	950	—
Parking Management	1,409,389	348,952	—	—
Total business-type activities	70,120,903	77,655,615	950	4,885,936
Total	$ 290,051,772	$ 107,181,462	$ 18,620,671	$ 27,277,943

GENERAL REVENUES

Property taxes
Sales taxes
Use taxes
Property tax increment
Other taxes
Accommodations taxes
Intergovernmental not restricted to a specific purpose
Investment earnings
Lease interest
Other
Gain on sale of assets

TRANSFERS
EXTRAORDINARY ITEM - impairment loss
Total general revenues and transfers
Change in net position
Net position - beginning
Net position - ending

CITY OF WESTMINSTER, COLORADO
STATEMENT OF ACTIVITIES
FOR THE YEAR ENDED DECEMBER 31, 2023

Net (Expense) Revenue and Changes in Net Position		
Governmental Activities	Business-type Activities	Total
$ (32,499,368)	$ —	$ (32,499,368)
(61,078,651)	—	(61,078,651)
(14,687,619)	—	(14,687,619)
(17,502,179)	—	(17,502,179)
(2,444,511)	—	(2,444,511)
(17,945,688)	—	(17,945,688)
(2,783,941)	—	(2,783,941)
(371,548)	—	(371,548)
(79,789)	—	(79,789)
(149,393,294)	—	(149,393,294)
—	13,534,425	13,534,425
—	(52,390)	(52,390)
—	(1,060,437)	(1,060,437)
—	12,421,598	12,421,598
(149,393,294)	12,421,598	(136,971,696)
7,715,207	—	7,715,207
110,246,686	—	110,246,686
22,758,422	—	22,758,422
20,585,473	—	20,585,473
1,036,323	—	1,036,323
5,248,995	—	5,248,995
1,260,042	—	1,260,042
10,000,778	7,656,547	17,657,325
29,310	3,147	32,457
1,998,998	1,985,711	3,984,709
419,493	—	419,493
(6,335,518)	6,335,518	—
(3,941,769)	—	(3,941,769)
171,022,440	15,980,923	187,003,363
21,629,146	28,402,521	50,031,667
567,648,419	693,574,633	1,261,223,052
$ 589,277,565	$ 721,977,154	$ 1,311,254,719

CITY OF WESTMINSTER, COLORADO
BALANCE SHEET
GOVERNMENTAL FUNDS
DECEMBER 31, 2023

	General	General Capital Improvement	Westminster Economic Development Authority	Other Nonmajor Governmental Funds	Total Governmental Funds
ASSETS					
Current assets:					
Cash and cash equivalents	$ 9,557,899	$ 10,873,889	$ 1,822,811	$ 3,993,081	$ 26,247,680
Cash and cash equivalents with fiscal agent	9,726	—	—	—	9,726
Investments	46,997,716	53,468,643	8,963,048	19,634,616	129,064,023
Receivables:					
Taxes	21,808,188	—	20,899,229	2,038,664	44,746,081
Accounts	5,834,876	276,594	1,500	17,323	6,130,293
Notes	467,322	963,169	7,203,585	396,877	9,030,953
Grants	171,995	2,707,598	—	1,223,597	4,103,190
Leases	1,543,004	—	362,338	—	1,905,342
Interest	238,432	252,942	46,558	98,002	635,934
Inventories	861,808	—	—	—	861,808
Property held for resale	31,474	—	11,693,419	227,579	11,952,472
Prepaid items	216,753	—	—	—	216,753
Restricted assets:					
Cash and cash equivalents	—	—	110,294	239,035	349,329
Cash and cash equivalents with fiscal agent	—	241	25,296,660	13,712,361	39,009,262
Investments	—	—	542,339	1,175,374	1,717,713
Investments with fiscal agent	315,171	43,387,572	4,071,109	—	47,773,852
Loans to other funds	—	520,500	—	—	520,500
Total assets	88,054,364	112,451,148	81,012,890	42,756,509	324,274,911
LIABILITIES					
Accounts payable and other	12,119,592	4,429,723	144,447	3,031,631	19,725,393
Accrued liabilities	4,756,625	—	—	50,000	4,806,625
Unearned revenue	19,909	—	26,273	—	46,182
Loans from other funds	—	—	520,500	—	520,500
Total liabilities	16,896,126	4,429,723	691,220	3,081,631	25,098,700
DEFERRED INFLOWS OF RESOURCES	12,722,653	3,672,767	28,480,092	2,084,028	46,959,540
FUND BALANCES					
Nonspendable:					
Prepaids and inventories	1,078,561	—	—	—	1,078,561
Property held for resale	31,474	—	—	—	31,474
Restricted for:					
Capital additions and improvements	—	45,070,553	—	25,782,648	70,853,201
Contractual obligations	617,810	—	—	24,103	641,913
Debt service	—	8	29,959,595	813,205	30,772,808
Community development	—		—	227,579	227,579
Emergencies - TABOR	6,863,651	—	—	69,442	6,933,093
Open space conservation and improvements	—	—	—	8,388,967	8,388,967
Public safety	—	—	—	378,600	378,600
Committed for:					
Capital additions and improvements	—	59,278,097	—	—	59,278,097
Urban renewal	—	—	5,103,526	—	5,103,526
Assigned to:					
Community development	—	—	—	1,748,696	1,748,696
Debt service	—	—	—	207,607	207,607
Other	12,092,557	—	—	—	12,092,557
Urban renewal	—	—	16,778,457	—	16,778,457
Unassigned	37,751,532	—	—	(49,997)	37,701,535
Total fund balances	$ 58,435,585	$ 104,348,658	$ 51,841,578	$ 37,590,850	$ 252,216,671
Total liabilities, deferred inflows of resources, and fund balances	$ 88,054,364	$ 112,451,148	$ 81,012,890	$ 42,756,509	$ 324,274,911

The accompanying notes are an integral part of the financial statements

CITY OF WESTMINSTER, COLORADO
RECONCILIATION OF THE BALANCE SHEET OF GOVERNMENTAL FUNDS TO THE STATEMENT OF NET POSITION
DECEMBER 31, 2023

Fund balances - total government funds		$ 252,216,671
Amounts reported for governmental activities in the statement of net position is different because:		
Capital assets used in governmental activities excluding internal service fund capital assets of $11,553,070 are not financial resources and therefore are not reported in the governmental funds.		
Governmental capital assets	886,480,022	
Less accumulated depreciation	(467,909,681)	
Governmental lease assets	347,565	
Governmental information technology subscription assets	5,753,298	
Less accumulated amortization	(939,189)	
		423,732,015
Other assets used in governmental activities are not financial resources and therefore are not reported in the governmental funds.		
Prepaid bond insurance costs	16,717	
Investment in joint venture	880,883	
Net pension asset	1,295,088	
		2,192,688
Deferred outflows of resources reflecting the consumption of net assets that applies to future periods are not financial resources and therefore are not reported in the governmental funds.		
Deferred loss on refunding of long-term debt	1,214,191	
Deferred outflows of resources related to pension plans	24,417,570	
Deferred outflows of resources related to other post employment benefits	638,090	
		26,269,851
Long-term liabilities, excluding internal service funds, are not due and payable in the current period and therefore are not reported in the governmental funds.		
Governmental long-term debt payable	(129,859,075)	
(Premiums)/discounts on long-term debt payable	(5,792,979)	
Arbitrage	(148,190)	
Compensated absences	(6,224,025)	
Postemployment benefits	(5,129,873)	
Lease liability	(173,748)	
Information technology subscription liability	(4,847,964)	
Net pension obligation	(2,893,095)	
		(155,068,949)
Short-term liabilities that are not payable with current financial resources in the current period are not reported in the governmental funds.		
Comp time	(63,984)	
Accrued interest, long term debt	(834,054)	
Accrued interest, lease liability	(579)	
Accrued interest, information technology subscription liability	(128,742)	
		(1,027,359)
Deferred inflows of resources reflecting the acquisition of net assets that applies to future periods are not financial resources and therefore are not reported in the governmental funds.		
Revenues earned, but not available during the reporting year	14,904,588	
Deferred inflows of resources related to pension plans	(2,031,039)	
Deferred inflows of resources related to other post employment benefits	(1,215,917)	
		11,657,632
Internal service funds are used by management to charge the costs of certain activities to individual funds. The assets and liabilities of internal service funds are included in governmental activities in the statement of net position.		
Internal Service Funds, net position	29,341,159	
Internal Service Funds, activity related to enterprise funds	(36,143)	
		29,305,016
Net position of governmental activities		$ 589,277,565

CITY OF WESTMINSTER, COLORADO
STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES
GOVERNMENTAL FUNDS
FOR THE YEAR ENDED DECEMBER 31, 2023

	General	General Capital Improvement	Westminster Economic Development Authority	Nonmajor Governmental Funds	Total Governmental Funds
REVENUES					
Property taxes	$ 7,117,799	$ —	$ —	$ 597,408	$ 7,715,207
Sales taxes	103,091,676	—	—	7,155,010	110,246,686
Use taxes	21,281,400	—	—	1,477,022	22,758,422
Property tax increment	—	—	20,585,473	—	20,585,473
Business fees and other taxes	6,096,463	—	—	—	6,096,463
Accommodations taxes	5,248,995	—	—	—	5,248,995
Intergovernmental	17,076,698	5,737,034	—	7,457,683	30,271,415
Licenses and permits	2,743,716	—	—	—	2,743,716
Interest	2,654,491	3,811,525	1,596,057	1,752,154	9,814,227
Lease interest	26,271	—	3,039	—	29,310
Rentals	—	—	110,401	—	110,401
Contributions	—	778,997	—	—	778,997
Recreation fees	7,209,900	—	—	—	7,209,900
Fines and forfeitures	898,496	—	—	73,404	971,900
Fleet maintenance billings and other	8,774,077	—	—	—	8,774,077
EMS billings	3,777,487	—	—	—	3,777,487
Leases	147,400	—	292,366	—	439,766
Other	—	—	932,751	29,226	961,977
Total revenues	186,144,869	10,327,556	23,520,087	18,541,907	238,534,419
EXPENDITURES					
General government	55,432,296	549,291	2,654,734	222,339	58,858,660
Public safety	70,235,525	—	—	—	70,235,525
Public works	11,513,194	—	—	—	11,513,194
Community development	9,331,319	—	—	3,627,512	12,958,831
Economic development	2,425,992	—	—	—	2,425,992
Culture and recreation	28,480,374	—	—	—	28,480,374
Capital projects	—	24,365,060	4,047,322	10,352,693	38,765,075
Debt service:					
Principal	—	—	6,119,787	1,605,000	7,724,787
Interest and fiscal charges	—	—	1,431,939	1,146,838	2,578,777
Issuance costs	—	371,548	—	—	371,548
Total expenditures	177,418,700	25,285,899	14,253,782	16,954,382	233,912,763
Excess of revenues over (under) expenditures	8,726,169	(14,958,343)	9,266,305	1,587,525	4,621,656
OTHER FINANCING SOURCES (USES)					
Debt proceeds	—	35,005,000	—	—	35,005,000
Issuance of information technology subscriptions	139,761	—	—	—	139,761
Premium on debt	—	2,273,900	—	—	2,273,900
Discount on debt	—	(307,353)	—	—	(307,353)
Sale of capital asset	398,091	—	—	—	398,091
Insurance recoveries	458,957	—	—	—	458,957
Transfers in	2,417,868	16,169,171	63,000	2,811,965	21,462,004
Transfers (out)	(17,733,291)	—	(4,262,070)	(4,422,647)	(26,418,008)
Total other financing sources (uses)	(14,318,614)	53,140,718	(4,199,070)	(1,610,682)	33,012,352
Net change in fund balance	(5,592,445)	38,182,375	5,067,235	(23,157)	37,634,008
Fund balance, beginning	64,028,030	66,166,283	46,774,343	37,614,007	214,582,663
Fund balance, ending	$ 58,435,585	$ 104,348,658	$ 51,841,578	$ 37,590,850	$ 252,216,671

The accompanying notes are an integral part of the financial statements

CITY OF WESTMINSTER, COLORADO
RECONCILIATION OF THE STATEMENT OF REVENUES, EXPENDITURES, AND CHANGES IN FUND BALANCES OF GOVERNMENTAL FUNDS TO THE STATEMENT OF ACTIVITIES
DECEMBER 31, 2023

Net changes in fund balances - total government funds		$ 37,634,008
Amounts reported for governmental activities in the statement of activities are different because:		
Governmental funds report capital outlays as expenditures, while in the statement of activities, the cost of those assets is allocated over their estimated useful lives and reported as depreciation expense. These amounts, exclusive of internal service fund activity, are the differences in the treatment of capital assets.		
Expenditures for capital assets	20,550,860	
Expenditures for information technology subscription assets	139,761	
Current year amortization, lease assets	(86,891)	
Current year amortization, information technology subscription assets	(837,816)	
Transfers of capital assets to enterprise funds	(1,379,514)	
Current year depreciation, capital assets	(18,019,388)	
		367,012
In the governmental funds, the proceeds from the sale of assets increase financial resources, while in the statement of activities, only the gain/loss on the sale of assets is reported. These amounts, exclusive of internal service fund activity, are the differences in the treatment of the transactions involving capital assets.		
Proceeds from sale of capital assets	(398,091)	
Gain on sale of capital assets	419,493	
Extraordinary impairment loss	(3,941,769)	
		(3,920,367)
In governmental funds, issuance of long-term debt provides, and principal repayments and bond insurance costs consume current financial resources and are reported as other financing sources (uses) and expenditures, while in government-wide reporting, these transactions are reported as adjustments to noncurrent liabilities, having no effect on the change in net position. These amounts, exclusive of internal service fund activity, are the differences in the treatment of long-term debt.		
Issuance of certificates of participation	(35,005,000)	
Issuance of information technology subscription arrangements	(139,761)	
Premium on debt	(2,273,900)	
Discount on debt	307,353	
Principal payments, leases	173,817	
Principal payments, information technology software subscriptions	905,334	
Principal payments, debt	11,736,748	
		(24,295,409)
Some expenses reported in the statement of activities do not require the use of current financial resources and therefore are not reported as expenditures in governmental funds.		
Amortization of bond discount/premium, deferred loss on refunding and prepaid bond insurance costs	344,402	
Accrual of interest expense	(362,709)	
Accrual of lease interest expense	281	
Accrual of information technology subscription interest expense	(128,742)	
Accrual of arbitrage	(148,190)	
Accrual of pollution remediation liability	114,538	
Adjustment to long-term compensated absences liability	1,498,505	
Adjustment to net other postemployment benefit expense	(376,028)	
Adjustment to net pension expense	(774,645)	
		167,412
Some revenues in the Statement of Activities do not provide current financial resources and are not reported as revenues in the governmental fund statements. These revenues result from the contribution of capital assets.		
Capital contributions		9,895,156
Revenues in the Statement of Activities that do not provide current financial resources are not reported as revenues in the governmental fund statements until they become available. As a result, some revenues recognized in governmental funds may have been recognized in the statement of activities in prior years. These amounts are the difference in the treatment of revenue recognition.		
Investment in Joint Venture	23,766	
Intergovernmental revenue	(191,444)	
Fines and forfeitures	14,851	
Other	1,483,663	
		1,330,836
Internal service funds are used by management to charge the costs of certain activities to individual funds. The net revenue (expense) of the internal service funds is reported with governmental activities in the government-wide statement of net position as they predominately benefit governmental activities.		
Change in net position, Internal Service Funds		(420,606)
Internal allocation to Business-type activities		871,104
Change in net position of governmental activities		$ 21,629,146

CITY OF WESTMINSTER, COLORADO
STATEMENT OF NET POSITION
PROPRIETARY FUNDS
DECEMBER 31, 2023

	Enterprise Funds			
	Utility	Nonmajor Funds	Total	Governmental Activities Internal Service Funds
ASSETS				
Current assets:				
Cash and cash equivalents	$ 28,389,223	$ 245,889	$ 28,635,112	$ 3,535,117
Cash and cash equivalents with fiscal agent	—	—	—	202,077
Investments	138,772,097	1,187,932	139,960,029	17,382,739
Receivables, net:				
Accounts	6,862,468	99,376	6,961,844	1,215
Leases	22,187	—	22,187	—
Interest	677,075	8,631	685,706	83,247
Inventories	2,914,654	284,366	3,199,020	102,731
Bond insurance and other prepaid items	9,324	—	9,324	3,110,598
Total current assets	177,647,028	1,826,194	179,473,222	24,417,724
Noncurrent assets:				
Restricted assets:				
Cash and cash equivalents	121,976	—	121,976	—
Cash and cash equivalents with fiscal agent	2,841,367	57,347	2,898,714	—
Investments	2,163,449	—	2,163,449	—
Other assets	1,657,684	—	1,657,684	—
Lease receivable	42,448	—	42,448	—
Capital assets:				
Non-depreciable assets	170,182,607	13,455,674	183,638,281	—
Depreciable assets, net	456,927,483	35,684,593	492,612,076	11,553,070
Total noncurrent assets	633,937,014	49,197,614	683,134,628	11,553,070
Total assets	811,584,042	51,023,808	862,607,850	35,970,794
DEFERRED OUTFLOWS OF RESOURCES	460,451	22,636	483,087	—
LIABILITIES				
Current liabilities:				
Accounts payable and other	10,695,327	223,094	10,918,421	1,225,585
Accrued liabilities	650,369	104,863	755,232	—
Unearned revenue	—	94,368	94,368	—
Bonds payable, current portion	3,650,000	—	3,650,000	—
Notes payable and certificates of participation, current	2,086,453	690,428	2,776,881	503,491
Other liabilities, current portion	349,930	16,234	366,164	109,636
Accrued interest	340,359	20,976	361,335	43,193
Estimated claims	—	—	—	2,630,190
Total current liabilities	17,772,438	1,149,963	18,922,401	4,512,095
Noncurrent liabilities:				
Bonds payable	93,425,258	—	93,425,258	—
Notes payable	19,979,703	6,331,270	26,310,973	1,888,136
Other liabilities payable	1,872,503	242,678	2,115,181	229,404
Total noncurrent liabilities	115,277,464	6,573,948	121,851,412	2,117,540
Total liabilities	133,049,902	7,723,911	140,773,813	6,629,635
DEFERRED INFLOWS OF RESOURCES	346,980	29,133	376,113	—
NET POSITION				
Net investment in capital assets	500,188,320	42,095,935	542,284,255	8,738,762
Restricted for:				
Debt service	2,285,425	—	2,285,425	—
Unrestricted	176,173,866	1,197,465	177,371,331	20,602,397
Total net position	$ 678,647,611	$ 43,293,400	721,941,011	$ 29,341,159
Adjustment to reflect the consolidation of internal service fund activities related to enterprise funds			36,143	
Net position of business-type activities			$721,977,154	

The accompanying notes are an integral part of the financial statements

CITY OF WESTMINSTER, COLORADO
STATEMENT OF REVENUES, EXPENSES AND CHANGES IN FUND NET POSITION
PROPRIETARY FUNDS
FOR THE YEAR ENDED DECEMBER 31, 2023

	Business-type Activities Enterprise Funds			Governmental Activities Internal Service Funds
	Utility	Nonmajor Funds	Total	
Operating revenues				
Charges for services	$ 71,512,856	$ 6,124,944	$ 77,637,800	$ 32,396,802
Other	1,918,489	3,443	1,921,932	5,307
Total operating revenues	73,431,345	6,128,387	79,559,732	32,402,109
Operating expenses				
Personnel services	19,745,344	2,867,992	22,613,336	2,199,825
Contractual services	17,492,075	1,426,704	18,918,779	6,129,245
Commodities	3,004,249	677,873	3,682,122	1,672,524
Capital expense	1,514,492	201,232	1,715,724	1,091,724
Insurance and other expenses	—	—	—	20,402,345
Amortization expense	267,300	5,839	273,139	98,656
Depreciation expense	17,051,163	1,800,467	18,851,630	2,470,144
Total operating expenses	59,074,623	6,980,107	66,054,730	34,064,463
Operating income (loss)	14,356,722	(851,720)	13,505,002	(1,662,354)
Nonoperating revenues (expenses)				
Investment earnings	7,593,921	62,626	7,656,547	1,008,055
Interest expense	(3,021,357)	(147,059)	(3,168,416)	(58,396)
Lease interest revenue	3,147	—	3,147	—
Lease revenue	17,815	—	17,815	—
Grants	9,000	950	9,950	—
Gain (Loss) on disposition of capital assets	—	(26,653)	(26,653)	(156,831)
Insurance recoveries	4,468	59,311	63,779	448,920
Total nonoperating revenues (expenses)	4,606,994	(50,825)	4,556,169	1,241,748
Income before contributions and transfers	18,963,716	(902,545)	18,061,171	(420,606)
Capital contributions	5,833,934	422,516	6,256,450	—
Transfers in	5,000,000	1,098,000	6,098,000	—
Transfers (out)	(1,141,996)	—	(1,141,996)	—
Change in net position	28,655,654	617,971	29,273,625	(420,606)
Net position - beginning	649,991,957	42,675,429		29,761,765
Net position - ending	$ 678,647,611	$ 43,293,400		$ 29,341,159
Adjustment to reflect the consolidation of internal service fund activities related to enterprise funds			(871,104)	
Change in net position of business-type activities			$ 28,402,521	

CITY OF WESTMINSTER, COLORADO
STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS
FOR THE YEAR ENDED DECEMBER 31, 2023

	Business-type Activities Enterprise Funds			Governmental Activities Internal Service Funds
	Utility	Nonmajor Funds	Total	
Cash flows from operating activities:				
Receipts from customers	$ 71,452,255	$ 6,130,562	$ 77,582,817	$ —
Receipts from interfund charges for risk management services	—	—	—	20,882,068
Receipts from interfund charges for capital outlay replacement	—	—	—	7,370,542
Receipts from interfund charges for fleet services	—	—	—	4,223,430
Cash payments to employees for services	(11,979,115)	(2,452,264)	(14,431,379)	(1,919,738)
Cash payments for benefits on behalf of employees	(3,965,326)	(437,786)	(4,403,112)	(300,997)
Cash payments to suppliers for goods and services	(21,140,662)	(2,244,322)	(23,384,984)	(27,770,014)
Payments (to) from other funds	(5,079,076)	(47,886)	(5,126,962)	—
Other operating revenues	1,918,489	—	1,918,489	5,307
Net cash provided by (used in) operating activities	31,206,565	948,304	32,154,869	2,490,598
Cash flows from noncapital financing activities:				
Transfer in	5,000,000	1,098,000	6,098,000	—
Transfer out	(1,141,996)	—	(1,141,996)	—
Grant proceeds not restricted to capital purposes	9,000	950	9,950	—
Net cash provided by (used in) noncapital financing activities	3,867,004	1,098,950	4,965,954	—
Cash flows from capital and related financing activities:				
Principal paid on long-term debt	(5,596,394)	(1,157,467)	(6,753,861)	(652,556)
Interest paid on long-term debt	(4,119,398)	(153,020)	(4,272,418)	(61,792)
Principal paid on long term liabilities	(285,858)	(6,271)	(292,129)	(103,185)
Interest paid on long term liabilities	(3,991)	(166)	(4,157)	(3,329)
Acquisition and construction of capital assets	(56,222,501)	(1,061,785)	(57,284,286)	(4,128,376)
Proceeds from sale of capital assets	—	—	—	57,206
Contributions	3,131,203	—	3,131,203	—
Insurance recoveries	4,468	59,311	63,779	448,920
Lease revenue	23,250	—	23,250	—
Net cash used in capital and related financing activities	(63,069,221)	(2,319,398)	(65,388,619)	(4,443,112)
Cash flow from investing activities:				
Proceeds from sale of investments	130,280,174	2,362,959	132,643,133	19,352,216
Purchases of investments	(111,572,613)	(2,694,695)	(114,267,308)	(16,781,909)
Interest received on investments	3,631,004	59,011	3,690,015	1,204,678
Net cash provided by (used in) investing activities	22,338,565	(272,725)	22,065,840	3,774,985
Net decrease in cash and cash equivalents	(5,657,087)	(544,869)	(6,201,956)	1,822,471
Cash and cash equivalents - beginning of year	37,009,653	848,105	37,857,758	1,914,723
Cash and cash equivalents - end of year	$ 31,352,566	$ 303,236	$ 31,655,802	$ 3,737,194
Reconciliation of cash and cash equivalents to Statement of Net Position				
Unrestricted cash and cash equivalents	$ 28,389,223	$ 245,889	$ 28,635,112	$ 3,535,117
Unrestricted cash and cash equivalents with fiscal agent	—	—	—	202,077
Restricted cash and cash equivalents	121,976	—	121,976	—
Restricted cash and cash equivalents with fiscal agent	2,841,367	57,347	2,898,714	—
Total Cash and Cash Equivalents	$ 31,352,566	$ 303,236	$ 31,655,802	$ 3,737,194

(Continued)

CITY OF WESTMINSTER, COLORADO
STATEMENT OF CASH FLOWS
PROPRIETARY FUNDS
FOR THE YEAR ENDED DECEMBER 31, 2023

	Business-type Activities Enterprise Funds			Governmental Activities Internal Service Funds
	Utility	Nonmajor Funds	Total	
Reconciliation of operating income (loss) to net cash provided by operating activities				
Operating income (loss)	$ 14,356,722	$ (851,720)	$ 13,505,002	$ (1,662,354)
Adjustments to reconcile operating income (loss) to net cash provided by operating activities:				
Depreciation	17,051,163	1,800,467	18,851,630	2,470,144
Amortization	267,300	5,839	273,139	98,656
(Increase) decrease in accounts receivable	(60,601)	(61,036)	(121,637)	79,238
(Increase) decrease in inventories	(436,245)	(17,744)	(453,989)	(33,590)
(Increase) decrease in prepaid items	21,706	—	21,706	(176,763)
Increase (decrease) in capital assets expensed	—	131	131	—
Increase (decrease) in deferred outflow of resources	2,735	1,201	3,936	—
Increase (decrease) in unearned revenue	—	11,618	11,618	—
Increase (decrease) in accounts payable and other	(817,943)	19,624	(798,319)	889,392
Increase (decrease) in accrued liabilities	803,387	34,885	838,272	(48,879)
Increase (decrease) in estimated claims	—	—	—	874,754
Increase (decrease) in deferred inflow of resources	18,341	5,039	23,380	—
Total adjustments	16,849,843	1,800,024	18,649,867	4,152,952
Net cash provided by operating activities	$ 31,206,565	$ 948,304	$ 32,154,869	$ 2,490,598

	Business-type Activities Enterprise Funds			Governmental Activities Internal Service Funds
Non-cash financing, capital and investing activities:	Utility	Nonmajor Funds	Total Enterprise Funds	
Financing Activities				
Amortization of discounts (premiums), prepaid insurance, and loss on refunding	$ 1,095,354	$ (963)	$ 1,094,391	$ —
Capital Activities				
Capital contributions from developers	669,526	—	669,526	—
Capital contributions from intergovernmental agencies	351,000	—	351,000	—
Capital contributions from governmental activities	956,998	422,516	1,379,514	—
Capital assets acquired through payables	7,534,709	—	7,534,709	148,678
Gain (Loss) on disposal of capital assets	(214,037)	(26,651)	(240,688)	(172,376)
Asset acquired through information technology subscriptions	529,514	—	529,514	—
Investing Activities				
Increase (Decrease) in fair value of investments	3,763,278	2,322	3,765,600	108,163
Increase (Decrease) in equity interest	32,971	—	32,971	—

CITY OF WESTMINSTER, COLORADO
STATEMENT OF CHANGES IN FIDUCIARY NET POSITION
FIDUCIARY FUND
FOR THE YEAR ENDED DECEMBER 31, 2023

	Custodial Fund
ASSETS	
Cash and cash equivalents with fiscal agent	$ 4,531,900
Receivables:	
Interest	19,124
Total assets	$ 4,551,024
LIABILITIES	
Accounts payable and other	323
Total liabilities	323
Net Position Restricted	$ 4,550,701

The accompanying notes are an integral part of the financial statements

CITY OF WESTMINSTER, COLORADO
STATEMENT OF CHANGES IN FIDUCIARY NET POSITION
FIDUCIARY FUND
FOR THE YEAR ENDED DECEMBER 31, 2023

	Custodial Fund
ADDITIONS	
Deposits	4,500,000
Interest	$ 51,024
Total additions	4,551,024
DEDUCTIONS	
Distribution of deposits	323
Total deductions	323
Net increase in fiduciary net position	4,550,701
Net position - beginning	—
Net position - ending	$ 4,550,701

This Page Intentionally Blank

CITY OF WESTMINSTER, COLORADO
INDEX OF NOTES TO FINANCIAL STATEMENTS
DECEMBER 31,2023

NOTE 1	**SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES**	35
A.	Reporting Entity	35
B.	Basic Financial Statements	36
C.	Measurement Focus, Basis of Accounting and Basis of Presentation	37
D.	Assets, Deferred Outflows of Resources, Liabilities, and Deferred Inflows of Resources	38
E.	FPPA Pensions	41
F.	Other Postemployment Benefits	42
G.	Net Position/Fund Balances	42
H.	Interfund Transactions	42
NOTE 2	**DETAILED NOTES ON ALL FUNDS**	44
A.	Deposits and Investments	44
B.	Disaggregation of Receivables	47
C.	Notes Receivable	47
D.	Interfund Receivables and Payables	51
E.	Capital and Lease Assets	52
F.	Disaggregation of Payables	54
G.	Interfund Transfers	55
H.	Long-Term Liabilities	56
I.	Net Position	61
J.	Pledged Revenues	62
K.	Moral Obligation Pledge	62
L.	Disaggregation of Deferred Outflows/Inflows of Resources	63
NOTE 3	**OTHER INFORMATION**	64
A.	Risk Management	64
B.	Public Entity Risk Pools	65
C.	Contingent Liabilities	65
D.	Construction and Other Significant Commitments	66
E.	Denver Water Raw Water Contract	66
F.	Perpetual Agreement	66
G.	Employee Defined Contribution Retirement Plans	66
H.	Employee Defined Benefit Retirement Plans	68
I.	Retiree Health Program	79
J.	Tax Spending and Debt Limitations	81
K.	Jointly Governed Organization	81
L.	Joint Ventures	82
M.	Component Unit of Another Government with Joint Venture Characteristics	82
N.	Intergovernmental Agreement	82
O.	Arbitrage Compliance	83
P.	Tax Abatements	83
Q.	Property Held for Resale	83
R.	Conduit Debt Obligations	84
S.	Debt Issues	84
T.	Pollution Remediation	84
U.	Implementation of New Accounting Standard	84
V.	Expenses in Excess of Appropriations	84
W.	Custodial Fund	84
X.	Capital Asset Impairment Loss	85

This Page Intentionally Blank

NOTE 1 - SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

A. Reporting Entity

The City is a municipality governed by an elected mayor and six additional members of Council. For financial reporting purposes, these financial statements include all funds of the primary government as well as component units determined to be included in the City's financial reporting entity because of their significant operational and financial relationship with the City.

Component Units
As established by the Governmental Accounting Standards Board (GASB) Statement No.14, *The Financial Reporting Entity*, as amended by GASB Statement No. 39, *Determining Whether Certain Organizations are Component Units,* as amended by GASB Statement No. 61, *The Financial Reporting Entity: Omnibus*, as amended by GASB No. 84, *Fiduciary Activities*, as amended by GASB Statement No. 97, *Certain Component Unit Criteria, and Accounting and Financial Reporting for Internal Revenue Code Section 457 Deferred Compensation Plans*, component units are legally separate entities for which the City is considered to be financially accountable. Financial accountability means that the City appoints a voting majority to the governing board and has the ability to impose its will upon the entity and/or accepts potential responsibility for the entities financial benefits and burdens.

Component units that meet the inclusion criteria are either discretely presented or blended. Discrete presentation entails reporting component unit financial data in a separate column from the primary government to emphasize their legal separateness from the City. Blended component units are, in substance, part of City operations, therefore data from these units are combined with the City. Separate financial statements are not prepared for blended component units. The City's component units are all blended and each has a December 31 year end.

Westminster Housing Authority (WHA) was established on December 8, 1977 with the primary purpose of providing affordable housing to residents in the City. The governing body of WHA is the same as the City's governing body. The City has access to WHA's resources, if necessary, to use for the purposes for which the revenues are intended. The Westminster Housing Authority Fund is the general fund of a blended component unit of the City and is reported as a special revenue fund. The City maintains all accounting records for WHA. Separate financial statements are not prepared for the Westminster Housing Authority.

Westminster Economic Development Authority (WEDA) was established on September 14, 1987 with the primary purpose of undertaking urban renewal activities with the City. The governing body of WEDA is the same as the City's governing body. The City has access to WEDA resources, if necessary, to use for the purposes for which the revenues are intended. WEDA is the general fund of a blended component unit of the City and is reported as a major special revenue fund. The City maintains all accounting records for WEDA. Separate financial statements are not prepared for WEDA.

General Improvement Districts (GID)
- *Sheridan Crossing* GID was established on September 9, 1996 with the primary purpose of operating and maintaining storm drainage improvements and maintenance of all necessary incidental and appurtenant properties and facilities within the GID.
- *Amherst GID* was established on September 26, 1988 with the primary purpose of maintaining landscaped right-of-way, open space and drainage areas within the GID.
- *136th Avenue GID* was established on August 14, 2000 with the primary purpose of financing a new interchange at 136th Avenue and Interstate 25 benefiting the GID.
- *Orchard Park Place North GID* was established on September 14, 2009 with the primary purpose of financing the repayment of cost recoveries associated with the Orchard View Development within the GID.
- *Mandalay Town Center GID* was established on September 8, 2003 with the primary purpose of financing a portion of the costs of street improvements and other necessary and related appurtenance facilities in the GID.
- *144th Avenue GID* was established on August 30, 2004 with the primary purpose of paying debt associated with public improvements both within or without the boundaries of the GID.
- *Park 1200 GID* was established on August 10, 2015, with the primary purpose of acquiring, constructing, installing, operating or maintaining improvements and/or providing services within and for the District.
- *Downtown GID* was established on August 24, 2015 with the primary purpose of acquiring, constructing, installing, operating or maintaining improvements and/or providing services within and for the District.
- *Westminster Station GID* was established on August 28, 2017 with the primary purpose of acquiring, constructing, installing, operating or maintaining improvements and/or providing services within and for the District.

The boundaries of these GIDs are located within the City limits and the governing body of each of these GIDs is the same as the City's governing body. The City has access to each of the GIDs resources, if necessary, to use for the purposes for which the revenues are intended. The City maintains all of the GID accounting records and reports each GID as a special revenue fund. Separate financial statements are not prepared for the GIDs.

Westminster Building Authority (WBA)
The City created the Westminster Building Authority as a non-profit corporation under State law (Articles 20 through 29, inclusive of Title 7 of the Colorado Revised Statutes). The Building Authority is intended to be the City's financing arm and, as such, allows the City to avoid paying fees to an outside third-party financing corporation. WBA is not presented in the financial statements as it assigned its right to receive and enforce payments relating to debt service of these financial benefits to a trustee and it has no assets or liabilities of its own. Separate financial statements are not prepared for the Westminster Building Authority.

B. Basic Financial Statements

The basic financial statements include government-wide and fund financial statements. The government-wide statements focus on the City as a whole and the fund financial statements focus on the major individual funds of the governmental and business-type categories. The government-wide financial statements categorize primary activities as either governmental or business-type. Each presentation provides valuable information that can be analyzed and compared (between years and between governments) to enhance the usefulness of the information.

Government-Wide Statements
The government-wide statement emphasis is on the sustainability of the City as an entity and the change in aggregate financial position resulting from the activities of the year.

For the most part, the effect of interfund activity has been removed from these statements. Exceptions to this general rule are charges for interfund services that are reasonably equivalent to the services provided.

In the government-wide Statement of Net Position, both the governmental and business-type activities columns (a) are presented on a consolidated basis by column, and (b) are reflected on a full accrual, economic resource basis, which incorporates long-term assets and receivables as well as long-term debt and obligations.

The government-wide Statement of Activities reflects both the gross and net expenses per functional category (Public Safety, Public Works, etc.), which are otherwise being supported by general government revenues (property, sales and use taxes, certain intergovernmental revenues, etc.). The Statement of Activities reduces gross expenses (including depreciation) by related program revenues, operating and capital grants. The program revenues must be directly associated with the function or a business-type activity. Program revenues include 1) charges to customers or applicants for goods, services, or privileges provided, 2) operating grants and contributions and 3) capital grants and contributions.

Transfers between governmental funds and between enterprise funds are reported in total at the fund level, and are not carried forward to the government-wide statements; transfers between governmental activities and business-type activities are reported in the respective activities columns of the Statement of Activities, resulting in elimination of transfer activity at the government-wide level.

The net expense (by function or business-type activity) is normally covered by general revenue (property, sales and use taxes, intergovernmental revenues, interest income, etc.).

Fund Financial Statements
The fund financial statements emphasis is on major governmental and proprietary fund categories. Nonmajor funds (by category) are summarized into a single column, unless the City believes a nonmajor fund (under major fund criteria) is particularly important to financial statement users, in which case it is reported as a major fund.

The governmental funds in the fund financial statements are presented on a current financial resource and modified accrual basis of accounting. This is the manner in which these funds are normally budgeted. This presentation is deemed most appropriate to demonstrate (a) legal and covenant compliance, (b) the source and use of liquid resources, and (c) how the City's actual experience conforms to the budget plan.

Since the governmental fund statements are presented on a different measurement focus and basis of accounting than the government-wide statements' governmental column, a reconciliation is presented on the page following each fund statement, which briefly explains the adjustments necessary to transform the fund based financial statements into the governmental activities column of the government-wide presentation.

Reporting of Internal Service and Fiduciary Funds
Internal service funds of a government (which traditionally provide services primarily to other funds of the government) are presented, in summary form, as part of the proprietary fund financial statements. Since the principal users of the internal services are the City's governmental activities, net position of internal service funds is consolidated with governmental activities when presented at the government-wide level. As appropriate, surplus or deficits are allocated back to customers in the entity-wide Statement of Activities and are therefore not eliminated in the consolidation of interfund services provided and used.

Fiduciary Funds are presented in the Statement of Fiduciary Net Position and Statement of Changes in Fiduciary Net Position. Since Fiduciary Fund assets are held for the benefit of a third party and cannot be used to address activities or obligations of the government, they are not incorporated into the government-wide statements.

C. Measurement Focus, Basis of Accounting and Basis of Presentation

The financial transactions of the City are recorded in individual funds. Each fund is accounted for by providing a separate set of self-balancing accounts that comprise its assets, deferred outflows of resources, liabilities, deferred inflows of resources, revenues or expenditures/expenses. The various funds are reported by generic classification within the financial statements.

GASB Statement No. 34, *Basic Financial Statements-and Management's Discussion and Analysis--for State and Local Governments,* as amended by GASB Statement No. 65, *Items Previously Reported as Assets and Liabilities*, sets forth minimum criteria (percentage of the assets, deferred outflows of resources, liabilities, deferred inflows of resources, revenues or expenditures/expenses of either fund category or the governmental and enterprise categories combined) for the determination of major funds. The nonmajor funds are combined in a column in the fund financial statements and detailed in the combining statements section.

Governmental funds are used to account for the City's general government activities. Governmental fund types use the flow of current financial resources measurement focus and the modified accrual basis of accounting. Under the modified accrual basis of accounting, revenues are recognized when susceptible to accrual (i.e., when they are “measurable and available”). “Measurable” means the amount of the transaction can be determined and “available” means collectible within the current period or soon enough thereafter to pay liabilities of the current period. The City considers all revenues available if they are collected within 45 days after year-end.

Sales taxes, property and other imposed taxes, as well as business fees and interest earnings associated with the current fiscal period are all susceptible to accrual and have been recognized as revenues of the current fiscal period. Only the portion of tax assessments receivable due within the current fiscal period is considered to be susceptible to accrual as revenue of the current period. All other revenue items are considered to be measurable and available only when cash is received by the City.

Expenditures are recorded when the related fund liability is incurred, except for unmatured interest on long-term debt, compensated absences and claims and judgments, which are recognized when the obligations are due.

The City reports the following major governmental funds:

General Fund is the City's primary operating fund. It accounts for all financial resources of the general government, except those required to be accounted for in another fund.

General Capital Improvement Fund accounts for the financing and construction of projects ranging from parks, street improvements, and traffic signals to fire station construction and remodeling. Financing is provided by investment earnings, intergovernmental revenues, contributions, bond proceeds and transfers.

Westminster Economic Development Authority Fund is a General Fund of a blended component unit and is therefore reported as a special revenue fund. WEDA accounts for the monies for urban renewal activity. Financing is provided by the incremental increases of both property tax and sales tax within the boundaries of the Authority. Proceeds from bond issues are used to finance capital improvements.

Proprietary funds are used to account for a government's ongoing organizations and activities that are similar to those often found in the private sector. Proprietary funds are reported using the economic resources measurement focus and the accrual basis of accounting. All assets, deferred outflows of resources, liabilities, deferred inflows of resources, revenues, expenses, and transfers relating to the government's business and quasi-business activities are accounted for through proprietary funds. The generally accepted accounting principles followed are generally those applicable to similar businesses in the private sector; the measurement focus is based upon determination of *net income, financial position, and cash flows*. Revenues earned and expenses incurred are recognized and classified in a government's proprietary funds in essentially the same manner as in business-type accounting and financial reporting. Proprietary funds distinguish operating revenues and expenses from non-operating items. Operating revenues and expenses generally result from providing services and producing and delivering goods in connection with the principal ongoing operations. All revenues and expenses not meeting this definition are reported as non-operating revenues and expenses. The City reports the following major proprietary fund:

Utility Fund accounts for all activities necessary to provide water, sewer and storm drainage services to City residents and some outside users, financing of such activities and related debt service.

Additionally, the City reports the following fund types:

Internal Service Funds account for operations that provide services to other departments or agencies of the City on a cost-reimbursement basis. The financial statements of fiduciary funds are reported using the economic resources measurement focus and the accrual basis of accounting.

The City has three internal service funds that are used for self-insurance purposes; property and liability, workers' compensation, and medical and dental insurance. In addition, the City has one internal service fund used for replacement of capital equipment and one internal service fund used for the maintenance of fleet equipment.

Fiduciary Funds are comprised of resources held in a custodial capacity. The financial statements of fiduciary funds are reported using the economic resources measurement focus and the accrual basis of accounting. Even though fiduciary funds share a common measurement focus and basis of accounting with proprietary funds, fiduciary funds are not required to report a statement of cash flows, because the inflows and outflows are not for the benefit of the government or its component units.

The City has one fiduciary fund that holds a deposit from the Community Reach Center, Inc. for construction and ownership of space in collaboration with the City of Westminster's new municipal court facility. The Community Reach Center, Inc. space will house services to be provided, in particular, to patrons of the Westminster Municipal Court.

D. Assets, Deferred Outflows of Resources, Liabilities, and Deferred Inflows of Resources

Deposits and Investments

The City's cash and cash equivalents include amounts that are readily convertible to known amounts of cash and are not subject to significant risk from changes in interest rates.

Investments in local government investment pools are reported at the net asset value per share which is determined based upon how the fund is valued (i.e. fair value or amortized cost). All other investments are reported at fair value. For cash and cash equivalents, the fair value approximates the carrying value. For long-term investments, fair value is determined via dealer quotes. The City considers all investments with original maturities at three months or less to be cash equivalents.

The city pools its cash and investments. All temporary cash surpluses are invested. Earnings on pooled investments are allocated among the funds based on their proportionate share in the pool.

Receivables

The City holds accounts, taxes, notes, leases, grants, and interest receivables. Allowances for doubtful accounts are made based on assessment on the collectability of outstanding amounts. The receivables detail is reported in Note 2.B., Disaggregation of Receivables, on page 47 of this report.

The receivables for property taxes are recognized as of the lien date. Taxes are liened on January 1, certified to the counties in December, levied on January 1 of the following year, and subsequently paid in either one installment on April 30, or two installments on February 28 and June 15. Property taxes are recognized as receivables and deferred inflows of resources when liened, and as revenue when available for collection in the following year. The respective counties bill and collect the City's property taxes.

Assessments are also enforceable liens on property. They are certified to the counties when liabilities for special improvement districts are established. Payments, billings, and collections are handled by the counties in the same manner as property taxes, or the City collects the assessments directly.

Inventories and Prepaid Items

Inventories are valued at cost using the first-in/first-out (FIFO) method. The costs of inventories are recorded as expense/expenditure when consumed, rather than when purchased. Prepaid items reflect payments to vendors applicable to future accounting periods; the associated expense/expenditure is recognized in the period the prepayment is consumed rather than when payment is made.

Property Held for Resale

Property held for resale reflects properties acquired by the City for the express purpose of resale. Since these assets are intended to be converted to cash rather than to be used in daily operations, they are reported in governmental fund statements as financial assets valued at the lessor of either cost or net realizable value. Typically, properties held for resale are intended to be sold for economic development purposes.

Restricted Assets

Certain resources set aside for repayment of debt are classified as restricted assets on the Statement of Net Position and Fund Statement Balance Sheets because their use is limited by applicable debt covenants. The General Fund; Westminster Economic

Development Authority Special Revenue Fund; General Capital Improvement Fund; Parks, Open Space and Trails Capital Improvement Fund; Utility Enterprise Fund, and the Golf Course Enterprise Fund have restricted assets that consist of bond proceeds and other cash and investments mandated by indenture to be segregated for the construction of various projects and payment of debt. The Conservation Trust Fund has restricted cash and investments that are restricted due to the legal requirements of the program.

Capital Assets
Capital assets with a value of $5,000 or more are recorded at historical cost. Major outlays for constructed capital assets and improvements are capitalized when the assets are placed in service and the improvements are complete. Donated capital assets are recorded at the acquisition value at the date of donation. Costs that do not add to the value of an asset or materially extend its useful life are not included in its capitalized value. Infrastructure includes all streets and other pavement, bridges, water storage, storm drainage, signs, and traffic signals. Capital assets are depreciated using the straight-line method over their estimated useful lives:

Capital Asset Class	*Life Months*
Machinery and equipment	36-240
Buildings and plants	360-600
Improvements other than buildings	240-600
Parks	240
Infrastructure	120-1200

Leases
Lessee leases with a value of $100,000 or more for major funds are reported at the present value of lease payments. There is no threshold for lessee leases in the nonmajor funds.

As Lessee, the City recognizes a lease liability and an intangible right-to-use lease asset (lease asset) in the government-wide and proprietary fund financial statements.

At commencement of the lease, the City initially measures the lease liability at the present value of the payments expected to be made during the lease term. Subsequently, the lease liability is reduced by the principal portion of the lease payments made. The lease asset is initially measured at the initial amount of the lease liability, adjusted for payments made at or before the lease commencement date, plus certain initial direct costs.

Subsequently, the lease asset is amortized on a straight-line basis over the shorter of the lease term or useful life. Variable lease payments based on the usage of the underlying assets are not included in the lease liability calculation but are recognized as outflows of resources in the period in which the obligation is incurred.

Key estimates and judgements related to leases include how the City determines the discount rate it uses to discount the expected lease payments to present value, lease term and lease payments.

- The City uses the interest rate charged by the lessor as the discount rate. When the interest rate charged by the lessor is not provided, the City uses the market rate of interest at the lease's inception as the discount rate.
- The lease term includes the noncancellable period of the lease. Lease payments included in the measurement of the lease liability are fixed payments.

The City monitors changes in circumstances that would require a remeasurement of its lease and will remeasure the lease asset and liability if certain changes occur that are expected to significantly affect the amount of the lease liability.

Lease assets are reported as capital assets and lease liabilities are reported as long-term liabilities on the statement of net position.

As Lessor, the City recognizes a lease receivable and a deferred inflow of resources in the government wide, governmental fund and proprietary fund financial statements.

At the commencement of the lease, the City initially measures the lease receivable at the present value of payments expected to be received during the lease term. Subsequently, the lease receivable is reduced by the principal portion of lease payments received. The deferred inflow of resources is initially measured as the initial amount of the lease receivable, adjusted for lease payments received at or before the lease commencement date.

Subsequently, the deferred inflow of resources is recognized as revenue on a straight-line basis over the life of the lease term. Variable lease payments based on future performance of the lessee or the usage of the underlying assets are not included in the lease receivable calculations but are recognized as inflows of resources in the period in which those payments occur.

Key estimates and judgements include how the City determines the discount rate it uses to discount the expected lease receipts to present value, lease term and lease receipts.

- The City uses the market rate of interest at the lease's inception as the discount rate.
- The lease term includes the noncancellable period of the lease. Lease receipts included in the measurement of the lease receivable are composed of fixed payments from the lessee.

The City monitors changes in circumstances that would require a remeasurement of its lease and will remeasure the lease receivable and deferred inflows of resources if certain changes occur that are expected to significantly affect the amount of the lease receivable.

Subscription Based Information Technology Arrangements
Information technology based subscriptions (subscriptions) with a value of $50,000 or more for major funds and $15,000 or more for non major funds are reported at the present value of subscription payments. The City recognizes a liability and an intangible right-to-use subscription asset in the government-wide and proprietary fund financial statements.

At commencement of the subscription, the City initially measures the subscription liability at the present value of the subscription payments expected to be made during the subscription term. Subsequently, the lease liability is reduced by the principal portion of the subscription payments made. The subscription asset is measured at the initial amount of the subscription liability, adjusted for payments made at or before the subscription commencement date, plus capitalized implementation costs. The subscription term includes the noncancellable period of the subscription.

Subscription payments included in the measurement of the subscription liability are fixed and variable payments that are fixed in substance, such as a minimum variable payment. Payments made before the commencement of the subscription term, as well as payments made for the capitalizable implementation costs before the commencement of the subscription term, are reported as a prepaid asset until the commencement of the subscription term, at which time it will be reclassified as a subscription asset.

The subscription asset is amortized on a straight-line basis over the shorter of the subscription term or useful life. non-fixed variable subscription payments, such as payments based on the usage of the underlying assets or number of users without a minimum amount, are not included in the subscription liability calculation but are recognized as outflows of resources in the period in which the obligation is incurred. The City reports non-fixed variable subscription payments in the long term liability note, if and when, they occur.

Key estimates and judgements related to subscriptions include how the City determines the discount rate it uses to discount the expected lease payments to present value, lease term and lease payments.The City uses the interest rate charged by the vendor as the discount rate. When the interest rate charged by the vendor is not provided, the City uses the market rate of interest at the subscription's inception as the discount rate.

The City monitors for changes in circumstances that would require a remeasurement of its subscription assets and liabilities. A remeasurement is required if certain changes occur that would significantly affect the amount of the subscription liability. Subscription assets are reported as capital assets and subscription liabilities are reported as long term liabilities on the statement of net position.

Long-Term Debt Insurance and Issuance Costs
In the governmental funds, bond insurance costs are treated as period costs in the year of issue. In the proprietary funds (and for the governmental activities, in the government-wide statements) bond insurance costs are prepaid and amortized over the term of the bonds. All other debt issuance costs are reported as expenses in the period incurred.

Deferred Outflows of Resources
In addition to assets, the statement of financial position will sometimes report a separate section for deferred outflows of resources. This separate financial statement element, deferred outflows of resources, represents a consumption of net assets that applies to a future reporting period(s) and so will not be recognized as an outflow of resources (expense/ expenditure) until then.

The City reports the deferred loss on refunding debt reported in the proprietary fund statements and in the government-wide statement of net position. A deferred loss on refunding results from the difference in the carrying value of refunded debt and its reacquisition price. This amount is deferred and amortized over the shorter of the life of the refunded or refunding debt.

The City also reports deferred outflows in the government-wide statement of net position related to FPPA pension plans and postemployment benefits other than pension (OPEB) related to the City's Retiree Health Care Plan for deferred activity related to actuarial assumptions used to value the net pension liability (asset), total OPEB liability and employer contributions made subsequent to the valuation measurement date, as applicable.

Unearned Revenue
Payments received before eligibility requirements have been met must be matched by a corresponding liability for unearned revenue. Unearned revenue may include gift certificates pending redemption, grant funding received in advance of eligibility criteria being met, and rent received in a period prior to it becoming due.

Long-Term Debt Premiums and Discounts
In the governmental funds, bond premiums and discounts are treated as period costs in the year of issue. In the proprietary funds (and for the governmental activities, in the government-wide statements) bond premiums and discounts are deferred and amortized over the term of the bonds. The balance of these deferrals is combined with the corresponding long-term debt in the financial statements.

Other Long-Term Liabilities
Compensated absences, OPEB, pollution remediation, lease and information technology subscription obligations are reported as Other Liabilities in the proprietary fund financial statements and government-wide statements. The liabilities are accrued when incurred.

In governmental funds, compensated absences is accrued as a fund liability when it becomes payable following an employee's resignation or retirement; otherwise compensated absences and OPEB are considered long-term and are not accrued as fund liabilities. Pollution remediation obligations are accrued when extinguishable with current financial resources; otherwise, they are not accrued.

Compensated absences and OPEB are liquidated by the fund in which an employee works. The General Fund is typically used to liquidate these liabilities for the general government. Pollution remediation obligations are liquidated by the fund responsible for the remediation activity.

Differences in the treatment of these liabilities between governmental fund statements and the Statement of Net Position, Governmental Activities are accounted for in the Reconciliation of the Balance Sheet of Governmental Funds to the Statement of Net Position.

Deferred Inflows of Resources
In addition to liabilities, the statement of financial position will sometimes report a separate section for deferred inflows of resources. This separate financial statement element, deferred inflows of resources, represents an acquisition of net assets that applies to a future reporting period(s) that will be recognized as a revenue at that time.

Under the modified accrual basis of accounting, revenues and other fund financial resources are recognized in the period in which they become both measurable and available. Assets recorded in the fund financial statements for which the revenues are not available are reported as a deferred inflow of resources. In addition, property tax receivables are reported as a deferred inflow of resources when liened. Unavailable fund resources are recognized as revenue in the government-wide statement of net position.

The City also reports deferred inflows of resources in the government-wide statement of net position related to FPPA pension plans and OPEB related to the City's Retiree Health Program for deferred activity related to actuarial assumptions used to value the net pension liability (asset) and total OPEB liability.

Use of Estimates
In preparing the City's financial statements, management is required to make estimates and assumptions that affect the reported amounts of assets, deferred outflows of resources, liabilities and deferred inflows of resources, the disclosure of contingent assets and liabilities at the date of the financial statements, and the reported amounts of revenues and expenses during the reporting period. Actual results could differ from those estimates.

E. FPPA Pensions

For purposes of measuring the net pension liability (asset), deferred outflows of resources and deferred inflows of resources related to pensions, and pension expense, information about the fiduciary net position of the Statewide Defined Benefit Plan (SWDB), Statewide Hybrid Plan (SWH), and the Westminster Volunteer Firefighter Pension Plan, all administered by the Fire and Police Pension Association of Colorado (FPPA), and additions to/deductions from these plans' fiduciary net position have been determined on the same basis as they are reported by FPPA. As of January 1, 2023, the Statewide Defined Benefit Plan and the Statewide Hybrid Plan merged to form the Statewide Retirement Plan (SRP). The Statewide Defined Benefit Plan and Statewide Hybrid Plan became respectively the Defined Benefit Component and the Hybrid Component of the Statewide Retirement Plan. FPPA follows the accounting principles and reporting guidelines as set forth by the Governmental Accounting Standards Board. The financial statements are prepared using the accrual basis of accounting and reflect the overall operations of FPPA. Employer contributions in FPPA's financial statements are recognized in the period in which the contributions are due. Benefit payments are recognized when due and payable in accordance with the benefit terms. Investments are reported at fair value. All employees who participate in the plans are funded through the General Fund and therefore the net pension liability (asset) is recorded at the government-wide level only.

F. Other Postemployment Benefits

For purposes of measuring the total OPEB liability, deferred outflows of resources, deferred inflows of resources and OPEB expense of the Retiree Health Program (OPEB Plan) have been determined on the same basis as they are reported by the OPEB Plan.

G. Net Position/Fund Balances

Net position reflects assets plus deferred outflows of resources less liabilities plus deferred inflows of resources and is shown in three main categories in the government-wide and proprietary fund financial statements. Net investment in capital assets consists of capital, lease, and subscription assets, net of accumulated depreciation and amortization, reduced by the outstanding balances of debt used to acquire, construct and improve the assets. Net position is restricted when constraints placed on net resources are externally imposed. Remaining net position is reported as unrestricted. When both restricted and unrestricted resources are available for use, it is the City's practice to use restricted resources first, then unrestricted resources as they are needed.

Fund balance reflects assets plus deferred outflows of resources less liabilities and deferred inflows of resources and is shown only in governmental fund statements. Financial reporting standards establish criteria for classifying fund balance amounts into specifically defined categories to make the nature and extent of constraints on those amounts more useful and understandable. The categories comprise a hierarchy based on the extent to which constraints must be honored for a specified purpose and for which amounts can be spent. Fund balances may be categorized as nonspendable, restricted, committed, assigned, and unassigned.

Nonspendable Fund Balance cannot be spent because it is either in nonspendable form or is legally or contractually required to be maintained intact. Examples include items not expected to be converted to cash such as inventories and prepaid items.

Restricted Fund Balance is restricted for specific purposes based on constraints externally imposed by creditors, grantors, contributors, laws, or regulations of other governments, or imposed by law through constitutional provisions or enabling legislation.

Committed Fund Balance is constrained for specified purposes through ordinance, resolution, motion or order adopted by the City Council, and can be rescinded only through the same type of formal action used to establish the commitment. Each of these official actions are equally binding upon the City.

Assigned Fund Balance is constrained for specified purposes by the City Manager as authorized by the City's charter.

Unassigned Fund Balance is unconstrained and comprised of residual uncategorized fund balance amounts. The General Fund is the only fund that reports a positive unassigned fund balance.

When expenditures are incurred and both restricted and unrestricted amounts are available, restricted amounts are deemed to be used first. When expenditures are incurred for purposes for which amounts in any of the unrestricted fund balance classifications could be used, committed amounts are reduced first, followed by assigned amounts and then by unassigned amounts.

In 2009, City Council adopted a resolution establishing the General Fund Stabilization Reserve, which is intended to level the ebbs and flows of revenue collections, particularly sales and use tax revenues, and to smooth out any peaks or valleys that result from the unpredictable nature of this primary revenue source. The General Fund Stabilization Reserve is intended to enable continuous delivery of City services despite downturns in the economy. The reserve may be tapped prior to, in conjunction with or as a final step after budget reductions have been made. When not in an economic downturn, the target amount of the General Fund Stabilization Reserve in any given year is between 5% and 10% of the total sales and use tax revenues for that year. Should the reserve fall below the lower threshold of 5%, it will be replenished from various sources once economic conditions allow. At December 31, 2023, the General Fund Stabilization Reserve balance was $6,673,382. This amount is included in the unassigned fund balance on the balance sheet.

H. Interfund Transactions

In the fund financial statements, interfund transactions are reflected as loans, services provided and used, reimbursements or transfers. Transactions between funds that are representative of lending/borrowing arrangements outstanding at the end of the fiscal year are referred to as “loans to” and “loans from” other funds. In governmental funds, loans to other funds are offset by an equal nonspendable fund balance to indicate that resources are not available for appropriation unless the loan is limited for a specific use. Short-term advances between funds are reported as “due to” and “due from” other funds.

Services provided and used are treated as revenues and expenditures/expenses. Reimbursements occur when one fund incurs a cost, charges a benefiting fund for the costs and directly reduces its own costs related to the reimbursement.

All other interfund transactions are treated as transfers. Transfers between governmental or proprietary funds are netted as part of the reconciliation to the government-wide columnar presentation.

In the government-wide Statement of Net Position, loans between governmental and business type activities are reflected as internal balances.

NOTE 2 - DETAILED NOTES ON ALL FUNDS

A. Deposits and Investments

Deposits
Federal Deposit Insurance covers up to $250,000 in balances per depositor (e.g. City, WEDA), per insured bank, for each account ownership category. Deposit balances above amounts covered by Federal Deposit Insurance are collateralized in accordance with provision of the Colorado Public Deposit Protection Act (PDPA). The collateral is pooled and held in trust for all uninsured deposits as a group.

The total bank balance of the City's cash deposits as of December 31, 2023 was $36,491,383 of which $750,000 was covered by Federal Deposit Insurance. An additional $500,000 in Federal Deposit Insurance covers deposits held separately for the Westminster Economic Development Authority. The carrying amount of deposits and cash on hand at December 31, 2023 was $35,749,382.

The City as a home rule municipality operating under its City Charter is allowed under Colorado State Statutes to promulgate and implement local standards for cash and investment management operations. It is the policy of the City to invest public funds in a manner that will provide preservation of capital, meet the daily liquidity needs of the City, diversify the City's investments, conform to all local rules and state statutes governing the investment of public funds, and generate market rates of return.

The adopted Investment Policy for the City authorizes all investments to be made in accordance with Colorado Revised Statutes. The provision of the City's Investment Policy apply to all investable funds of the City to include trust funds, bond ordinance accounts and reserve accounts. The reserve and trust accounts are further defined with additional investment guidelines. The Investment Policy addresses the methods, procedures and practices which must be exercised to ensure effective and judicious fiscal and investment management of the City's funds.

The City's principal investment objectives are:

- Preservation of capital and protection of investment principal
- Maintenance of sufficient liquidity to meet anticipated cash flows
- Diversification to avoid incurring unreasonable financial risks
- Attainment of a market rate of return as defined in Section XIII of the Investment Policy
- Conformance with all applicable City policies, State statues and Federal regulations

The City's investments are subject to interest rate, credit and concentration of credit risk, which are mitigated by Colorado State Statutes as follows:

As a means of limiting its exposure to fair value losses arising from rising interest rates, the City's investment policy limits investment maturities to less than seven years, unless matched to a specific cash flow.

Interest Rate Risk. In accordance with its investment policy, the City manages its exposure to declines in fair values by maintaining the weighted average maturity not to exceed three years.

Credit Risk. In accordance with its investment policy, the City manages its credit risk by requiring at the time of purchase that the security be rated by at least two nationally recognized credit rating agencies as further defined in the Investment policy.

The City's securities at December 31, 2023, were in compliance with the City's Investment Policy. The City's investment policy follows Colorado Revised Statutes 24-75-602.1(j) and any changes enacted in the statutes.

Concentration of Credit Risk. In accordance with the City's investment policy, investments are diversified to eliminate the risk of loss resulting from over concentration of assets in a specific maturity, a specific issuer or a specific class of securities. Percentage limitations used for measurements are based on the percentage of cost value of the portfolio as defined within the Investment Policy.

Cash, cash equivalents and investments as reported on the financial statements at December 31, 2023

Cash and cash equivalents	$ 58,417,909
Cash and cash equivalents with fiscal agent	211,803
Investments	286,406,791
Restricted cash and cash equivalents	471,305
Restricted cash and cash equivalents with fiscal agent	41,907,976
Restricted investments	3,881,162
Restricted investments with fiscal agent	47,773,852
Total per Statement of Net Position:	$ 439,070,798

Credit Quality Distribution for Securities as a Percentage of Total Investments

Investment Type	S & P Rating	% of Total Investments
Local Government Investment Pool CSAFE	AAAm	7.69%
Local Government Investment Pool COLOTRUST	AAAm	4.53%
Local Government Investment Pool CSIP	AAAm	4.17%
Corporate Amazon.com Inc	AA	0.97%
Corporate Wal-Mart	AA	0.74%
Corporate Apple Inc	AA+	1.09%
Municipal Bonds	NR	0.16%
US Treasury Securities	N/A	57.13%
Federal Farm Credit Banks	AA+	9.28%
Federal Home Loan Bank System	AA+	10.16%
Freddie Mac (Federal Home Loan Mortgage Corporation)	AA+	0.00%
Fannie Mae (Federal National Mortgage Association)	AA+	2.05%
Money Market First American Government Obligations Fund	AAAm	1.95%
Money Market First American Treasury Obligations Fund	AAAm	0.08%

Investment Type	Fair Value	Weighted Average Maturity (years)
Local Government Investment Pool	$ 66,116,528	0.16
US Treasuries	230,413,502	1.65
US Instrumentalities	86,668,646	1.51
Domestic Corporate Securities	11,288,047	1.05
Municipal	643,930	1.71
Money Market Funds	8,190,763	0.12
Total Investments controlled by City	$ 403,321,416	
Total Portfolio Weighted Average Maturity		1.33

Fair Value of Assets and Liabilities
Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. Fair value measurements must maximize the use of observable inputs and minimize the use of unobservable inputs. There is a hierarchy of three levels of inputs that may be used to measure fair value:

Level 1 Quoted prices in active markets for identical assets or liabilities

Level 2 Observable inputs other than Level 1 prices, such as quoted prices for similar assets or liabilities; quoted prices in markets that are not active; or other inputs that are observable or can be corroborated by observable market data for substantially the full term of the assets or liabilities

Level 3 Unobservable inputs supported by little or no market activity and are significant to the fair value of the assets or liabilities

Recurring Measurements
The following table presents the fair value measurements of assets and liabilities recognized in the accompanying financial statements measured at fair value on a recurring basis and the level within the fair value hierarchy in which the fair value measurements fall at December 31, 2023:

Investments by fair value level	Fair Value	Quoted Prices in Active Markets for Identical Assets (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
Money Market Funds	$ 8,190,763	$ 8,190,763	$ —	$ —
Municipal Bonds	643,930	—	643,930	—
US Treasuries	230,413,502	—	230,413,502	—
US Instrumentalities	86,668,646	—	86,668,646	—
Domestic Corporate Securities	11,288,047	—	11,288,047	—
Total investments by fair value level	337,204,888	8,190,763	329,014,125	—
Investments measured at net asset value (NAV)				
Colorado Surplus Asset Fund Trust (CSAFE) (external investment pool)	31,026,898			
ColoTrust (external investment pool)	18,252,501			
Colorado Statewide Investment Program (CSIP) (external investment pool)	16,837,129			
Total investments measured at the NAV	66,116,528			
Total investments	$ 403,321,416			

Investment Valuation Techniques. Where quoted market prices are available in an active market, securities are classified within Level 1 of the valuation hierarchy. If quoted market prices are not available, then fair values are estimated by using quoted prices of securities with similar characteristics or independent asset pricing services and pricing models, the inputs of which are market-based or independently sourced market parameters, including, but not limited to, yield curves, interest rates, volatilities, prepayments, defaults, cumulative loss projections and cash flows. Such securities are classified in Level 2 of the valuation hierarchy. In certain cases where Level 1 or Level 2 inputs are not available, securities are classified within Level 3 of the hierarchy. The City does not have any level 3 securities as of December 31, 2023.

Investment in Local Government Investment Pools. The City utilizes three local government investment pools for investment, when a high degree of liquidity is prudent. The three pools are the Colorado Local Government Liquid Asset Trust (COLOTRUST), Colorado Statewide Investment Program (CSIP), and the Colorado Surplus Asset Fund Trust cash fund (CSAFE), collectively, the Trusts. COLOTRUST is a local government investment pool with a stable net asset value (NAV) and its NAV is measured at fair value per share. The CSIP Liquid Portfolio and CSAFE cash fund are considered qualifying external investment pools under GASB Statement No. 79, *Certain External Investment Pools and Pool Participants* and the NAV is measured at amortized cost per share.

Trusts. The State Securities Commissioner administers and enforces all State statutes governing the Trusts. The Trusts operate similarly to a money market fund and each share is equal in value to $1.00, although not guaranteed. Investment objectives and strategies focus on safety, liquidity, transparency, and competitive yields through investment in a diversified portfolio of short-term marketable securities. The Trusts may invest in U.S. Treasury securities and repurchase agreements collateralized by U.S. Treasury securities, certain obligations of U.S. government agencies and highly rated commercial paper. A designated custodial bank serves as custodian for the Trusts' portfolios pursuant to a custodian agreement. The custodian acts as a safekeeping agent for the Trust's investment portfolios and provides services as the depository in connection with direct investments and withdrawals. The custodians' internal records segregate investments owned by the Trusts. The Trusts do not have any limitations or restrictions on participant withdrawals.

Fiduciary Trust. As of December 31, 2023, the City holds a Fiduciary Trust account known as the Community Reach Center Fund that was established pursuant to the indenture for the Certificates of Participation, Series 2023. The funds are held in the First American Government Money Market Fund, and the balance as of December 31, 2023, was $4,531,900. The Community Reach Center Fund is held separately from the City accounts and is not included within the City's investment portfolio.

B. Disaggregation of Receivables

Receivables at December 31, 2023, were as follows:

	Taxes	Accounts	Notes	Leases	Grants	Interest	Total Receivables
Governmental Activities:							
General	$ 21,808,188	$ 7,818,334	$ 467,322	$ 1,543,004	$ 171,995	$ 238,432	$ 32,047,275
GCIF	—	276,594	963,169	—	2,707,598	252,942	4,200,303
WEDA	20,899,229	1,500	7,203,585	362,338	—	46,558	28,513,210
Nonmajor governmental	2,038,664	17,323	396,877	—	1,223,597	98,002	3,774,463
Less: Allowance for Doubtful Accounts	—	(1,983,458)	—	—	—	—	(1,983,458)
Subtotal	44,746,081	6,130,293	9,030,953	1,905,342	4,103,190	635,934	66,551,793
Reconciliation of balances to government-wide financial statements:							
Internal service funds	—	1,215	—	—	—	83,247	84,462
Total - Governmental Activities	$ 44,746,081	$ 6,131,508	$ 9,030,953	$ 1,905,342	$ 4,103,190	$ 719,181	$ 66,636,255
Business-type Activities:							
Utilities	$ —	$ 6,865,742	$ —	$ 64,635	$ —	$ 677,075	$ 7,607,452
Nonmajor proprietary	—	99,376	—	—	—	8,631	108,007
Less: Allowance for Doubtful Accounts	—	(3,274)	—	—	—	—	(3,274)
Total - Business-type Activities:	$ —	$ 6,961,844	$ —	$ 64,635	$ —	$ 685,706	$ 7,712,185

C. Notes and Leases Receivable

In the governmental fund financial statements, long-term receivables, such as notes receivable and leases receivables, are offset by deferred inflow of resources until recognized as revenue at the time of collection.

Notes Receivable
The note with Catellus Development Corporation represents the final special assessment payment due on land purchased by Catellus.

The Westminster Economic Development Authority entered into a note with Eaton Street Affordable Housing, LLC in the amount of $2,028,144 for the purchase of land and building permit fees and taxes associated with the construction of affordable housing units in the Downtown Westminster project area in the Westminster Center Urban Reinvestment Plan Area Urban Renewal Area. The note requires repayment beginning 17 years after the issuance of the certificate of occupancy for the project. The certificate of occupancy was issued on July 2, 2019. Interest at a rate of 0.10% per annum, simple interest, will not accrue until after the 17 year period. Full repayment of the note is required within 30 years following the issuance of the certificate of occupancy for the project. A portion of the note is recorded in the General Fund, the General Capital Improvement Fund and the Westminster Economic Development Authority Fund.

The Westminster Economic Development Authority entered into a note with Eaton Street Affordable Housing, LLC in the amount of $1,650,000 to assist in the construction of affordable housing as part of the Eaton Street Project referenced above. The note bears

simple interest at the rate of one percent (1%) per annum from the date of funding and will be repaid not later than 30 years following issuance of the certificate of occupancy discussed above. Payments will be made from housing cash flows for the project in accordance with a specific priority of repayment schedule.

The Westminster Economic Development Authority entered into a loan with Eaton Street Affordable Housing, LLC in the amount of $2,124,000 for the capitalized rent for parking spaces lease for the residential portion of the Eaton Street Project. Repayment of the loan is deferred until 17 years following the issuance of the certificate of occupancy discussed above. The note bears simple interest at the rate of one-tenth of one percent (.10%) per annum from the date of issuance of the certificate of occupancy. Full repayment of the note is required within 30 years following the issuance of the certificate of occupancy for the project. Payments will be made from housing cash flows for the project in accordance with a specific priority of repayment schedule.

The Westminster Economic Development Authority entered into a promissory note with Aspire Westminster Borrower, LLC in the amount of $2,000,000 to assist in the construction of a five-story mixed use project that includes residential units and ground floor retail and is located in Downtown Westminster. The entire outstanding balance of principal and accrued interest is due and payable in full on the maturity date, which is February 28, 2029. The note bears interest at the rate of five percent (5.0%) per annum, compounded annually, commencing on the date of the note and continuing until all principal and interest is paid. Interest on the note accrues during the term of the note and shall be payable on the maturity date.

The Westminster Housing Authority entered into a note with Westminster Commons VOA, LP as part of the sale of the Westminster Commons senior housing complex. Repayment will be made from projected cash flows generated by the project beginning in 2015 with a balloon payment of any unpaid principal and accrued interest in 2052. Interest is compounded annually at the rate of 3.6%. Due to the limited projected cash flows and unsecured subordinate note, an allowance for doubtful accounts has been established in the amount of $1,853,123 at December 31, 2023. Actual cash flows and updated project cash flows will be reviewed annually with the allowance for doubtful accounts adjusted when necessary.

The City will periodically reassess the collectability of the notes receivable and record a reserve if deemed necessary.

Description of notes receivable

Governmental Activities	Purpose of Issue	Amount Issued		Amount Outstanding	Scheduled Payments	Final Payment
Catellus Development Corporation	Land SID assessment	$ 194,847		$ 194,847	one-time payment	*
Eaton Street Affordable Housing LLC	Sale of Land and Building Permit Fee and Taxes	2,028,144		2,028,144	**	2036
Eaton Street Affordable Housing LLC	Affordable Housing Loan	1,650,000		1,744,615	**	2049
Eaton Street Affordable Housing LLC	Parking Space Lease Note	2,124,000		2,133,555	**	2036
Aspire Westminster LLC	Development Assistance Note	2,000,000		2,532,915	***	2029
Westminster Commons VOA, LP	Sale of Westminster Commons	2,250,000	****	396,877	annually	2052
Total Governmental Activities		$ 10,246,991		$ 9,030,953		

* The payment is due at such time as a building permit is issued for a third office building in Circle Point Corporate Center.

**Repayment of the Eaton Street Affordable Housing loan is deferred until the 30th anniversary of the issuance of the Certificate of Occupancy. Repayment of the notes is deferred until 17 years following issuance of the Certificate of Occupancy. Note payments will be made from housing cash flows in accordance with priority of repayment schedule. The Certificate of Occupancy was issued in July 2019.

***This note is dated February 28, 2019. Repayment is to be made on or before 10 years after the date of the note.

**** The face value of the note is $2,250,000 with repayment from project cash flows. However, an allowance for doubtful accounts of $1,853,123 has been established due to projected limited cash flows. A review will be conducted annually to adjust the allowance, if necessary.

Notes Receivable Maturities

	Governmental activities				
Year Ending	Catellus	Eaton Street Affordable Housing LLC	Aspire Westminster LLC	Westminster Commons VOA, LP	Total
2024	$ 194,847	$ —	$ —	$ 18,533	$ 213,380
2025	—	—	—	19,102	19,102
2026	—	—	—	19,661	19,661
2027	—	—	—	20,208	20,208
2028				20,802	20,802
2029-2033	—	—	2,532,915	112,920	2,645,835
2034-2038	—	4,161,699	—	127,770	4,289,469
2039-2043	—	—	—	142,620	142,620
2044-2048	—	—	—	157,470	157,470
2049-2053	—	1,744,615	—	136,668	1,881,283
	194,847	5,906,314	2,532,915	775,754	9,409,830
Net present value/principal adjustment	—	—	—	(378,877)	(378,877)
Total	$ 194,847	$ 5,906,314	$ 2,532,915	$ 396,877	$ 9,030,953

Leases Receivable
Leases receivable for agreements that met the criteria of Governmental Accounting Standards Board Statement No. 87, *Leases,* were as follows:

Governmental Activities

The City entered into a 71 month Kings Mill (KM) cell tower lease. An initial lease receivable was recorded in the amount of $113,307. As of 12/31/2023, the value of the lease receivable is $80,569. The lessee is required to make monthly fixed principle and interest payments of $1,521. The lease has an interest rate of 1.008%. The value of the deferred inflow or resources as of 12/31/2023 was $77,831 and the City recognized lease revenue of $19,872 during the fiscal year.

The City entered into a 240 month West View (WV) cell tower lease. An initial lease receivable was recorded in the amount of $585,770. As of 12/31/2023, the value of the lease receivable is $590,853. The lessee is required to make monthly fixed principle and interest payments of $2,500. The lease has an interest rate of 1.879%. The value of the deferred inflow or resources as of 12/31/2023 was $566,731 and the City recognized lease revenue of $31,485 during the fiscal year. The lessee has 2 extension option(s), each for 60 months.

The City entered into a 49 month Countryside (CS) cell tower lease. An initial lease receivable was recorded in the amount of $71,511. As of 12/31/2023, the value of the lease receivable is $37,748. The lessee is required to make monthly fixed principle and interest payments of $1,521. The lease has an interest rate of 0.668%. The value of the deferred inflow or resources as of 12/31/2023 was $37,331 and the City recognized lease revenue of $17,919 during the fiscal year.

The City entered into a 24 month Fire Station (FS) cell tower lease. An initial lease receivable was recorded in the amount of $78,810. In 2023, the lease was extended for an additional 60 month term, increasing the total amount issued to $302,916. As of 12/31/2023, the value of the lease receivable is $224,106. The lessee is required to make monthly fixed principle and interest payments of $3,285 in 2022, increasing 4% annually. The lease has an interest rate of 1.183%. The value of the deferred inflow or resources as of 12/31/2023 was $224,088 and the City recognized lease revenue of $39,806 during the fiscal year.

The City entered into a 360 month outdoor patio lease. An initial lease receivable was recorded in the amount of $628,478. As of 12/31/2023, the value of the lease receivable is $609,728. The lessee is required to make an annual fixed principle and interest payment of $25,000. The lease has an interest rate of 2.450%. The value of the deferred inflow or resources as of 12/31/2023 was $612,810 and the City recognized lease revenue of $15,668 during the fiscal year.

The City entered into a 46 month tenant space lease. An initial lease receivable was recorded in the amount of $767,785. As of 12/31/2023, the value of the lease receivable is $362,338. The lessee is required to make monthly fixed principle and interest payments of $22,004. Additionally, a variable payment equal to 3% on gross sales above $3.5 million are due from the lessee. The

lease has an interest rate of 0.668%. The value of the deferred inflow or resources as of 12/31/2023 was $377,277 and the city recognized lease revenue of $205,787 during the fiscal year, as well as $87,768 in lease variable revenue.

Business-type Activities

The City entered into a 49 month Hydropillar (HP) cell tower lease. An initial lease receivable was recorded in the amount of $71,511. As of 12/31/2023, the value of the lease receivable is $37,748. The lessee is required to make monthly fixed principle and interest payments of $1,521. The lease has an interest rate of 0.668%. The value of the deferred inflow or resources as of 12/31/2023 was $37,331 and the City recognized lease revenue of $17,919 during the fiscal year.

The City entered into a 96 month land lease. An initial lease receivable was recorded in the amount of $34,005. As of 12/31/2023, the value of the lease receivable is $26,887. The lessee is required to make an annual fixed principle and interest payment of $5,000. The lease has an interest rate of 3.223%. The value of the deferred inflow or resources as of 12/31/2023 was $29,974 and the City recognized lease revenue of $4,553 during the fiscal year. The lessee has (7) extension option(s), each for 12 months.

Description of leases receivable

Governmental Activities

Lessor	Purpose of Issue	Amount Issued	Amount Outstanding	Discount Rate	Scheduled Payments	Final Payment
General Fund	Cell Tower Lease-KM	$ 113,307	$ 80,569	1.01%	Monthly	11/01/27
General Fund	Cell Tower Lease-WV	585,770	590,853	1.88%	Monthly	12/01/41
General Fund	Cell Tower Lease-CS	71,511	37,748	0.67%	Monthly	01/01/26
General Fund	Cell Tower Lease-FS	302,916	224,106	1.18%	Monthly	12/01/28
General Fund	Patio Lease	628,478	609,728	2.45%	Annual	01/01/53
WEDA	Tenant Lease	767,785	362,338	0.67%	Monthly	10/11/25
Total Governmental Activities		$ 2,469,767	$ 1,905,342			

Business-Type Activities

Lessor	Purpose of Issue	Amount Issued	Amount Outstanding	Discount Rate	Scheduled Payments	Final Payment
Utility Fund	Cell Tower Lease	$ 71,511	$ 37,748	0.67%	Monthly	01/01/26
Utility Fund	Land Lease	34,005	26,887	3.22%	Annual	08/01/29
Total Business Type Activities		$ 105,516	$ 64,635			

D. Interfund Receivables and Payables

The composition of loans from and to other funds as of December 31, 2023, is as follows:

Receivable Fund	Payable Fund	Amount
Loans from/to other funds:		
General Capital Improvement	Westminster Economic Development Authority	$ 520,500
Total interfund receivables and payables		$ 520,500

The loan of $520,500 to the WEDA Fund was used to pay for expenses associated with the redevelopment of an abandoned residential project within the Holly Park Urban Renewal Area. This interfund loan is expected to be repaid in the near term.

An interfund loan is budgeted in the payor fund as either an Other Financing Use in a governmental fund or as a non-operating expense in a proprietary fund. However, the transaction is reported on the respective fund's balance sheet or statement of net position as either Due From Other Funds for short term borrowings, or as Loans From Other Funds for longer term borrowings. As a result, a budget to actual variance is recognized in the payor fund's budgetary comparison schedule in the year an interfund loan originates.

E. Capital Assets

Capital assets at December 31, 2023 were as follows:

	Primary Government				
	Beginning Balance as restated	Additions	Transfers	Deletions	Ending Balance
Governmental Activities					
Land & Land Rights	$ 155,736,252	$ 4,312,976	$ 185,451	$ —	$ 160,234,679
Water Rights	1,000,000	—	—	—	1,000,000
Joint Venture	5,361,000	—	—	—	5,361,000
Construction in progress	13,444,861	23,353,704	(22,342,893)	—	14,455,672
Total nondepreciable assets	175,542,113	27,666,680	(22,157,442)	—	181,051,351
Buildings	96,096,340	5,641,770	1,114,564	—	102,852,674
Improvements other than buildings	55,709,155	—	1,266,962	(28,654)	56,947,463
Parks	74,423,450	—	71,590	—	74,495,040
Ice Centre	6,972,384	—	—	—	6,972,384
Infrastructure	415,156,998	—	11,836,650	—	426,993,648
Machinery and equipment	67,348,218	909,144	6,488,162	(4,894,026)	69,851,498
Right to use intangible assets					
Leased assets	347,565	—	—	—	347,565
Information technology subscription assets	5,954,049	139,761	—	—	6,093,810
Total depreciable and amortizable assets	722,008,159	6,690,675	20,777,928	(4,922,680)	744,554,082
Less accumulated depreciation/amortization for:					
Buildings	(70,276,692)	(6,025,774)	—	—	(76,302,466)
Improvements other than buildings	(40,882,662)	(1,838,189)	—	13,616	(42,707,235)
Parks	(54,779,543)	(2,218,415)	—	—	(56,997,958)
Ice Centre	(3,486,192)	(145,258)	—	—	(3,631,450)
Infrastructure	(253,670,441)	(8,854,208)	—	—	(262,524,649)
Machinery and equipment	(46,572,415)	(5,349,456)	—	4,803,126	(47,118,745)
Right to use intangible assets					
Leased assets	(14,482)	(86,891)	—	—	(101,373)
Information technology subscription assets	—	(936,472)	—	—	(936,472)
Total accumulated depreciation and amortization	(469,682,427)	(25,454,663)	—	4,816,742	(490,320,348)
Net total depreciable assets	252,325,732	(18,763,988)	20,777,928	(105,938)	254,233,734
Governmental activities capital assets, net	$ 427,867,845	$ 8,902,692	$ (1,379,514)	$ (105,938)	$ 435,285,085

Depreciation/amortization expense was charged to governmental activities as follows:

General government	$ 4,422,733
Public safety	1,841,726
Public works	3,202,325
Community development	5,594,020
Culture and Recreation	6,372,301
Unallocated depreciation-governmental funds	79,789
Impairment loss	3,941,769
Total depreciation/amortization expense	$ 25,454,663

	Primary Government (continued)				
	Beginning Balance as restated	Additions	Transfers	Deletions	Ending Balance
Business-type activities:					
Land & Land Rights	$ 36,312,163	$ —	$ —	$ —	$ 36,312,163
Water rights	96,214,816	—	—	—	96,214,816
Construction in progress	58,365,059	60,024,260	(67,278,017)	—	51,111,302
Total nondepreciable assets	190,892,038	60,024,260	(67,278,017)	—	183,638,281
Buildings and plants	278,071,562	—	—	—	278,071,562
Improvements other than buildings	429,305,845	1,019,526	63,781,634	(39,735)	494,067,270
Parks	7,310,427	—	3,809,678	(1,038,333)	10,081,772
Machinery and equipment	31,071,624	—	1,066,219	(785,592)	31,352,251
Right to use intangible assets					
Leased assets	116,517	—	—	—	116,517
Information technology subscription assets	302,223	570,438	—	—	872,661
Total depreciable and amortizable assets	746,178,198	1,589,964	68,657,531	(1,863,660)	814,562,033
Less accumulated depreciation/amortization for:					
Buildings and plants	(150,533,325)	(6,161,531)	—	—	(156,694,856)
Improvements other than buildings	(127,634,750)	(10,428,829)	—	13,084	(138,050,495)
Parks	(1,606,362)	(290,265)	—	8,123	(1,888,504)
Machinery and equipment	(24,882,905)	(1,971,005)	—	1,815,802	(25,038,108)
Right to use intangible assets					
Leased assets	(4,855)	(29,129)	—	—	(33,984)
Information technology subscription assets	—	(244,010)	—	—	(244,010)
Total accumulated depreciation and amortization	(304,662,197)	(19,124,769)	—	1,837,009	(321,949,957)
Net total depreciable assets	441,516,001	(17,534,805)	68,657,531	(26,651)	492,612,076
Business-type activities capital assets, net	$ 632,408,039	$ 42,489,455	$ 1,379,514	$ (26,651)	$ 676,250,357

Depreciation/amortization expense was charged to business-type activities as follows:

Utility	$ 17,318,463
Nonmajor Proprietary	1,806,306
Total depreciation/amortization expense	$ 19,124,769

F. Disaggregation of Payables

Payables at December 31, 2023, were as follows:

	Accounts Payable	Other	Accrued Liabilities	Accrued Interest	Total Payables
Governmental Funds:					
General	$ 4,422,889	$ 7,696,703	$ 4,756,625	$ —	$ 16,876,217
GCIF	3,159,457	1,270,266	—	—	4,429,723
WEDA	81,622	62,825	—	—	144,447
Nonmajor governmental	2,859,085	172,546	50,000	—	3,081,631
Subtotal - Governmental Funds	10,523,053	9,202,340	4,806,625	—	24,532,018
Reconciliation of balances to government-wide financial statements:					
Long-term liabilities susceptible to full accrual reporting	—		63,984	963,375	1,027,359
Internal service funds	1,225,585	—	—	43,193	1,268,778
Total - Governmental Activities	$ 11,748,638	$ 9,202,340	$ 4,870,609	$ 1,006,568	$ 26,828,155
Business-type Activities:					
Utilities	$ 9,805,669	$ 889,658	$ 650,369	$ 340,359	$ 11,686,055
Nonmajor proprietary	210,736	12,358	104,863	20,976	348,933
Total - Business-type Activities	$ 10,016,405	$ 902,016	$ 755,232	$ 361,335	$ 12,034,988

G. Interfund Transfers

Transfer activity for the year ended December 31, 2023 was as follows:

	TRANSFERS IN						
TRANSFERS OUT	General Fund	General Capital Improvement Fund	Westminster Economic Development Authority	Nonmajor Governmental Funds	Utility Fund	Nonmajor Proprietary Funds	Grand Total
General Fund	$ —	$ 12,118,291	$ —		$5,000,000	$ 615,000	$ 17,733,291
WEDA	650,000	3,612,070	—	—	—	—	4,262,070
Nonmajor Governmental Funds	700,000	438,810	63,000	2,737,837		483,000	4,422,647
Utility Fund	1,067,868	—	—	74,128	—	—	1,141,996
Grand Totals	$2,417,868	$ 16,169,171	$ 63,000	$ 2,811,965	$5,000,000	$ 1,098,000	$ 27,560,004

The matrix summarizes the City's interfund transfer activity. Most transfers between the General, General Capital Improvement, (WEDA), and Nonmajor Governmental Funds are routinely used to reallocate resources to fund City operations, capital construction, land purchases, debt service and governmental subsidies. In 2023, transfers of $3,612,070 from WEDA to the General Capital Improvement Fund were made to reimburse advance payments for the development of downtown, for an interceptor sewer project, and to reimburse the City for Westminster Urban Renewal Project public improvements. Transfers totaling $12,118,291 from the General Fund to the General Capital Improvement Fund were made to fund a variety of capital projects like roadway construction and street improvements; facility construction, upgrades and maintenance; information technology development and implementations; and revitalization and renovation of urban renewal areas. Transfer activity between governmental and business-type funds is detailed below:

Reconciliation of Transfers between Governmental and Proprietary Funds:	
From the Utility Fund to the General Fund in lieu of taxes	$ 1,067,868
From the Utility Fund to the Nonmajor Governmental Fund (Open Space Fund) in lieu of taxes	74,128
From the General Fund to Utility Fund	(5,000,000)
From the General Fund to the Nonmajor Proprietary fund (Parking Management Fund) to assist with operating expenditures	(615,000)
From the Nonmajor Governmental Fund (Open Space Fund) to the Golf Course Fund to assist with debt service obligations	(483,000)
Total transfers between Governmental and Business Type Activities Funds	$ (4,956,004)

Reconciliation of Transfers between Governmental and Business-type Activities	
Transfers between Governmental and Proprietary Funds	$ (4,956,004)
Reassignment of capital assets between governmental and business-type activities	(1,379,514)
	$ (6,335,518)

H. Long-Term Liabilities

Long-term liability activity for the year ended December 31, 2023 was as follows:

	Beginning Balance as restated	Additions	Reductions	Ending Balance	Amounts Due Within One Year
Governmental Activities:					
Bonds, loans, notes and other long-term debt issues:					
Revenue bonds	$ 13,035,000	$ —	$ (1,190,000)	$ 11,845,000	$ 1,250,000
Tax increment bonds	13,124,716	—	(2,794,716)	10,330,000	1,910,000
Tax increment loans from direct placements	26,005,000	—	(3,325,070)	22,679,930	4,426,833
Notes from direct borrowings and direct placements	17,550,290	—	(1,244,518)	16,305,772	1,232,487
Certificates of participation	39,920,000	35,005,000	(3,835,000)	71,090,000	3,980,000
	109,635,006	35,005,000	(12,389,304)	132,250,702	12,799,320
Bond premium	4,576,977	2,273,900	(651,268)	6,199,609	—
Bond discount	(113,082)	(307,352)	13,804	(406,630)	—
Total bonds, loans and notes payable	114,098,901	36,971,548	(13,026,768)	138,043,681	12,799,320
Other liabilities:					
Compensated absences	7,800,220	12,055,026	(13,529,508)	6,325,738	304,365
OPEB	4,984,355	145,518	—	5,129,873	—
Pollution remediation	114,538	—	(114,538)	—	—
Net Pension liability	—	2,893,095	—	2,893,095	—
Arbitrage liability	—	148,190	—	148,190	—
Lease liability	347,565	—	(173,817)	173,748	86,014
Information technology subscription liability	5,954,049	139,761	(1,008,519)	5,085,291	884,259
Total other liabilities	19,200,727	19,200,727	(14,826,382)	19,755,935	1,274,638
Governmental activities long-term liabilities	$ 133,299,628	$ 52,353,138	$ (27,853,150)	$ 157,799,616	$ 14,073,958

	Beginning Balance as restated	Additions	Reductions	Ending Balance	Amounts Due Within One Year
Business-Type Activities:					
Bonds, notes, loans and other long-term debt issues:					
Revenue bonds	$ 88,260,000	$ —	$ (3,575,000)	$ 84,685,000	$ 3,650,000
Notes from direct borrowings and direct placements	24,396,372	—	(2,278,861)	22,117,511	2,346,881
Certificates of participation	7,130,000	—	(900,000)	6,230,000	430,000
	119,786,372	—	(6,753,861)	113,032,511	6,426,881
Add:					
Bond/Notes premium	14,291,564	—	(1,160,642)	13,130,922	—
Bond discount	(1,718)	—	1,397	(321)	—
Total bonds, notes and loans payable	134,076,218	—	(7,913,106)	126,163,112	6,426,881
Other liabilities:					
Compensated absences	959,329	1,860,259	(1,979,265)	840,323	15,253
OPEB	810,822	23,672	—	834,494	—
Pollution remediation	227,681	—	(47,278)	180,403	20,000
Lease liability	116,517	—	(58,270)	58,247	28,834
Information technology subscription liability	302,223	529,514	(263,859)	567,878	302,077
Total other liabilities	2,416,572	2,413,445	(2,348,672)	2,481,345	366,164
Business-type activities long-term liabilities	$ 136,492,790	$ 2,413,445	$ (10,261,778)	$ 128,644,457	$ 6,793,045

Long-term liability outstanding at December 31, 2023 was as follows:

Revenue Bonds	Purpose of Issue	Amount Issued	Amount Outstanding	Coupon Interest Rate	Final Maturity
Sales and Use Tax POST Refunding Series 2015	Refunding/POST 2007D	$ 18,500,000	$ 11,845,000	2.0-5.0%	12/01/31
Total Governmental Activities			11,845,000		
Water/Wastewater Revenue Series 2016	Water and Wastewater Bonds	42,830,000	32,650,000	1.5-5.0%	12/01/36
Water/Wastewater Revenue Series 2019	Water and Wastewater Bonds	38,025,000	38,025,000	3.0-5.0%	12/01/39
Water/Wastewater Refunding Series 2020	Refunding Water/Wastewater 2010	17,380,000	14,010,000	2.0-5.0%	12/01/30
Total Business-type Activities			84,685,000		
Total Revenue bonds			$ 96,530,000		

Annual debt service requirements to maturity for revenue bonds are as follows:

	Governmental Activities				Business-type Activities		
Year	Principal	Interest	Total	Year	Principal	Interest	Total
2024	$ 1,250,000	$ 495,669	$ 1,745,669	2024	$ 3,650,000	$ 3,633,950	$ 7,283,950
2025	1,315,000	433,169	1,748,169	2025	3,780,000	3,505,499	7,285,499
2026	1,380,000	367,419	1,747,419	2026	3,945,000	3,336,200	7,281,200
2027	1,445,000	298,419	1,743,419	2027	4,125,000	3,159,450	7,284,450
2028	1,520,000	226,169	1,746,169	2028	4,325,000	2,953,200	7,278,200
2029-2031	4,935,000	305,456	5,240,456	2029-2033	25,470,000	11,277,000	36,747,000
				2034-2038	32,215,000	4,726,450	36,941,450
				2039	7,175,000	215,250	7,390,250
Total	$ 11,845,000	$ 2,126,301	$ 13,971,301	Total	$ 84,685,000	$ 32,806,999	$ 117,491,999

Tax Increment Bonds and Loans

Outstanding	Purpose of Issue	Amount Issued	Amount Outstanding	Coupon Interest Rate	Final Maturity
Tax Increment Bonds					
WEDA Revenue Refunding Bonds Series 2012	Mandalay Gardens Urban Renewal	$ 28,900,000	$ 10,330,000	4.00%	12/01/28
Total Tax Increment Bonds			10,330,000		
Tax Increment Bonds, Loans - Direct Placement					
WEDA Revenue Refunding Loan Series 2012	North Huron Urban Renewal	59,000,000	22,036,000	3.51%	12/01/28
WEDA Revenue Loan Series 2022	South Sheridan Urban Renewal	954,716	643,930	2.60%	09/15/25
Total Increment Bonds, Loans - Direct Placement			22,679,930		
Total Governmental Activities			$ 33,009,930		

Annual debt service requirements to maturity for tax increment bonds and loans are as follows:

	Bonds		Direct Placement Loans		
Year	Principal	Interest	Principal	Interest	Total
2024	1,910,000	419,225	4,426,833	790,206	7,546,264
2025	1,970,000	361,925	4,579,097	637,717	7,548,739
2026	2,050,000	283,125	4,402,000	479,958	7,215,083
2027	2,150,000	180,625	4,557,000	325,448	7,213,073
2028	2,250,000	73,125	4,715,000	165,496	7,203,621
Total	$ 10,330,000	$ 1,318,025	$ 22,679,930	$ 2,398,825	$ 36,726,780

Certificates of Participation (2)

Outstanding	Purpose of Issue	Amount Issued	Amount Outstanding	Interest Rate	Final Maturity
Certificates of Participation 13	144th & I-25 Interchange Refunding	$ 11,095,000	$ 2,475,000	2.0% - 4.0%	12/01/25
Certificates of Participation 15 A	Westminster Downtown Nontaxable	30,000,000	30,000,000	4.0% - 5.0%	12/01/38
Certificates of Participation 15 B	Westminster Downtown Taxable	10,000,000	935,000	1.54% - 3.72%	12/01/24
Certificates of Participation 16	Refunding/Capital Facilities & Streets	14,995,000	2,675,000	1.25% - 5.00%	12/01/25
Certificates of Participation 23	Municipal Courthouse	35,005,000	35,005,000	4.375%-5.00%	12/01/48
Total Governmental Activities			71,090,000		
Certificates of Participation 21	Golf Course Irrigation	6,650,000	6,230,000	1.85%	12/01/36
Total Business-type Activities			6,230,000		
Total Certificate of Participation			$ 77,320,000		

(2) Specific assets are pledged as collateral for all Certificates of Participation.

Annual debt service requirements to maturity for Certificates of Participation are as follows:

	Governmental Activities				Business-type Activities		
Year	Principal	Interest	Total	Year	Principal	Interest	Total
2024	$ 3,980,000	$ 4,837,835	$ 8,817,835	2024	$ 430,000	$ 113,266	$ 543,266
2025	4,130,000	4,484,725	8,614,725	2025	435,000	105,311	540,311
2026	2,435,000	2,998,825	5,433,825	2026	445,000	97,171	542,171
2027	2,555,000	2,877,075	5,432,075	2027	450,000	88,939	538,939
2028	2,680,000	2,749,325	5,429,325	2028	460,000	80,568	540,568
2029-2033	15,555,000	11,597,125	27,152,125	2029-2033	2,435,000	271,210	2,706,210
2034-2038	19,775,000	7,379,075	27,154,075	2034-2036	1,575,000	51,291	1,626,291
2039-2043	8,840,000	3,805,875	12,645,875				0
2044-2048	11,140,000	1,504,125	12,644,125				0
Total	$ 71,090,000	$ 42,233,985	$ 113,323,985	Total	$ 6,230,000	$ 807,756	$ 7,037,756

Notes from Direct Borrowings and Placements

Outstanding	Purpose of Issue	Amount Issued	Amount Outstanding	Coupon Interest Rate	Final Maturity
Note	19 Fire Ladder	1,039,835	471,096	2.95%	01/15/26
Note	20 Fire Pumper	613,388	355,750	1.30%	01/22/27
Note	21 Fire Pumper	613,388	444,268	1.36%	02/01/28
Note	22 Fire Pumper	1,294,217	1,120,513	2.07%	04/28/29
Note	21 Parks & Golf Maintenance Equipment	900,070	544,145	1.43%	01/15/26
Note	22 Parks, Open Space, and Trails Tax Revenue Projects	13,785,000	13,370,000	3.42%	12/01/41
Total Notes from Direct Borrowings and Placements - Governmental Activities			16,305,772		
Colorado Water Power Authority Note 05	Big Dry Creek Wastewater Treatment Plant	15,440,000	1,547,500	3.32%	06/01/25
Colorado Water Resources and Power Development Authority Note 20	Big Dry Creek Interceptor Sewer Repair/ Replacement and Capacity Increase	23,331,532	19,778,313	1.28%	06/01/40
Golf Course Note 21	Parks & Golf Maintenance Equipment	1,309,546	791,698	1.43%	01/15/26
Total Notes from Direct Borrowings and Placements - Business-type Activities			22,117,511		
Total Notes from Direct Borrowings and Placements			$ 38,423,283		

Annual debt service requirements to maturity for notes from direct borrowings and placements are as follows:

	Governmental Activities				Business-type Activities			
	Notes from Direct Borrowings				Notes from Direct Borrowings and Placements			
Year	Principal	Interest	Total	Year	Principal	Interest	Total
2024	$ 1,232,487	$ 512,815	$ 1,745,302	2024	$ 2,346,881	$ 418,062	$ 2,696,923
2025	1,265,223	480,964	1,746,187	2025	1,869,961	290,653	2,160,614
2026	1,293,590	448,157	1,741,747	2026	1,366,733	269,132	1,635,865
2027	979,273	414,554	1,393,827	2027	1,116,705	248,431	1,365,136
2028	913,738	387,383	1,301,121	2028	1,133,014	232,556	1,365,570
2029-2033	3,676,461	1,556,924	5,233,385	2029-2033	5,873,006	953,317	6,826,323
2034-2038	4,120,000	915,192	5,035,192	2034-2038	6,394,256	426,628	6,820,884
2039-2041	2,825,000	195,453	3,020,453	2039-2040	2,016,955	31,184	2,048,139
Total	$ 16,305,772	$ 4,911,442	$ 21,217,214	Total	$ 22,117,511	$ 2,774,959	$ 24,892,470

Summary of Significant Terms with Finance-Related Consequences.

Property which is collateral for any of the City's debt agreements would be subject to surrender upon significant events of default. Any terms specified in the City's debt agreements with finance-related consequences related to significant events of default, termination events, and subjective acceleration clauses are noted below:

Government Activities
The City's outstanding notes from direct borrowings and direct placements related to the Fire Pumpers contain provisions that in an event of default, outstanding rental payments, which have been appropriated for that fiscal year, become immediately due. These notes also have prepayment penalties ranging from 1%-3% of the remaining principal.

The City's outstanding note from a direct borrowing related to the Maintenance Equipment contains a provision that in an event of default, outstanding rental payments, which have been appropriated for that fiscal year, become immediately due.

Business-Type Activities
The City's outstanding note from a direct borrowing related to the Maintenance Equipment contains a provision that in an event of default, outstanding rental payments, which have been appropriated for that fiscal year, become immediately due.

Other Liabilities for leases and information technology subscriptions outstanding as of December 31, 2023 are as follows:

Principal and interest requirements to maturity for the lease liability:

Lessor	Purpose of Lease	Amount Issued	Amount Outstanding	Discount Rate	Final Maturity
Deere Credit Inc.	Asphalt Milling Equipment	$ 347,565	$ 173,748	2.00%	12/31/25
Total Governmental Activities Lease Liability:		$ 347,565	$ 173,748		

	Governmental Activities		
Year	Principal	Interest	Total
2024	$ 86,014	$ 3,475	$ 89,489
2025	87,734	1,755	89,489
Total	$ 173,748	$ 5,230	$ 178,978

Lessor	Purpose of Lease	Amount Issued	Amount Outstanding	Discount Rate	Final Maturity
Deere Credit Inc.	Asphalt Milling Equipment	$ 116,517	$ 58,247	2.00%	12/31/25
Total Business-Type Activities Lease Liability:		$ 116,517	$ 58,247		

	Business-type Activities		
Year	Principal	Interest	Total
2024	$ 28,834	$ 1,165	$ 29,999
2025	29,413	587	30,000
Total	$ 58,247	$ 1,752	$ 119,856

Principal and interest requirements to maturity for the information technology subscription liability:

Information Technology Subscription	Amount Issued	Amount Outstanding	Discount Rate	Final Maturity
Avaya CaaS Software S105	$ 133,203	$ 65,712	2.71%	01/01/24
Axon Bundle S178	564,683	490,271	2.75%	01/01/30
Axon Interview Room S178	189,720	165,924	2.75%	02/01/30
CORA Invoicing Module S15	63,353	31,324	2.71%	02/01/24
Cataloging and Metadata Software S77	54,085	40,559	2.68%	07/01/26
Cisco Duo Essentials License Software S395	139,761	91,835	2.90%	08/09/25
Community Devo Superion subscription S05	75,693	61,223	2.68%	01/01/27
Esri Enterprise License Software S08	134,675	88,779	2.71%	01/31/25
Fleet Management Faster Assets S38	39,507	32,695	2.68%	10/02/27
Fleet Telematics GPS Licenses Samsara S37 AG2	301,005	204,633	2.66%	04/25/25
Gentax CPC Information Technology Subscription S36	4,113,618	3,628,617	2.80%	01/01/31
Laserfiche Software S12	94,213	74,937	2.68%	04/15/27
PS Trax First Arriving Integration S33	31,992	21,580	2.68%	12/13/25
PS Trax Vehicles Module S33	41,977	28,315	2.68%	12/13/25
Saba TalentSpace Connect S51	116,325	58,887	2.66%	12/22/24
Total governmental activities information technology subscription liability	$ 6,093,810	$ 5,085,291		

	Governmental Activities		
Year	Principal	Interest	Total
2024	$ 884,259	$ 141,227	$ 1,025,486
2025	769,656	116,920	886,576
2026	586,669	95,663	682,332
2027	591,967	79,356	671,323
2028	564,153	62,889	627,042
2029-2033	1,688,587	92,212	1,780,799
Total	$ 5,085,291	$ 588,267	$ 5,673,558

Information Technology Subscription	Amount Issued	Amount Outstanding	Discount Rate	Final Maturity
Aveva SCADA Flex Subscription S396	$ 267,082	$ 175,498	2.90%	09/26/25
Chargestation Software S259	30,377	24,106	2.68%	03/14/27
Esri Enterprise License Software S08	57,718	38,048	2.71%	01/31/25
ITpipes Software S11	80,886	53,593	2.36%	07/27/25
MARS M3 Test Bench Meter Reading S373	109,742	75,641	2.71%	02/26/25
Sensus utility meter SaaS S149	214,129	141,939	2.71%	04/15/25
Utility Water information technology subscription S376	71,803	59,053	2.07%	01/15/24
Total business type activities information technology subscription liability	$ 831,737	$ 567,878		

	Business-type Activities		
Year	Principal	Interest	Total
2024	$ 302,077	$ 15,221	$ 317,298
2025	253,429	7,270	260,699
2026	6,104	332	6,436
2027	6,268	168	6,436
Total	$ 567,878	$ 22,991	$ 590,869

I. Net Position

The government-wide and business-type financial statements utilize a net position presentation. Net position is categorized as net investment in capital assets, restricted and unrestricted. Net Investment in Capital Assets is intended to reflect the portion of net position which is associated with non-liquid, capital, lease, and subscription assets (capital assets) less outstanding related debt. The net related debt is the debt less the outstanding liquid assets and any associated unamortized cost. Restricted Net Position is liquid assets which have third-party limitations on their use. Restricted net position is reported by major category, which includes emergencies; capital projects; open space conservation and improvements; and debt service. Nonmajor categories have been aggregated as restricted for other purposes. Unrestricted Net Position represents assets that do not have any third party limitations on their use. While City management may have categorized and segmented portions for various purposes, the City Council has the unrestricted authority to revisit or alter these managerial decisions. Net Investment in Capital Assets at December 31, 2023 was as follows:

Governmental activities:

Capital Assets, net of accumulated depreciation and accumulated amortization: $ 435,285,085

Related Debt and payables:

Issue	Amount Outstanding	Premiums (Discounts and Deferred Loss on Refunding)	Total Capital Related Debt	Less Unspent Proceeds	Net Capital Related Debt	
Sales and Use Tax Refunding Series 2015	$ 11,845,000	$ 446,900	$ 12,291,900	$ —	$ 12,291,900	
WEDA Revenue Refunding Bonds Series 2012 (Mandalay Gardens)	10,330,000	250,826	10,580,826	—	10,580,826	
WEDA Revenue Refunding Bonds Series 2022 (South Sheridan)	643,930	—	643,930	—	643,930	
WEDA Revenue Loan Series 2012 (North Huron)	22,036,000	—	22,036,000	—	22,036,000	
WEDA Revenue Loan Series 2012 (South Sheridan)	—	(71,380)	(71,380)	—	(71,380)	
Notes payable	16,305,772	—	16,305,772	13,712,361	2,593,411	
Certificates of Participation	71,090,000	3,952,442	75,042,442	36,909,475	38,132,967	
Lease liability	173,748	—	173,748	—	173,748	
Information technology subscription liability	5,085,291	—	5,085,291	—	5,085,291	
Accounts payable and retainage incurred for capital asset purchases	5,458,384	—	5,458,384	—	5,458,384	
Total Governmental Activities	$ 142,968,125	$ 4,578,788	$ 147,546,913	$ 50,621,836		96,925,077

Net investment in capital assets, governmental activities $ 338,360,008

Business-type activities:

Capital Assets, net of accumulated depreciation and accumulated amortization: $ 676,250,357

Related Debt and payables:

Issue	Amount Outstanding	Premiums (Discounts and Deferred Loss on Refunding)	Total Capital Related Debt	Less Unspent Proceeds	Net Capital Related Debt	
Water/Wastewater Revenue Series 2016	$ 32,650,000	$ 5,268,537	$ 37,918,537	$ —	$ 37,918,537	
Water/Wastewater Revenue Series 2019	38,025,000	4,676,433	42,701,433	95,262	42,606,171	
Water/Wastewater Refunding Series 2020	14,010,000	2,072,659	16,082,659	—	16,082,659	
Certificates of Participation 10 (Golf Course Portion)	6,230,000	—	6,230,000	1,472	6,228,528	
Water Notes	21,325,813	740,342	22,066,155	194,629	21,871,526	
Notes payable	791,698	—	791,698	—	791,698	
Lease liability	58,247	—	58,247	—	58,247	
Information technology subscription liability	567,878	—	567,878	—	567,878	
Accounts payable and retainage incurred for capital asset purchases	7,840,858	—	7,840,858	—	7,840,858	
Total Business Type Activities	$ 121,499,494	$ 12,757,971	$ 134,257,465	$ 291,363		133,966,102

Net investment in capital assets, business-type activities 542,284,255

Total net investment in capital assets $ 880,644,263

J. Pledged Revenues

The City has pledged a portion of future sales and use tax and property tax revenues to repay sales and use tax revenue bonds as follows:

- $18,500,000 issued in December 2015 to refund certain of the City's outstanding series 2007 sales and use tax revenue refunding and improvement bonds, originally issued to finance open space and parkland.
- $13,785,000 Parks, Open Space, and Trails Special Purpose Sales and Uses Tax Revenue Note issued in August 2022. The purpose of the issue is to finance open space, parkland, and trails related projects.

These bonds are payable solely from sales and use tax revenue collections. Current year, principal and interest of $1,745,169 for the Parks Open Space Tax (POST) revenue bonds, and $1,005,618 for the POST revenue note were paid using 32.3% of the POST net pledged revenues totaling $8,524,921. Total principal and interest payments remaining on the POST revenue bond and note as of December 2023 is $13,971,301 for the POST bonds payable through December 2031, and $18,125,168 for the POST note payable through December 2041.

The Westminster Economic Development Authority has pledged a portion of future sales and property tax revenues to repay tax increment revenue refunding bonds and loans, as follows:

- $28,900,000 issued in 2012 as tax increment revenue refunding bonds to refund the Series 2009 tax increment adjustable rate revenue refunding bonds that refunded an earlier Series used to finance redevelopment in the Mandalay Gardens Urban Renewal Area.
- $59,000,000 issued in 2012 to refinance the 2009 loan that refunded the Series 2005 tax increment adjustable rate revenue bonds used to finance new development in the North Huron Urban Renewal Area.
- $954,716 issued in 2022 to refinance the 2012 loan that refinanced the Series 2007 tax increment adjustable rate revenue bonds used to finance redevelopment in the South Sheridan Urban Renewal Area.

Tax increment revenue bonds and loans are payable from incremental sales taxes and property taxes generated by increases above the base value of retail sales and assessed valuation in the urban renewal area plus interest earnings. Principal, interest and fees of $7,551,726 reported in the WEDA statements were paid using 47.3% of incremental net pledged revenues and prior year pledged revenues for a total of $15,977,845. Total principal and interest remaining on the bonds and loans is $36,726,780 payable through December 2028.

The Utility Enterprise has pledged future water, waste water and storm water revenues, excluding any special assessments and net of specified operating expenses, to repay:

Colorado Water Resource and Power Development Authority Notes:
- $15,440,000 issued in May 2005 to expand the Big Dry Creek Treatment Facility
- $23,331,532 issued in May 2020 to expand the Big Dry Creek Interceptor Sewer

Revenue Bonds:
- $42,830,000 issued in May 2016 to acquire, develop, enhance and maintain system improvements throughout the City.
- $38,025,000 issued in December 2019 to acquire, develop, enhance and maintain system improvements throughout the City.
- $17,380,000 issued in June 2020 to aid in refunding the $21,780,000 principal balance of the May 2010 bond issue.

The revenue bonds and notes are payable from water, waste water and storm water pledged net revenues. Principal, interest and fees of $9,699,598 reported in the Utility statements were paid using 22.9% of pledged net revenues totaling $42,378,895. Total principal and interest remaining on the revenue bonds and loans is $141,570,028 payable through June 2040.

K. Moral Obligation Pledge

The City has entered into moral obligations with the following WEDA borrowings: Revenue Refunding Bonds Series 2012 (Mandalay Gardens Urban Renewal), Revenue Refunding Bods Series 2022 (South Sheridan), and Revenue Loan Series 2012 (North Huron) with an aggregate balance of $33,009,930 outstanding as of December 31, 2023. A moral obligation is a pledge by the City Manager to request of Council that the City replenish the Reserve Fund associated with this debt to the minimum required per the bond indenture or loan document should it become necessary. Council will consider, but is not obligated to fulfill this request.

L. Disaggregation of Deferred Outflows/Inflows of Resources

Deferred Outflows of Resources	Loss on refunding debt	Pension	OPEB	Total
Governmental Fund Activities:				
Reconciliation of balances in fund financial statements to government-wide financial statements	$ 1,214,191	$ 24,417,570	$ 638,090	$ 26,269,851
Total - Governmental Activities	1,214,191	24,417,570	638,090	26,269,851
Business-type Activities:				
Utility Fund	372,628	—	87,823	460,451
Nonmajor proprietary funds	—	—	22,636	22,636
Total - Business-type Activities:	372,628	—	110,459	483,087
Total Government-wide Activities	$ 1,586,819	$ 24,417,570	$ 748,549	$ 26,752,938

Deferred Inflows of Resources	Property taxes	Pensions	OPEB	Leases	Grants	Assessments and Notes	Other	Total
Governmental Fund Activities:								
General	$ 8,388,354	$ —	$ —	$ 1,518,791	$ 282,375	$ 971,716	$ 1,561,417	$12,722,653
GCIF	—	—	—	—	2,707,598	963,169	2,000	3,672,767
WEDA	20,899,229	—	—	377,278	—	7,203,585	—	28,480,092
Other Governmental	676,453	—	—	—	1,010,698	396,877	—	2,084,028
Subtotal	29,964,036	—	—	1,896,069	4,000,671	9,535,347	1,563,417	46,959,540
Reconciliation of balances in fund financial statements to government-wide financial statements	—	2,031,039	1,215,917	—	(4,000,671)	(9,340,500)	(1,563,417)	(11,657,632)
Total - Governmental Activities	$29,964,036	$ 2,031,039	$ 1,215,917	$ 1,896,069	$ —	$ 194,847	$ —	$35,301,908
Business-type Activities:								
Utility Fund	$ —	$ —	$ 279,675	$ 67,305	$ —	$ —	$ —	$ 346,980
Nonmajor Proprietary funds	—	—	29,133	—	—	—	—	29,133
Total - Business-type Activities:	$ —	$ —	$ 308,808	$ 67,305	$ —	$ —	$ —	$ 376,113
Total Government-wide Activities	$29,964,036	$ 2,031,039	$ 1,524,725	$ 1,963,374	$ —	$ 194,847	$ —	$35,678,021

NOTE 3 - OTHER INFORMATION

A. Risk Management

The City is exposed to various risks of loss related to torts; employee injury on the job; theft of, damage to and destruction of assets; errors and omissions; and natural disaster for which the City carries excess insurance. The City self-funds the deductible portion of all claims. There were no reductions in insurance coverage from 2022 to 2023. The City has not had any settlements during the last three fiscal years that exceeded insurance coverage.

Medical and Dental Self-Insurance Internal Service Fund
The City has an Administrative Service Only plan with Aetna, whereby the City pays Aetna a separate amount for administrative costs and claim servicing fees. The City agrees to provide funding for the payment of claims. At the end of the year, the City retains any money not spent on claims. The City provides a specific stop loss of $175,000 per individual per year. The Aetna plans have an unlimited lifetime benefit. The City also provides a PPO dental plan through Delta Dental. The purpose of this program is to pay the dental claims of eligible City employees and their covered dependents. The City has recorded a liability in this fund totaling $714,788 for open and estimated claims not yet reported at December 31, 2023 and no receivable balance for claims in excess of the stop loss.

The City also offers a fully insured DHMO plan through Kaiser Permanente which has unlimited lifetime benefits. Volunteers of the City are covered through CIRSA's Community Service Workers' Accident Medical and Volunteer Accident Medical Plan as follows: $10,000 Accidental Death & Disability; $15,000 Medical; and $25,000 Catastrophic Cash. The $25 deductible is payable by the individual volunteer.

Workers' Compensation Self-Insurance Internal Service Fund
The City established a self-insured program for workers' compensation claims effective January 1, 1986. The purpose of this program is to pay workers' compensation claims of City employees and to reduce total annual workers' compensation costs to the City. As of April 1, 2017, the program covers individual losses up to $550,000 per claim. Greater individual losses are covered by an excess insurance policy with statutory limits per occurrence purchased from an outside company. The City has recorded a liability totaling $261,623 for open claims and estimated claims not yet reported at December 31, 2023.

Property and Liability Self-Insurance Internal Service Fund
The City established a program for property and liability claims effective January 1, 1988. The purpose of this program is to pay property and liability claims against the City and to reduce total annual insurance coverage cost to the City. The program covers individual losses up to $250,000 per claim. Greater individual losses are covered through a risk sharing pool for Colorado municipalities. Property losses are insured through the pool for the total insured value of all property owned by the city up to a maximum shared pool total of $500,000,000. State liability losses are limited as set forth by statutory liability limits for Colorado public jurisdictions up to $424,000 per person and $1,195,000 for any injury to two or more persons in any single occurrence; except that, in such instance, no person may recover in excess of $424,000 effective January 1, 2022 to January 1, 2026. Through the pool, the City also carries excess liability coverage that covers the City for federal acts and out-of-state claims in excess of the self-insured deductible limits. In addition to property insurance including boiler and machinery, the program covers automobile liability, general liability, police professional, errors and omissions, crime and fiduciary liability.

Liabilities are reported when a claim is made against the City. The City has recorded a liability totaling $1,653,779 for open claims at December 31, 2023.

Changes in the balances of claim liabilities for all plans follow:

Year	Beginning Balance Unpaid Claims	Incurred Claims	Cumulative Claim Payments	Ending Balance Unpaid Claims
2022	$ 2,169,227	$ 14,213,379	$ 14,627,170	$ 1,755,436
2023	$ 1,755,436	$ 18,252,259	$ 17,377,505	$ 2,630,190

B. Public Entity Risk Pools

The Colorado Intergovernmental Risk Sharing Agency ("CIRSA") was formed by an intergovernmental agreement by member municipalities pursuant to the provisions of regulation 24-10-115.5, C.R.S. (1982 Repl. Vol.), as amended, 29-1-201 et seq., C.R.S. (1977 Repl. Vol.), as amended, 29-13-102, C.R.S. (1977 Repl. Vol.), as amended, and Colorado Constitution, Article XIV, Section 18(2). Membership is restricted to Colorado municipalities, which are members of the Colorado Municipal League. The City only participates in the property and liability coverage of the pool and does not participate in the worker's compensation coverage. As of December 31, 2023, there were 281 member municipalities and Affiliated Public Entities, including the City of Westminster, in the property and casualty pool.

The purpose of CIRSA is to provide members defined liability and property coverage and to assist members in preventing and reducing losses and damages to municipal property and injury to persons or damage to property that might result in claims being made against members of CIRSA, their employees or officers. CIRSA provides insurance coverage for property, liability, fiduciary, crime, police professional, and errors and omissions. The deductible amount paid by the City per each incident in 2023 was $250,000 for property and $250,000 for liability. Coverages are as follows:

1) Property/excess property: total replacement value for City property up to the $500,000,000 pool limit.
2) General liability (claims subject to the Governmental Immunity Act): to $150,000 per person and $600,000 per occurrence prior to June 30, 2013, then $424,000 per person and $1,195,000 per occurrence January 1, 2022 to January 1, 2026. (Claims not subject to Governmental Immunity Act up to $10,000,000 limit)
3) Auto liability (claims not subject to the Governmental Immunity Act): to $5,000,000 per occurrence.
4) Excess law enforcement liability and public officials' errors and omissions liability coverage to $10,000,000 per claim/ aggregate.
5) Crime: to $150,000 any one claim and annual aggregate.
6) Supplemental defense costs (claims subject to the Governmental Immunity Act): to $50,000 per claim/occurrence.
7) Excess crime to $2,000,000 any one claim and annual aggregate.

Coverage is provided through pooling of self-insured losses and the purchase of excess insurance coverage. CIRSA has a legal obligation for claims against its members to the extent that funds are available from insurance providers and under excess specific and aggregate insurance contracts. Losses incurred in excess of loss funds and amounts recoverable from excess insurance are direct liabilities of the participating members. CIRSA has indicated that the amount of any excess losses would be billed to members in proportion to their contributions in the year such excess occurs although it is not legally required to do so.

It is the intent of the members of CIRSA to create an entity in perpetuity, which will administer and use funds contributed by the members to indemnify, in accordance with the Bylaws, any member of CIRSA against stated liability or loss, to the limit of the financial resources of CIRSA. It is also the intent of the members to have CIRSA provide continuing stability and availability of needed coverage at reasonable costs. All income and assets of CIRSA are dedicated to the exclusive benefit of its members. The Bylaws constitute the substance of the intergovernmental contract among the members. Continued membership in CIRSA must be periodically approved by the City Council. The Board of Directors, which is elected by the membership for four-year terms, governs CIRSA. All actions of the membership require a two-thirds vote of the members present at a meeting.

C. Contingent Liabilities

Amounts received or receivable from grantor agencies are subject to audit and adjustment by grantor agencies, principally the federal government. Any disallowed claims, including amounts already collected, may constitute a liability of the applicable funds. The amount, if any, of expenditures which may be disallowed by the grantor cannot be determined at this time although the City expects such amounts, if any, to be immaterial.

City Council and the WEDA Board have approved Economic Development Assistance packages as part of an active Economic Development program. As a result of these packages, the City will rebate certain future incremental revenues as outlined in the agreements.

Various suits and claims are pending against the City as of December 31, 2023. Although the outcome of such suits and claims cannot be predicted with certainty, the City believes that adequate insurance coverage exists and that the final settlements of these matters will not materially affect the financial statements of the City.

Due to the global impacts related to inflation, worker shortages and supply chain disruption issues, economic uncertainties have arisen that may continue to negatively affect the financial position, results of operations and cash flows of the City. The duration of these uncertainties and the ultimate financial effects cannot be reasonably estimated at this time.

D. Construction and Other Significant Commitments

At December 31, 2023, the City had commitments for the acquisition and construction of various major capital projects and facilities in the capital projects and enterprise funds as shown below.

Funding of these future expenditures for the capital projects funds has been provided for through investment earnings; operating transfers from the General Fund; Parks, Open Space & Trails Sales & Use Tax Fund; Conservation Trust Fund; sales and use tax revenue bond proceeds; tax increment variable rate bond proceeds; Community Development Block Grants and various other grants.

Funding of these future expenditures in the Utility Fund has been provided for through water and wastewater rates and tap fees, as well as bond proceeds. Funding for future expenditures in the General Capital Outlay Replacement Fund are provided for through charges for services and periodic transfers from the General Fund.

	Appropriation 12/31/2023	Cumulative Expenditures 12/31/2023	Authorized Available 12/31/2023
Governmental activities:			
General Capital Improvement Fund	$ 117,475,382	$ 8,273,885	$ 109,201,497
Westminster Economic Development Authority	7,446,606	—	7,446,606
Nonmajor Governmental activities	42,580,734	6,181,787	36,398,947
General Capital Outlay Replacement Fund	8,201,251	—	8,201,251
Total Governmental activities	$ 175,703,973	$ 14,455,672	$ 161,248,301
Business-type activities			
Utility Fund	$ 123,692,436	$ 51,111,302	$ 72,581,134
Nonmajor Business-type activities	740,296	—	740,296
Total Business-type activities	$ 124,432,732	$ 51,111,302	$ 73,321,430

E. Denver Water Raw Water Contract

The City has the right to perpetually purchase up to 4,500 acre-feet of Moffat Collection System raw water annually from Denver Water. Permitted deliveries vary from month-to-month and peak during the summer months. By contract the City is obligated to take or pay for 1,750 acre-feet of water during the contract period, which runs from July 1 to June 30. The 2023 rate charged by Denver Water was $1.38 per thousand gallons, or $449.67 per acre-foot (there are 325,851 gallons in one acre-foot). For the fiscal period of July 1, 2022 through June 30, 2023 the City paid Denver Water $478,220 for 336 acre-feet of water delivered in November and December 2022. For the fiscal period of July 1, 2023 through June 30, 2024, the City paid Denver Water $743,768 for approximately 1223 acre-feet of water delivered between October 2023 and November 2023.Thus, the 2023 calendar year total cost for the contract was $743,768.

F. Perpetual Agreement

In December 2003, the City amended its perpetual water rights lease exchange contract dated January 7, 1982 with the City of Thornton. The amended contract provides that Westminster could perpetually lease from Thornton 2.0 million gallons per day of treated water with the option to increase or decrease this amount by 10%. The rate from January 1, 2023 through December 31, 2023 was $5.89 per thousand gallons for a total lease cost of $3,891,282. In 2009, the City of Westminster signed an agreement with the City of Brighton that states Brighton will take the full amount of water, up to 2.2 million gallons, and reimburse the City of Westminster its payment to Thornton. All future rate increases will be passed through in a similar fashion, and Brighton will have all responsibility for the lease.

G. Employee Defined Contribution Retirement Plans

General Information about the City of Westminster Employee 401(a) Defined Contribution Plan
Description of the Plan. The City provides retirement benefits through a defined contribution 401(a) plan for all of its general full-time employees and part-time employees who work at least 20 hours per week and are over age 18. Sworn officers hired before October 1, 2017 who did not join the Fire and Police Pension Association (FPPA) may participate in this plan.

The Plan is established by a separate ordinance as a single-employer, defined contribution plan, qualified under IRS guidelines. The City does not participate in Social Security.

The Plan provisions and requirements are established by Municipal Ordinance and determined to be a qualified 401(a) Plan by the Internal Revenue Service. The Plan assets are held in trust by a third-party trustee.The Plan Ordinance grants the 401(a) Plan Board members and Trustee the authority to administer, interpret, and apply the requirements of the Plan Document. Any changes to the Plan Document is subject to City Council approval and requires Internal Revenue Service determination of qualification. Eligible employees must participate from the date of employment.

Benefits Provided In a defined contribution plan, benefits depend solely on amounts contributed to the plan plus investment earnings less any administrative costs. Earnings differ between participants in Westminster's plans because investments are self-directed; from eligible options, participants choose where to invest contributions to their account. Investment options are selected by the 401(a) Plan Board, an advisory board.

Contributions and Vesting The mandatory employee contribution is 11% of base pay. Employees may elect to contribute in excess of the mandatory contribution. Voluntary contributions may be made on an after tax basis. Employee contributions and any earnings they generate are always 100% vested. The employer contribution rate is 11.25% of base pay. For eligible employees hired prior to June 1, 2021, the employer contributions begin after 22 months of employment and are 100% vested. For eligible employees hired on or after June 1, 2021, the employer contributions begin immediately The value of employer contributions to the Plan, and any earnings they generate, are vested as follows for eligible employees hired on or after June 1, 2021:

Years of Service	Vested Percentage of Employer Contributions
Less than 3 years	0%
3 to 4 years	60%
4 to 5 years	80%
5 years or more	100%

An employee shall be immediately and fully invested in the employer contributions and any earnings they generate if the employee suffers a total disability, dies while employed or attains normal retirement age of 55. The City has no other obligations to fund any employee pension plan.

All administrative costs of the plans are borne by the participants of each plan. The plan's fixed administrative costs are allocated as a fixed fee and the variable costs are pro-rated based on the participant's account balance, capped at $300,000.

No plan administration is performed by the City of Westminster other than transmitting contributions to the identified employee accounts. Empower provided administration for the plan and assisted employees with their self-directed investments .

Summary of Contributions For the year ended December 31, 2023, contributions made to the plan equaled required contributions and were as follows:

	2023
401(a) Defined Contribution Plan	
City Contributions	$ 7,206,176
Mandatory employee contributions	7,046,632
Voluntary employee contributions	35,745
Rollover contribution	801,147
Total	$ 15,089,700

General Information about the Statewide Money Purchase Plan

Plan Description. Effective September 1, 2004, the City began contributing to the Statewide Money Purchase Plan (SMP), a multiple-employer defined contribution plan administered by the Fire & Police Pension Association of Colorado (FPPA). As of January 1, 2023, the Statewide Money Purchase Plan became a component of the Statewide Retirement Plan. All full-time, paid firefighters hired before September 1, 2004 and all sworn police officers hired before October 1, 2017 had the option of joining the SMP plan. Participants can choose from various mutual funds selected by the Self-Directed Plans Committee pursuant to the fund structure approved by the FPPA's Board of Directors, as well as mutual funds or other investments offered through a Self-Directed Brokerage Account.

Benefits provided. The Statewide Money Purchase Plan (SMP) provides retirement benefits for members and beneficiaries. Death and disability coverage is provided for members through the Statewide Death and Disability Plan, which is also administered by FPPA. Colorado statutes assign the authority to establish benefit provisions to the state legislature.

Contributions and Vesting. Contributions to the Plan are calculated as a percentage of the member's base salary, which is specified by state statute. Current participants contribute 11.50 percent of salary and the City contributes 10 percent. Members are always fully vested in their own contributions, and the earnings on those contributions. Vesting in the employer's contributions and earnings on those contributions occurs according to the vesting schedule set by state statute at 20 percent per year after the first year of service to be 100 percent vested after 5 years of service. Employer and member contributions are invested in funds at the discretion of members. Total contributions to the Statewide Money Purchase Plan from the City were $43,932 and $10,466 for the Fire and Police Plans respectively for the year ended December 31, 2023.

General Information about the Deferred Compensation Plans

Plan Description Employees may voluntarily participate in the 457(b) Deferred Compensation Plan. The Plan permits participants to defer a portion of their salary until future years or contribute on an after-tax basis. A wide array of investment options are available through the Plan. The Plan uses a third-party administrator, Empower, and all costs of administration are borne by the Plan participants. The Deferred Compensation Committee is responsible for the formation, adoption, and enforcement of the rules and regulations pertinent to the operation of the Plan. Amounts deferred under the Plan are not available to employees until termination, retirement, death or unforeseeable emergency.

All seasonal, temporary positions less than a 0.50 FTE, and non-benefited employees must participate from the date of employment in the 457(b) FICA Alternative Deferred Compensation Plan. This plan is a Social Security replacement feature under the Internal Revenue Code Section 3121. Employees contribute a mandatory 7.5% of compensation that is invested into a fixed income account. No other investment options are available in this Plan. The administrative fee is paid by the City for active participants. Inactive participants pay a $42 annual administrative fee.

Instead of terminating employment and receiving retirement benefits, fire and police members under the Fire and Police Pension Plan (FPPA) may choose to participate in the Deferred Retirement Option Plan, or DROP, and continue employment with the City for five years. While participating in the DROP, an employee earns no additional service toward retirement. Beginning January 1, 2023, the City contributes 10 percent of salary in a 457(b) Deferred Compensation Plan established under FPPA for DROP members. Total contributions to the FPPA 457(b) Deferred Compensation Plan from the City were $48,682 and $79,514 for the fire and police DROP members respectively for the year ended December 31, 2023.

Benefits Provided In a deferred compensation plan, benefits depend solely on amounts contributed to the plan plus investment earnings. Earnings differ between participants in Westminster's deferred compensation plans because investments are self-directed; from eligible options, participants choose where to invest contributions to their account. Investment options are selected by the Deferred Compensation Committee.

Contributions into the 457(b) plans are funded by participant contributions of up to a maximum limit set by the IRS of $22,500 for the calendar year 2023. Catch-up contributions up to $7,500 for calendar year 2023 were allowed for participants who had attained age 50 before the end of the year, subject to the limitation of IRC §414(v). Total participant contributions into the 457(b) Deferred Compensation Plan were $6,924,116 and into the 457(b) FICA Alternative Deferred Compensation Plan were $365,222. The City matches up to 12.5% for City Council members only. City Council is required to contribute at least 7.5%. The expense recorded by the City for the match of City Council members was $11,503.

All contributions and earnings are fully vested at all times. All administrative costs of the 457(b) Deferred Compensation Plan are borne by the participants. Administrative costs and fees charged by fund managers, are netted against earnings and allocated to the two plans based on either the dollars in the plan or the number of participants in the plan, depending on the type of expense.

H. Employee Defined Benefit Retirement Plans

Fire and Police Pension Plans (FPPA)

The Fire and Police Pension Association of Colorado (FPPA) administers a statewide multiple-employer public employee retirement system providing defined benefit plan coverage for police officers and firefighters throughout the State of Colorado. The Affiliated Local Plans are plans for which FPPA has been asked to and has undertaken investment and recordkeeping responsibility, but are not plans for which FPPA has determined or set the benefits or set the funding policy. Volunteer Plans that have chosen to affiliate with FPPA for investment and administrative purposes are still governed by their local plan document or by the Colorado statutes and local pension board, each has a separate actuarial valuation completed every two years.

Net pension liability (asset) is the difference between the total pension liability and the fiduciary net position as of the measurement date. If the fiduciary net position exceeds the total pension liability as of the measurement date, there is a net pension asset.

Deferred inflows of resources and deferred outflows of resources are the amounts that are required to be deferred and recognized in subsequent periods. Deferred outflows of resources are reported on the statement of net position or balance sheet below assets, while deferred inflows are reported below liabilities. These amounts refer to items that are not yet recognized in the net pension liability (asset) or pension expense and include:

- Differences between expected and actual plan experience
- Changes in actuarial assumptions
- Differences between projected and actual investment earnings on pension plan investments
- Changes in proportion
- Employer contributions made subsequent to the measurement date through the fiscal year end

Deferred outflows of resources and deferred inflows of resources will be recognized as follows:

- Differences in plan experience, changes in assumptions, and changes in proportion will be amortized over the remaining service lives of current and former employees, and retirees.
- The differences between expected and actual investment earnings will be amortized over a five-year period.
- Contributions made subsequent to the measurement date will be recognized as a reduction (increase) of the net pension liability (asset) in the subsequent year.

The following table summarizes each of the City's FPPA plans and the respective pension activity recorded in the financials.

Plan	Net Pension Liability(Asset)	Deferred Outflows of Resources	Deferred Inflows of Resources	Pension Expense (Reduction)
FPPA SWDB - Fire Plan	$ 1,294,824	$ 9,454,611	$ 158,931	$ 1,170,740
FPPA SWDB - Police Plan	1,598,271	12,308,257	1,588,015	1,109,875
FPPA SWH - Fire Plan	(8,162)	932,811	10,781	349,870
FPPA SWH - Police Plan	(95,737)	1,593,106	273,312	1,312,885
Volunteer Firefighter	(1,191,189)	128,785	—	(79,489)
Totals	$ 1,598,007	$ 24,417,570	$ 2,031,039	$ 3,863,881

Fire and Police Pension Plan (FPPA) - Statewide Defined Benefit Plan

General Information about the Statewide Defined Benefit Pension Plan

Plan description. The Statewide Defined Benefit Plan (SWDB) is a cost-sharing multiple-employer defined benefit pension plan covering all full-time employees of participating fire and police departments in Colorado. The SWDB provides retirement benefits for members and beneficiaries. Death and disability coverage is provided for members through the Statewide Death and Disability Plan, which is also administered by FPPA. All full-time, paid firefighters of the City hired after September 1, 2004 are members of the SWDB and the Statewide Death and Disability Plan. All sworn police officers of the City hired after October 1, 2017 are members of the SWDB. At the time of reentering the FPPA system, paid firefighters and sworn police officers hired prior to the affiliation date had the choice of entering the Statewide Defined Benefit Pension Plan, these members are in the reentry plan. As of January 1, 2023, the Statewide Defined Benefit Plan and the Statewide Hybrid Plan merged to form the Statewide Retirement Plan (SRP) and the Statewide Defined Benefit Plan became the Defined Benefit Component of the Statewide Retirement Plan. Colorado statutes assign the authority to establish benefit provisions to the state legislature. FPPA issues a publicly available annual comprehensive financial report that includes financial statements and required supplementary information for both the SWDB and the Statewide Death and Disability Plan. That report may be obtained by calling FPPA at 303-770-3772 or on FPPA's website at http://www.fppaco.org.

Benefits provided. A member is eligible for a normal retirement pension once the member has completed twenty-five years of credited service and has attained the age of 55. Effective January 1, 2021, a member may also qualify for a normal retirement pension if the member's combined years of service and age equals at least 80, with a minimum age of 50 (Rule of 80).

The annual normal retirement benefit is 2 percent of the average of the member's highest three years' base salary for each year of credited service up to ten years, plus 2.5 percent for each year of service thereafter. Benefits paid to retired members are evaluated and may be re-determined every October 1. The amount of any cost of living adjustment (COLA) is based on the Board's discretion and can range from 0 to the higher of 3 percent or the Consumer Price Index.

A member is eligible for an early retirement after completion of 30 years of service or attainment of age 50 with at least five years of credited service. The early retirement benefit equals the normal retirement benefit reduced on an actuarially equivalent basis. Upon termination, an employee may elect to have member contributions, along with 5 percent as interest, returned as a lump sum distribution. Alternatively, a member with at least five years of accredited service may leave contributions with the Plan and remain eligible for a retirement pension at age 55 equal to 2 percent of the member's average highest three years' base salary for each year of credited service up to ten years, plus 2.5 percent for each year of service thereafter.

Contributions. The Plan sets contribution rates at a level that enable all benefits to be fully funded at the retirement date of all members based on current actuarial assumptions. Contribution rates for the SWDB plan are set by state statute. Employer contribution rates can only be amended by state statute. Member contribution rates can be amended by state statute or election of the membership.

Members of the SWDB plan and the City are contributing at the rate of 12 and 9.5 percent, respectively, of base salary for a total contribution rate of 21.5 percent for 2023. Employer contributions will increase 0.5 percent annually through 2030 to a total of 13 percent of pensionable earnings.

Contributions from members and employers of departments re-entering the system are established by resolution and approved by the FPPA Board of Directors. The re-entry group has a combined contribution rate of 24 percent of base salary for 2023. Beginning January 1, 2021, the required additional 4 percent contribution reduced to 0.2 percent. It is a local decision as to whether the member or employer pays the additional 0.2 percent contribution. Employer contributions will remain at 10 percent and increase 0.5 percent annually beginning in 2025 through 2030 to a total of 13 percent of pensionable earnings. The member contribution rate will remain at 14% in 2023.

Total contributions to the SWDB Fire Plan and SWDB Police Plan from the City were $1,324,558 and $1,637,120 respectively for the year ended December 31, 2023.

Pension Liabilities, Pension Expense, and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At December 31, 2023, the City reported liabilities for the SWDB Fire Plan and SWDB Police Plan of $1,294,824 and $1,598,271 respectively for its proportionate share of the net pension liability. The net pension liability was measured as of December 31, 2022, and the total pension liability used to calculate the net pension liability was determined by an actuarial valuation as of January 1, 2023, which was unchanged from December 31, 2022. The City's proportion of the net pension liability was based on a projection of the City's share of contributions to the pension plan relative to the contributions of all participating employers and the State. At December 31, 2022, the City's proportion for the SWDB Fire Plan and SWDB Police Plan was 1.459 percent and 1.801 percent respectively, which was a decrease of 0.030 percent for the SWDB Fire Plan and a decrease of 0.074 percent for the SWDB Police Plan from the proportions measured as of December 31, 2021.

For the year ended December 31, 2023, the City recognized pension expense of $1,170,740 for the SWDB Fire Plan and $1,109,875 for the SWDB Police Plan. At December 31, 2023, the City reported deferred outflows of resources and deferred inflows of resources related to pensions from the following resources:

	Fire Plan		Police Plan	
	Deferred Outflows of Resources	Deferred Inflows of Resources	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$ 2,802,846	$ 158,931	$ 3,459,703	$ 196,177
Changes of assumptions	1,658,846	—	2,047,602	—
Net difference between projected and actual earnings on pension plan investments	2,930,149	—	3,616,839	—
Changes in proportion	738,212	—	1,546,993	1,391,838
City contributions subsequent to the measurement date	1,324,558	—	1,637,120	—
Total	$ 9,454,611	$ 158,931	$ 12,308,257	$ 1,588,015

The SWDB Fire Plan and SWDB Police Plan respectively reported $1,324,558 and $1,637,120 as deferred outflows of resources related to pensions resulting from City contributions subsequent to the measurement date will be recognized as a reduction of the net pension liability in the year ending December 31, 2024.

The following table presents the City's other deferred inflows and outflows of resources related to pensions that will be recognized in the pension expense for each of the subsequent five years and in the aggregate thereafter:

Year Ended December 31	Fire Plan Net Deferred Outflows (Inflows) of Resources	Police Plan Net Deferred Outflows (Inflows) of Resources
2024	$ 827,361	$ 686,023
2025	1,379,717	1,369,150
2026	1,880,132	1,997,285
2027	2,525,122	2,973,954
2028	591,432	844,409
Thereafter	767,358	1,212,301
Total	$ 7,971,122	$ 9,083,122

Actuarial assumptions. The January 1, 2023 actuarial valuation used the following actuarial assumption and other inputs:

	Total Pension Liability
Actuarial Valuation Date	January 1, 2023
Actuarial Method	Entry Age Normal
Long-term Investment Rate of Return*	7.00%
Projected Salary Increases	4.25% - 11.25%
Cost of Living Adjustments (COLA)	0.00%
*Includes Inflation at	2.50%

For determining the total pension liability, the post-retirement mortality tables for non-disabled retirees uses the Pub-2010 Safety Healthy Annuitant Mortality Tables projected with the ultimate values of the MP-2020 projection scale. The pre-retirement off-duty mortality tables are adjusted to 60% of the MP-2020 mortality tables for active employees. The on-duty mortality rate is 0.00015.

For determining the actuarially determined contributions, the post-retirement mortality tables for non-disabled retirees uses the 2006 central rates from the RP-2014 Annuitant Mortality Tables projected to 2018 using the MP-2017 projection scales, and the projected prospectively using the ultimate rates of the scale for all years. The pre-retirement off-duty mortality tables are adjusted to 50% of the RP-2014 mortality tables for active employees. On-duty related mortality is assumed to be 0.00015 per year for all members.

Changes in Assumptions. Following a regularly scheduled experience study in 2022, the FPPA Board approved recommended changes to the actuarial assumptions for determining the total pension liability from FPPA's actuaries, Gabriel, Roeder, Smith & Company. The assumption changes were effective for actuarial valuations beginning January 1, 2023. The actuarial assumptions impact actuarial factors for benefit purposes such as purchases of service credit and other benefits where actuarial factors are used. The primary changes, which can be observed in the January 1, 2023 valuation, are as follows:

Mortality tables were updated as follows:
Pre-retirement. Off-duty mortality tables adjusted to 60% of the MP-2020 mortality tables for active employees.
Post-retirement for non-disabled retirees. Pub-2010 Safety Healthy Annuitant Mortality Tables projected with the ultimate values of the MP-2020 projection scale.

Changes in Benefit Terms. There were no changes to benefit terms.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighing the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. Best estimates of arithmetic real rates of return for each major asset class included in the Fund's target asset allocation as of December 31, 2022 are summarized in the following table:

Asset Class	Target Allocation	Long Term Expected Rate of Return
Global Equity	35%	8.93%
Equity Long/Short	6%	7.47%
Private Markets	34%	10.31%
Fixed Income - Rates	10%	5.45%
Fixed Income - Credit	5%	6.90%
Absolute Return	9%	6.49%
Cash	1%	3.92%
Total	100%	

Discount Rate. The discount rate used to measure the total pension liability was 7.00 percent. The discount rate was based on the long-term expected rate of return on pension plan investments of 7.00 percent. The projection of cash flows used to determine the discount rate assumed that contributions from participating employers will be made based on the actuarially determined rates used to determine the Board's funding policy, which establishes the contractually required rates under Colorado statutes. Based on those assumptions, the SWDB plan's fiduciary net position was projected to be available to make all the projected future benefit payments of current plan members. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the City's proportionate share of the net pension liability (asset) to changes in the discount rate. The following presents the City's proportionate share of the net pension liability (asset) calculated using a single discount rate of 7.00 percent, as well as what the City's proportionate share of the net pension liability (asset) would be if it were calculated using a discount rate that is 1-percentage-point lower (6.00 percent) or 1- percentage-point higher (8.00 percent) than the current rate:

	1% Decrease (6.00)%	Discount Rate (7.00)%	1% Increase (8.00)%
City's proportionate share of the net pension liability (asset) - Fire Plan	$ 8,926,350	$ 1,294,824	$ (5,026,550)
City's proportionate share of the net pension liability (asset) - Police Plan	11,018,272	1,598,271	(6,204,539)

Pension plan fiduciary net position. Detailed information about the pension plan's fiduciary net position is available in the separately issued FPPA financial report.

Changes Between the Measurement Date of the Net Pension Asset and December 31, 2023. During 2022, House Bill 22-1034 was signed into law. This legislation combines the assets and liabilities of the Statewide Defined Benefit Plan and Statewide Hybrid Plan to form the Statewide Retirement Plan effective January 1, 2023. The Statewide Retirement Plan became the Defined Benefit Component of the Statewide Retirement Plan.

Fire and Police Pension Plan (FPPA) -Statewide Hybrid Plan

General Information about the Statewide Hybrid Plan

Plan description. The Statewide Hybrid Plan (SWH) is a cost-sharing multiple-employer defined benefit pension plan administered by the FPPA. The SWH provides retirement benefits for members and beneficiaries. Death and disability coverage is provided for members through the Statewide Death and Disability Plan, which is also administered by FPPA. All full-time, paid firefighters employed as of September 1, 2004 either joined the SWDB, Statewide Hybrid Plan (SWH), or FPPA's 401(a) Plan. Sworn police officers employed as of October 1, 2017 either joined the SWDB, the SWH, or remained in the City's Employee 401(a) Plan. The SWH is comprised of two components: Defined Benefit and Money Purchase. As of January 1, 2023, the Statewide Hybrid Plan and Statewide Defined Benefit Plan merged to form the Statewide Retirement Plan (SRP) and the Statewide Hybrid Plan became the Hybrid Component of the Statewide Retirement Plan. Colorado statutes assign the authority to establish benefit provisions to the state legislature. FPPA issues a publicly available annual comprehensive financial report that includes financial statements and required supplementary information for both the Statewide Hybrid Plan and the Statewide Death and Disability Plan. That report may be obtained by calling FPPA at 303-770-3772 in the Denver Metro area and 1-800-332-FPPA (3772) from outside the metro area or on FPPA's website at http://www.fppaco.org.

Benefits provided. The Plan document states that any member may retire and become eligible for a normal retirement pension at any time after age 55, if the member has at least 25 years of service. Effective January 1, 2023, any member may qualify for normal retirement if the member's combined years of service and age equal at least 80, with a minimum age of 50 (Rule of 80).The annual normal pension of the Defined Benefit Component is 1.5 percent of the average of the member's highest three years' base salary for each year of credited service. For service credit granted through December 31, 2022, the benefit factor used to calculate the member's retirement benefit is 1.9 percent of the average of the member's highest three years' base salary. This change in benefit factor was also applied t retired members effective January 1, 2023 as part of the formation of the Statewide Retirement Plan. Benefits paid to retired members of the Defined Benefit Component are evaluated and may be re-determined annually on October 1. The amount of any increase is based on the Board's discretion and can range from 0 to 3 percent.

A member is eligible for early retirement within the Defined Benefit Component after attainment of age 50 with at least five years of credited service. The early retirement benefit equals the normal retirement benefit reduced on an actuarially equivalent basis. Upon termination, a member may elect to have all contributions, along with 5 percent as interest, returned as a lump sum distribution from the Defined Benefit Component. Alternatively, a member with at least five years of accredited service may leave contributions with the Defined Benefit Component of the Plan and remain eligible for a retirement pension at age 55 equal to 1.5 percent of the average of the member's highest three years' base salary for each year of credited service.

Contributions. The Plan sets minimum contribution rates at a level that enable all benefits to be fully funded at the retirement date of all members based upon current actuarial assumptions. The members of the SWH and the City are currently each contributing at the rate determined by the individual employer, however, the rate for both employer and members must be at least 8 percent of the member's base salary. Effective January 1, 2023, the minimum required contribution rate for both employers and members will increase 0.125 percent annually through 2030 to reach a final minimum required contribution rate of 9 percent for both employers and members. The amount allocated to the Defined Benefit Component is set annually by the Fire & Police Pension Association Board of Directors. Excess contributions fund the Money Purchase Component of the Plan. The Defined Benefit Component contribution rate from July 1, 2021 through June 30, 2022 was 14.10 percent. The Defined Benefit Component contribution rate from July 1, 2022 through December 31, 2022 was 14.80 percent. Effective January 1, 2023 the Defined Benefit Component contribution rate is set at 13.90 percent.

Within the Money Purchase Component, members are always fully vested in their own contributions, as well as the earnings on those contributions. Vesting in the employer's contributions within the Money Purchase Component, and earnings on those contributions occurs according to the vesting schedule set by the plan document at 20 percent per year after the first year of service to be 100 percent vested after 5 years of service. Employer and member contributions are invested in funds at the discretion of members.

Members of the SWH plan and the City are contributing at the rate of 11.5 and 10 percent, respectively, of base salary for a total contribution rate of 21.5 percent for 2023. Member contribution rates are scheduled to increase 0.5 percent annually through 2024 to a total of 12 percent of base salary. Employer contributions will increase 0.5 percent annually beginning in 2025 through 2030 to a total of 13 percent of pensionable earnings.

Total contributions to the SWH Fire Plan and Police Plan from the City were $10,839 and $116,721 respectively for the year ended December 31, 2023.

Pension Assets, Pension Expense and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions

At December 31, 2023, the City reported assets for the SWH Fire Plan and SWH Police Plan of $8,162 and $95,737 respectively for its proportionate share of the net pension asset. The net pension asset was measured as of December 31, 2022, and the total pension liability used to calculate the net pension asset was determined by an actuarial valuation as of January 1, 2023, which was unchanged from December 31, 2022. The City's proportion of the net pension asset was based on the City's share of contributions to the pension plan relative to the contributions of all participating employers and the State. At December 31, 2022, the City's proportion for the SWH Fire Plan and SWH Police Plan was 0.560 percent and 6.564 percent respectively, which was a decrease of 1.091 percent and a decrease of 1.224 percent for the SWH Fire Plan and SWH Police Plan respectively from the proportions measured as of December 31, 2021.

For the year ended December 31, 2023, the City recognized pension expense of $349,870 for the SWH Fire Plan and pension expense of $1,312,885 for the SWH Police Plan. At December 31, 2023, the City reported deferred outflows of resources and deferred inflows of resources related to pensions from the following resources:

	Fire Plan		Police Plan	
	Deferred Outflows of Resources	Deferred Inflows of Resources	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$ 35,903	$ —	$ 421,143	$ —
Changes of assumptions	9,334	—	109,482	—
Net difference between projected and actual earnings on pension plan investments	33,310	—	390,726	—
Changes in proportion	843,425	10,781	555,034	273,312
City contributions subsequent to the measurement date	10,839	—	116,721	—
Total	$ 932,811	$ 10,781	$ 1,593,106	$ 273,312

The SWH Fire Plan and SWH Police Plan respectively reported $10,839 and $116,721 as deferred outflows of resources related to pensions resulting from City contributions subsequent to the measurement date will be recognized as an increase in the net pension asset in the year ending December 31, 2024.

The following table presents the City's other deferred inflows and outflows of resources related to pensions that will be recognized in the City's pension expense for each of the subsequent five years and in the aggregate thereafter:

Year Ended December 31	Fire Plan Net Deferred Outflows (Inflows) of Resources	Police Plan Net Deferred Outflows (Inflows) of Resources
2024	$ 245,619	$ 72,599
2025	223,003	313,189
2026	187,908	312,692
2027	155,227	367,059
2028	82,885	111,028
Thereafter	16,549	26,506
Total	$ 911,191	$ 1,203,073

Actuarial assumptions. The January 1, 2023 actuarial valuation used the following actuarial assumption and other inputs:

	Total Pension Liability
Actuarial Valuation Date	January 1, 2023
Actuarial Method	Entry Age Normal
Long-term Investment Rate of Return*	7.00%
Projected Salary Increases	4.25% - 11.25%
Cost of Living Adjustments (COLA)	0.00%
*Includes Inflation at	2.50%

For determining the total pension liability, the post-retirement mortality tables for non-disabled retirees uses the Pub-2010 Safety Healthy Annuitant Mortality Tables projected with the ultimate values of the MP-2020 projection scale. The pre-retirement off-duty mortality tables are adjusted to 60% of the MP-2020 mortality tables for active employees. The on-duty mortality rate is 0.00015.

For determining the actuarially determined contributions, the post-retirement mortality tables for non-disabled retirees uses the 2006 central rates from the RP-2014 Annuitant Mortality Tables projected to 2018 using the MP-2017 projection scales, and the projected prospectively using the ultimate rates of the scale for all years. The pre-retirement off-duty mortality tables are adjusted to 50% of the RP-2014 mortality tables for active employees. On-duty related mortality is assumed to be 0.00015 per year for all members.

Changes in Assumptions. Following a regularly scheduled experience study in 2022, the FPPA Board approved recommended changes to the actuarial assumptions for determining the total pension liability from FPPA's actuaries, Gabriel, Roeder, Smith & Company. The assumption changes were effective for actuarial valuations beginning January 1, 2023. The actuarial assumptions impact actuarial factors for benefit purposes such as purchases of service credit and other benefits where actuarial factors are used. The primary changes, which can be observed in the January 1, 2023 valuation, are as follows:

Mortality tables were updated as follows:
Pre-retirement. Off-duty mortality tables adjusted to 60% of the MP-2020 mortality tables for active employees.
Post-retirement for non-disabled retirees. Pub-2010 Safety Healthy Annuitant Mortality Tables projected with the ultimate values of the MP-2020 projection scale

Changes in Benefit Terms. There were no changes to benefit terms.

The long-term expected rate of return on pension plan investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighing the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. Best estimates of arithmetic real rates of return for each major asset class included in the Fund's target asset allocation as of December 31, 2022 are summarized in the following table:

Asset Class	Target Allocation	Long Term Expected Rate of Return
Global Equity	35%	8.93%
Equity Long/Short	6%	7.47%
Private Markets	34%	10.31%
Fixed Income - Rates	10%	5.45%
Fixed Income - Credit	5%	6.90%
Absolute Return	9%	6.49%
Cash	1%	3.92%
Total	100%	

Discount Rate. The discount rate used to measure the total pension liability was 7.00 percent. The discount rate was based on the long-term expected rate of return on pension plan investments of 7.00 percent. The projection of cash flows used to determine the discount rate assumed that contributions from participating employers will be made based on the actuarially determined rates based on the Board's funding policy, which establishes the contractually required rates under Colorado statutes. Based on those assumptions, the SWH plan's fiduciary net position was projected to be available to make all the projected future benefit payments of current plan members. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Sensitivity of the City's proportionate share of the net pension asset to changes in the discount rate. The following presents the City's proportionate share of the net pension asset calculated using a single discount rate of 7.00 percent, as well as what the City's proportionate share of the net pension asset would be if it were calculated using a discount rate that is 1- percentage-point lower (6.00 percent) or 1-percentage-point higher (8.00 percent) than the current rate:

	1% Decrease (6.00%)	Discount Rate (7.00%)	1% Increase (8.00%)
City's proportionate share of the net pension liability (asset) - Fire Plan	$ 61,631	$ (8,162)	$ (66,712)
City's proportionate share of the net pension liability (asset) - Police Plan	722,919	(95,737)	(782,520)

Pension plan fiduciary net position. Detailed information about the pension plan's fiduciary net position is available in the separately issued FPPA financial report.

Changes Between the Measurement Date of the Net Pension Asset and December 31, 2023. During 2022, House Bill 22-1034 was signed into law. This legislation combines the assets and liabilities of the Statewide Defined Benefit Plan and Statewide Hybrid Plan to form the Statewide Retirement Plan effective January 1, 2023. The Statewide Hybrid Plan became the Hybrid Defined Benefit Component of the Statewide Retirement Plan. The impact of changes due to this merger effective January 1, 2023 as it relates to the Hybrid Component of the Statewide Retirement Plan are reflected in the Notes above.

Westminster Volunteer Firefighter Pension Plan

General Information about the Volunteer Firefighter Pension Plan

Plan description. The City has fiduciary responsibility for a defined benefit retirement system ("the plan") established by the Volunteers. All volunteer firefighters have retired. After the last volunteer firefighter retired, the volunteer firefighter program was dissolved by the City Council as required by state law. As required by Colorado State Law, prior to dissolving the plan, Council established the final benefit. The maximum benefit for a volunteer beneficiary has been permanently capped. With the approval of the Volunteer Fire Pension Board and the City Council of Westminster, the assets of the plan were transferred to the FPPA as allowed by C.R.S., 31-31-705. This statute allows FPPA to manage the funds of the plan and pay beneficiaries. Administrative costs and fees of the plan are netted against investment earnings on a prorated basis. The City of Westminster retains responsibility for administration and the liability of the plan. Investments of the funds are invested under the concept of an agent multiple-employer plan. The plan is closed to new entrants. When the last participant of the plan passes away, the residual assets will transfer to the City and can only be used for fire related purposes. The plan is excluded from being reported as a fiduciary component unit since it is not material to the City.

The plan is included in FPPA's audited annual financial report as an affiliated local plan, which may be obtained by writing to FPPA, 7979 East Tufts Ave, Suite 900, Denver, CO 80237, or by calling 303-770-3772 or at http://www.fppaco.org.

Benefits provided. The plan provides retirement and death benefits. Participants become fully vested after 20 years of active service. Retirement benefits are payable upon vesting for any volunteer who terminates after 10 years but prior to 20 years of active service allowed by State Statutes. The benefit is equal to the full retirement benefit at the date of termination prorated by the number of years of service accrued. Surviving spouses of deceased retirees may receive up to 50% of the retirement benefit until remarriage and a one-time funeral benefit. Benefits do not provide for annual cost-of-living adjustments.

Volunteers may retire upon completion of 20 years of service even though not all of the service was earned in the same fire department. If they first became volunteers prior to June 2, 1977, the retirement benefit is paid from the pension fund of each department for which they served at least five years. The amount paid is equal to 1/20 of the monthly retirement benefit being paid by that department at the date of termination from the department for each year of service with that department.

Volunteers covered by benefit terms. At December 31, 2023, membership in the plan consisted of:

Retirees and beneficiaries receiving benefits	23
Terminated volunteers entitled to benefits but not receiving benefits	—
Active plan members	—
Total	23

Contributions. Contributions are determined on an actuarial basis. An actuarial study performed as of January 1, 2021, states that the current level of assets in the fund are in excess of the amount needed to pay the capped maximum of $700 per month and all prorated amounts by $1,191,189. Therefore, no additional contributions are required at this time by the City and none were required in 2023. State statues govern contribution requirements. The required contribution for 2023 was determined as part of the 2022 actuarial valuation using the entry age actuarial cost method.

Funding for the plan was provided through a property tax levy prior to 1987. The levy was eliminated in 1987 because the plan was over-funded. Since Volunteers do not contribute to the plan, no plan assets are distributed if a volunteer is terminated prior to vesting.

Net Pension Asset

The plan's net pension asset was measured as of December 31, 2022, and the total pension liability used to calculate the net pension asset was determined by an actuarial valuation as of January 1, 2023, which is unchanged from December 31, 2022. Actuarially determined contribution rates are calculated as of January 1 of odd numbered years. The contribution rates have a one-year lag, so the actuarial valuation as of January 1, 2021, determines the contribution amounts for 2022 and 2023. The actuarial valuation as of January 1, 2023 determines the contribution amounts for 2024 and 2025.

Actuarial assumptions. The total pension liability in the January 1, 2023 actuarial valuation was determined using the following actuarial assumptions, applied to all periods included in the measurement:

Actuarial Cost Method	Entry Age Normal
Withdrawal Rate	20% of members age 50 and eligible for a terminated vested benefit to withdraw each year
Asset Valuation Method	5-Year smoothed fair value
Inflation	2.50%
Salary Increases	N/A
Investment Rate of Return	7.00%
Retirement Age	50% per year of eligibility until 100% at age 65
Mortality Tables	Pre-retirement: Pub 2020 Public Safety Healthy Employee Mortality Tables for males and females, amount weighted, projected with the MP-2020 Ultimate projection scale, 60% multiplier. Post-retirement: Pub 2010 Public Safety Healthy Employee Mortality Tables for males and females, amount weighted, projected with the ultimate values of the MP-2020 projection scale. Disabled: Pub 2010 Public Safety Healthy Employee Mortality Tables for males and females, amount weighted, set forward five years projected with the MP-2020 Ultimate projection scale, with minimum probability of 3.5% for males and 2.5% for females.

Changes in Assumptions. The actuarial assumptions shown above are associated with the Actuarially Determined Contribution for the Fiscal Year Ending December 31, 2022. Following a regularly scheduled experience study in 2022, the FPPA Board approved recommended changes to the actuarial assumptions for determining the total pension liability. The actuarial assumptions were changed for the Actuarial Valuation as of January 1, 2023. The primary changes, which can be observed in the January 1, 2023 valuation, are as follows:

Mortality tables were updated as follows:
Pre-retirement. Pub 2010 Public Safety Healthy Employee Mortality Tables for males and females, amount weighted, projected with the MP-2020 Ultimate projection scales, 60% multiplier.
Post-retirement. Pub 2010 Public Safety Healthy Employee Mortality Tables for males and females, amount weighted, projected with the ultimate values of the MP-2020 projection scale.
Disabled. Pub 2010 Public Safety Healthy Employee Mortality Tables for males and females, amount weighted, set forward five years projected with the MP-2020 Ultimate projection scale, with minimum probability of 3.5% for males and 2.5% for females.

Long-term expected return on plan assets. The long-term expected rate of return on the plan's investments was determined using a building-block method in which best-estimate ranges of expected future real rates of return (expected returns, net of pension plan investment expense and inflation) are developed for each major asset class. These ranges are combined to produce the long-term expected rate of return by weighing the expected future real rates of return by the target asset allocation percentage and by adding expected inflation. Best estimates of arithmetic nominal rates of return, for each major asset class included in the plan's target asset allocation as of December 31, 2022, is summarized in the table below.

Asset Class	Target Allocation	Long Term Expected Rate of Return
Global Equity	35%	8.93%
Equity Long/Short	6%	7.47%
Private Markets	34%	10.31%
Fixed Income - Rates	10%	5.45%
Fixed Income - Credit	5%	6.90%
Absolute Return	9%	6.49%
Cash	1%	3.92%
Total	100%	

Single Discount rate. A single discount rate of 7.00% was used to measure the total pension liability. This single discount rate was based on the long-term expected rate of return on pension plan investments of 7.00%. The projection of cash flows used to determine this single discount rate assumes that all actuarially determined contributions will be made. The plan's fiduciary net position was projected to be available to make all projected future benefit payments. Therefore, the long-term expected rate of return on pension plan investments was applied to all periods of projected benefit payments to determine the total pension liability.

Changes in the Net Pension Asset

	Increase (Decrease)		
	Total Pension Liability (a)	Plan Fiduciary Net Position (b)	Net Pension Asset (a) - (b)
Balances at 1/1/2023	$ 1,356,413	$ 2,874,844	$ (1,518,431)
Changes for the year:			
Interest on the total pension liability	89,848	—	89,848
Difference between expected and actual experience of the total pension liability	6,891	—	6,891
Changes of assumptions	(5,789)	—	(5,789)
Net investment income	—	(229,597)	229,597
Benefit payments	(148,260)	(148,260)	—
Pension plan administrative expense	—	(6,695)	6,695
Net Changes	(57,310)	(384,552)	327,242
Balances at 12/31/2023	$ 1,299,103	$ 2,490,292	$ (1,191,189)

Sensitivity of the net pension asset to changes in the single discount rate. The following presents the net pension asset of the plan, calculated using the single discount rate of 7.00 percent, as well as what the plan's net pension asset would be it were calculated using a discount rate that is 1-percentage-point lower (6.00 percent) or 1-percentage-point higher (8.00 percent) than the current rate:

	1% Decrease (6.00%)	Current Single Discount Rate Assumption (7.00%)	1% Increase (8.00%)
Plan's net pension asset	$(1,100,941)	$(1,191,189)	$(1,271,140)

Pension plan fiduciary net position. Detailed information about the pension plan's fiduciary net position is available in the separately issued Fire & Police Pension Association (FPPA) financial report.

Pension Expense and Deferred Outflows of Resources and Deferred Inflows of Resources Related to Pensions
For the year ended December 31, 2023, the plan recognized a reduction of pension expense of $79,489. At December 31, 2023, the plan reported deferred outflows of resources and deferred inflows of resources related to pensions from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Net difference between projected and actual earnings on pension plan investments	$ 128,785	$ —
Total	$ 128,785	$ —

Amounts reported as deferred outflows of resources and deferred inflows of resources related to pension will be recognized in pension expense as follows:

Year Ended December 31	Net Deferred Outflows (Inflows) of Resources
2024	$ (17,322)
2025	16,355
2026	44,652
2027	85,100
Total	$ 128,785

I. Retiree Health Program

The City offers other postemployment benefits (OPEB) through its Retiree Health Care Program. The following provides a summary of the total OPEB liability, deferred outflows of resources, deferred inflows of resources and OPEB expense by governmental activities and business-type activities as of December 31, 2023. The liability is allocated based upon the number of employees paid by the respective fund.

	Total OPEB Liability	Deferred Outflows of Resources	Deferred Inflows of Resources	OPEB Expense
Governmental activities	$ 5,129,873	$ 638,090	$ 1,215,917	$ 367,271
Business-type activities	834,494	110,459	308,808	59,745
Totals	$ 5,964,367	$ 748,549	$ 1,524,725	$ 427,016

Program Description. The Retiree Health Care Program (Program) is a single employer defined benefit healthcare plan administered by the City of Westminster. The Program provisions and requirements are established and may be amended by City Council policy. The number of active and retired employees covered by the program as the last actuarial valuation date of December 31, 2023, was 922 and 38, respectively, for a total of 960.

Benefits Terms. The Program provides medical, dental, and vision insurance benefits to eligible retirees and their dependents until reaching the Medicare qualification age. Retirees may not stay on the Program after age 65. Benefits are provided for active employees and retirees under the same health care plan.

A covered employee whose employment with the City terminates can continue coverage under the plan as a retiree if they have met the eligibility requirements or become totally disabled and unable to work. An employee who retires must have 20 years of service as a benefited employee, or at least 10 continuous or non-continuous years of benefited service and the sum of years of service and age equal at least 60, to enroll in the plan. The employee must be in good standing with the City prior to leaving benefited employment and must also have been enrolled in the medical plan immediately prior to retirement for eligibility in the program. . Spouses and dependents of retirees are also eligible to enroll in the plan. An employee who becomes disabled as defined by the Social Security Act or is accepted for Long Term Disability benefits also has the option to continue their health coverage under the City's retiree health program. Once enrolled in the plan, retirees may continue coverage until they become eligible for Medicare.

The City offers a $460 monthly subsidy to any benefited employee who at the time of retirement is a minimum age of 50 with any combination of age plus years of service that totals 80 or more. Any sworn Westminster police employee who retires as a sworn City of Westminster police employee, with previous police officer employment with another entity (including military police officer experience), will be granted up to a maximum of 5 years of service credit that will apply towards the total requirement of 80 or more. Years of service in any non-benefited position are not eligible for consideration in meeting the years of service program requirements.

Funding Policy. The City funds OPEB expense on a pay-as-you-go basis. No assets have been accumulated in a trust that meets the criteria in paragraph 4 of GASB Statement No. 75, *Accounting and Financial Reporting for Postemployment Benefits Other Than Pensions*. The City Council has the authority for establishing and amending the funding policy.

Total OPEB Liability. The City's total OPEB liability of $5,964,367 as of December 31, 2023 was determined by the application of roll forward procedures to the liability actuarially determined as of December 31, 2022.

Actuarial Assumptions and Other Inputs

The total OPEB liability in the December 31, 2022 actuarial valuation was determined using the following actuarial assumptions and other inputs, applied to all periods included in the measurement:

Actuarial cost method	Entry Age Normal, determined as a level percent of projected pay
Inflation	3.0% per year
Payroll growth	3.0% per year, Source: Colorado PERA Local Government Division December 31, 2021 Actuarial Valuation
Discount rate	4.31% Source: S&P Municipal Bond 20-year High Grade Rate Index as of December 31, 2022

Healthcare trend rates are assumed to increase at the following rates:

Year	2023	2024	2025	2026	2027	2028	2029	2030+
Trend Rate	5.71%	5.63%	5.32%	5.13%	4.94%	4.74%	4.62%	4.62%

Mortality rates	For retirees, PubG-2010 Healthy Retiree table with adjustments. Males 94% of the rates prior to age 80 and 90% of the rates for ages 80 and older. Females: 87% prior to age 80 and 107% for ages 80 and older. All tables use generational projection based on scale MP-2019. Source: Colorado PERA Local Government Division December 31, 2021 Actuarial Valuation

Changes in Assumptions

The revised assumption shown below is reflected in the roll-forward calculation of the total OPEB liability from December 31, 2022 to December 31, 2023:

Assumption	Description	Source/Reason	Impact on Liability
Discount Rate	Decreased from 4.31% to 4.00%	S&P Municipal Bond 20-year High Grade Rate Index as of December 31, 2023	$ 147,787

Changes in Total OPEB Liability

	OPEB Liability
Total OPEB Liability – December 31, 2022	$ 5,795,177
Changes for the year	
Service cost	537,564
Interest	231,807
Differences between expected and actual experience	(447,434)
Changes of assumptions or other inputs	147,787
Employer benefit payments	(300,534)
Net changes for the year	169,190
Total OPEB Liability – December 31, 2023	$ 5,964,367

Sensitivity of the Total OPEB Liability to Changes in the Discount Rate

The following table presents the total OPEB liability of the City, as well as what the City's total OPEB liability would be if it were calculated using a discount rate that is 1-percentage-point lower or higher than the current discount rate.

Sensitivity of the Total OPEB Liability to Changes in the Discount Rate

	1% Decrease 3.00%	Discount Rate 4.00%	1% Increase 5.00%
Total OPEB Liability	$ 6,464,558	$ 5,964,367	$ 5,500,093

Sensitivity of the Total OPEB Liability to Changes in the Healthcare Cost Trend Rate

The following table presents the total OPEB liability of the City, as well as what the City's total OPEB liability would be if it were calculated using a medical trend rate that is 1-percentage-point lower or higher than the current trend rate.

Sensitivity of the Total OPEB Liability to Changes in the Healthcare Cost Trend Rates

	1% Decrease 4.71%	Discount Rate 5.71%	1% Increase 6.71%
Total OPEB Liability	$ 5,267,706	$ 5,864,367	$ 6,793,334

OPEB Expense and Deferred Outflows of Resources and Deferred Inflows of Resources Related to OPEB.
For the year ended December 31, 2023, the City recognized OPEB expense of $427,016. At December 31, 2023, the City reported deferred outflows of resources and deferred inflows of resources related to OPEB from the following sources:

	Deferred Outflows of Resources	Deferred Inflows of Resources
Differences between expected and actual experience	$ 128,214	$ 923,621
Changes of assumptions and inputs	509,323	490,092
Change in proportion	111,012	111,012
	$ 748,549	$ 1,524,725

Amounts reported as deferred outflows of resources and deferred inflows of resources related to OPEB will be recognized in the City's OPEB expense as follows:

Year	Net Deferred Outflows (Inflows) of Resources
2024	$ (41,821)
2025	(41,821)
2026	(96,736)
2027	(102,535)
2028	(72,719)
Thereafter	(420,544)
	$ (776,176)

J. Tax Spending and Debt Limitations

Colorado voters passed an amendment to the State Constitution, Article X, Section 20, which has several limitations, including revenue raising, spending abilities, and other specific requirements of state and local governments. The Amendment is complex and subject to judicial interpretation. The City believes it is in compliance with the requirements of the amendment. However, the City has made certain interpretations of the amendment's language in order to determine its compliance.

In November 2002, Westminster voters approved a ballot measure that exempts the City from the spending and revenue limits of the amendment. The Amendment requires local governments to establish Emergency Reserves. These reserves must be at least 3% of Fiscal Year Spending (excluding bonded debt service). Local governments are not allowed to use the emergency reserves to compensate for economic conditions, revenue shortfalls, or salary or benefit increases.

At December 31, 2023, amounts required as Emergency Reserves in compliance with the Amendment total $6,863,651 for the general government and an aggregate of $69,442 for applicable component units. These amounts are shown as restrictions of fund balance in the General and respective nonmajor funds as well as a restriction of Net Position on the Statement of Net Position.

K. Jointly Governed Organization

The Woman Creek Reservoir Authority was formed in 1996 to oversee facilities constructed to protect the City's main drinking water supply from hazards flowing from the former nuclear weapons manufacturing facility at Rocky Flats. Rocky Flats is located west of the City of Westminster between the Cities of Golden and Boulder. The U.S. Department of Energy funded this water protection project through a grant. The purpose of the grant is to provide a sufficient investment pool to generate investment earnings to cover the annual operating expenses of the Authority and cover any large rehabilitation costs which may arise. The Cities of Northglenn, Westminster, and Thornton participate equally in the administration and operation of the Authority. Each City appoints one member of the three-member board of directors for the Authority. The Authority has no employees.

The Authority is not financially accountable for any other organization nor is the Authority a component unit of any other primary governmental entity.

L. Joint Ventures

Hyland Hills Park and Recreation District (Hyland Hills) & City of Westminster (City) Ice Centre Intergovernmental Agreement (IGA). The City entered into an IGA with Hyland Hills Park and Recreation District on January 29, 1998, in which the City agreed to finance (through the Westminster Building Authority) and construct a three sheet Ice Centre, and Hyland Hills agreed to operate the Ice Centre pursuant to a sublease. The sublease called for Hyland Hills to make lease payments to the City equivalent to one-half of the rental obligation due from the City to the Westminster Building Authority. Hyland Hills fulfilled its rental obligation when the debt was retired in 2022. The IGA entitled Hyland Hills to an undivided fifty percent interest in the Ice Centre. The City receive one-half of the net revenues from operations of the Ice Centre. The City's share of net operating revenues in 2023 was $479,181. At December 31, 2023, the net book value of the Ice Centre joint venture was $3,340,934, which is included in the City's capital assets. There are not separate financial statements for the joint venture.

Broomfield-Westminster Open Space Foundation. The City entered into an intergovernmental agreement with The City and County of Broomfield on December 12, 2005, to create the Broomfield-Westminster Open Space Foundation (Foundation), a nonprofit corporation qualifying under section 501 (c) (3) of the Internal Revenue Code, to function as a public foundation. The sole purpose of the nonprofit corporation is to acquire, finance, own, and operate approximately 150 acres of undeveloped land known as the Metzger Property. The board of directors for the Foundation is comprised of an equal number of directors appointed by each City, and one additional impartial director selected by Broomfield and Westminster. Acquisition of the property was financed in 2006 from grants, donations, gifts, contributions from public and private entities, and issuance of financial obligations by the Foundation. The City's annual lease rental payment obligation as set forth in the financing documents was fulfilled in 2016, thereby satisfying the requirement of one-half ownership interest in the property. The City records its investment in the Metzger Farm as Joint Venture Land valued at $4,920,000. At December 31, 2023, the City's fifty percent equity interest in the Foundation is $880,883. Financial statements for the Broomfield-Westminster Open Space Foundation may be obtained by contacting the City of Westminster, Colorado, Finance Department, 303-658-2034.

M. Component Unit of Another Government with Joint Venture Characteristics

The City of Westminster entered into an intergovernmental agreement with the City of Northglenn to establish the Church Ditch Water Authority (the Authority) on October 29, 2004. The Authority is responsible for the operation, maintenance, and continued development of Church Ditch. The effects of water resource development by the Authority benefit both cities and other contractual users of the Church Ditch. The Authority (a governmental entity), which replaced the Church Ditch Company (a private carrier ditch company), was created to maximize operating efficiencies, streamline the rate setting process, and provide for management of easement and property ownership issues. The Authority is governed by a Board of Directors; two directors appointed by the City of Northglenn, and one director appointed by the City of Westminster. The City owns one-third of the Church Ditch while Northglenn owns the other two-thirds. The City of Northglenn reports the Church Ditch Authority as a discretely presented component unit; the City of Westminster, as the minority participant in the Authority, reports an equity interest of one-third of the Authority's net position as “Other Assets” in the Utility Fund. At December 31, 2023, the City's equity interest in the Church Ditch Authority was $1,657,684.

N. Intergovernmental Agreement

In September 1995, the City entered into an intergovernmental agreement with the State of Colorado, Department of Higher Education for the construction and operation of the College Hill Library at Front Range Community College. This agreement called for the City and Front Range College to jointly build, furnish, equip, staff, operate and maintain the College Hill Library. The library has been fully operational since April 7, 1998. The intergovernmental agreement calls for the City to pay Front Range Community College its proportionate share of operating expenses, which totaled $232,846 in 2023. This agreement allows the City to occupy space in the facility for up to 50 years. After 33 years, either party may terminate this agreement by giving two years' written notice to the other party. Thus, the City would enjoy a minimum of 35 years.

The City initially entered into an intergovernmental agreement (IGA) with the City of Thornton, the Thornton Development Authority and the Westminster Economic Development Authority on January 13, 1986 to set forth the sharing of revenues in the Interstate 25 Corridor area. This IGA was subsequently amended several times with the final amendment dated November 10, 2004. Each City has committed to planned and orderly growth in the area along Interstate 25 between 150th Avenue on the north, Washington Street on the east, 132nd Avenue on the south and Huron Street on the West (“Corridor Area”). Increased coordination and cooperation between the Cities in planning for and regulating growth and development of land in the Corridor area will enhance the ability of the Cities to achieve their respective and common goals. Therefore, the Cities have agreed to share in the revenues received in the Corridor Area with annual payments on April 30th of the following year. The IGA is set to expire on February 1, 2026. For the year ended December 31, 2023, the City incurred a liability to the City of Thornton in the amount of $4,279,777 and anticipates receiving $2,882,220 from the City of Thornton in 2024.

O. Arbitrage Compliance

All bond issues for the City of Westminster have been evaluated for arbitrage compliance and liability position. For issues where all proceeds have been spent, the City has no liability. At December 31, an arbitrage liability of $148,190 was incurred on unspent proceeds of the 2022 Parks, Open Space and Trails Special Purpose Sales & Use Tax Revenue Note.

P. Tax Abatements

The City of Westminster enters into incentive agreements to encourage economic development, redevelopment, attract new jobs, provide affordable housing, retain growing businesses and sustain its tax base. These agreements are entered into pursuant to Resolution No. 53 adopted by City Council on December 12, 1988 and may be granted to any business located within or relocating within the City. These agreements provide for the City to forgo revenue by waiving or rebating certain taxes. This reduction of revenue meets the definition of a tax abatement under Governmental Accounting Standards Board Statement No. 77, *Tax Abatement Disclosures.* The incentive agreements entered into by the City traditionally include clawback provisions should the recipient of the tax abatement fail to fully meet is commitments which typically include new construction, improvements to existing facilities and continuing business operations for a set period of time.

Incentive programs offered by the City may include one or more of the following tax abatements:

- rebate or waiver of all or a portion of City imposed construction use tax
- rebate or waiver of City use tax reported or City sales tax paid on the purchase of furniture, fixtures and equipment related to the location of the business or relocation of the business in the City for a period of time
- rebate of City sales tax, admissions or accommodations tax collected from customers for a period of time

In addition to the above noted tax abatements, the City may also agree to waive, reduce or rebate certain City imposed fees such as public land dedication fees, park development fees or conference center fees on a case by case basis. The City is not subject to any tax abatement agreement entered into by other governmental entities.

Tax abatements granted for the year ended December 31, 2023 were as follows:

Tax Abatement Program	Amount of Taxes Abated
Development and Redevelopment	
Sales and Use Tax	$ 391,434
Building Use Tax	483,006
Accommodations Tax	774,021
Admissions Tax	23,498
Total	$ 1,671,959

Q. Property Held for Resale

The City purchased a 40,000 square foot parcel located at the southwest corner of 92nd Avenue and Lowell Boulevard which is intended to be sold at a later date for development purposes. At December 31, 2023, the land held for resale was reported as property held for resale in the financial statements of the General Fund at a cost of $31,474.

WEDA acquired approximately 95% of the 105-acre Westminster Center Urban Reinvestment Project site now known as Downtown Westminster. WEDA has conveyed approximately 40 acres to the City for public green space and right-of-way. Construction of the first phase (and majority) of planned utilities, roads, parking structure and Central Plaza have been completed. The first six private development projects have opened for business which include the 9-screen Alamo Drafthouse Cinema, 8877 Eaton Street with 118 affordable housing units, the Ascent at Downtown Westminster, a mixed use residential and retail project, the 125 room Origin Hotel, the 226 unit mixed use development called Aspire at Downtown Westminster and the 274 unit mixed use project called Westminster Row. Additionally, the first 34 unit ownership residential project, Townhomes on Harlan were completely sold in early 2023. Lastly, a number of retail/commercial businesses have opened which include Sweet Bloom Coffee, Westminster Tap & Burger, Familie Restaurant, Lash & Company, 100% Chiropractic, Hope Pediatric Dentistry, and Superfruit Republic. In 2023, the Holly Park URA repurchased a parcel from the Urban Land Conservatory based on an agreement if the land was not developed by the end of 2023. The land was valued based on the market and property tax value with Adams County. At December 31, 2023, the properties still held by WEDA were reported as property held for resale in the financial statements at value of $11,693,419.

The City acquired five properties located in the 7300 block of Lowell Boulevard. The properties were acquired with Section 108 Loan Guarantee Funds with the intention of selling these properties to a developer for a United States Department Housing and Urban Development project. As of December 31, 2023, the properties were reported as property held for resale in the financial statements of the Community Development Block Grant fund at at a net realizable value of $227,579.

R. Conduit Debt Obligations

To further economic development in the city, the City of Westminster has issued bonds that meet the definition of a conduit debt obligation. These bonds have provided private-sector entities with access to capital for the acquisition and construction of industrial and commercial facilities. The bonds are secured by the property they finance and are payable solely from payments received from the private-sector entities on the underlying mortgage or promissory notes. The City of Westminster has not extended any additional commitments for the debt service payments of the bonds beyond the collateral and the payments from the private-sector entities on the underlying mortgage or promissory notes and maintenance of the tax-exempt status of the conduit debt obligation. At December 31, 2023, the bonds have an aggregate outstanding principal amount payable of $22,255,000, none of which was recognized as a liability by the City of Westminster.

S. Debt Issues

On September 28, 2023, the City issued $35,005,000 par of non-taxable Certificates of Participation, Series 2023. with an arbitrage yield of 4.12% and a net premium of $1,966,548. The net proceeds of $36,971,548 were allocated with $36,600,000 to the Project Fund and $371,548 to cover the cost of issuance fees and underwriter's discount

T. Pollution Remediation

The State of Colorado, Department of Labor and Employment, Division of Oil and Public Safety (OPS) recognizes the City of Westminster as the sole responsible party for the pollution remediation of a leak from underground gas storage tanks at the Municipal Service Center discovered in 1986. Various remediation efforts have been undertaken since that time. In 2017, an exposure based Natural Source Zone Depletion (NSZD) strategy was presented to and approved by OPS. A consultant estimated the value of recovery costs for this method at $454,000.

The consultant provided cost estimates based on well readings and current costs for monitoring, operations and maintenance, and site closure over a 30 year period. At December 31, 2023, the pollution remediation liability was $180,403 which is recorded in the Utility fund. Changes in cost elements are possible as a result of the effectiveness of remediation efforts and new information.

U. Implementation of New Accounting Standard

The City adopted Governmental Accounting Standards Board Statement No. 96, *Subscription-Based Information Technology Arrangements,* (GASB 96), which requires recognition of certain right-to-use subscription assets and liabilities previously recognized as outflows of resources based on payment provision of the contract. GASB 96 establishes subscription-based information technology arrangement accounting standards based on the principle that right-to-use subscriptions are financings of right-to-use assets. Under this standard, a government is required to recognize a subscription liability and an intangible right-to-use subscription asset. GASB 96 is intended to enhance the relevance and consistency in reporting about a government's subscription-based information technology arrangements. Information about the City's right-to-use subscription arrangements can be found on page 40, of this report.

GASB 96 was adopted on January 1, 2023, resulting in the recognition of subscription assets and liabilities in the Government-wide Governmental Activities ($5,613,537), Utility Fund ($271,846), Parking Management Fund ($30,377) and Fleet Fund ($340,512) Statement of Net Position as of January 1, 2023. The right to use subscription liabilities were reported at their present value using the interest rate charged by the vendor as the discount rate or the market rate of interest at the subscription's inception when the interest rate charged by the vendor was not provided. The adoption of GASB 96 had no effect on beginning net position or fund balance as of January 1, 2023.

V. Expenses in Excess of Appropriations

For the year ended December 31, 2023, the Downtown General Improvement District exceeded budget by $532. The negative variance is primarily due to greater than expected administrative fees by the county due to increased revenues.

W. Custodial Fund Arrangement

In 2023, the Community Reach Center (CRC), a nonprofit behavioral and mental health services organization, entered into a non-binding Memorandum of Understanding with the City to construct and own space on the campus of the City's new Municipal Court. The CRC deposited $4.5 million with the City that is being held in trust for their benefit as a commitment to the project. The City established a custodial fiduciary fund for reporting the CRC's assets. The CRC's new location will provide the Westminster community and Municipal Court patrons convenient access to CRC services.

X. Capital Asset Impairment

The City of Westminster evaluates capital assets for impairment whenever events or circumstances indicate a significant, unexpected decline in the service utility of a capital asset has occurred. If a capital asset is tested for impairment and the magnitude of the decline in service utility is significant and unexpected, accumulated depreciation is increased by the amount of the impairment loss.

For the year ended December 31, 2023, an impairment loss of $3,941,769 was recognized for the complete loss in service capacity of the Sheridan Green Elementary School building. In 2022, the Jefferson County Public School District Board voted to close 16 elementary schools at the end of the 2022-2023 school year, with Westminster's Sheridan Green Elementary School being one of them. In 1979, the City deeded land to the District for the school. A reverter clause in the deed stated that the property would return to the City if the District ceased to operate it as a school. In September 2023, the property was received by the City and on November 27, 2023, the Westminster City Council approved demolition of the school building and expansion of the adjacent Stratford Park with the reacquired land.

The loss is included in the Statement of Activities, Governmental Activities.

[THIS PAGE INTENTIONALLY LEFT BLANK]

APPENDIX C

CONTINUING DISCLOSURE CERTIFICATE

This Continuing Disclosure Certificate (the "Disclosure Certificate") is executed and delivered by the City of Westminster, Colorado (the "Issuer") in connection with the issuance by the City of Westminster, Colorado Water and Wastewater Utility Enterprise, of its Water and Wastewater Utility Water and Wastewater Revenue Bonds, Series 2024 in the aggregate principal amount of $186,900,000 dated as of September 25, 2024 (the "Bonds"). The Bonds are being issued pursuant to an Ordinance adopted by the City Council of the Issuer (the "City") acting as the governing body of the Enterprise, on July 22, 2024 (the "Ordinance") The Issuer covenants and agrees as follows:

SECTION 1. Purpose of this Disclosure Certificate. This Disclosure Certificate is being executed and delivered by the Issuer for the benefit of the holders and beneficial owners of the Bonds and in order to assist the Participating Underwriter in complying with Rule 15c2-12(b)(5) of the Securities and Exchange Commission (the "SEC").

SECTION 2. Definitions. In addition to the definitions set forth in the Ordinance or parenthetically defined herein, which apply to any capitalized terms used in this Disclosure Certificate unless otherwise defined in this Section, the following capitalized terms shall have the following meanings:

"Annual Report" shall mean any Annual Report provided by the Issuer pursuant to, and as described in, Sections 3 and 4 of this Disclosure Certificate.

"Dissemination Agent" shall mean any Dissemination Agent designated in writing by the Issuer and which has filed with the Issuer a written acceptance of such designation.

"Fiscal Year" shall mean the period beginning on January 1 and ending on December 31, or such other 12-month period as may be adopted by the Issuer in accordance with law.

"Listed Events" shall mean any of the events listed in Section 5 of this Disclosure Certificate.

"MSRB" shall mean the Municipal Securities Rulemaking Board. As of the date hereof, the MSRB's required method of filing is electronically via its Electronic Municipal Market Access (EMMA) system, which is currently available at http://emma.msrb.org.

"Official Statement" means the final Official Statement prepared in connection with the Bonds.

"Participating Underwriter" shall mean the original underwriter of the Bonds required to comply with the Rule in connection with an offering of the Bonds.

"Rule" shall mean Rule 15c2-12(b)(5) adopted by the SEC under the Securities Exchange Act of 1934, as in effect on the date of this Disclosure Certificate.

SECTION 3. Provision of Annual Reports.

(a) The Issuer shall, or shall cause the Dissemination Agent to, not later than nine (9) months following the end of the Issuer's fiscal year of each year, commencing nine (9) months following the end of the Issuer's fiscal year ending December 31, 2024, provide to the MSRB (in an electronic format as prescribed by the MSRB), an Annual Report which is consistent with the requirements of Section 4 of this

Disclosure Certificate. Not later than five (5) business days prior to said date, the Issuer shall provide the Annual Report to the Dissemination Agent (if the Issuer has selected one). The Annual Report may be submitted as a single document or as separate documents comprising a package, and may cross-reference other information as provided in Section 4 of this Disclosure Certificate; provided that the audited financial statements of the Issuer may be submitted separately from the balance of the Annual Report.

(b) If the Issuer is unable to provide to the MSRB an Annual Report by the date required in subsection (a), the Issuer shall, in a timely manner, file or cause to be filed with the MSRB a notice in substantially the form attached to this Disclosure Certificate as Exhibit "A."

SECTION 4. Content of Annual Reports. The Issuer's Annual Report shall contain or incorporate by reference the following:

(a) A copy of its annual financial statements, if any, prepared in accordance with generally accepted accounting principles audited by a firm of certified public accountants. If audited annual financial statements are not available by the time specified in Section 3(a) above, audited financial statements will be provided when and if available.

(b) An update of the type of information identified in Exhibit "B" hereto, which is contained in the tables in the Official Statement with respect to the Bonds.

Any or all of the items listed above may be incorporated by reference from other documents (including official statements), which are available to the public on the MSRB's Internet Web Site or filed with the SEC. The Issuer shall clearly identify each such document incorporated by reference.

SECTION 5. Reporting of Listed Events. The Issuer shall file or cause to be filed with the MSRB, in a timely manner not in excess of ten (10) business days after the occurrence of the event, notice of any of the events listed below with respect to the Bonds. All of the events currently mandated by the Rule are listed below; however, some may not apply to the Bonds.

(1) Principal and interest payment delinquencies;

(2) Non-payment related defaults, *if material*;

(3) Unscheduled draws on debt service reserves reflecting financial difficulties;

(4) Unscheduled draws on credit enhancements reflecting financial difficulties;

(5) Substitution of credit or liquidity providers or their failure to perform;

(6) Adverse tax opinions, the issuance by the Internal Revenue Service of proposed or final determinations of taxability, Notices of Proposed Issue (IRS Form 5701-TEB) or other material notices or determinations with respect to the tax status of the Bonds, or other material events affecting the tax status of the Bonds;

(7) Modifications to rights of bondholders, *if material*;

(8) Bond calls, *if material*, and tender offers;

(9) Defeasances;

(10) Release, substitution or sale of property securing repayment of the Bonds, *if material;*

(11) Rating changes;

(12) Bankruptcy, insolvency, receivership or similar event of the obligated person;[1]

(13) The consummation of a merger, consolidation, or acquisition involving an obligated person or the sale of all or substantially all of the assets of the obligated person, other than in the ordinary course of business, the entry into a definitive agreement to undertake such an action or the termination of a definitive agreement relating to any such actions, other than pursuant to its terms, *if material*;

(14) Appointment of a successor or additional trustee or the change of name of a trustee, *if material*;

(15) Incurrence of a financial obligation[2] of the obligated person, *if material*, or agreement to covenants, events of default, remedies, priority rights, or other similar terms of a financial obligation of the Issuer, any of which affect security holders, *if material*; and

(16) Default, event of acceleration, termination event, modification of terms, or other similar events under the terms of a financial obligation[2] of the obligated person, any of which reflect financial difficulties.

SECTION 6. Format; Identifying Information. All documents provided to the MSRB pursuant to this Disclosure Certificate shall be in the format prescribed by the MSRB and accompanied by identifying information as prescribed by the MSRB.

As of the date of this Disclosure Certificate, all documents submitted to the MSRB must be in portable document format (PDF) files configured to permit documents to be saved, viewed, printed and retransmitted by electronic means. In addition, such PDF files must be word-searchable, provided that diagrams, images and other non-textual elements are not required to be word-searchable.

SECTION 7. Termination of Reporting Obligation. The Issuer's obligations under this Disclosure Certificate shall terminate upon the earliest of: (i) the date of legal defeasance, prior redemption or payment in full of all of the Bonds; (ii) the date that the Issuer shall no longer constitute an "obligated person" within the meaning of the Rule; or (iii) the date on which those portions of the Rule which require this written undertaking are held to be invalid by a court of competent jurisdiction in a non-appealable action, have been repealed retroactively or otherwise do not apply to the Bonds.

---

[1] For the purposes of the event identified in subparagraph (b)(5)(i)(C)(12) of the Rule, the event is considered to occur when any of the following occur: the appointment of a receiver, fiscal agent or similar officer for an obligated person in a proceeding under the U.S. Bankruptcy Code or in any other proceeding under state or federal law in which a court or governmental authority has assumed jurisdiction over substantially all of the assets or business of the obligated person, or if such jurisdiction has been assumed by leaving the existing governing body and official or officers in possession but subject to the supervision and orders of a court or governmental authority, or the entry of an order confirming a plan of reorganization, arrangement or liquidation by a court or governmental authority having supervision or jurisdiction over substantially all of the assets or business of the obligated person.

[2] For purposes of the events identified in subparagraphs (b)(5)(i)(C)(15) and (16) of the Rule, the term "financial obligation" is defined to mean a (A) debt obligation; (B) derivative instrument entered into in connection with, or pledged as security or a source of payment for, an existing or planned debt obligation; or (C) a guarantee of (A) or (B). The term "financial obligation" shall not include municipal securities as to which a final official statement has been otherwise provided to the MSRB consistent with the Rule. In complying with Listed Events (15) and (16), the City intends to apply the guidance provided by the Rule or other applicable federal securities law, SEC Release No. 34-83885 (August 20, 2018) and any future guidance provided by the SEC or its staff.

SECTION 8. Dissemination Agent.

(a) The Issuer may, from time to time, appoint or engage a Dissemination Agent to assist the Issuer in carrying out its obligations under this Disclosure Certificate, and may discharge any such Dissemination Agent, with or without appointing a successor Dissemination Agent. If the Issuer elects not to appoint a successor Dissemination Agent, it shall perform the duties thereof under this Disclosure Certificate. The Dissemination Agent shall have only such duties as are specifically set forth in this Disclosure Certificate and any other agreement between the Issuer and the Dissemination Agent.

(b) In addition to the filing duties on behalf of the Issuer described in this Disclosure Certificate, the Dissemination Agent shall:

(1) each year, prior to the date for providing the Annual Report, determine the appropriate electronic format prescribed by the MSRB;

(2) send written notice to the Issuer at least 45 days prior to the date the Annual Report is due stating that the Annual Report is due as provided in Section 3(a) hereof; and

(3) certify in writing to the Issuer that the Annual Report has been provided pursuant to this Disclosure Certificate and the date it was provided.

(4) If the Annual Report (or any portion thereof) is not provided to the MSRB by the date required in Section (3)(a), the Dissemination Agent shall file with the MSRB a notice in substantially the form attached to this Disclosure Certificate as Exhibit A.

SECTION 9. Amendment; Waiver. Notwithstanding any other provision of this Disclosure Certificate, the Issuer may amend this Disclosure Certificate and may waive any provision of this Disclosure Certificate, without the consent of the holders and beneficial owners of the Bonds, if such amendment or waiver does not, in and of itself, cause the undertakings herein (or action of any Participating Underwriter in reliance on the undertakings herein) to violate the Rule, but taking into account any subsequent change in or official interpretation of the Rule. The Issuer will provide notice of such amendment or waiver to the MSRB.

SECTION 10. Additional Information. Nothing in this Disclosure Certificate shall be deemed to prevent the Issuer from disseminating any other information, using the means of dissemination set forth in this Disclosure Certificate or any other means of communication, or including any other information in any Annual Report or notice of occurrence of a Listed Event, in addition to that which is required by this Disclosure Certificate. If the Issuer chooses to include any information in any Annual Report or notice of occurrence of a Listed Event in addition to that which is specifically required by this Disclosure Certificate, the Issuer shall have no obligation under this Disclosure Certificate to update such information or include it in any future Annual Report or notice of occurrence of a Listed Event.

SECTION 11. Default. In the event of a failure of the Issuer to comply with any provision of this Disclosure Certificate, any holder or beneficial owner of the Bonds may take such actions as may be necessary and appropriate, including seeking mandate or specific performance by court order, to cause the Issuer to comply with its obligations under this Disclosure Certificate. A default under this Disclosure Certificate shall not be deemed an event of default under the Ordinance, and the sole remedy under this Disclosure Certificate in the event of any failure of the Issuer to comply with this Disclosure Certificate shall be an action to compel performance.

SECTION 12. Beneficiaries. This Disclosure Certificate shall inure solely to the benefit of the Issuer, the Dissemination Agent, the Participating Underwriter and the holders and beneficial owners from time to time of the Bonds, and shall create no rights in any other person or entity.

DATE: September 25, 2024.

CITY OF WESTMINSTER, COLORADO
WATER AND WASTEWATER UTILITY ENTERPRISE

By:_____
President

EXHIBIT "A"

NOTICE OF FAILURE TO FILE ANNUAL REPORT

Name: City of Westminster, Colorado, Water and Wastewater Utility Enterprise (the "Enterprise").

Name of Issue: Water and Wastewater Revenue Bonds, Series 2024, in the aggregate principal amount of $186,900,000 (the "2024 Bonds").

CUSIP: 960686.

Date of Issuance: September 25, 2024.

NOTICE IS HEREBY GIVEN that the Enterprise has not provided an Annual Report with respect to the 2019 Bonds as required by Section 8AA of the Bond Ordinance dated as of July 22, 2024, and the Continuing Disclosure Certificate executed on September 25, 2024 by the Enterprise. The Enterprise anticipates that the Annual Report will be filed by _____ ___, 20___.

Dated: _____ ___, 20___

CITY OF WESTMINSTER, COLORADO
WATER AND WASTEWATER UTILITY ENTERPRISE

By:_____
Title:_____

EXHIBIT "B"

OFFICIAL STATEMENT TABLES TO BE UPDATED

(All Tables set forth on page iii of the Official Statement)

[THIS PAGE INTENTIONALLY LEFT BLANK]

APPENDIX D

THE CITY

The City is located in western Adams and northeastern Jefferson Counties, two miles from the northwestern boundary of the City and County of Denver. The City encompasses approximately 34 square miles and, according to the Source: U.S. Census Bureau, Population Division, the City's current estimated population is 114,875. Incorporated as a municipal corporation in 1911, the City became a home rule municipality in 1958 upon adoption of its Charter.

In 2023, the City of Westminster embarked on a restructuring plan to ensure staff with similar missions, responsibilities, and skills can work together more closely. This has allowed for a more collaborative environment and that allows staff to work together more effectively and efficiently. Effective July 31, 2023, the City of Westminster implemented the new department structure of Department - Division - Section or Office. Additionally, the restructure streamlined the City's organization by retiring the General Services Department and consolidating divisions in a few departments. This new structure introduced larger divisions with fewer silos between teams and greater opportunities for collaboration.

The General Services Department was retired, and its associated divisions and offices were reorganized. Facilities Management, Fleet Management and Streets Operations were brought under Public Works and Utilities Department. Municipal Court Division, City Hall Operations Office, Policy & Budget Office, and City Clerk's Office moved under the City Manager's Office. The Procurement Office transitioned to the Finance Department.

Most recently, effective March 7, 2024, the Community Development and Economic Development Departments were combined into a single department now known as Community Services.

City Powers

Pursuant to the Charter, the City has the power of local self-government and home rule, as well as all municipal powers established by the constitution and laws of the State of Colorado. Among those powers, rights and liabilities specifically granted by the Charter are the following: perpetual succession; to own, possess and hold real and personal property; to succeed to all rights and liabilities, to acquire all benefits and to assume payment of all bonds, obligations and indebtedness of the City; to sue and defend, plead and be impleaded in all courts and places and in all matters and proceedings; to purchase, receive, hold and enjoy, or sell and dispose of real and personal property; to acquire, hold and manage property outside City limits by gift, lease or purchase for park or recreation purposes and to adopt rules, regulations and schedules of charges for the use of such property; and to have and use a common seal. Pursuant to Chapter XIV of the Charter, the City has the power to fix from time to time such just and reasonable rates and other charges as may be deemed advisable for supplying the inhabitants of the City and others with such public utility services as the City may provide. In addition, the powers granted to municipalities by the constitution and laws of the State of Colorado include the powers relating to the assessment of property and the levy and collection of general taxes.

Governing Body

The City operates under a council manager form of government whereby, except as otherwise provided by the Charter or statute, the City Council exercises all powers conferred upon or possessed by the City and has the power and authority to adopt such laws, ordinances and resolutions as it deems proper in the exercise thereof, and the City Manager serves as the chief administrative officer of the City government. The City Council consists of seven members, six Councilors and the mayor, all of whom are

elected from the City at large. The mayor is the presiding officer of the City Council and has an equal voice and vote in all proceedings of the City Council, but has no veto power. The mayor *pro tem* is appointed from the City Council membership to serve in the event of absence or disability of the mayor. One Councilor or the Mayor serves in the additional capacity of representative to the Denver Regional Council of Governments.

The City Council effects its decisions through the passage of ordinances, resolutions, motions and orders. Actions by resolution, motion or order are limited to matters required or permitted to be so done by the Charter or by state or federal law, or pertaining to the internal affairs or concern of the City government. All other acts of the City Council, and all acts carrying a penalty for violation, must be by ordinance.

Name/Office	Principal Occupation	Years of Service	Term Expires
Nancy McNally, Mayor	Small Business Owner	2 [1]	2025
Sarah Nurmela, Mayor Pro Tem	Urban Planner	4	2025
David DeMott	IT Professional	5	2025
Obi Ezeadi	City Councilor	2	2025
Claire Carmelia	IT Project Manager	1	2027
Amber Hott	Legislative Aide	1	2027
Kristine Ireland	Small Business Owner	1	2027

[1] Mayor McNally previously served on the City Council from November 2001 through November 2013, in addition to her current term in office.

Administration

The City Council is responsible for providing policy direction for the City and the adoption of ordinances and resolutions regulating City affairs. However, the day-to-day operations of the City are conducted by City staff members. Below is certain information on administrative and management personnel most directly involved in the management of the City, their duties within the City government and their background experience.

City Manager. The City Manager is the chief administrative officer of the City and is responsible to the City Council for all City affairs placed in his charge by the Charter or by law, including responsibility for the efficient operation of all administrative departments of the City government, with the exception of those under the direction of the City Attorney and the municipal court. The City Manager is further required to perform such other duties as requested by the City Council.

On July 22, 2024, the City Council appointed Jody Andrews as Acting City Manager, following the resignation of the previous City Manager. The City's charter requires a City Council appointment within 90 days; therefore, it is anticipated that Mr. Andrews will serve as Acting City Manager for 90 days while an interim contract is considered, at which point he would be converted to Interim City Manager until a permanent replacement is hired. Colorado's Equal Pay for Equal Work Act requires a competitive hiring process for any acting appointment that exceeds nine months. A process for selection of a permanent successor is currently active and underway by the City Council; however, the timing of the final selection or announcement of the individual to permanently fill the position of City Manager has not been determined.

Mr. Andrews previously served as the City's Interim City Manager from October 2021 until October 2022, at which point he resumed his Deputy City Manager role. Mr. Andrews was originally appointed Deputy City Manager in March 2015 after serving for 16 months as Director of Public Works and Utilities, and currently oversees the Community Development Department, Public Works and Utilities

Department and Economic Development Department. Mr. Andrews is chair of the City's Development Review Committee and Deputy Executive Director of the Westminster Economic Development Authority and oversees the development of Westminster's new Downtown. Mr. Andrews has more than 33 years of municipal leadership and public service experience spanning five cities and four countries, including two years as Deputy City Manager for Vancouver, Canada.

During his time in Vancouver, Mr. Andrews led the team that designed and built the 2010 Olympic Village, declared the most sustainable and energy efficient development in the world in 2010. Before joining Westminster, Mr. Andrews led the design and construction of the new Capital City of the United Arab Emirates, the future home to more than 370,000 residents and the leading sustainable Arab capital. He also led Abu Dhabi's National Housing Program, building 14,000 homes for 70,000 Emirati citizens in three years.

As Deputy City Manager for Vancouver, Mr. Andrews collaborated with Vancouver's team of senior managers in the management of a city of 600,000 residents, an annual operating budget of $900 million, a staff of 9,500, and over 50 lines of business including planning, engineering, public works, infrastructure, utilities, housing, finance, IT, libraries, human resources, fire, police, subdivision, rezoning, permitting and other services. Mr. Andrews chaired the City's Capital Plan Committee, developing and delivering the City's $520 million Capital Plan. He also served as Assistant City Engineer for Vancouver and Assistant Director of Engineering for New Westminster, Canada.

Mr. Andrews received his bachelor's degree in applied science (civil engineering) in 1988 from the University of British Columbia, Canada.

Deputy City Managers. The Deputy City Managers are the second highest administrative officers of the City generally responsible for daily City operations. In the absence of the City Manager, they perform all duties of the City Manager. Specific responsibilities include production of the City's annual budget, developing and monitoring the capital improvement program, tracking and projecting City revenues, and managing special projects.

Barbara Opie is a Deputy City Manager with the City, serving in this role since 2016. She works directly with the City's Fire and Parks, Recreation & Libraries Departments. Ms. Opie has 28 years of municipal government experience. She has served the City in several roles since 1997, including Assistant to the City Manager, Budget & Special Projects Manager, and Assistant City Manager. She started her municipal career at the City of Peoria, Illinois. Her professional affiliations include the International City/Council Management Association, Colorado City and Council Management Association, and Metro City and County Management Association. She has been serving on the Westminster Firefighter's Fire Victim Benefit Fund Board (aka Burn Fund) since 2013. Ms. Opie earned a Bachelor of Arts degree from Clemson University and a Master of Public Administration degree from the University of Alabama.

Larry Dorr, CPA, acts as Deputy City Manager, Chief Financial Officer, and Finance Director. Mr. Dorr was appointed to his current role in January 2020. His duties cover the departments of Finance, Human Resources, and Information Technology. Mr. Dorr has over 21 years of municipal government finance experience, which includes his service to the City of Lakewood, Colorado as its Finance Director prior to his appointment at the City. His professional affiliations include the International City/County Management Association, and the Government Finance Officers Association. Mr. Dorr has been a licensed Colorado Certified Public Accountant since 2006. He earned a Bachelor of Arts degree in Economics from the University of California, Irvine and a Master of Business Administration degree from the University of Colorado, Boulder. In 2023, Mr. Dorr received the Credentialed Manager designation from the International City/County Management Association.

Assistant City Manager/Chief of Staff. The Assistant City Manager reports to the City Manager, the responsibilities of the Assistant City Manager include, but are not limited to synchronizing, integrating, and directing cross-departmental initiatives, efforts, and activities within the organization while providing daily supervision of the Municipal Court Division, the City Clerk's Office, the City Hall Operations Office, and the Policy & Budget Office.

Chris Lindsey was hired in 2016 as the Policy and Budget Manager and in 2019, the division was reorganized into its own department titled the Policy and Budget Department. The Policy and Budget Department is charged with improving the City's financial sustainability through revenue diversification, streamlined operations, better capital planning of all assets, and combining Finance and Budget resources to work more closely together to better align short- and long-term planning and financial management. Prior to the City, Mr. Lindsay worked for Jefferson County's Budget and Management Analysis Division where he served as the Budget Manger, developing the County's $451 million budget with over 3,000 FTE. He also has previous experience with Gwinnett County, GA, and Unified Government of Wyandotte County/Kansas City. His undergraduate degree is from the University of Georgia, where he was a co-founder of UGAKey.com, which was acquired by Koofers, providing University of Georgia students free access to grade data and other support functions for college students. He earned a Master in Public Administration degree from the University of Kansas.

Treasury Manager. The Treasury Manager reports to the Finance Director and the responsibilities of the Treasury Manager include, but are not limited to, revenue collection, all aspects of debt management, cash and portfolio management, and financial analysis.

Robert Byerhof was appointed as the City's Treasury Manager in 2013. Prior to his appointment as the Treasury Manager, Mr. Byerhof has worked for the City since 2000 as the Financial Analyst and Senior Financial Analyst. He holds a Bachelor of Arts from Trinity University and a Master's degree in Finance from the University of Colorado at Denver. He obtained his Chartered Financial Analyst designation in 2005 and is an active member of the CGFOA.

City Attorney. The Office of the City Attorney acts as the legal advisor to the City Council and is responsible solely to the City Council pursuant to the Charter. The City Attorney is appointed by the City Council for an indefinite period and serves at the pleasure of the City Council.

David Frankel has served as City Attorney since 2015. Mr. Frankel was previously with the Mesa County, Colorado Attorney's Office from 2000 through 2014. Mr. Frankel received his Bachelor of Arts degree from the University of Michigan and his Juris Doctor from the University of Denver, Sturm College of Law. He is admitted to practice law in Colorado and is a member of the Colorado Bar Association and the International Municipal Lawyers Association. Mr. Frankel is also admitted to practice in the US District Court for Colorado and in the US Court of Appeals for the 10th Circuit.

Services Provided by the City

The City is a full service city, providing a broad range of municipal services to the community, including: police and fire protection; emergency medical and ambulance; water and sewer utilities; parks, recreation and libraries; street maintenance and construction; cultural and general administrative services; and planning and community development.

Required Elections

Article X, Section 20 of the Colorado Constitution requires that, with certain exceptions, the City must have voter approval in advance for the creation of any multiple-fiscal year direct or indirect City debt

or other financial obligation whatsoever without adequate present cash reserves pledged irrevocably and held for payments in all future fiscal years. Enterprises, as defined in Article X, Section 20, refundings at a lower interest rate, and obligations subject to annual appropriation are excluded from the application of said Section and the voter approval requirements established therein. For a discussion of Article X, Section 20 see "—Constitutional Amendment Limiting Taxes and Spending" below.

Constitutional Amendment Limiting Taxes and Spending

General. In 1992, Colorado voters approved the Taxpayer's Bill of Rights ("TABOR") that constitutes Article X, Section 20 of the Colorado Constitution. TABOR imposes various limits and new requirements on the State of Colorado and all Colorado local governments which do not qualify as "enterprises" under TABOR (each of which is referred to in this section as a "governmental unit"). Any of the following actions, for example, now require voter approval in advance: (a) any increase in a governmental unit's spending from one year to the next in excess of the rate of inflation plus a "growth factor" based on the net percentage change in actual value of all real property in a governmental unit from construction of taxable real property improvements, minus destruction of similar improvements, and additions to, minus deletions from, taxable real property for government units other than school districts, and the percentage change in student enrollment for a school district; (b) any increase in the real property tax revenues of a local governmental unit (not including the state) from one year to the next in excess of inflation plus the appropriate "growth factor" referred to in (a), above; (c) any new tax, tax rate increase, mill levy above that for the prior year, valuation for assessment ratio increase for a property class, extension of an expiring tax or a tax policy change directly causing a net tax revenue gain; and (d) except for refinancing bonded indebtedness at a lower interest rate or adding new employees to existing pension plans, creation of any multiple fiscal year direct or indirect debt or other financial obligation whatsoever without adequate present cash reserves pledged irrevocably and held for payments in all future fiscal years. Elections on such matters may only be held on the same day as a State general election, at the governmental unit's regular biennial election or on the first Tuesday in November of odd numbered years, and must be conducted in accordance with procedures described in TABOR.

Revenue collected, kept or spent in violation of the provisions of TABOR must be refunded, with interest. TABOR requires a governmental unit to create an emergency reserve of 3% of its fiscal year spending (excluding bonded debt service) in 1995 and subsequent years. TABOR provides that "[w]hen a governmental unit's annual . . . revenue is less than annual payments on general obligation bonds, pensions, and final court judgments, [the voter approval requirement for mill levy and other tax increases referred to in clause (c) of the preceding paragraph and the voter approval requirement for spending and real property tax revenue increases referred to in clauses (a) and (b) of the preceding paragraph] shall be suspended to provide for the deficiency." The preferred interpretation of TABOR shall, by its terms, be the one that reasonably restrains most the growth of government.

Enterprises. Enterprises are excluded from the provisions of the Amendment. As defined by TABOR, an enterprise refers to a government-owned business authorized to issue its own revenue bonds and receiving under 10% of annual revenue in grants from all Colorado state and local governments combined.

De-Brucing. At the election held on November 5, 2002, the City received voter approval to exempt all City revenues not previously exempted pursuant to voter approval, which moneys would otherwise be subject to TABOR's fiscal year spending limitation (which revenues are comprised primarily of non-tax revenues such as user-charged fees and state and local grant moneys).

Budget Process

The City's budget is a fiscal blueprint for service delivery. As set forth in the City Charter, the City Council must adopt a recommended annual budget covering the next fiscal year.

On or before September 15th of each year the City Manager must prepare and submit a recommended budget to the City Council. The recommended budget must provide detailed estimates of proposed expenditures for each City department, office and agency, and for the court for the ensuing fiscal year. In addition, the budget must set forth the corresponding actual expenditures for the last full fiscal year, the current fiscal year through July 31st and estimates of expenditures for the balance of the current fiscal year. The budget also must set forth all actual and anticipated revenues from sources other than taxes for the equivalent periods, and the estimated balance or deficit for the end of the current fiscal year. If required by the City Council, by resolution or ordinance, the City Manager shall submit to the City Council, simultaneously with his recommended budget, a schedule showing all recommended capital outlay expenditures during the following five fiscal years. Debt service requirements for the budget year must be stated separately. The Charter further requires the budget to set forth the amount to be raised from current and delinquent taxes and the amount to be raised from bond issues during the upcoming fiscal year which, together with any unappropriated revenue surplus and any revenues from other sources, will be necessary to meet the proposed expenditures. The budget must also contain such additional information as the City Council may request.

A public hearing on the proposed budget must be held before its final adoption. Notice of the hearing must be published at least one week prior to its scheduled date, stating that the proposed budget is available for public inspection. The budget is to be adopted no later than the fourth Monday of October. On or before the last day of the current fiscal year, the City Council shall appropriate by ordinance, based upon the budget as adopted, the moneys needed for municipal purposes during the next fiscal year. The City Council can adopt a budget for two fiscal years instead of one fiscal year, according to such procedures as City Council shall prescribe by ordinance. The City Council adopted the City's 2024 annual budget in a timely manner pursuant to the above-described procedure.

Subject to the restriction discussed below, the adopted budget must provide for a levy on real and personal property which will result in the collection of revenues in the amount necessary to be raised from ad valorem property taxes for municipal purposes. Following adoption of the budget, the City Council certifies to the county assessors the amount to be levied on taxable property within the City for collection by the county treasurers.

At the end of each month during the fiscal year, the City Manager submits to the City Council data comparing the estimated and actual revenues and appropriated expenditures to date. If accrued revenues are less than anticipated, the City Council may reduce appropriations, except amounts required for debt and interest charges, as is necessary to keep expenditures within revenues.

With the exception of expenditures to be financed by the issuance of bonds or by special assessment, no expenditure may be made from City funds unless a specific appropriation has been made for such purpose. The City Council must approve all purchases and contracts in excess of $250,000, with the City Manager or Designee having the authority to approve purchases and contracts in lesser amounts if funds have previously been budgeted to cover such expenses. In the case of an emergency or other unforeseeable event, money designated for contingencies may be transferred without additional appropriation by ordinance but does require the adoption of a resolution; the City Manager may order the transfer of funds within a fund; or the City Council may transfer any unencumbered appropriation balance, or any portion thereof, and from one fund or agency (by ordinance) to another, at any time during the year. If the City receives revenues which were unanticipated at the time of adoption of the budget, the City

Council may authorize, by ordinance, the expenditure thereof by adopting supplemental appropriations. The balance of any budget appropriation which has not been spent at the end of the year reverts to the fund from which the appropriation was made.

[Remainder of Page Intentionally Left Blank]

[THIS PAGE INTENTIONALLY LEFT BLANK]

APPENDIX E

CITY FINANCIAL INFORMATION AND DEBT STRUCTURE

Accounting Policies and Financial Statements

The accounts of the City are organized on the basis of funds which are segregated for the purpose of accounting for the operation of specific activities or attaining certain objectives. Each fund is considered a separate accounting entity. The operations of each fund include its assets, liabilities, fund equity, revenues and expenditures or expenses, as appropriate. For a description of the various funds and account groups, see the City's financial statements appended hereto.

The City Charter requires that an independent audit shall be made of all City accounts at least annually, and more frequently if deemed necessary by the City Council. The audited financial statements must be filed with the state auditor by July 31st of each year. Failure to comply with this requirement to file an audit report may result in the withholding of the City's property tax revenues by the county treasurers pending compliance.

The basic financial statements from the City's 2023 Comprehensive Annual Financial Report are appended hereto. Such financial statements are the most current audited financial information available for the City.

Major Sources of General Fund Revenues

The governmental fund utilized for the administration and operation of the City is the General Fund. The following are the major sources of revenue to such fund.

Sales and Use Taxes. Sales and Use Tax revenues have represented the largest single source of revenue in the City's General Fund over the past five years, comprising $119,139,549 (64%) of total 2022 General Fund revenues and $124,373,076 (67%) of total 2023 General Fund Revenues. See the "Historical General Fund Revenues, Expenditures and Changes in Fund Balances" and "Sales and Use Tax Revenue" tables hereafter.

At the election to be held on November 5, 2024, City voters will consider the following ballot question that, if approved, would increase the City's existing Sales and Use Tax by 0.5% (with one half of such additional tax authorization set to expire on January 1, 2045):

SHALL CITY OF WESTMINSTER TAXES BE INCREASED BY $19 MILLION ANNUALLY IN THE FIRST FULL FISCAL YEAR AND BY SUCH AMOUNTS AS ARE RAISED ANNUALLY THEREAFTER BY INCREASING THE EXISTING CITY SALES AND USE TAX BY 0.5%, WITH ONE-HALF OF SUCH ADDITIONAL TAX AUTHORIZATION TO EXPIRE ON JANUARY 1, 2045, AND THE RESULTING TAX REVENUES BEING USED TO:

- RECRUIT AND RETAIN FIREFIGHTER PERSONNEL AND PERSONNEL TOPROVIDE DIRECT SUPPORT TO FIREFIGHTERS,
- CONSTRUCT STRATEGICALLY PLACED FIRE STATIONS AND FACILITIESAND UPDATE EXISTING FIRE STATIONS TO MEET SAFETY AND BUILDINGSTANDARDS,

- PROVIDE UP-TO-DATE FIREFIGHTER SAFETY GEAR AND EMERGENCYEQUIPMENT TO BETTER PROTECT THE PUBLIC AND FIRST RESPONDERS

AND WITH THE RESULTING TAX REVENUE BEING ALLOWED TO BE COLLECTED AND SPENT NOTWITHSTANDING ANY LIMITATIONS PROVIDED BY LAW?

Other Revenue Sources. The City also receives General Fund revenues from several additional sources including ad valorem property taxes, admissions taxes, franchise fees, licenses and permits, recreation fees, park development fees, fines and forfeitures, interest income and fleet maintenance billings. Several intergovernmental revenue sources are also included in the General Fund; among these are State highway users' taxes, specific ownership taxes, motor vehicle registration fees, cigarette taxes, road and bridge revenues, library rebates, victim's assistance funding and revenues received from Hyland Hills Park and Recreation District pursuant to an agreement with said district.

Historical General Fund Operations

Set forth in the following table is a comparative statement of revenues and expenditures of the City's General Fund, including the December 31 fund balance for each year. The following information should be read together with the general purpose financial statements and accompanying notes of the City appended hereto. Preceding years' audited financial statements of the City may be obtained from the sources designated in "MISCELLANEOUS—Additional Information."

[Remainder of Page Intentionally Left Blank]

Historical General Fund Revenues, Expenditures and Changes in Fund Balances

	2019	2020	2021	2022	2023
Revenues					
Property Taxes	$ 5,652,398	$ 6,638,075	$ 6,781,740	$ 7,270,431	$ 7,117,799
Sales Taxes	84,431,611	81,546,451	92,833,130	99,891,745	103,091,676
Use Taxes	19,929,549	18,904,516	19,025,435	19,247,804	21,281,400
Business Fees and Other Taxes	5,575,081	4,924,113	5,194,102	6,180,406	6,096,463
Accommodations Tax	1,081,323	403,202	3,869,743	4,944,010	5,248,995
Intergovernmental	10,988,132	21,729,639	15,172,864	31,602,364 [2]	17,076,698
Licenses and Permits	4,192,596	3,540,558	2,857,334	2,485,670	2,743,716
Investment Earnings	1,687,707	1,193,488	(189,706)	(1,453,924)	--
Interest	--	--	--	--	2,654,491
Lease Interest	--	--	--	17,529	26,271
Recreation Fees	7,726,601	2,587,271	5,935,711	6,922,587	7,209,900
Fines and Forfeits	1,522,819	866,287	597,883	688,516	898,496
Fleet Maintenance Billings and Other	4,910,359	3,976,378	4,293,687	5,994,799	8,774,077
EMS Billings	2,050,593	2,100,166	3,395,779	2,767,059	3,777,487
Leases	--	--	--	48,439	147,400
Total Revenues	149,748,769	148,410,144	159,767,702	186,607,435	186,144,869
Expenditures					
General Government	57,661,831	63,058,081	57,396,855	50,335,639	59,953,008
Public Safety	42,677,842	45,698,360	46,523,019	63,601,304 [3]	71,063,897
Public Works	9,941,029	6,849,480	7,126,119	10,502,588	11,513,194
Community Development	5,734,168	6,605,216	6,507,314	8,823,693	9,541,687
Economic Development	1,753,200	1,655,500	1,573,231	2,290,208	2,425,992
Culture and Recreation	17,899,750	16,013,025	18,610,889	23,202,236	28,534,459
Total Expenditures	135,667,820	139,879,662	137,737,427	158,755,668	183,032,237
Excess of Revenues Over (Under) Expenditures	14,080,949	8,530,482	22,030,275	27,851,767	3,112,632
Other Financing Sources (Uses)					
Issuance of Notes	--	--	900,070	--	--
Issuance of Leases	--	--	--	347,565	--
Information Technology	--	--	--	--	5,753,298
Sale of Capital Assets	35,066	70,164	66,526	179,392	398,091
Insurance Recoveries	424,313	784,152	343,390	407,812	458,957
Operating Transfers In	1,001,092	848,122	280,390	2,224,172 [4]	2,417,868
Operating Transfers Out	(17,636,063)	(9,854,773)	(6,118,008)	(32,398,084) [4]	(17,733,291)
Total	(16,175,592)	(8,152,335)	(4,527,632)	(29,239,143)	(8,705,077)
Excess of Revenues and Other Sources Over (Under) Expenditures And Other (Uses)	(2,094,643)	378,147	17,502,643	(1,387,376)	(5,592,445)
Beginning Fund Balance	50,425,538	47,534,616 [1]	47,912,763	65,415,406	64,028,030
Ending Fund Balance	$ 48,330,895 [1]	$ 47,912,763	$ 65,415,406	$ 64,028,030	$ 58,435,585

[1] The Fleet Fund changed fund types from a governmental fund (previously reported as part of the General Fund) to an internal service fund in 2020, which resulted in an adjustment of beginning fund balance in the amount of $796,279.

[2] In 2022, the Sales & Use Tax Fund was combined with the General Fund within the general ledger. The two Funds had been historically combined for financial reporting purposes, and this change added efficiency. The change also resulted in a higher than normal Intergovernmental/Operating transfer amount. Additionally, Intergovernmental revenue saw a substantial increase due to the receipt of federal grant funds, which included $14.5 million of funds related to the COVID-19 pandemic.

[3] Public Safety expenditures increased $7.5 million in 2022 because benefits were moved from Central Charges to individual departments. The hiring of additional positions and overtime also contributed to the increase.

[4] In 2022, revenues from transfers increased as the result of the receipt of $1.5 million from the Utility Fund to the Sales Tax Fund. The increase in transfers out was due to a transfer to GCIF for capital projects in the amount of $26 million. An additional $5 million was transferred to the Utility Fund for projects.

Source: City Finance Department

General Fund Budget Summary and Comparison. The following table sets forth a summary and comparison of the 2023 and 2024 budgets, and the 2024 year-to-date actual unaudited figures for the District's General Fund.

General Fund Budget Summary and Comparison

	2023 Budget (as revised)	2024 Budget (as adopted) [5]	2024 Year-to-Date Actual Financials [6]
Revenues			
Property taxes	$ 7,291,168	$ 9,100,001	$ 6,263,350
Sales taxes [1]	103,563,976	106,999,154	53,462,521
Use taxes [1]	22,705,046	22,101,740	9,493,524
Business fees and other taxes	5,586,421	5,507,079	330,714
Accommodations taxes	4,100,000	5,592,492	2,408,500
Intergovernmental	17,026,524	16,076,002	7,259,608
Licenses and permits	2,317,401	2,575,101	936,656
Investment earnings	560,000	677,400	383,793
Recreation fees	6,868,676	7,156,388	4,551,873
Fines and forfeits	759,750	1,010,501	641,503
Fleet maintenance billings and other	6,129,677	6,240,342	4,916,675
EMS billings	3,600,000	3,600,000	2,220,354
Leases	--	168,900	114,897
Reimbursements/Contributions	--	6,672,750	1,330,173
Total Revenues	180,508,639	193,477,850	94,314,141
EXPENDITURES			
City council	340,722	375,950	123,882
City attorney	2,471,162	2,810,565	1,420,103
City manager's office [3]	4,420,117	10,832,090	5,230,743
Central charges	25,688,098	11,793,125	7,856,798
General services [2, 3]	9,341,524	--	--
Finance [3, 4]	3,735,075	4,684,920	2,608,817
Human resources [4]	3,419,960	4,695,190	2,402,467
Information technology	7,883,547	11,175,270	5,298,109
Police	44,194,742	46,976,005	23,310,239
Fire	26,017,184	26,939,440	13,532,075
Public works [3]	12,713,807	18,284,335	8,126,820
Community development	9,469,809	7,361,150	3,517,089
Economic development	2,508,720	3,173,030	1,047,055
Culture and recreation	29,374,661	33,046,890	13,869,365
Total Expenditures	181,579,128	182,147,960	88,343,562
Excess of revenues over (under) expenditures	(1,070,489)	11,329,890	5,970,579
Other Financing Sources And (Uses)			
Sale of asset	63,036	--	22,231
Insurance proceeds	500,000	--	0
Transfers in	2,412,868	8,588,030	3,918,290
Transfers out	(18,683,291)	(19,855,000)	(9,927,500)
Total other financing sources (uses):	(15,707,387)	(11,266,970)	(5,986,979)
Net change in fund balance	$ (16,777,876)		(16,400)
Fund balance, beginning			58,435,585
Fund balance, ending			$58,419,185

[1] In 2023, the Sales & Use Tax Fund was combined into the General Fund for consistency in how the funds are reported in the City's Annual Comprehensive Financial Report.
[2] In 2023, the former Policy & Budget Department merged in to the General Services Department.
[3] In 2024, the General Services Department was dissolved as part of a citywide reorganization; the Municipal Court, City Hall Operations, and Policy & Budget transitioned into the City Manager's Office, Procurement transitioned into the Finance Department, and Facilities Management transitioned into Public Works and Utilities.
[4] In 2024, Retirement Administration transitioned from the Finance Department into the Human Resources Department.
[5] Historically the City has adopted a biennial (two-year) budget. Since 2021 the City adopted a one-year budget. While this allows for added flexibility in a post-COVID environment, it also maintains a consistent, annual engagement on the City's financial status with the community, City Council, and Staff. Additionally, this annual process provides greater financial transparency. Council adopted the 2024 budget in October 2023.
[6] Year-to-date actual unaudited financials through June 30, 2024.
Source: 2023 Annual Comprehensive Financial Report and Policy & Budget Division

General Fund Balances

	2019	2020	2021	2022	2023	2024 YTD (unaudited) [1]
Actual Expenditures	$135,667,820	$139,879,662	$137,737,427	$158,755,668	$177,418,700	$88,343,562
Total Fund Balance	48,330,895	47,912,763	65,415,406	64,028,030	58,435,585	58,419,185
Percent of Fund Balance to Expenditures	35.62%	34.25%	47.49%	40.33%	32.94%	66.13%

[1] Unadjusted and unaudited figures through June 30, 2024.
Source: City Finance Department

Sales and Use Tax Revenues

Fiscal Year	City Sales and Use Tax [1]	Public Safety Sales and Use Tax [2]	Open Space Sales and Use Tax [3]	Total Direct Tax Rate
2019	$ 87,377,954	$17,468,504	$7,276,675	3.85%
2020	83,865,670	16,674,924	6,946,101	3.85
2021	93,154,434	18,704,131	7,791,387	3.85
2022	99,289,289	19,850,260	8,268,819	3.85
2023	103,650,880	20,722,196	8,632,032	3.85

[1] The City Sales and Use Tax is 3.00%. Overlapping rates are collected by the State of Colorado (2.90%); Adams County (0.75%) and Jefferson County (0.50%). Not all overlapping rates apply to all sales transactions.
[2] The Public Safety Sales and Use Tax was implemented January 1, 2004, at a rate of 0.60%.
[3] The Open Space Sales and Use Tax was implemented January 1, 1985, at a rate of 0.25%.
Source: City Finance Department

[Remainder of Page Intentionally Left Blank]

City of Westminster
Comparison of Monthly Receipts of 3% Sales and Use Tax
(Cash Basis)

	Twelve Months Ended 12/31/2022		Twelve Months Ended 12/31/2023		Percent Change	
Month	**Current Month**	**YTD**	**Current Month**	**YTD**	**Current Month**	**YTD**
January	$ 9,908,131	$ 9,908,131	$ 11,357,634	$ 11,357,634	14.6%	14.6%
February	6,801,223	16,709,354	8,255,256	19,612,890	21.4	17.4
March	6,782,697	23,492,051	7,426,893	27,039,783	9.5	15.1
April	8,385,562	31,877,613	8,826,557	35,866,339	5.3	12.5
May	7,821,343	39,698,956	7,824,202	43,690,541	0.0	10.1
June	8,274,669	47,973,625	8,080,325	51,770,866	(2.3)	7.9
July	8,455,599	56,429,224	9,617,289	61,388,155	13.7	8.8
August	8,187,749	64,616,973	9,392,790	70,780,946	14.7	9.5
September	8,332,799	72,949,772	8,085,732	78,866,677	(3.0)	8.1
October	8,779,473	81,729,245	8,777,450	87,644,127	0.0	7.2
November	8,392,989	90,122,234	7,944,126	95,588,253	(5.3)	6.1
December	7,667,337	97,789,571	7,887,173	103,475,426	2.9	5.8
	$97,789,571		$103,475,426			

City of Westminster
Ten Largest Generators of
3% General Sales Tax Revenue
(Cash Basis) [1]

Business Type	**3% General Sales Tax Collected**	**Percent of Total**
Discount Retailer	$ 4,931,955	5.74%
Utility	3,954,209	4.61
Discount Retailer	2,528,637	2.94
Discount Retailer	2,475,517	2.88
Discount Retailer	2,417,484	2.82
Discount Retailer	2,112,107	2.46
Discount Retailer	1,831,429	2.13
E-Comm	1,824,200	2.12
Discount Retailer	1,650,569	1.92
Grocery	1,477,660	1.72
Total: Top Ten	$25,203,767	29.35%

[1] Based on total Sales and Use Tax Receipts of $85,866,243 as of December 31, 2023.
Source: The City

Retirement and Pension Matters

The City provides retirement benefits through a defined contribution 401(a) plan for all general full-time employees and part-time employees who work at least 20 hours per week and are over age 18. The benefits depend solely on amounts contributed to the plan plus investment earnings less any administrative costs. Earnings differ between participants because the employees choose where to invest contributions in their account. Investment options within the 401(a) are selected by the 401(a)-advisory board. In 2023, eligible employees in the 401(a) plan contributed 11.00% of base pay. In the 401(a) plan, employee contributions begin immediately and are 100% vested. In 2023, the City immediately contributed 11.25% of base pay into the 401(a) plan. The value of the City contributions to the 401(a) Plan, and any earnings they generate, follow a five-year vesting schedule. For the year ended December 31, 2023, contributions made by the City under the defined contribution 401(a) plan totaled $7,206,176.

Police officers and firefighters participate in the Fire and Police Pension Association of Colorado (FPPA) who administers a statewide multiple-employer public employee retirement system providing a Statewide Defined Benefit Plan (SWDB). An employee who is a member of FPPA is eligible for a normal retirement pension once the employee has completed 25 years of credited service and has attained the age of 55 or the employee's combined years of service and age equals at least 80 with a minimum age of 50 (Rule of 80). FPPA sets contribution rates at a level that enables all benefits to be fully funded at the retirement date of all FPPA members based on current actuarial assumptions. Contribution rates for the SWDB are set by state statute. In 2023, under the SWDB the employee contribution rate was 12% of base salary and the employer contribution was 9.5% of base salary. The employer contribution rate is set to increase by 0.50% annually through 2030 to a total of 13%. Employees in the re-entry group (old hires) had a combined contribution rate of 24% of base salary for 2023. For the year ended December 31, 2023, employer contributions made by the City under the SWDB totaled $2,961,678. In 2023, the City's proportionate share of the net pension liability for the SWDB was $2,893,095.

Insurance Coverage

The City Council acts to protect the City against loss and liability by maintaining certain insurance coverages. The City is insured as a member of the Colorado Intergovernmental Risk Sharing Agency ("CIRSA"), a property and liability insurance pool established by and for Colorado municipalities on January 1, 1982. CIRSA provides liability coverage, including property, liability, fiduciary, crime, police professional, and errors and omissions, which is renewable annually on January 1st. See Notes 3.A and 3.B to the City's financial statements appended hereto for a discussion of CIRSA. The City Manager believes the City's present insurance coverage to be adequate. However, there can be no assurance that the City will continue to maintain this level of coverage.

Deposit and Investment of City Funds

The City Council adopted the updated Investment Policy, dated January 2013 (the "Investment Policy"), that sets forth policies with regard to investing the financial assets of all City funds except for its Employee Pension Plan Funds, the Deferred Compensation Fund, and the Volunteer Firefighter Pension Fund that are organized and administered separately. Under the Charter and the Investment Policy, the authority to manage the City's investment portfolio is vested with the Finance Director. Pursuant to the Investment Policy the City is to invest its financial assets in accordance with applicable State statutes in eligible depositaries and for the collateralization of such deposited funds. See also Note 2.A to the City's financial statements appended hereto. The investment of the proceeds of this issue also is subject to the provisions of the Federal Tax Code. See "TAX MATTERS."

Revenue Obligations

The City Council has the power to issue revenue bonds, subject to certain election requirements, payable from the revenues derived from the operation of facilities to be acquired, constructed or improved with the proceeds of the bonds, or payable in whole or part from available proceeds of sales and use taxes. The City provides for the operation of certain of its services, such as stormwater, water and wastewater, as enterprises which are not subject to the provisions of TABOR, see "APPENDIX D—THE CITY—Constitutional Amendment Limiting Taxes and Spending." The following tables set forth the City's outstanding revenue obligations at December 31, 2023.

Outstanding Revenue Obligations

Issue	Outstanding Principal [1]
Sales and Use Tax Obligations	
Sales and Use Tax Revenue Refunding Bonds-Parks, Open Space and Trails, Series 2015	$ 11,845,000
Sales and Use Tax Revenue Note-Parks, Open Space and Trails, Series 2022	13,370,000
Utility Fund Obligations	
Subordinate Water and Wastewater Revenue Bond, Series 2005 [2]	1,547,500
Water and Wastewater Revenue Bonds, Series 2016	32,650,000
Water and Wastewater Revenue Bonds, Series 2019	38,025,000
Water and Wastewater Revenue Refunding Bonds, Series 2020	14,010,000
Colorado Water Resources and Power Development Authority Note, Series 2020	19,778,314
Total	$131,225,814

[1] As of December 31, 2023.
[2] Evidences a loan from the Colorado Water Resources and Power Development Authority.
Source: City Finance Department

[Remainder of Page Intentionally Left Blank]

Leases and Long-Term Contracts

The City Council has the authority to enter into installment or lease option contracts, subject to annual appropriation, for the purchase of property or capital equipment without prior electoral approval. The term of any such contract may not extend over a period greater than the estimated useful life of the property or equipment. The following table sets forth the City's outstanding leases and long-term contract obligations as of December 31, 2023.

Outstanding Long-Term Leases and Contracts [1]

Issue	Outstanding Principal
Certificates of Participation 2013/144th & I-25 Interchange Refunding	$ 2,475,000
Certificates of Participation 2015A/Westminster Downtown Nontaxable	30,000,000
Certificates of Participation 2015B/Westminster Downtown Taxable	935,000
Certificates of Participation 2016/Refunding/Capital Facilities & Streets	2,675,000
Certificates of Participation 2021/Golf Course Irrigation	6,230,000
Certificates of Participation 2023 (Municipal Court)	35,005,000
Capital Lease/2019 Fire Ladder	471,096
Capital Lease/2020 Pumper Truck	355,750
Capital Lease/2021 Fire Pumper Truck	444,268
Capital Lease/2022 Fire Pumper Truck	1,120,513
Capital Lease/ 2021 Parks and Golf Maintenance Equipment (General Fund)	544,145
Total	$80,255,772

[1] As of December 31, 2023.
Source: City Finance Department

Charter Debt Limitation

Pursuant to the Charter, and in accordance with Section 31-15-302, C.R.S., the total outstanding indebtedness of the City, including the total of principal amounts payable under any installment or lease option contracts, may not exceed 3% of the statutory actual value of taxable property within the City as determined by the county assessors for the last preceding assessment. Excluded from the limitation is any indebtedness for the acquisition or extension of a water system and supply, public utilities, projects, enterprises, works or ways from which the City will derive revenue. Other than the Certificates of Participation and equipment leases described above in "Leases and Long-Term Contracts," the City has no outstanding indebtedness applicable to the debt limitation.

As certified by the Adams County and Jefferson County assessor's office, the City's preliminary "actual" valuation for the 2024 levy year (2025 collection year) is $27,921,797,210 resulting in a current debt limit of $837,653,916. As of the date of the Bonds, the amount of debt subject to the debt limit was $80,255,772, leaving a debt margin of $757,398,144. See "—Leases and Long-Term Contracts" above.

General Obligation Debt

"Debt" or "indebtedness" as used in this section means, generally, obligations backed by the City's full faith and credit and secured by the unlimited power of the City to levy ad valorem property taxes for the payment of bonds and the interest thereon. Any general obligation indebtedness of the City is subject to certain election requirements. The City does not have any outstanding general obligation debt.

Other Financial Obligations

Subject to certain election requirements, the City Council also has the power to issue special assessment bonds payable from assessments levied against specially benefited properties within special assessment districts. At this time, there are no special assessment bonds outstanding.

City Debt Policy

The City adopted a debt policy on October 24, 2011. Prior to formally adopting a policy, the City adhered to the provisions of its City Charter and complied with applicable state and federal legal requirements for municipal debt. Staff also followed guidance provided by the Government Finance Officers Association ("GFOA") in their Recommended Practices for Debt Management and from the rating agencies regarding prudent financial management for municipalities.

Moral Obligations

The City has entered into moral obligations with the following Westminster Economic Development Authority ("WEDA") borrowings: Revenue Refunding Bonds Series 2012 (Mandalay Gardens Urban Renewal), Revenue Refunding Bonds Series 2022 (South Sheridan), and Revenue Loan Series 2012 (North Huron) with an aggregate balance of $33,009,930 outstanding as of December 31, 2023. A moral obligation is a pledge by the City Manager to request of Council that the City replenish the Reserve Fund associated with this debt to the minimum required per the bond indenture or loan document should it become necessary. Council will consider, but is not obligated to fulfill this request.

Estimated Overlapping General Obligation Debt

Certain public entities whose boundaries may be entirely within, coterminous with, or only partially within the City are also authorized to incur general obligation debt, and to the extent that properties within the City are also within such overlapping public entities such properties will be liable for an allocable portion of such debt. For purposes of this Official Statement, the percentage of each entity's outstanding debt chargeable to City property owners is calculated by comparing the assessed valuation of the portion overlapping the City to the total assessed valuation of the overlapping entity. To the extent the City's assessed valuation changes disproportionately with the assessed valuation of overlapping entities, the percentage of general obligation debt for which the City property owners are responsible will also change. The following table estimates the portion of the outstanding general obligation debt of overlapping public entities that is borne by the residents and businesses of the City. When considering the overlapping entities' ability to issue and repay long-term debt, the entire debt burden borne by the residents and businesses should be taken into account; however, this does not imply that every taxpayer is a resident and therefore responsible for repaying the debt of each overlapping entity.

The City is not financially or legally obligated with regard to any of the indebtedness shown on the immediately following table. Although the City has attempted to obtain accurate information as to the outstanding debt of the entities which overlap the District, it does not warrant its completeness or accuracy as there is no central reporting entity which is responsible for compiling this information.

City of Westminster
Direct and Overlapping Governmental Activities Debt [1, 2]

Governmental Unit	Debt Outstanding	Estimated Percentage Applicable	Estimated Share of Overlapping Debt
Adams County	$135,834,539	9.21%	$ 12,510,361
Adams County School District #12	406,477,450	25.18	102,351,022
Apex Park & Rec District	19,095,000	7.37	1,407,302
Arvada Fire Protection District	2,101,000	0.04	840
Bradburn Metro #2	9,050,000	100.00	9,050,000
Bradburn Metro #3	7,700,000	100.00	7,700,000
Country Club Highlands Metro District	2,055,000	100.00	2,055,000
Country Club Village Metro District	1,950,000	100.00	1,950,000
Countrydale Metropolitan District	4,990,000	100.00	4,990,000
Huntington Trails Metro District	5,150,000	1.24	63,860
Hyland Village Metro District	4,770,000	97.79	4,664,583
Jefferson County School District R-1	710,280,000	4.60	32,672,880
NBC Metropolitan District	8,710,000	99.57	8,672,547
North Metro Fire and Rescue	4,960,000	12.45	617,520
Orchard Park Place North Metro District	4,006,000	100.00	4,006,000
Uplands Metro District #1	15,940,000	100.00	15,940,000
Westglenn Metro District	508,000	99.59	505,917
Westminster Public Schools	24,690,000	41.70	10,295,730
Subtotal, overlapping debt			219,453,562
City Direct debt			143,302,720
Total direct and overlapping debt			$362,756,282

[1] As of December 31, 2023.
[2] Assessed value data used to estimate applicable percentages provided by Adams County and Jefferson County Governments. Debt outstanding data provided by each governmental unit.
Source: The City 2023 ACFR

[THIS PAGE INTENTIONALLY LEFT BLANK]

APPENDIX F

ECONOMIC AND DEMOGRAPHIC INFORMATION

The following information is provided to give prospective investors general information concerning selected economic and demographic conditions existing in the larger metropolitan area within which the City is located. The statistics presented below have been obtained from the referenced sources and represent the most current information available from such sources; however, certain of the information is released only after a significant amount of time has passed since the most recent date of the reported data and therefore, such information may not be indicative of economic and demographic conditions as they currently exist or conditions which may be experienced in the near future. Further, the reported data has not been adjusted to reflect economic trends, notably inflation. Finally, other economic and demographic information not presented herein may be available concerning the area in which the City is located and prospective investors may want to review such information prior to making their investment decision. *The following information is not to be relied upon as a representation or guarantee of the City or its officers, employees, or advisors*.

Population

The following table sets forth the population of the City of Westminster, Adams County, Jefferson County and the Denver metropolitan statistical area (the "DMA") which includes the counties of Adams, Arapahoe, Boulder, Broomfield, Denver, Douglas and Jefferson.

	Population				
Year	**City of Westminster**	**Percent Change**	**Adams County** [1]	**Jefferson County** [1]	**DMA**
1980	50,211	--	245,944	371,753	1,618,461
1990	74,619	48.62%	265,038	438,430	1,848,319
2000	63,969	(14.28)	363,857	527,056	2,400,570
2010	63,974	0.01	441,603	534,543	2,784,228
2020	116,072	81.44	520,070	582,782	3,240,895
2023 [2]	114,875	(1.03)	533,365	576,366	3,269,966

[1] The City of Westminster is located in both Adams and Jefferson Counties and therefore information for both counties is included herein as pertinent to the City.
[2] Estimate.
Source: U.S. Department of Commerce, Bureau of the Census and Colorado Department of Local Affairs

[Remainder of Page Intentionally Left Blank]

Tax Increment Areas

State law authorizes municipalities to establish both urban renewal authorities and downtown development authorities for the purpose of financing improvements to areas which have been designated by the respective governing bodies of municipalities as being blighted or, with respect to downtown development authorities, subject to deterioration of property values or structures for the purpose of undertaking certain urban renewal activities (a "tax increment area"), the assessed valuation of such property that is taxable does not increase beyond the amount existing in the year prior to the adoption of the applicable urban renewal plan (other than by means of the general reassessment). Any increase above the "base" amount (referred to as the "increment") is paid to the urban renewal authority or downtown development authority. See "History of City's Assessed Valuation" below, for information on the assessed valuation attributable to such tax increment areas, also known as a Tax Increment Financing ("TIF") area. The District includes assessed valuations that are attributable to the Westminster Economic Development Authority-North Huron, Westminster Economic Development Authority-South Sheridan, Westminster Economic Development Authority-Holly Park, Westminster Economic Development Authority-Westminster Center.

Assessed Valuation and "Actual" Valuation

The following table sets forth historical information on the City's assessed valuation. The City's 2024/2025 preliminary "actual" valuation as of August 26, 2024 is $27,921,797,210, which valuation is subject to change prior to the December 10, 2024 final certification date.

History of City's Assessed Valuation

Levy/Collection Year	Adams County Portion	Adams County TIF [1]	Jefferson County Portion	Jefferson County TIF [1]	Total City Assessed Value	Percent Change
2019/2020	$1,140,471,742	$100,498,810	$ 884,021,548	$48,835,553	$1,875,158,927	--
2020/2021	1,135,903,780	105,419,790	897,800,868	57,539,922	1,870,744,936	(0.24)%
2021/2022	1,207,547,720	111,902,510	968,409,037	66,474,095	1,997,580,152	6.78
2022/2023	1,176,309,560	111,912,750	966,759,868	73,213,323	1,957,943,355	(1.8)
2023/2024	1,384,128,760	120,910,560	1,122,589,369	87,628,457	2,298,179,112	17.38
2024/2025 [3]	1,390,795,030	117,922,857	1,127,340,417	88,761,614	2,311,450,976	0.58

[1] Incremental assessed valuation in excess of "base" valuation in property tax increment areas from which the City does not receive property tax revenue. See "Tax Increment Areas" above.
[3] Preliminary 2024 assessed valuation as of August 26, 2024, which valuation is subject to change prior to the December 10, 2024 final certification date.
Source: State of Colorado Division of Property Taxation

[Remainder of Page Intentionally Left Blank]

Income

The following table sets forth certain information on household income in Adams County and Jefferson Counties, Colorado, the United States.

Per Capita Personal Income

	2018	2019	2020	2021	2022
Adams County	$43,139	$44,999	$48,594	$53,185	$54,681
Jefferson County	62,340	65,950	68,983	75,899	79,751
Colorado	57,794	61,258	64,852	71,923	75,722
United States	53,309	55,547	59,153	64,430	65,470

Source: Source: United States Department of Commerce, Bureau of Economic Analysis

School Enrollment

The following table presents a five-year history of school enrollment for Adams County School District No. 12, Adams County School District No. 50 and Jefferson County School District R-1, the school districts serving the City.

School Enrollment

Year	Adams 12 Five Star Schools	Westminster Public Schools	Jefferson County School District R-1
2019/2020	38,707	9,090	84,048
2020/2021	36,654	8,373	80,088
2021/2022	36,078	8,320	78,473
2022/2023	35,747	8,004	77,078
2023/2024	34,998	7,631	76,172

Source: Colorado Department of Education

[Remainder of Page Intentionally Left Blank]

Building Activity

The following tables set forth the building permit activity for the City of Westminster.

Building Permit Activity in the City

	Residential				
Year	**Multi-Family Permits**	**Single-Family Permits**	**Total Residential Permits**	**Commercial**	**Valuation for All Permits**
2019	17	108	125	15	$238,197,644
2020	8	97	105	13	182,812,846
2021	1	147	148	3	102,697,976
2022	--	21	21	8	61,086,394
2023	1	5	6	6	76,436,483
2024 [1]	--	25	25	--	9,200,511

[1] Permits issued through June 30, 2024.
Source: City Community Development Department, Building Division

Foreclosure Activity

The number of foreclosures filed in Adams County and in Jefferson County are set forth in the following table.

History of Foreclosures

Year	Adams County	Percent Change	Jefferson County	Percent Change
2019	658	--	433	--
2020 [1]	207	(68.54)%	172	(60.28)%
2021 [1]	102	(50.72)	96	(44.19)
2022	691	577.45	363	278.13
2023	618	(10.56)	385	6.06
2024 [2]	376	--	256	--

[1] The decrease in the number of foreclosures filed in 2020 and 2021 was the result of the State imposed restrictions that were put in place in response to the COVID-19 pandemic.
[2] Foreclosures filed through August 26, 2024.
Source: Adams County and Jefferson County Public Trustees

[Remainder of Page Intentionally Left Blank]

Employment

The following tables set forth employment statistics by industry and the most recent historical labor force estimates for Adams County, Jefferson County, the Denver-Aurora metropolitan statistical area (the "Denver-Aurora MSA"), which includes the counties of Adams, Arapahoe, Broomfield, Clear Creek, Denver, Douglas, Elbert, Gilpin, Jefferson and Park and the State.

Total Business Establishments and Employment—Adams County

	Fourth Quarter 2022		Fourth Quarter 2023		Quarterly Change	
Industry [1]	**Units**	**Average Employment**	**Units**	**Average Employment**	**Units**	**Average Employment**
Agriculture, Forestry, Fishing and Hunting	60	1,035	53	890	(7)	(145)
Mining	56	977	52	981	(4)	4
Utilities	32	917	34	983	2	66
Construction	1,986	25,112	2,085	26,043	99	931
Wholesale Trade	1,195	18,051	1,223	18,177	28	126
Information	218	2,528	252	2,527	34	(1)
Finance and Insurance	649	3,620	677	3,859	28	239
Real Estate, Rental and Leasing	722	3,522	751	3,511	29	(11)
Professional and Technical Services	2,155	8,798	2,278	9,240	123	442
Management of Companies and Enterprises	169	1,698	176	1,703	7	5
Administrative and Waste Services	949	16,006	988	17,178	39	1,172
Educational Services	232	25,449	253	26,258	21	809
Health Care and Social Assistance	1,046	32,357	1,089	34,316	43	1,959
Arts, Entertainment and Recreation	148	2,512	160	2,503	12	(9)
Accommodation and Food Services	891	19,033	922	18,827	31	(206)
Other Services, Ex. Public Administration	1,105	6,802	1,117	7,097	12	295
Public Administration	65	9,301	64	9,930	(1)	629
Unclassified	12	18	15	35	3	17
Total [2]	14,176	242,213	14,724	248,572	548	6,359
Government [3]						
Federal Government	44	3,476	45	3,823	1	347
Local Government	59	20,481	59	21,534	--	1,053
State Government	36	23,740	35	24,499	(1)	759

[1] Information provided herein reflects only those employers who are subject to State unemployment insurance law.
[2] Totals may not add due to rounding.
[3] Government figures *are* included within the industry categories listed above.
Source: Colorado Department of Labor and Employment, Labor Market Information, Quarterly Census of Employment and Wages (QCEW)

[Remainder of Page Intentionally Left Blank]

Total Business Establishments and Employment—Jefferson

Industry [1]	Fourth Quarter 2022 Units	Fourth Quarter 2022 Average Employment	Fourth Quarter 2023 Units	Fourth Quarter 2023 Average Employment	Quarterly Change Units	Quarterly Change Average Employment
Agriculture, Forestry, Fishing and Hunting	49	510	49	437	--	(73)
Mining	84	398	81	420	(3)	22
Utilities	57	1,016	58	1,018	1	2
Construction	2,313	18,920	2,327	18,610	14	(310)
Manufacturing	1,798	8,140	1,792	8,100	(6)	(40)
Wholesale Trade	622	4,601	634	4,398	12	(203)
Retail Trade	1,538	6,558	1,557	6,641	19	83
Transportation and Warehousing	1,393	4,165	1,425	4,398	32	233
Information	6,455	29,275	6,666	29,973	211	698
Finance and Insurance	452	3,143	452	2,887	--	(256)
Real Estate, Rental and Leasing	1,509	14,614	1,526	13,740	17	(874)
Professional and Technical Services	534	17,977	549	18,946	15	969
Management of Companies and Enterprises	2,291	30,130	2,392	31,338	101	1,208
Administrative and Waste Services	386	4,667	398	4,994	12	327
Educational Services	1,316	23,562	1,354	24,995	38	1,433
Health Care and Social Assistance	2,064	7,888	2,085	8,380	21	492
Arts, Entertainment and Recreation	99	16,625	104	17,184	5	559
Accommodation and Food Services	11	25	18	21	(81)	(4)
Total [2]	25,589	245,467	26,145	249,774	556	4,307
Government [3]						
Federal	67	7,266	73	7,421	6	155
Local	83	21,038	82	22,060	(1)	1,022
State	26	5,732	27	6,143	1	411

[1] Information provided herein reflects only those employers who are subject to State unemployment insurance law.
[2] Totals may not add due to rounding.
[3] Government figures *are* included within the industry categories listed above.
Source: Colorado Department of Labor and Employment, Labor Market Information, Quarterly Census of Employment and Wages (QCEW)

Labor Force Estimates

Year	Adams County Labor Force	Adams County Percent Unemployed	Jefferson County Labor Force	Jefferson County Percent Unemployed	Denver Aurora Lakewood MSA Labor Force	Denver Aurora Lakewood MSA Percent Unemployed	Colorado Labor Force	Colorado Percent Unemployed
2019	275,440	2.9%	338,722	2.5%	1,677,324	2.7%	3,148,766	2.8%
2020 [1]	274,498	8.0	333,682	7.1	1,669,888	7.5	3,122,237	7.3
2021 [1]	281,041	6.4	341,237	5.2	1,708,003	5.7	3,190,760	5.6
2022	283,913	3.9	344,320	3.1	1,732,168	3.4	3,235,022	3.4
2023 [2]	284,485	3.4	346,377	2.9	1,741,744	3.1	3,244,096	2.9
2024 [2]	282,374	4.3	343,381	3.6	1,726,796	4.0	3,224,462	3.9

[1] As a result of the COVID-19 pandemic and the federal government induced quarantine, unemployment numbers increased exponentially in 2020 and 2021.
[2] Labor force estimates through June 30, 2024.
Source: State of Colorado, Division of Employment and Training, Labor Market Information, Colorado Labor Force Review

The following table sets forth selected major employers within the City of Westminster. No independent investigation has been made of and there can be no representation as to the stability or financial condition of the entities listed below, or the likelihood that they will maintain their status as major employers in the City. Three school districts are represented within Westminster: Adams County School District No. 12, Adams County School District No. 50 and Jefferson County School District R-1. The breakdown of employees within facilities within Westminster is not readily available.

City of Westminster—2024 Selected Major Employers [1]

Employer	Product or Service	Estimated Number of Employees
Ball Corporation [2]	Aerospace and Packaging	1,335
St. Anthony North Hospital	Health Care Provider	1,153
Maxar (fka DigitalGlobe)	Geospatial Technologies	954
Trimble Navigation	Geopositioning Technologies	850
Mtech Mechanical Technologies Group	HVAC Systems	557
Tri State Generation	Electric Energy Wholesaler	473
Epsilon	Outcome-Based Marketing	445
Bread Financial (fka Alliance Data Systems)	Network Credit Authorization	317
Kaiser Permanente	Healthcare Provider	218
CACI International Research and Technology (fka LPS Asset Management Solutions)	Information Technology and Services	200

[1] Does not include retail businesses.

[2] In an August 17, 2023 press release it was announced that the Ball Corporation ("Ball") and BAE Systems ("BAE") have entered into a definitive agreement for Ball to sell its aerospace business to BAE for $5.6 billion in cash, subject to customary closing adjustments. The respective releases further indicate that the sale closing is expected to occur in the first half of 2024. The chairman and CEO of BAE stated in their release that "[t]he complementary cultural fit of Ball Aerospace and BAE Systems and their combined position as a pure play aerospace and technologies company will leverage Ball's recent investments in talent and facilities located across the country and centered in Boulder, Broomfield and Westminster, Colorado, to provide a multidimensional platform for vital national defense, intelligence, and science hardware, software, and space-based assets." No representations can be made regarding the impact, if any, that the sale, if or when it occurs, will have on Ball Aerospace as a major employer within the City.

Source: 2024 City Economic Profile

[Remainder of Page Intentionally Left Blank]

[THIS PAGE INTENTIONALLY LEFT BLANK]

APPENDIX G

BOOK-ENTRY-ONLY SYSTEM

The information in this section concerning The Depository Trust Company ("DTC") New York, NY and DTC's book-entry-only system has been obtained from DTC, and the City and the Underwriters take no responsibility for the accuracy thereof.

DTC will act as securities depository for the Bonds. The Bonds will be issued as fully-registered securities registered in the name of Cede & Co. (DTC's partnership nominee) or such other name as may be requested by an authorized representative of DTC. One fully-registered certificate will be issued for the Bonds, as set forth on the inside cover page hereof, in the aggregate principal amount of each maturity of the Bonds and deposited with DTC.

DTC, the world's largest securities depository, is a limited-purpose trust company organized under the New York Banking Law, a "banking organization" within the meaning of the New York Banking Law, a member of the Federal Reserve System, a "clearing corporation" within the meaning of the New York Uniform Commercial Code, and a "clearing agency" registered pursuant to the provisions of Section 17A of the Securities Exchange Act of 1934. DTC holds and provides asset servicing for over 3.5 million issues of U.S. and non U.S. equity issues, corporate and municipal debt issues, and money market instruments (from over 100 countries) that DTC's participants ("Direct Participants") deposit with DTC. DTC also facilitates the post trade settlement among Direct Participants of sales and other securities transactions in deposited securities, through electronic computerized book-entry transfers and pledges between Direct Participants' accounts. This eliminates the need for physical movement of securities certificates. Direct Participants include both U.S. and non-U.S. securities brokers and dealers, banks, trust companies, clearing corporations and certain other organizations. DTC is a wholly-owned subsidiary of The Depository Trust & Clearing Corporation ("DTCC"). DTCC is the holding company for DTC, National Securities Clearing Corporation & Fixed Income Clearing Corporation, all of which are registered clearing agencies. DTCC is owned by the users of its regulated subsidiaries. Access to the DTC system is also available to others such as both U.S. and non U.S. securities brokers and dealers, banks, trust companies and clearing corporations that clear through or maintain a custodial relationship with a Direct Participant, either directly or indirectly ("Indirect Participants"). DTC has a Standard & Poor's rating of AA+. The DTC Rules applicable to its Participants are on file with the Securities and Exchange Commission. More information about DTC can be found at www.dtcc.com and www.dtc.org.

Purchases of the Bonds under the DTC system must be made by or through Direct Participants, which will receive a credit for the Bonds on DTC's records. The ownership interest of each actual purchaser of each Bond ("Beneficial Owner") is in turn to be recorded on the Direct and Indirect Participants' records. Beneficial Owners will not receive written confirmation from DTC of their purchase. Beneficial Owners are, however, expected to receive written confirmations providing details of the transaction, as well as periodic statements of their holdings, from the Direct or Indirect Participant through which the Beneficial Owner entered into the transaction. Transfers of ownership interests in the Bonds are to be accomplished by entries made on the books of Direct and Indirect Participants acting on behalf of Beneficial Owners. Beneficial Owners will not receive certificates representing their ownership interests in the Bonds, except in the event that use of the book entry-system for the Bonds is discontinued.

To facilitate subsequent transfers, all Bonds deposited by Direct Participants with DTC are registered in the name of DTC's partnership nominee, Cede & Co., or such other name as may be requested by an authorized representative of DTC. The deposit of Bonds with DTC and their registration in the name of Cede & Co. or such other DTC nominee do not affect any change in beneficial ownership. DTC has no

knowledge of the actual Beneficial Owners of Bonds; DTC's records reflect only the identity of the Direct Participants to whose accounts such Bonds are credited, which may or may not be the Beneficial Owners. The Direct and Indirect Participants remain responsible for keeping accounts of their holdings on behalf of their customers.

Conveyance of notices and other communications by DTC to Direct Participants, by Direct Participants to Indirect Participants and by Direct Participants and Indirect Participants to Beneficial Owners will be governed by arrangements among them, subject to any statutory or regulatory requirements as may be in effect from time to time. Beneficial Owners of the Bonds may wish to take certain steps to augment the transmission to them of notices of significant events with respect to the Bonds, such as redemptions, tenders, defaults, and proposed amendments to the Bond documents. For example, Beneficial Owners of the Bonds may wish to ascertain that the nominee holding the Bonds for their benefit has agreed to obtain and transmit notices to Beneficial Owners. In the alternative, Beneficial Owners may wish to provide their names and addresses to the registrar and request that copies of notices be provided directly to them.

Redemption notices will be sent to DTC. If less than all of the Bonds within an issue are being redeemed, DTC's practice is to determine by lot the amount of the interest of each Direct Participant in such issue to be redeemed.

Neither DTC nor Cede & Co. (nor any other DTC nominee) will consent or vote with respect to Bonds unless authorized by a Direct Participant in accordance with DTC's MMI Procedures. Under its usual procedures, DTC mails an Omnibus Proxy to the City as soon as possible after the record date. The Omnibus Proxy assigns Cede & Co.'s consenting or voting rights to those Direct Participants to whose accounts the Bonds are credited on the record date (identified in a listing attached to the Omnibus Proxy).

Redemption proceeds, distributions, and dividend payments on the Bonds are to be made to Cede & Co., or such other nominee as may be requested by an authorized representative of DTC. DTC's practice is to credit Direct Participants' accounts upon DTC's receipt of funds and corresponding detail information from the City or Paying Agent, on payable date in accordance with their respective holdings shown on DTC's records. Payments by Participants to Beneficial Owners will be governed by standing instructions and customary practices, as is the case with securities held for the accounts of customers in bearer form or registered in "street name," and will be the responsibility of such Participant and not of DTC, the Paying Agent or City, subject to any statutory or regulatory requirements as may be in effect from time to time. Payment of redemption proceeds, distributions, and dividend payments to Cede & Co. (or such other name as may be requested by an authorized representative of DTC) is the responsibility of the City or the Paying Agent, disbursement of such payments to Direct Participants will be the responsibility of DTC, and disbursement of such payments to the Beneficial Owners will be the responsibility of Direct and Indirect Participants.

A Beneficial Owner shall give notice to elect to have its Bonds purchased or tendered, through its Participant, to Tender or Remarketing Agent, and shall effect delivery of such Bonds by causing the Direct Participant to transfer the Participant's interest in the Bonds, on DTC's records, to Tender or Remarketing Agent. The requirement for physical delivery of the Bonds in connection with an optional tender or a mandatory purchase will be deemed satisfied when the ownership rights in the Bonds are transferred by Direct Participants on DTC's records and followed by a book-entry credit for tendered Bonds to Tender or Remarketing Agent's DTC account.

DTC may discontinue providing its services as securities depository with respect to the Bonds at any time by giving reasonable notice to the City or the Paying Agent. Under such circumstances, in the

event that a successor securities depository is not obtained, Bond certificates are required to be printed and delivered.

The City may decide to discontinue use of the system of book entry only transfers through DTC (or a successor securities depository). In that event, Bond certificates will be printed and delivered to DTC.

[THIS PAGE INTENTIONALLY LEFT BLANK]

APPENDIX H

FORM OF BOND COUNSEL OPINION

September 25, 2024

City of Westminster, Colorado
Water and Wastewater Utility Enterprise
4800 West 92nd Avenue
Westminster, Colorado 80031

$186,900,000
City of Westminster, Colorado
Water and Wastewater Utility Enterprise
Water and Wastewater Revenue Bonds
Series 2024

Ladies and Gentlemen:

We have acted as bond counsel to the City of Westminster, Colorado, acting by and through its Water and Wastewater Utility Enterprise (the "Enterprise"), in connection with the issuance of its Water and Wastewater Revenue Bonds, Series 2024, in the aggregate principal amount of $186,900,000 (the "Bonds") pursuant to an authorizing ordinance of the City Council of the City of Westminster, Colorado, acting as the governing body of the Enterprise, adopted on July 20, 2024 (the "Bond Ordinance"). In such capacity, we have examined the Enterprise's certified proceedings and such other documents and such law of the State of Colorado and of the United States of America as we have deemed necessary to render this opinion letter. Capitalized terms not otherwise defined herein shall have the meanings ascribed to them by the Bond Ordinance.

Regarding questions of fact material to our opinions, we have relied upon the Enterprise's certified proceedings and other representations and certifications of public officials and others furnished to us without undertaking to verify the same by independent investigation.

Based upon such examination, it is our opinion as bond counsel that:

1. The bonds are valid and binding, special, limited obligations of the Enterprise payable solely from the Pledged Revenues pledged therefor under the Bond Ordinance.

2. The Bond Ordinance constitutes a valid and binding obligation of the Enterprise.

3. The Bond Ordinance creates a valid lien on the Pledged Revenues pledged therein for the security of the Bonds on a parity with the lien thereon of the 2016 Bonds, the 2019 Bonds, the 2020 Bonds, the 2020 CWRPDA loan, and other parity bonds (if any) to be issued, and which lien is at all times senior and superior to the lien thereon of the Subordinate Securities. Except as described in this paragraph, we express no opinion regarding the priority of the lien on the Pledged Revenues or on the funds and accounts created by the Bond Ordinance.

4. Interest on the Bonds is excludable from gross income under federal income tax laws pursuant to Section 103 of the Internal Revenue Code of 1986, as amended to the date hereof (the "Tax Code"), interest on the Bonds is not a specific item of tax preference for purposes of the federal alternative

minimum tax, however, such interest is taken into account in determining the annual adjusted financial statement income of applicable corporations (as defined in Section 59(k) of the Tax Code) for the purpose of computing the alternative minimum tax imposed on corporations, and interest on the Bonds is excludable from Colorado taxable income and Colorado alternative minimum taxable income under Colorado income tax laws in effect as of the date hereof. The opinions expressed in this paragraph assume continuous compliance with the covenants and representations contained in the certified proceedings of the Enterprise and in certain other documents and certain other certifications furnished to us.

The opinions expressed in this opinion letter are subject to the following:

The rights of the owners of the Bonds and the enforceability of the Bonds and the Bond Ordinance are limited by bankruptcy, insolvency, reorganization, moratorium, and other similar laws affecting creditors' rights generally, and by equitable principles, whether considered at law or in equity.

In this opinion letter issued in our capacity as bond counsel, we are opining only upon those matters set forth herein, and we are not passing upon the accuracy, adequacy or completeness of the Official Statement or any other statements made in connection with any offer or sale of the Bonds or upon any federal or state tax consequences arising from the receipt or accrual of interest on or the ownership or disposition of the Bonds, except those specifically addressed herein.

This opinion letter is issued as of the date hereof and we assume no obligation to revise or supplement this opinion letter to reflect any facts or circumstances that may hereafter come to our attention or any changes in law that may hereafter occur.

Respectfully submitted,

BUTLER SNOW LLP

WESTMINSTER
COLORADO

Mixed Sources
Product group from well managed forests, controlled sources and recycled wood or fiber.

Printed by: ImageMaster, LLC
www.imagemaster.com